

Expanding Social Protection and Addressing Informality in Latin America



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Foreword

Labour informality and fragmented social protection systems are a key challenge for Latin America. 48% of workers are in informal employment across the four Latin American OECD countries (Chile, Colombia, Costa Rica and Mexico) and the three Latin American OECD accession candidate countries (Argentina, Brazil and Peru). For a broader set of 27 Latin American and Caribbean countries, this share of informal workers is 55%. Informality keeps workers in low-productivity activities, with few social protection and labour rights, and limits their access to training. Policy action that unlocks greater formal job creation can boost economic growth and equality of opportunity in Latin America and make a significant improvement to people's lives and well-being.

This book demonstrates the opportunities for ambitious reform to shift towards universal, fiscally sustainable social protection models that insure also informal workers against macroeconomic shocks, like the economic impacts of the COVID-19 pandemic, and individual shocks due to, for example, job loss or sickness. The analysis offers tailored policy options, provides country-specific estimates of the fiscal implications, and explores how to fund the expansion in social protection, presenting in-depth studies for Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru. It argues for combining universal access to basic social protection with efficiency savings in public spending and progressive social security contribution rates, to preserve incentives for formalisation and avoid additional fiscal spending pressures.

With the right mix of reforms to social security, public spending, taxes, and incentives for firms to formalise, countries can tackle labour informality, support skills development, boost worker productivity, and safeguard fiscal sustainability. We estimate that the extension of social protection recommended in this book would involve fiscal costs of between 1% and 4% of GDP, depending on the country. Ensuring fiscal sustainability will require optimising public spending, with spending inefficiencies in the seven Latin American countries covered estimated at 4.2% of GDP, and mobilising some additional government revenues, which average 24% of GDP across these countries compared with 34% of GDP in OECD countries.

This report aims to support policy design and dialogue in Latin America, providing rigorous analysis and practical guidance. I trust that it will serve as a valuable tool for policy makers in unlocking higher-quality jobs and better living standards for more workers across the region.



Mathias Cormann
OECD Secretary-General

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Contributors

This book is the result of a collaborative effort by a diverse team of experts who brought their insights, research and dedication to its development.

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Table of contents

Foreword	3
Acknowledgements	4
Contributors	5
1 Introduction	11
1.1. Latin America an unequal region with high informality	12
1.2. The COVID-19 pandemic: a wakeup call	17
1.3. Organisation and main findings of this book	20
References	21
2 Breaking the vicious circle: Better social protection for more workers	23
2.1. Introduction	24
2.2. The link between social protection and informal employment	24
2.3. A proposal for a re-design of pension systems to fight old-age poverty and reduce informality	28
2.4. Working-age transfers	31
References	38
3 Policy options and implementation challenges	42
References	48
4 Strengthening incentives for formalisation in Argentina	49
4.1. Widespread informality undermines productivity and income	50
4.2. The social protection system has high coverage, but at the expense of high fiscal and economic costs	55
4.3. High social contribution rates are raising formal labour costs	62
4.4. Reconciling strong social protection with better formalisation incentives could be achieved at a reasonable fiscal cost	64
4.5. Covering the fiscal costs of better formalisation incentives through spending and revenue measures	66
4.6. Conclusion	67
References	68
5 Brazil: Social protection and incentives for formal job creation	70
5.1. Progress in social protection has been remarkable, but scope for further improvements remains	71
5.2. Extent and history of informality in Brazil	72
5.3. The status quo: Different social protection benefits available to formal and informal workers	73
5.4. Drawbacks of the status quo: The financing of social protection raises formal labour costs	80
5.5. A way forward: Reconciling strong social protection with better formalisation incentives	82
5.6. How to pay for it: Covering the fiscal costs of the proposed reforms	87
5.7. Conclusion	90
References	91

6 Closing social protection gaps in Chile	93
6.1. Introduction	94
6.2. After the 2019 social unrest, the COVID-19 deepened social gaps	95
6.3. The social protection system is comprehensive but has a fragmented design and remains underfunded	98
6.4. Chile's pension system is the cornerstone of social protection while there is room to provide better pensions and reduce informality	100
6.5. The health system has high coverage, but inequities in access and high out-of-pocket costs	107
6.6. Social assistance programs guard against poverty, but do not reach all of those in need	109
6.7. Improving protection against job loss	111
6.8. Achieving universal social protection can be done at an affordable cost	114
References	116
7 Filling in the gaps: expanding social protection in Colombia	118
7.1. Introduction	119
7.2. Social protection in Colombia is fragmented and coverage is low	120
7.3. High non-wage labour costs result in the exclusion of numerous workers from formal employment	124
7.4. Cash transfers help reduce poverty but suffer from low coverage and low benefits	127
7.5. Protection against job loss needs deep reform	131
7.6. Achieving universal pension coverage while fostering formality	133
7.7. Fostering formalisation without jeopardising universal health care coverage	136
7.8. These reforms can be done at reasonable fiscal costs	138
References	140
8 Reducing informality in Costa Rica: challenges and opportunities	143
8.1. Introduction	144
8.2. The Evolution of Poverty, Inequality, and Labour Market Structure	144
8.3. Costa Rica's social protection system	148
8.4. Improving the Social Protection System	154
8.5. Improving Social Protection Financing and Incentivising Formalisation	158
8.6. Final remarks and recommendations	164
References	165
9 Expanding social protection and reducing informality in Mexico	166
9.1. Introduction	167
9.2. Informality in the Mexican labour market	167
9.3. The current social protection system is fragmented	169
9.4. Reforming the health system	170
9.5. Financing options	171
9.6. The pension system	174
9.7. Cash transfer systems and other social programmes	175
9.8. Implementation challenges	176
References	177
10 Towards universal social protection in Peru: Challenges and possibilities	179
10.1. Introduction	180
10.2. Peru's social protection suffers from fragmentation, low coverage, and low funding	182
10.3. Non-wage labour costs incentivise informality	184
10.4. Access to the health system is low, highly unequal and its financing creates incentives for informality	186

10.5. The pension system has low coverage	188
10.6. Cash transfer programmes do not reach all in need	192
10.7. Boosting protection against job loss	195
10.8. Financing the reforms	196
References	198

FIGURES

Figure 1.1. Poverty declined during the 2000s but has increased more recently	12
Figure 1.2. Informality rates	13
Figure 1.3. Informality rates across the LAC Region	14
Figure 1.4. Informality by employment type	15
Figure 1.5. The faces of informality	16
Figure 1.6. Poverty rates by informality status	17
Figure 1.7. The cumulative discretionary fiscal response to Covid-19 has been substantial	18
Figure 1.8. Informality by firm size	19
Figure 3.1. Personal tax income threshold relative to the average wage in Latin America	44
Figure 4.1. Informal employment is high in international comparison	50
Figure 4.2. The incidence of informal work has increased recently	50
Figure 4.3. Older and younger workers are particularly at risk of informality	51
Figure 4.4. The incidence of informality increases with education	51
Figure 4.5. The incidence of informal employment varies across economic sectors	52
Figure 4.6. Formally registered firms also employ workers informally	53
Figure 4.7. A large share of informal workers has earnings below the poverty line	54
Figure 4.8. Informality is particularly prevalent in low income deciles	54
Figure 4.9. Poverty is more prevalent among informal workers	55
Figure 4.10. Students living in informal households are more likely to drop-out of school early	55
Figure 4.11. A small share of pension spending goes to the general national regime	56
Figure 4.12. Pension coverage and adequacy are high compared to peers	57
Figure 4.13. Social security contributions cover less than half of social spending	58
Figure 4.14. Conditional cash transfer programmes are well-targeted	60
Figure 4.15. Informal workers are half as likely as formal workers to benefit from social protection	61
Figure 4.16. Non-contributory social protection schemes are not always well-targeted	62
Figure 4.17. Public expenditure is high compared to other emerging economies	62
Figure 4.18. Argentina's labour tax wedge is close to the OECD average	63
Figure 4.19. A basic universal pension benefit should converge with the poverty line	65
Figure 4.20. Few formal workers pay personal income tax	66
Figure 4.21. Revenues from personal income taxes are low in international comparison	67
Figure 5.1. Informality has declined since the 1980s	72
Figure 5.2. Despite improvements since the 2019 reform, spending on pensions is still high	74
Figure 5.3. Social benefits tied to the value of the minimum wage are not well targeted	75
Figure 5.4. Pension coverage is negatively correlated with extreme poverty	76
Figure 5.5. Social spending is poorly targeted to low-income households	79
Figure 5.6. Brazil has a mid-range position in benefit coverage, but weak targeting to the poor	80
Figure 5.7. Social security contributions are high in international comparison	82
Figure 5.8. Public sector tax revenues and expenditures	87
Figure 5.9. Brazil's public sector wage bill is high in international comparison	89
Figure 6.1. Poverty and inequality decreased after a rebound during the COVID-19 pandemic	96
Figure 6.2. Unpaid family members, domestic workers and self-employed are most frequently informal	97
Figure 6.3. Female workers tend to be employed in informal jobs more frequently	97
Figure 6.4. Lower educated tend to be more informally employed	98
Figure 6.5. Public social expenditure is relatively low	99
Figure 6.6. Replacement rates improved with the introduction of the universal basic pension but remain below OECD average	103
Figure 6.7. Until the 2025 reform, mandatory pension contribution rates were relatively low	103
Figure 6.8. Effective contribution years are low leading to low self-financed pensions	104
Figure 6.9. Health coverage is high but there are disparities in the quality of services	108
Figure 6.10. Household out-of-pocket spending is amongst the highest in OECD countries	108

Figure 6.11. Cash transfers programmes leave many poor households without any support	110
Figure 6.12. Coverage of the unemployment insurance system has increased but remains limited	113
Figure 7.1. The social protection system in Colombia	122
Figure 7.2. Social spending is low	123
Figure 7.3. There is room to reduce non-wage labour costs	124
Figure 7.4. High social contributions leave many self-employed with no other choice than being informal	125
Figure 7.5. Informality has declined but remains high	125
Figure 7.6. Cash transfers programmes leave many poor households without any support	129
Figure 7.7. The pension system is characterised by low coverage and high inequality	135
Figure 7.8. The health coverage is almost universal but its financing generates incentives for informality	137
Figure 8.1. Costa Rica: Poverty and extreme poverty incidence rates, 1990-2024	144
Figure 8.2. Costa Rica: Poverty incidence by population group	145
Figure 8.3. Inequality measures in Costa Rica, 1990-2024	145
Figure 8.4. Unemployment and underemployment rates, Jan-2015 – Feb-2025	146
Figure 8.5. Unemployment rates by individual characteristic and period	147
Figure 8.6. Informal employment rates by characteristic, 2024-Q4	147
Figure 8.7. Distribution of social assistance benefits per socioeconomic group, 2021	153
Figure 8.8. Employers' payroll charges are high in international comparison	154
Figure 8.9. Marginal cost of providing universal coverage for children	155
Figure 8.10. Cost of universal coverage depending on benefit levels	155
Figure 8.11. Marginal cost of universalization of elderly persons under different benefits	157
Figure 8.12. Cost of covering unemployed persons with transfers	157
Figure 8.13. Effects of 1-point reduction of social security rates, by scheme and total	159
Figure 8.14. Wage distribution by type of worker and three minimum wage benchmark	160
Figure 8.15. Distribution of salaries and independent income, 2024	161
Figure 9.1. Structure of the Mexican employed population, by labour income decile	168
Figure 10.1. High labour informality in Peru driven by self-employment and unpaid work but prevalent across all occupations	181
Figure 10.2. The poorest households rely heavily on informal work in Peru	182
Figure 10.3. Informality has responded only weakly to economic growth	183
Figure 10.4. Social spending is low	183
Figure 10.5. Social security contributions are high, particularly for low-income workers	185
Figure 10.6. Access to health coverage is almost universal but unequal	187
Figure 10.7. Low-income workers rarely contribute, while high-income workers drive private pension affiliation	190
Figure 10.8. The pension system's generosity is low	191
Figure 10.9. Cash transfers programmes leave many poor households without any support	193
Figure 10.10. Cash transfers exceeded informal labour income for the most vulnerable due to large job losses during the Covid-19 pandemic, 2020	194
Figure 10.11. Tax revenues are low and the composition is tilted to indirect taxes	197

TABLES

Table 2.1. Pension coverage for those aged 65+ in Latin America, 2020-22	28
Table 2.2. Legal and Effective Coverage of Social Protection Systems	32
Table 4.1. Most the social contributions paid by formal workers reverts to the pension system	63
Table 5.1. Non-wage labour costs are high in Brazil	81
Table 6.1. Employment subsidies in Chile	100
Table 6.2. Projected replacement rates for low- and average-income male workers with full careers	106
Table 6.3. Replacement rate projections for low-income workers and women, without full careers	106
Table 6.4. The unemployment benefit system in Chile	113
Table 6.5. Illustrative long-term fiscal costs of achieving universal social protection	115
Table 7.1. Social spending is poorly targeted	123
Table 7.2. Non-wage labour costs in detail	127
Table 7.3. Main pre-COVID conditional cash transfer programmes in Colombia	128
Table 7.4. The Colombian pension system before the 2024 reform	134
Table 7.5. Illustrative fiscal costs of achieving universal social protection	138
Table 8.1. Main programs financed by FODESAF and level of spending, 2016, 2018, 2020 and 2024 (as % of GDP)	149
Table 8.2. Costa Rica: Social protection inventory of programs, per group	151

Table 8.3. Social Protection Coverage Rates, by group. 2024	152
Table 8.4. Payroll-based contributions in Costa Rica, by entity of destination	153
Table 8.5. Additional cost of universal strategies by benefit, poor children	156
Table 8.6. Effects of contributory rate reduction in labour informality	159
Table 8.7. Expected losses due to elimination of CBM (in million US\$ and GDP terms)	161
Table 8.8. Expected losses due to elimination of CBM (in million US\$ and GDP terms), alternative scenario	162
Table 8.9. Additional funding needed to achieve universal coverage, by group and strategy (% GDP)	163
Table 8.10. Potential fiscal space options to close financing gap	163
Table 9.1. Composition of employment in Mexico	167
Table 9.2. Percentage of subordinate workers with access to each specific benefit	169
Table 9.3. Possible tax changes and the associated increased in revenues	173
Table 9.4. New scale of employer contributions to the worker's pension fund	174
Table 10.1. Non-wage labour costs by firm size	185
Table 10.2. The parallel contributory pension systems in Peru	189

BOXES

Box 2.1. Literature on the possible causes of labour informality in Latin America	25
Box 2.2. The design of social protection systems in Latin America	26
Box 2.3. Funded defined-contribution pension systems in selected OECD countries	31
Box 2.4. The pros and cons of a Universal Basic Income	35
Box 2.5. Improving social registries	36
Box 5.1. Brazil's 2019 pension reform	73
Box 6.1. Employment subsidies have helped reduce informality among vulnerable groups	99
Box 6.2. An overview of the 2025 pension reform	100
Box 6.3. Chile's unemployment benefit system	112
Box 7.1. Recent government reforms of social protection	120
Box 7.2. The 2012 tax reform and non-wage labour costs	127
Box 10.1. Peru's Health system and its regimes	186

1 Introduction

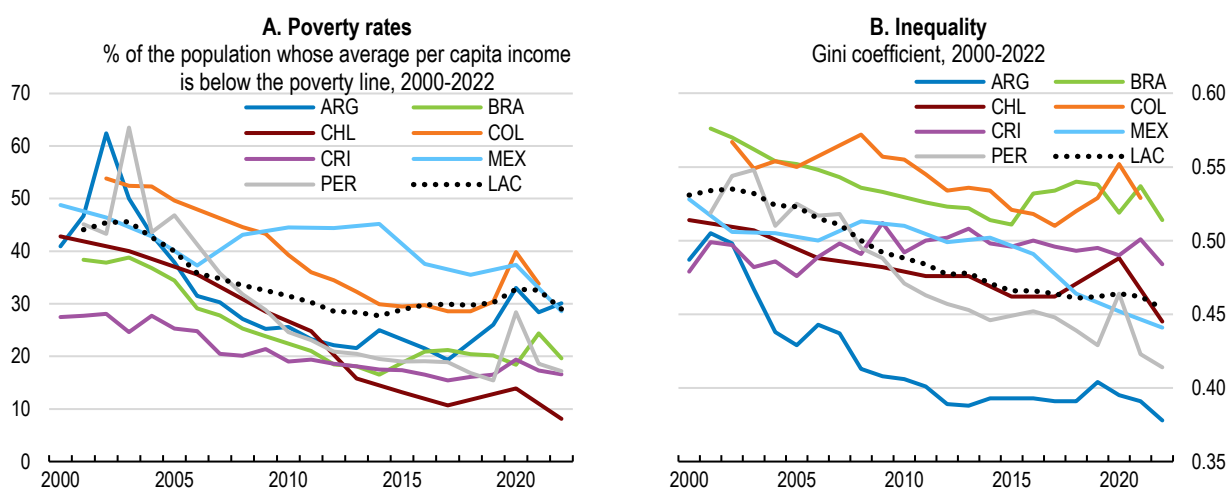
Jens Matthias Arnold, Aida Caldera and Elizabeth Friesen

Informality remains a defining feature of Latin America’s labour markets, with around half of workers employed outside formal arrangements. While rates have slowly declined in some countries, progress is uneven and fragile. The many faces of informality — from self-employed vendors to domestic workers and employees in small firms — highlight the diverse realities of those without contracts, secure incomes, or access to social protection. The COVID-19 pandemic was a wake-up call: it exposed the vulnerability of informal workers, who were among the hardest hit by job and income losses, and underscored the urgent need for more inclusive and resilient social protection systems.

1.1. Latin America an unequal region with high informality

Latin America has long been characterised by high rates of poverty and inequality, coupled with weak economic performance and widespread and persistent informality. Significant social progress was made during the decade of the 2000's in the context of strong economic growth supported by high commodity prices, with inequality and poverty declining in many countries across the region¹ (Figure 1.1) (Lustig, Lopez-Calva, and Ortiz-Juarez 2016; Meléndez 2021). Reaping the benefits of significant improvements in access to education, several countries in the region saw the emergence of a new middle class, and upward social mobility improved, albeit from low levels. Many of those unable to benefit from improvements in the labour market benefited from the establishment or expansion of non-contributory cash transfer programmes.

Figure 1.1. Poverty declined during the 2000s but has increased more recently



Note: LAC refers to a simple average of 18 Latin American countries. Data for Argentina refer to urban areas only. Data may differ from the data published by the statistical institutes in each country.

Source: Economic Commission for Latin America and the Caribbean (ECLAC), Based on data from Household Surveys Database (BADEHOG).

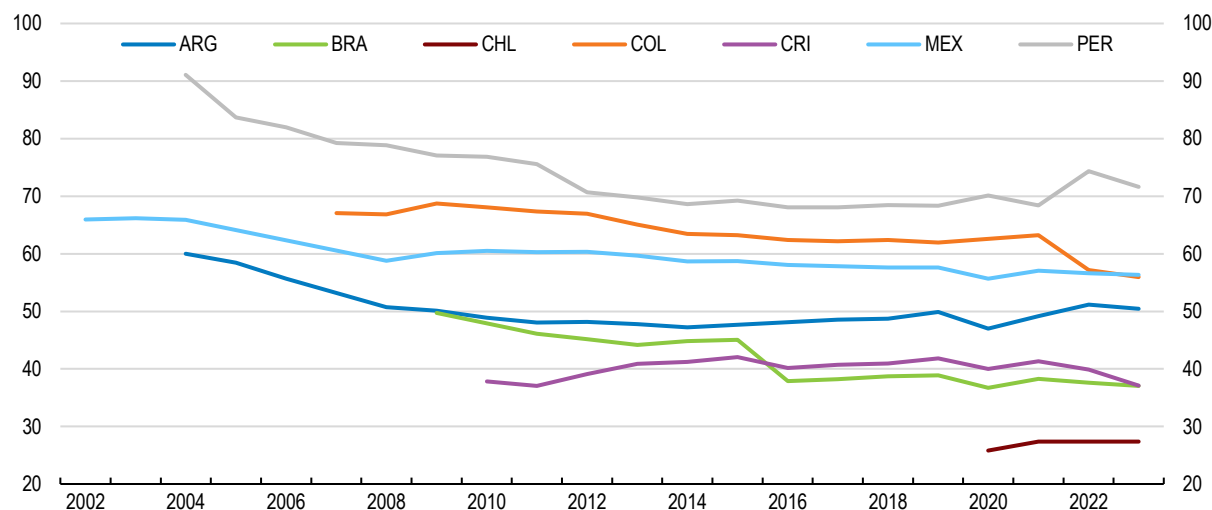
Labour informality, a long-standing feature of Latin American economies, showed similar improvements in most countries, while remaining at high levels in all of them (Figure 1.2 and Figure 1.3). Official definitions of informality vary across institutions, but the informal sector can generally be understood as workers and firms that operate on the margins of relevant laws and regulations. One salient feature is that informal firms and workers generally do not pay contributions to standard social security schemes such as old-age pensions, health or unemployment benefits, where those exist. Between 2003 and 2014, informality declined visibly, reflecting the results of the commodity boom, including better access to education, as well as some policies to promote the formalisation of salaried workers, own-account workers, and informal production units, including a single tax regime in Argentina and the Individual Microentrepreneur Law in Brazil (Castelao Caruana 2016; Corseuil, Neri, and Ulyssea 2014; Abramo 2022). Several countries, including Chile, Colombia, Mexico and Uruguay, also introduced subsidies or reductions in employers' social security contributions to encourage the formal hiring of targeted groups such as

¹ The notable exception is Costa Rica, which saw no change in the Gini coefficient according to ECLAC statistics and an increase of the Gini coefficient according to official national statistics. This trend was driven in large part by public sector wages (González Pandiella and Gabriel 2017) and an increase in the education premium due to increasing skill mismatches. Colombia also experienced a lesser decline in the Gini coefficient than that of other Latin American countries (Aristizábal-Ramírez, Canavire Bacarreza, and Jetter 2015).

young workers, women, and low-income earners. Evidence suggests that formalisation during this period was in large part responsible for a simultaneous reduction in income inequality (Amarante and Arim 2015).

Figure 1.2. Informality rates

% of total employment, 2002-2023



Note: Informal workers are defined as all persons who, during a given reference period, were employed in at least one informal sector enterprise, irrespective of their status in employment and whether it was their main or a secondary job. Given the different definitions of and measurement methodologies for informality there may be differences between the ILO data presented here and data published by national statistical institutes. Data for Argentina refer to urban areas only.

Source: ILO statistics.

These positive trends stagnated in the latter half of the 2010's, and some even reversed, as the commodity prices boom vanished and so did economic growth (Gasparini and Cruces 2021). Between 2010 and 2019, average GDP growth in largest seven Latin American economies (Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru) dropped from 6.7% to 1.0%. Since 2014, poverty rates in many countries in the region have been on the rise again, while the declining trend of income inequality came to a standstill. Informality also started to rise again marginally. Between 2015 and 2019, based on data for 16 countries, the regional informality rate rose from 49.9% to 51% (ILO, 2020^[1]). This rise in informality has been attributed to short-lived formalisation efforts by governments, in addition to fading economic momentum (Salazar-Xirinachs and Chacaltana 2018).

This renewed deterioration in social outcomes was the backdrop for the COVID-19 pandemic, which hit Latin America much harder than other regions of the world, and which starkly revealed structural weaknesses in the region's social policy frameworks. Around 15% of cases and 28% of Covid-related deaths occurred in Latin America, which accounts for just 8% of the world population (Schwalb et al. 2022). Economic damages were similarly severe, as the region experienced the worst economic contraction in its history. The pandemic exacerbated many pre-existing problems and inequalities, as incomes at the bottom of the distribution took a much larger hit than those further up. In the first year of the pandemic, poverty and extreme poverty rates jumped by two percentage points each, and regional inequality, measured by the Gini coefficient, increased for the first time since 2013 (CEPALSTAT, 2022). This is particularly concerning, given that even after the decline of the 2010's, inequality in the LAC region was still the highest in the world (Amarante, Galván, and Mancero 2016).

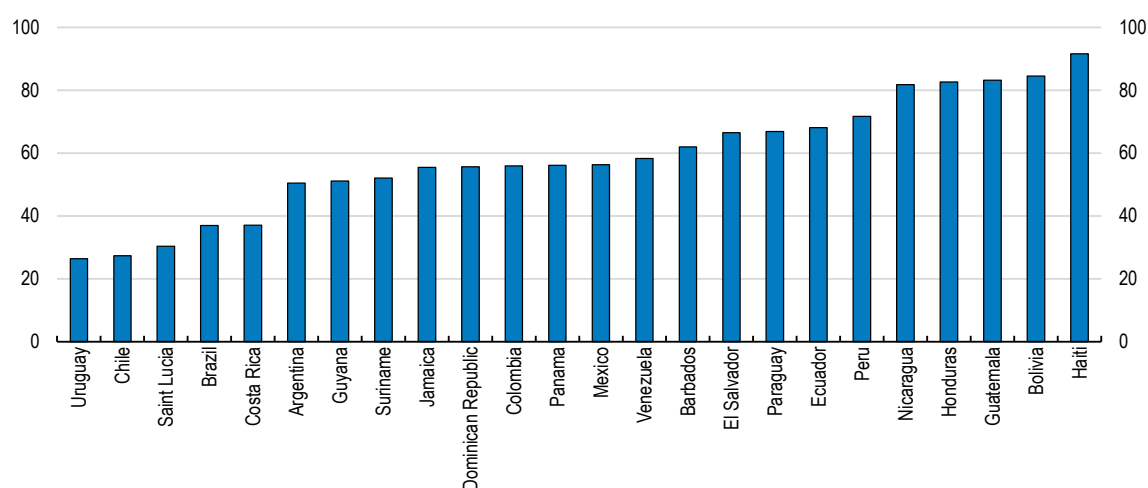
The pandemic triggered an unprecedented labour market crisis, characterised by sharp falls in employment and labour market participation, largely driven by structural weaknesses in the labour market, such as high informality. While in previous downturns, the informal sector was able to absorb those dismissed from formal jobs, this time informal employment contracted more than formal employment. Mobility restrictions imposed to contain the

spread of the pandemic put particular strains on contact-intensive informal activities in commerce, hospitality, and other service sectors (Bárcena et al. 2021). While the duration and enforcement of lockdowns differed across Latin America, the region saw some of the longest-lasting mobility restrictions in the world. Argentina, as an extreme example, implemented 119 days of strict nation-wide lock-down and 304 days of less restrictive lock-downs, making it the country with the longest-lasting mobility restrictions in the world (Sagripanti and Aquilano 2022). Extended school closures, lasting more than an entire academic year from March 2020 to September 2021 in most LAC countries, led to lower educational achievement and higher dropout rates (Gómez and Uzín P. 2022). In 2020, Costa Rica saw an estimated loss of half of an academic year of mathematics, corresponding to a 12-point drop in student Programme for International Student Assessment (PISA) scores (Vargas Cullell and Román Vega 2021) while Mexico reported increased dropout rates, losses in numeracy and reading, and increased gaps in fundamental learning by gender and socioeconomic status (“Encuesta para la Medición del Impacto COVID-19 en la Educación” 2021; Hevia et al. 2022). School closures also put severe strains on parents, especially women, and reinforced inequalities as disadvantaged households had lower access to digital learning possibilities.

Widespread informality also made it harder to protect workers’ livelihoods during the pandemic because informal workers typically lack access to social protection and employment benefits. When the pandemic hit, over 50% of income earners in the region were in the informal sector, with country-specific informality rates ranging from 25% in Uruguay to almost 80% in Honduras (“Women and Men in the Informal Economy: A Statistical Picture” 2018; Acevedo et al. 2021).

Figure 1.3. Informality rates across the LAC Region

% of total employment, 2023 or latest year



Note: Data for Argentina refer to urban areas only.

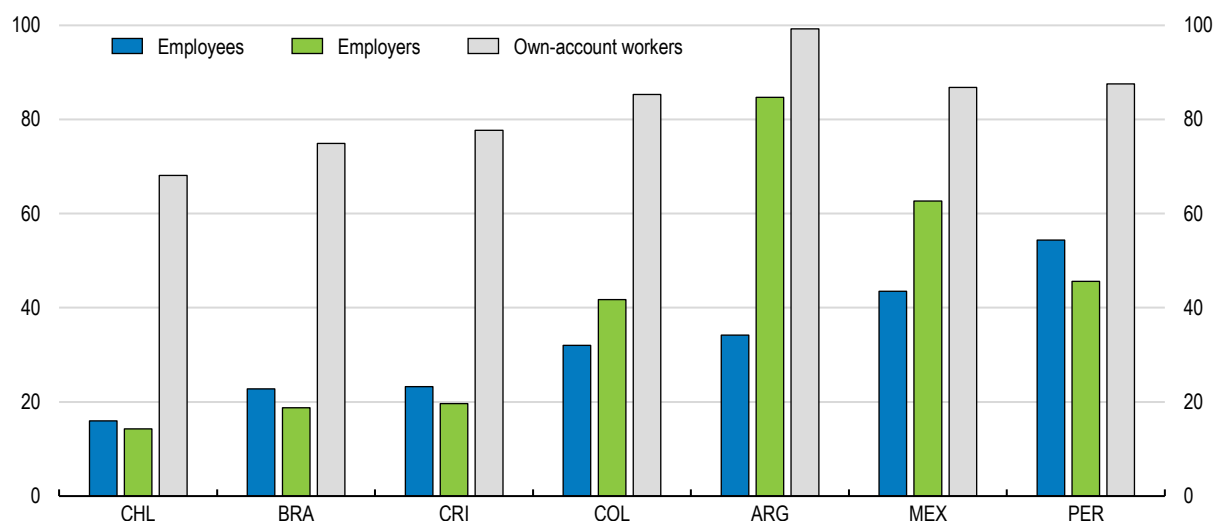
Source: ILO statistics.

1.1.1. The faces of informality

Informal workers include people engaged in a variety of different types of economic activities. Most are own-account workers, meaning they are self-employed or work in microenterprises such as family businesses (Figure 1.4). Informality does not necessarily implicate illegality, and vice versa. Depending on the legal regulations of a country, for example, a firm may be legal but informal if the country does not require small firms to contribute to social insurance programs for their workers (Levy and Cruces 2021).

Figure 1.4. Informality by employment type

% of employment, 2023

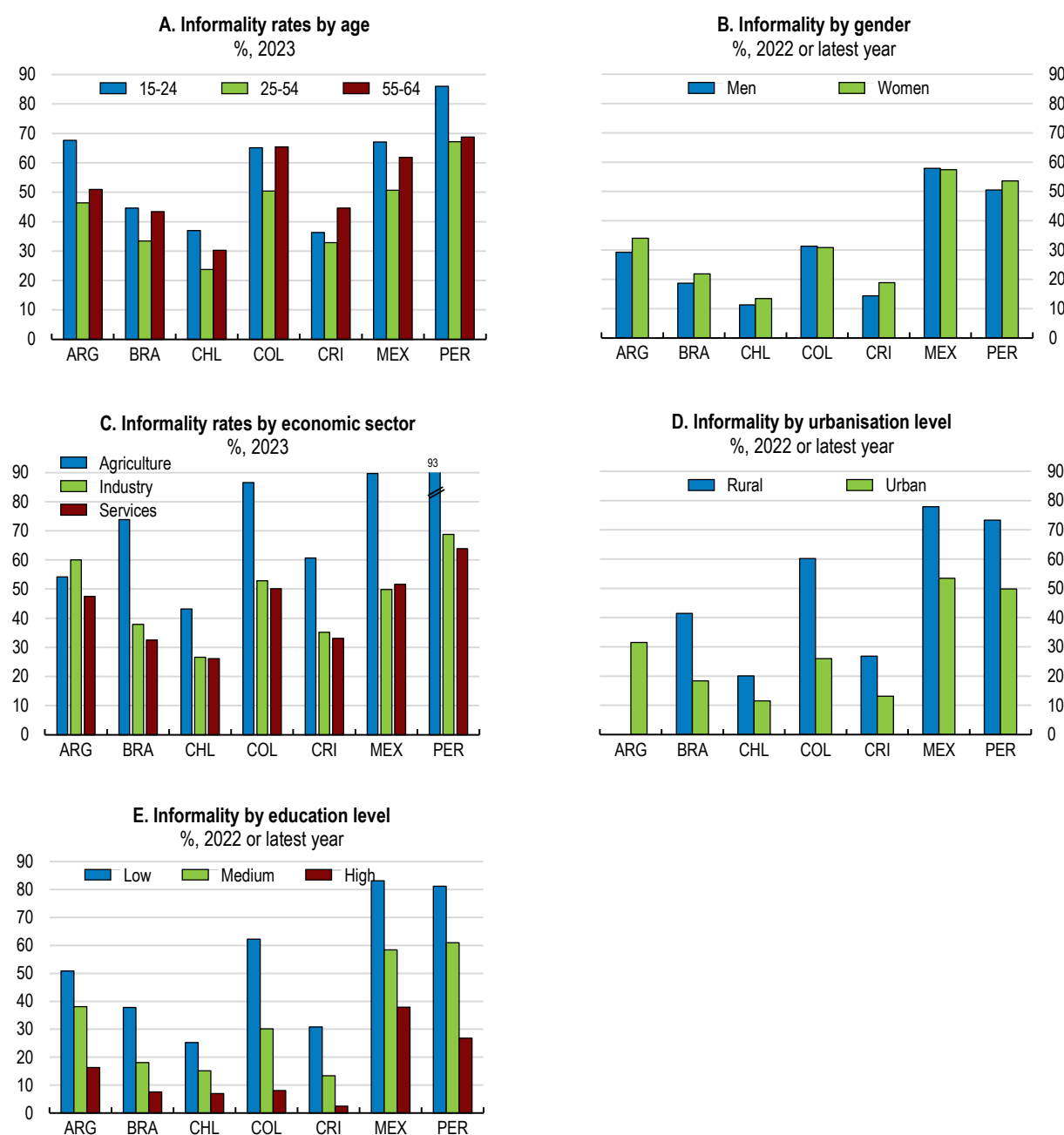


Note: Data on own account workers for Chile and Costa Rica include contributing family workers in subsistence farming. Data for Argentina refer to urban areas only.

Source: ILO statistics.

Informality impacts certain groups more than others (Figure 1.5). Rates of informal employment are higher among women than among men, although men make up the bulk of informal workers due to their higher overall representation in the labour market (Salazar-Xirinachs and Chacaltana 2018). Age is also a relevant factor, with the very young and the elderly experiencing the highest rates of informality. Education also plays a key role, the low educated tend to work more in the informal sector than the highly educated. Informality is also more prevalent in rural areas than in urban ones and in the agriculture sector, compared to the services and industry sectors.

Figure 1.5. The faces of informality



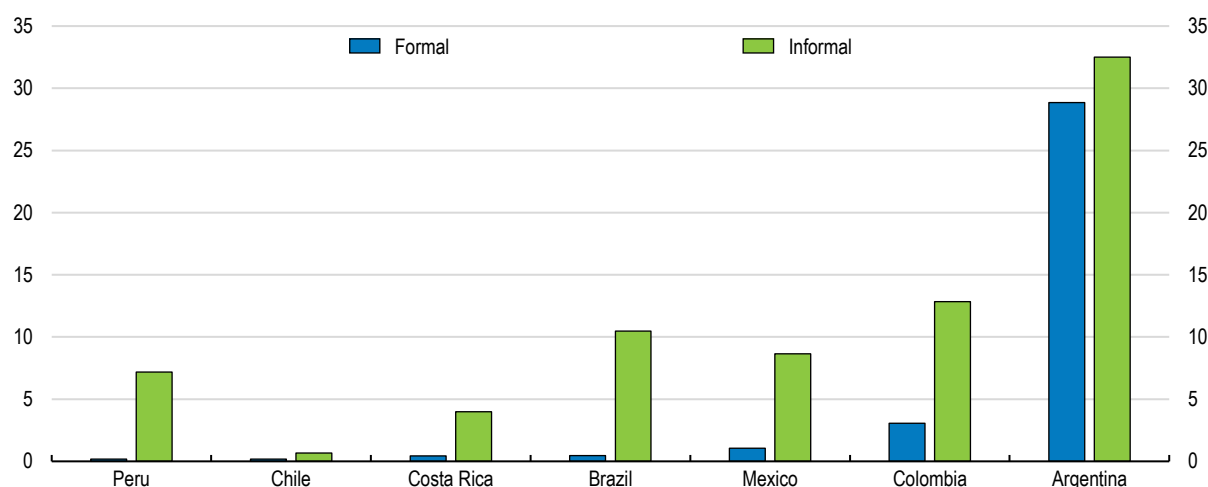
Note: Data for Argentina refer to urban areas only. In Panels A and C, informality follows the ILO definition. In Panels B, D, and E, a worker is considered informal if he/she does not have the right to a pension when retired.

Source: SEDLAS (CEDLAS and the World Bank) and ILO statistics.

Informality is generally correlated with negative socioeconomic and economic outcomes. While not all informal workers are poor, and poverty exists in the formal sector, a significant body of research shows that workers in the informal economy face a significantly higher risk of poverty than workers in the formal economy (Figure 1.6). Informal work is usually associated with lower wages, lower productivity, lower educational levels, and less social protection, as well as higher rates of inequality and mortality (Abramo 2022; Silva-Peñaherrera et al. 2021; Perry et al. 2007).

Figure 1.6. Poverty rates by informality status

% of workers living with less than the international poverty line by worker formality, 2021 or latest year



Note: Data for Argentina refer to urban areas only. Data for Chile is 2017.

Source: OECD Key indicators of informality.

1.2. The COVID-19 pandemic: a wakeup call

As COVID-19 distancing measures led to unprecedented declines in economic activity in 2020, millions of households living on informal labour incomes suddenly lost their livelihoods. Most contributory social protection regimes in Latin America, which constitute the bulk of overall social spending, are tied to formal employment, thus excluding informal workers (Levy and Cruces, 2021^[2]). Short-time work schemes or other social security elements of the policy response to Covid-19 were therefore inaccessible to informal workers. In response, many governments relied on existing non-contributory cash transfer programs and social registries to deliver aid, but these ad-hoc measures took time to scale up, update registries, and reach newly vulnerable groups. Policy support for both formal workers and the poor was made available quite swiftly when the pandemic hit in 2020. By the end of March 2020, just one month after the first case was detected in the region, seven of ten Latin American countries pledged additional cash assistance to vulnerable households as identified through existing cash transfer programs (Blofield, Giambruno, and Filgueira 2020). However, delivery faced delays and coverage gaps due to limited registry coverage and institutional constraints.

Weak social protection mechanisms in the region failed to prevent the deep social crisis caused by the pandemic. As countries imposed lockdowns, millions of families working in the informal economy experienced a dramatic drop in income, with no social protection to cushion the shock (OECD, 2020^[3]; OECD, 2021^[4]). Vulnerable households with informal labour incomes, in particular, had no social protection mechanism to fall on (Robles, Rubio, and Stampini 2015; Busso et al. 2020). Before the pandemic, many informal workers had moved above poverty thresholds and were no longer eligible for cash transfers, but without gaining access to the kind of social protection in place for formal employees. Beyond the grasp of income tax systems, and with no access to social benefits, many informal workers remain outside the radar of the state.

Reaching informal workers during the pandemic became a priority among Latin American governments, with many pledging additional cash assistance to the broad sector of informal households by the end of April 2020 (Blofield, Giambruno, and Filgueira 2020). Reaching informal workers, however, was a challenge requiring innovative ideas. Several governments established more inclusive “demand-driven” mechanisms for identifying those in need, which allowed people to self-identify and apply for assistance (Blofield, Giambruno, and Filgueira 2020). In Brazil, more than 50 million Brazilians used a smartphone application to apply for an emergency benefit established after the

outbreak. In Chile, the program *Ingreso Familiar de Emergencia (IFE)* was expanded to include a government-created website, through which individuals could apply to receive a cash transfer. In the case of the *Ingreso Solidario* programme in Colombia, applications were not even necessary. Recipients for the cash transfer were identified through existing registry databases, cross-referenced with existing beneficiary registries from the largest cash transfers programs and administrative records from other public entities, making it possible, for the first time, to identify and target low-income and vulnerable households not currently receiving benefits (Gallego et al. 2021).

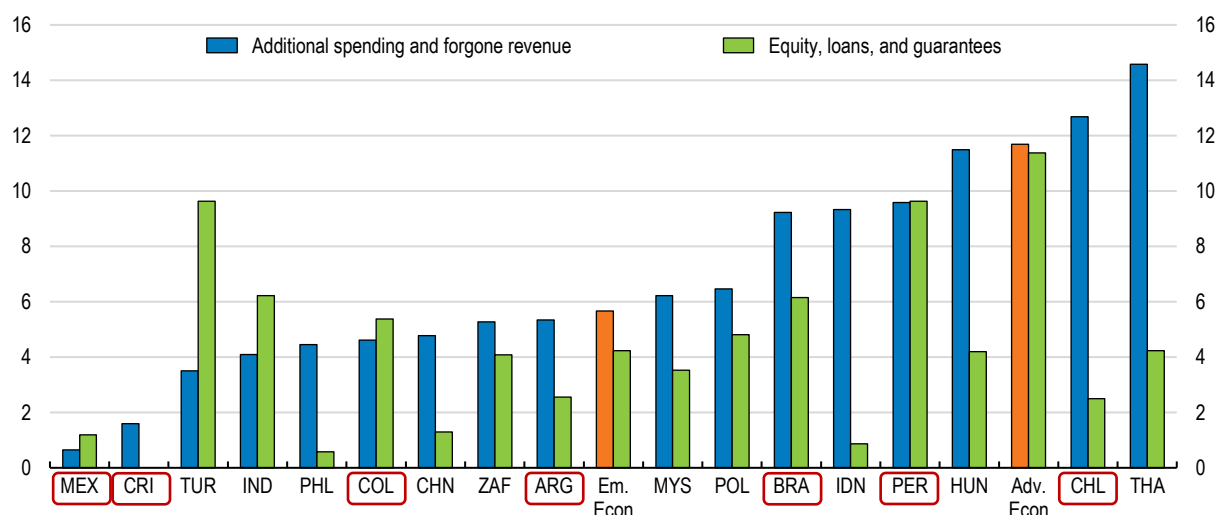
In addition, beneficiaries often lacked access to banking services, so governments had to respond creatively and ensure that beneficiaries could access their benefits by creating basic bank accounts. Like Brazil, Colombia was successful with digital payment channels, paying out benefits to 1.5 million households not previously covered by social benefits, and including free digital banking products. Chile supported more than two million vulnerable and informal households through different cash transfers, handing out debit cards to those without a bank account. Such programmes significantly mitigated income loss in low-income households (Busso et al. 2020; Lustig et al. 2020).

Despite lacking the effective targeting mechanisms of conditional cash transfers, the emergency assistance to households not previously covered appeared to be reasonably well-targeted in some countries, especially when considering their rapid rollout, as they provided proportionally more support to those who suffered most. In Brazil, for example, lockdowns lead to a higher projected increase in poverty for afrodescent and indigenous populations than for other populations, but because expanded social assistance was larger for households whose head was afro descendant or indigenous, those populations experienced no differential impact from the pandemic (Lustig et al. 2020).

At the same time, the policy response placed a significant burden on the fiscal accounts of many countries in the region, which were already lacking fiscal space or in some cases even experiencing mounting stress prior to the pandemic. Several Latin American countries enacted emergency spending more than 4% of GDP (Figure 1.7). This support significantly reduced the fiscal space that many of these countries have.

Figure 1.7. The cumulative discretionary fiscal response to Covid-19 has been substantial

Cumulative discretionary fiscal response, % of GDP



Note: Estimates as of September 27, 2021. Em. Econ. = simple average of emerging economies shown in chart. Adv. Econ. = simple average of AUS, BEL, CAN, CHE, CZE, DEU, DNK, ESP, FIN, FRA, GBR, ITA, JPN, KOR, NLD, NOR, NZL, SGP, SWE, USA.

Source: IMF Database of Country Fiscal Measures in Response to the COVID-19 Pandemic, available at <https://www.imf.org/en/Topics/imf-and-covid19/Fiscal-Policies-Database-in-Response-to-COVID-19>.

The COVID pandemic underscored the need to build more effective social protection mechanisms that include informal workers and entrepreneurs. Labour informality is so widespread in Latin America that tying social benefits

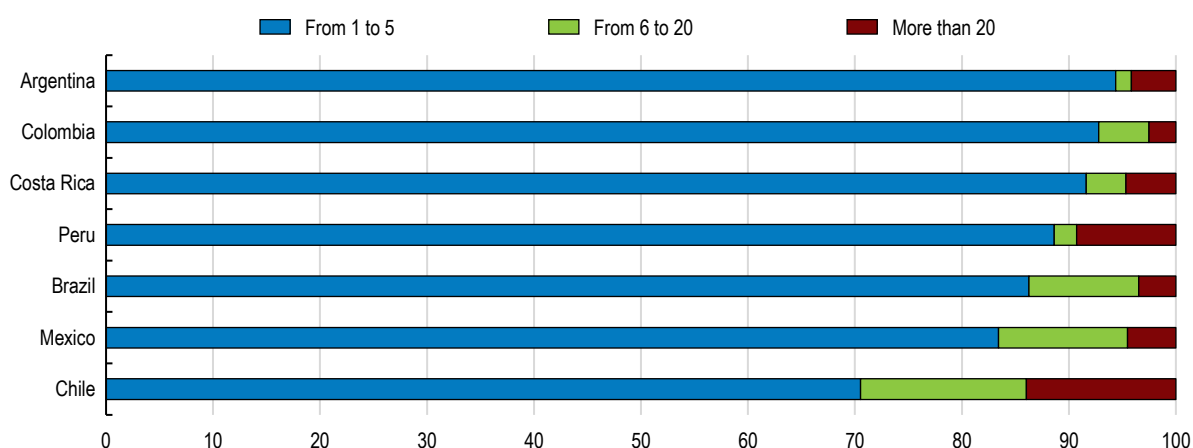
to formal labour market participation, which is the current guiding principle of social protection across Latin America, will inevitably leave behind too many of those in need. Non-contributory benefits as currently designed cannot fill this void, as the pandemic demonstrated vividly. In several countries, eligibility for conditional cash transfers is in principle universal, but in practice, enrolment processes are either too much top-down, leaving little scope for needy households to apply for help, or too slow to support people in the face of sudden income losses. An important first step would therefore be to make cash transfer programmes more agile, so that they can disburse quickly when people lose their livelihoods, following the examples of the UK's Universal Credit or Malaysia's BSH programme.

Beyond this, a strong case can be made for putting an end to the dichotomy between contributory and non-contributory basic benefits. This dualism is hard to justify from a moral or practical point of view. Basic health and pensions and protection against poverty and unsatisfied basic needs should be available to all and more universal social safety nets based on means-tested cash transfers could also help to reduce the widespread fragmentation of social programmes, and strengthen their effectiveness. In addition, the following chapter will argue that this dualism of social protection often creates incentives for firms and workers to remain informal, given that the substantial cost difference between formal and informal job creation is directly linked to social protection financing.

Besides its social consequences, widespread informal employment also implies that many firms remain entirely in the informal sector, which in turn has implications for productivity. Productivity levels of informal economic units, especially of small size, are a major concern in the region (OECD et al., 2023^[5]). Firms employing informal workers often stay small (Figure 1.8) as they try to fly below the radar of tax authorities to avoid not only taxes and the higher cost of formal labour, but also burdensome regulations that discourage formalisation (Ulyssea, 2020^[6]). These regulatory and cost pressures create strong incentives to operate informally and limit firm growth. The lack of access to credit for informal activities further diminishes their growth prospects. Informal firms typically underinvest into the skills of their workers, given that they are often on less stable contracts and suffer high job turnover, adding to the productivity penalty. Among low-skill informal wage employees, only between 44% and 53% remained in their employment status the following year, with most moving into informal self-employment, and less than 10% moving into formal salaried jobs (Maurizio and Monsalvo, 2021^[7]).

Figure 1.8. Informality by firm size

Distribution of informal workers by firm size, %



Note: Data for Argentina refer to urban areas only.

Source: OECD Key indicators of informality.

Informality also weighs on the productivity of the formal sector through unfair competition. Informal firms, which have lower operational costs due to non-compliance with costly regulations, can lower prices further than informal firms, “stealing” market shares from formal firms (Amin and Okou 2020). These lower prices dampen the

profitability of formal firms, reducing their incentive to scale and restricting access to funds for investment and innovation. In Latin America, an average of 55% of formal firms across seven countries compete.

Finally, informality also leads to lower tax collection, not just because many informal workers do not pay income taxes, but also because the prevalence of the informal sector hampers governments' ability to increase tax rates for formal workers, as doing so may incentivise workers to drop out of the formal sector to join the informal sector (Besley and Persson 2014). Informal activities use and congest public infrastructure without contributing the necessary tax revenues to fund it (Johnson, Kaufmann, and Schleifer 1997; Loayza 1996) and lower tax revenues weaken the government's fiscal capacity for well-targeted social protection programmes.

1.3. Organisation and main findings of this book

In synthesis, the current combination of insufficient social protection and high labour informality is not a satisfactory outcome. The pandemic has only demonstrated once again how much the current dual set-up stands in the way of better social and growth outcomes. In the remainder of this book, we discuss the interplay between poverty, social protection, labour informality and productivity and point to possible policy reforms that are both fiscally sustainable and capable of improving outcomes across all these three fronts.

Chapter 2 “Breaking the vicious circle: Better social protection for more workers” argues that among the many roots of labour informality, including low access to high-quality education and training and a weak institutional framework and enforcement, the design of the social protection system is a key factor, and one that may deserve more attention than it has received. Labour informality and social protection coverage may be interlinked, and high social contributions can be a key barrier to formal job creation in the region. It argues that reforming social protection systems to ensure some basic social protection coverage for all, regardless of whether people work in the formal or informal sector, while simultaneously reducing the cost of formal employment, has significant potential to reduce labour informality, raise productivity, and decrease poverty and inequality, all of which are long-standing challenges in the region. To do so, basic social protection would need to be financed by general tax revenues, rather than social security contributions. One necessary condition for successful implementation will be the capacity to raise additional tax revenues, improve the efficiency of public spending and reallocate expenditures from other areas, ongoing challenges in the region.

Chapter 3 “Policy options and implementation challenges” notes that the reforms advocated in this book would imply a significant re-design of social protection systems and finding the necessary political consensus will face challenges and opposition. The chapter elaborates on the possible challenges and identifies groups that might oppose the reforms, while discussing options to overcome the challenges.

The country-specific chapters covering Argentina, Brazil, Chile, Colombia, Costa Rica, Mexico and Peru discuss how reforming social protection systems to ensure some basic social protection coverage for all would work in each of these countries.

Three principal messages can be gleaned from the book:

First, the need to reform social protection systems across Latin America to make them more effective and fiscally sustainable has become more salient after the COVID pandemic.

Second, a basic set of social protection benefits available to all workers, whether they work in the formal or the informal sector, should and can be put in place, although it would require the ability to raise additional tax revenues and improve spending efficiency. Moreover, the incentives for formal job creation would be strengthened if its principal source of financing for such basic social protection were shifted towards general tax revenues, as opposed to social security contributions, which tend to increase the cost of formal job creation.

Third, reforming social protection systems will not be easy, but these reforms can provide the basis for both stronger and more inclusive growth in Latin America.

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2 Breaking the vicious circle: Better social protection for more workers

Jens Matthias Arnold, Aida Caldera, Paula Garda and Alberto González Pandiella

This chapter argues that among the many roots of labour informality, including low access to high-quality education and training and a weak institutional framework and enforcement, the design of the social protection system is a key factor, and one that may deserve more attention than it has received. Labour informality and social protection coverage may be interlinked, and high social contributions can be a key barrier to formal job creation in the region. Reforming social protection systems to ensure some basic social protection coverage for all, regardless of whether they work in the formal or informal sector, while simultaneously reducing the cost of formal employment, has significant potential to reduce labour informality, raise productivity, and decrease poverty and inequality, all of which are long-standing challenges in the region. To do so, basic social protection would need to be financed by general tax revenues, rather than social security contributions. One necessary condition for successful implementation would therefore be the capacity to raise additional tax revenues and improve spending efficiency.

2.1. Introduction

The need to build more effective, fiscally sustainable social protection mechanisms that include informal workers and entrepreneurs emerges as one of the main lessons from the COVID-19 crisis. As soon as the health crisis was over, however, many of the extraordinary, non-contributory cash transfers that were effective in reaching informal workers were gradually withdrawn or scaled back, returning to the original situation where only part of the population is covered by social protection. The pandemic was special in that it caused simultaneous job and income losses for millions of people. At the individual level, however, the same phenomenon happens every day to some households, even in the absence of a pandemic. Households will always be exposed to significant risks regarding their livelihoods, and they will need protection against severe shocks, even if not all at the same time.

Building stronger social protection for all could be achieved with a stronger focus on non-contributory social protection benefits. Labour informality is so widespread in Latin America that tying transfer benefits to formal labour market participation, which is the salient characteristic of most social protection benefits across Latin America, may risk leaving behind too many of those in need. At the same time, history has shown that countries will not simply grow their way out of informality, which can be part of a vicious circle (OECD, 2024^[1]). Even those LAC countries with a strong growth trajectory such as Peru or Panama, or those with higher per-capita incomes, such as Argentina and Uruguay, have significant levels of informality.

This is not to say that past efforts to reduce informality have not borne any fruits and to the extent that they have, they should be continued. But addressing informality in Latin America requires a comprehensive strategy that reflects its deep and multidimensional roots (Jessen and Kluve, 2021^[2]), (OECD, 2024^[1]; OECD, 2023^[3]). High regulatory and compliance burdens also deter formalisation, especially for small firms. Low productivity—driven by poor infrastructure, limited innovation, and restricted access to finance and technology—makes formal jobs unaffordable for many workers and firms. Skills gaps and limited access to quality education and training further limit worker productivity and constrain formal labour market participation. Institutional weaknesses—such as corruption, low trust in the judiciary, and limited state presence—also shape incentives to remain informal. Many firms and workers operate outside the system because they see little value in compliance or fear arbitrary enforcement. Addressing these structural bottlenecks is key but the fruits of these improvements will take time to materialise.

While better enforcement and stronger institutions are part of the solution, relying solely on enforcement does not look like a winning strategy given how endemic informality is in Latin America. Too much of a focus on enforcement before addressing other bottlenecks could also worsen unemployment and poverty, as shutting down undeclared activities is not the same as formalising them.

There is now a strong case for stepping up efforts to fight informality substantially, and this is where broader social protection reforms may come into play, given how strongly the design of social protection can affect incentives for formal job creation. Redesigning social protection in a way that takes full account of the incentives generated by social contributions has the potential for much more visible progress in formalisation, given that these contributions are a core element of the price differential between creating a formal job and an informal job. These reforms can deliver more immediate gains compared to productivity or education policies, which, though vital, take longer to yield results. When embedded in a broader strategy that tackles structural drivers, social protection reform can disrupt the vicious cycle of informality, improve living standards, and support more inclusive growth.

2.2. The link between social protection and informal employment

Informality can be related to multiple factors, such as a lack of access to quality education and training, low levels of investment, costly regulations to formalise and grow firms, but also weak enforcement and monitoring of both labour laws and tax policy (Jessen and Kluve, 2021^[2]), (OECD et al., 2023^[4]) (Box 2.1). Beyond these, another potentially relevant factor that has received relatively less attention in policy discussions, and the one that this chapter attempts to highlight, is the significant cost difference between creating formal and informal jobs (Box 2.1) (OECD/IDB/CIAT, 2016^[5]).

Given the low levels of labour productivity in the region, one of the main impediments to formal job creation could be the relatively high mandatory social contributions and other payroll taxes that finance formal sector social protection and that reduce incentives for firms to hire workers formally, especially for self-employed and low-income workers (IMF, 2021^[6]; Meléndez, Alvarado and Pantoja, 2021^[7]; Levy and Cruces, 2021^[8]; Loayza, 2018^[9]; Jara et al., 2022^[10]). As an illustration, in Latin America, on average, minimum wages plus contributions for pensions, health insurance and unemployment insurance amount to 36% of GDP per worker, compared to 22% of GDP per worker in OECD countries (Ripani et al., 2023^[11]). Because regulations are imperfectly enforced, firms can effectively evade the costs of social insurance and hire salaried workers informally, and they regularly do. These costs are especially prohibitive for micro and small enterprises with low productivity—which make up the vast majority of firms in the region—pushing many to operate informally. Moreover, many self-employed workers are either not legally required to contribute or do not do so in practice, further undermining social protection coverage and financing.

Empirical evidence suggests that reducing the cost of formality through lower or subsidised social contributions can increase formal employment. In Colombia, the 2012 tax reform eliminated health contributions for workers earning up to 10 times the minimum wage. This measure led to a significant rise in formal employment, especially among small and medium-sized enterprises (Kugler et al., 2017^[12]; Morales and Medina, 2017^[13]; Fernández and Villar, 2017^[14]; Bernal et al., 2017^[15]). Targeted subsidies or progressive contribution schedules can significantly increase formal hiring among low-wage groups (Ulyseas et al., 2025^[16]). In Chile, wage subsidies and reductions in social security contributions for low-income formal workers have shown positive effects on formalisation (Henoch and Troncoso, 2013^[17]; Bravo and Rau, 2013^[18]; Centro de Microdatos, 2012^[19]; SENSE, n.d.^[20]). In Turkey, the government introduced substantial social security contribution subsidies for new formal hires, which also contributed to higher formal job creation, especially among youth and women (Aşık et al., 2022^[21]). This highlights how reduced social contributions can help lower informality by making formal employment more viable for firms and workers. OECD schemes often provide lower contributions for low earners.

Box 2.1. Literature on the possible causes of labour informality in Latin America

A significant amount of attention has been given in the literature to the question of why informality persists in Latin America, and in developing economies more widely (La Porta and Shleifer, 2014^[22]; Perry et al., 2007^[23]). There are three main theories, although given the complexity of informality, this is not meant to be an exhaustive list of potential explanations.

The first is that the cost of formalisation is too high relative to the levels of productivity of both firms and workers, leading firms and workers to choose to operate informally (Meléndez, Alvarado and Pantoja, 2021^[7]). The cost of formalisation for firms includes adhering to relevant policies, such as minimum wage regulations and mandatory pension contributions. The cost of formalisation for individual workers includes mandatory contributions to social protection schemes, and for both firms and the self-employed, administrative burdens, fees and taxes, business regulations, and administrative requirements such as book-keeping.

A second theory explains informality as a survival strategy. In this view, informality is not seen as a choice over what type of work, formal or informal, but a choice between working and being unemployed (Acevedo et al., 2021^[24]). The data suggests that this theory is particularly true for informal employees, who express a preference to work as formal salaried employees or to be self-employed, but do not have access to such jobs (ILO, 2018^[25]). The lack of access to formal jobs may be due to a lack of employment opportunities in formal firms or a lack of the educational level necessary for a formal job. Indeed, transitions from the informal to the formal sector are most pronounced for higher-skill, higher-educated informal wage employees, only about one third of whom maintain their work status from year to year, and most of whom move into the formal sector (Ulyseas, 2020^[26]). Transitions from the formal to the informal sector are more pronounced among young people, women, and low-skill workers, who make up most of the informal workforce, and who, at any one time, face a higher probability of transitioning to informal employment than other populations. This theory, however,

is fully compatible with the first explanation based on the cost of formalisation. Workers who do not manage to get a foothold in the formal sector may simply have a productivity level below the cost of formal employment, for example due to their education level, or firms that use an informal workforce may not be able to achieve the productivity level necessary to bear the cost of formality.

The third theory posits that informal workers and firms may be able to formalise but choose not to because the costs outweigh the benefits of formalisation. In other words, workers and firms may be productive enough to survive in the formal sector but choose not to, to benefit from a cost advantage over formal firms or to benefit from non-contributory social protection policies which may be better than social protection received through formal work. There is some evidence to support this theory in specific circumstances. The Universal Child Allowance program in Argentina, for example, was found to strongly disincentivise the labour market formalisation of beneficiaries (Garganta and Gasparini, 2015^[27]). The possibility of voluntary informality points to the importance of designing strong incentives for moving into the formal sector, for example by ensuring that the additional cost of going formal is lower than the additional benefits of doing so.

Limited regulatory capacity and weak governance encourage informality. Trade liberalisation in countries like Peru led formal firms to hire more informal workers to cut costs, offsetting reductions in the size of informal firms (Cisneros-Acevedo, 2021^[28]). Women and younger workers are disproportionately affected due to barriers like caregiving responsibilities, social norms, and restricted labour market access—leading many to the informal sector. Rapid urbanisation outpaced formal job creation, exacerbating informal employment in cities (Ulyseas et al., 2025^[16]).

In summary, many structural factors play a role in shaping labour informality, including people's educational level and opportunities, tax and business regulations, and labour market regulations, including social security contributions, hiring and firing costs or minimum wage policies. Transportation and housing policies may also play a role in the cost-benefit analysis of workers and firms when deciding whether to participate in the informal or the formal sector.

The design of social protection (Box 2.2) in the region has led to an outcome that may be problematic from several perspectives. First, the lack of a formal work contract precludes many poor and vulnerable households from social protection instruments whose eligibility depends on having a formal job. As an example, even in countries with lower rates of labour informality such as Uruguay or Chile, the percentage of workers in the lowest income quintile who pay pension contributions is less than 50%. Second, the relatively high social security contributions that finance contributory social protection may actually exclude many workers from the formal labour market because of the substantial cost difference between formal and informal jobs.

Box 2.2. The design of social protection systems in Latin America

Social protection systems across the LAC region are complex, spanning multiple objectives and are generally fragmented into two parallel systems: contributory benefits, and non-contributory benefits. Many countries add to this labour market regulations such as mandatory severance payments to laid-off workers and minimum wage rules, which are typically binding only for formal-sector workers (Machinea and Uthoff, 2007^[29]).

Contributory social protection systems vary from country to country but share some common features typically including contributory pension schemes such as old-age, disability, and survivor's pensions, as well as health and unemployment insurance, and maternity or sick leave. They are financed social security contributions from employers and/or employees. Rates of employer and employee contributions vary significantly across the region, with the highest rates of employee contributions in Chile at 20.6% in 2018, and of employer contributions in Argentina, at 30% (Leyva and Urrutia, 2020^[30]).

Non-contributory social protection, by contrast, is generally not financed from individual contributions, but from general tax revenues. Starting in the 1990's, Latin American economies began investing in and expanding the coverage of non-contributory social protection, including the expansion of health coverage, non-contributory pensions and conditional cash transfers. While the benefit levels and the coverage of the target population often remain low in most countries, non-contributory social protection benefits have further reduced the incentives for seeking formal employment, by reducing the gap between the benefits available to formal and informal workers. For example, evidence from Colombia suggests that the introduction of non-contributory healthcare benefits for informal workers that are almost equal to those of the contributory healthcare scheme was followed by increases in informality (Camacho, Conover and Hoyos, 2014^[31]).

Health systems in Latin America and the Caribbean (LAC) are typically organised as segmented systems, combining contributory and non-contributory schemes. Historically, access to healthcare in LAC was primarily tied to formal employment. From the 1990s, several countries expanded tax-financed schemes to achieve universal health coverage. For instance, Mexico's and Colombia's subsidised health regimes significantly increased coverage for informal workers. Chile restructured its public health insurance (FONASA) to subsidise healthcare for informal workers and the poor. Peru expanded its SIS (Seguro Integral de Salud) for the poor and informal sector. By the 2010s, most LAC countries had at least partially separated coverage from labour status. Contributory systems are financed by payroll taxes and serve formal workers, while non-contributory systems—tax-funded or subsidised—cover informal workers and the poor. This dual structure has increased coverage but creates horizontal inequities and perverse incentives, as informal workers may access similar services without contributing, reducing incentives for formalisation.

Reforming social protection systems may have the potential to help reducing informal employment in Latin America, as part of a comprehensive package of reforms that should include better enforcement, simpler labour regulations, and more investment in human capital. LAC countries differ substantially in their level of development and the social protection systems so the reforms to be implemented will vary from country to country. But to overcome the main weaknesses of the current setup a better social protection system could pay closer attention to two basic ideas:

1. A basic set of social protection benefits should be made available to all workers, making no distinction between formal and informal workers. The basic set would cover basic needs, such as a minimum pension and/or access to basic health services.
2. The financing of basic social protection should minimise disincentives to formal job creation, particularly in the lower income ranges predominantly affected by informality. One way to minimise such disincentives would be to reduce social security contributions in the lower income ranges, for example around the entry-level wage in the formal sector. Such a reform would, of course, only be possible if countries can rely more on general tax revenues for financing basic social protection. More comprehensive benefit packages could be available for those willing and able to pay additional contributions.

These basic ideas can be easily translated to the health system. In many LAC countries, health coverage is still tied to employment status, with contributory schemes for formal workers coexisting alongside non-contributory or subsidised programmes for informal or low-income populations. This fragmented setup has often created incentives to remain informal, especially when subsidised regimes offer access to services at no cost and with fewer conditions. To address this, reforms should focus on integrating the contributory and non-contributory systems, shifting towards more progressive and tax-based financing. First, ensuring access to a basic package of health services for all individuals—regardless of their formal or informal employment status—would align with the principle of universal protection and reduce inequality in health outcomes. Second, financing this basic coverage through general taxation, rather than employment-based contributions, would minimise disincentives to formalisation, particularly among low-income workers. For those able and willing to pay more, contributory mechanisms could provide access to more comprehensive services. Delinking health coverage from labour market status would reduce segmentation, increase access, and support a more inclusive and financially sustainable system.

2.3. A proposal for a re-design of pension systems to fight old-age poverty and reduce informality

Looking ahead, pension systems will become increasingly relevant in the context of population ageing. In 2022, the Latin American and Caribbean region was home to 88.6 million people over the age of 60, representing 13.4% of the total population. This figure will reach 16.5% in 2030 (CEPAL, 2022). Life expectancy for both sexes has also risen, from 48.6 years in 1950 to 75.1 years in 2019. The increase in the proportion of older people and the lengthening of the life cycle present opportunities but will also place demands on pension systems in the region.

Old-age pensions are meant to provide a regular income stream to those who are no longer in working age. Pension systems serve essentially two purposes: to prevent old-age poverty, and to allow some degree of consumption smoothing, allowing the elderly to maintain similar material living standards before and after they retire. Old-age pensions are a driving factor behind differences in the incidence of old-age poverty in Latin America (Gasparini et al., 2010^[32]). Where pension coverage is extensive, such as Argentina, Brazil, and Chile, old-age poverty rates are often lower than poverty rates for the general population, while the opposite is true in Colombia and Mexico. Extreme poverty in old-age was around 1% in Brazil and Chile and 16% in Colombia (SIMS, 2021).

While some countries in the region have achieved almost universal pension coverage among the elderly, pension coverage remains low in many others despite several efforts to increase coverage over the last decade (Table 2.1). In Latin America, only 6 out of 10 elderly adults aged 65 and above had a contributory and/or a non-contributory pension in 2019. Focusing only on contributory pensions, the average coverage was only 38%, ranging from around 21% in Peru to 87% in Chile (ILO, 2020^[33]). Coverage tends to be lower for women, rural workers, workers in small firms, and workers with low incomes and levels of education. This difference is largely driven by the high levels of informality among those groups. Despite progress in female labour force participation in recent years, the percentage of women who have access to a contributory pension (36%) is considerably lower than that of men (44%) in Latin America. While Costa Rica, Peru and Mexico are among the countries with the largest coverage gaps between women and men, with differences in the range of 15-25 percentage points, other countries such as Argentina, Uruguay and Chile have smaller gaps or even better coverage for women. In addition to the coverage gaps, there are also differences in the levels of pension benefits. Despite considerable progress in recent years, effective replacement rates of women tended to be around 20 percentage points lower over 2016-2020.

Table 2.1. Pension coverage for those aged 65+ in Latin America, 2020-22

Share of population aged 65+:	Covered by contributory pension	Covered by any pension
Argentina	79.0	79.0
Brazil	81.3	86.3
Chile	87.3	87.3
Colombia	27.7	56.8
Costa Rica	50.6	69.0
Mexico	32.2	72.3
Peru	21.4	45.0

Note: Data refer to 2022 for Argentina, Brazil, Costa Rica and Peru, 2021 for Colombia, 2020 for Chile and Mexico.

Sources: IDB SIMS database, available at <https://www.iadb.org/en/sector/social-investment/sims/sims-institutions>.

Recognising the generally insufficient pension coverage by contributory schemes, many countries in the region have introduced non-contributory pension schemes over the last two decades (de la Torre and Rudolph, 2018^[34]). More than a dozen Latin American countries now have some form of non-contributory pension, including Mexico, Colombia, Peru, Chile, Costa Rica, Brazil, and Argentina. Many of these are limited to old-age pensions, but some countries like Brazil and Mexico also provide non-contributory disability pensions. Still, usually these non-

contributory pensions are not integrated into the pension system and are part of social assistance policies. Their benefit levels range from a fraction of the extreme poverty line in Colombia to a full minimum wage in Brazil.

Countries have followed different strategies. One strategy has been to provide universal access to non-contributory pensions, regardless of whether someone also benefits from a contributory pension, as in Chile, Bolivia, Mexico and Trinidad and Tobago. A second strategy has been to expand the contributory system towards those who were not part of it, such as certain self-employed or domestic workers, by making it mandatory to contribute to the system. This choice was more common in countries that had stronger contributory pension systems and higher rates of contributory pension coverage to start with, like Argentina, Brazil, Chile, Panama, and Uruguay (Rofman, Apella and Vezza, 2015^[35]). A third strategy has been to target older adults who are living in poverty with separate non-contributory programmes, with selection based on some means proxy test. This has often happened in countries with higher informality and lower rates of contributory pension coverage, including Colombia, Costa Rica, Ecuador, El Salvador, Panama, Paraguay, and Peru (Rofman, Apella and Vezza, 2015^[35]).

Recent reforms across several Latin American countries – such as Chile, Colombia, Peru and Uruguay, reflect a clear shift toward more inclusive, redistributive, and financially sustainable pension systems, aiming to expand coverage while improving adequacy and long-term viability. Chile introduced a basic universal pension benefit, *Pensión Garantizada Universal* (PGU), to replace the previous non-contributory tier with a more generous and universal benefit. In January 2025, a major reform to its pension system increased employer contribution rates gradually, to fund a mix of individual accounts, a new social insurance pillar to improve redistribution and gender equity, and transitional solidarity benefits. Colombia adopted a new multi-tiered system in 2024, which includes a contributory public pillar for earnings up to 2.3 times the minimum wage, a complementary private savings pillar for higher earners, and a non-contributory benefit to ensure a minimum pension for low-income workers. The reform also includes credits for women related to childcare to reduce gender gaps in pension entitlements. Peru passed a pension reform in 2024 that restructures the system into four pillars—contributory, semi-contributory, non-contributory, and voluntary—seeks to expand coverage among informal workers, and increase minimum pensions. Uruguay approved a structural reform in 2023, raising the retirement age and standardizing rules across regimes to strengthen long-term sustainability while preserving broad coverage. However, in most cases, the reforms have not yet addressed the underlying incentives that sustain high informality, leaving a core challenge to coverage and financing unresolved.

2.3.1. The way forward: A multi pillar pension system

A pension system with at least two, possibly three, complementary and well-integrated pillars would be able to achieve universal coverage while delivering adequate pension benefit levels and minimising disincentives for formal job creation:

A first non-contributory basic pillar: Preventing old-age poverty could be achieved through a universal basic pension benefiting the entire elderly population, aiming at a full coverage of those aged 65+, regardless of individual work histories in the formal and informal sectors. This basic benefit could be largely financed through general taxation, so that it would not raise the cost of formal job creation during working lives. For those earning close to the formal-sector entry wage, typically the full-time minimum wage in countries with minimum wage regulations, this would be the only mandatory pension system covering them. As a result, contributions could be very low, potentially starting near zero, given that the main focus in this income range is to avoid disincentives for formal work. One way to lower fiscal costs would be to exclude very high-income individuals from receiving the non-contributory pension, as for example in Chile (OECD/IDB/The World Bank, 2014^[36]).

Determining the generosity of the basic pension should consider several factors. In principle, given that the overarching aim of the basic pillar would be to fight old-age poverty, the minimum benefit could be at the level of a well-defined poverty line. In practice, a country's fiscal space and the scope for raising additional tax revenues, rationalising, or reprioritising expenditures are key factors to take into consideration when defining the level of this minimum pension benefit.

As finding the necessary resources may be a gradual process, the basic pension could in some cases start initially at a low level, such as the extreme poverty line that some countries in the region define as the income required to buy the necessary food for survival. In some countries, such a minimum benefit would already be an important step forward. For example, Colombia's non-contributory pension cash transfer, *Colombia Mayor*, currently pays out benefits that amount to only a fraction of the extreme poverty line. But there could also be good political arguments for going beyond the poverty line if it is considered that living with an income at the level of the poverty line is inappropriate for the elderly, most of which will have worked their entire lives. A basic universal non-contributory pension benefit set at the level of the poverty line could often be sufficient not only to protect these workers from old-age poverty, but also to provide a sufficient replacement rate and ensure an adequate degree of consumption smoothing, given the distance between the poverty line and the minimum wage in many countries in the region.

Such a universal basic pension would also help to close gender gaps in social protection coverage (Tuesta and Bhardwaj, 2023^[37]). As women typically have a lower rate of labour force participation in Latin America, they are also less likely to access contributory pensions.

A second, contributory pillar would complement the basic pension, to achieve pension benefit levels that not only prevent old-age poverty, but are also a decent replacement for working-age incomes. The contributory and non-contributory pillars should be seamlessly integrated within the pension system to achieve the desired replacement rates for everyone in an effective way, so that the combined benefit delivers an adequate replacement rate across the income distribution. For reference, the average gross replacement rate in OECD countries is around 50–60% of pre-retirement earnings (OECD, *Pensions at a Glance*, 2023).

To improve both equity and incentives for formalisation, contribution rates should follow a progressive contribution schedule, similar to personal income tax systems. This would mean lower, or even zero ideally, contributions for low-income workers, particularly those earning below the minimum wage. For higher-income earners, contributions could rise gradually with wages, avoiding discontinuities that could create incentives for reporting a lower than actual income. The schedule of contributions could be guided by the following considerations: If contributions become too high too early, this may create incentives against formal job creation. If the contributions only start rising at high wage levels, the resulting replacement rates will be low and hence provide too little consumption smoothing.

The contributory pillar could be organised in different ways. First, as a pay-as-you-go system where current contributions finance the benefits of current pensioners. Second, as a funded scheme, where individual contributions are channelled to individual accounts to finance future pension benefits for the contributor. Third, as notional accounts where the system tracks contributions and applies a formula to determine the pension entitlement based on the worker's career earnings and the notional account balance. Regardless of the structure, the system should ensure that the combined pension from all pillars delivers a predictable and adequate retirement income.

The contributory pillar could in principle be administered by either private or by public entities. OECD countries have taken different avenues with success (Box 2.3), and there is no single set-up that would be inherently preferable to others.

A third pillar of voluntary individual savings could complement the basic and contributory pillar. In OECD countries, voluntary savings improve on average replacement rates by 25 percentage points for the mid-income worker (OECD, 2023^[38]). In ten OECD countries, private voluntary schemes cover more than 40% of the economically active population and occupational pension plans are playing an important role providing coverage and adequacy for retirement. Automatic enrolment to these types of schemes has been effective in increasing the take-up in countries such as the United States, United Kingdom, New Zealand and Turkey.

A key aspect for the feasibility of this multi-pillar proposal is how to finance it. Most countries in the region will need to carry out tax and spending reforms to ensure its fiscal sustainability in the short and long run and should be confident that they can achieve this before considering this proposal. Reforms should only proceed as financing to the extent that adequate financing sources can be identified. Financially unsustainable pension systems have

substantial negative consequences both for future pensioners, who fear for their pension, and for fiscal accounts, as countries may face higher borrowing costs to the extent that concerns about fiscal sustainability grow among investors.

The resources dedicated to the universal pension could be seen as an investment. As this spending reduces the cost of formal employment, especially for low-income workers, it could boost formality, productivity and potentially even future tax collection.

Box 2.3. Funded defined-contribution pension systems in selected OECD countries

OECD countries have different arrangements in the management of funded defined-contribution schemes with private and/or public institutions involved. There is not one single model for success in their design. Some examples taken from recent OECD Economic Surveys include the following countries:

Australia

The Australian pension system has three components: a means-tested non-contributory component (“Age Pension”) that reaches 75% of the elderly; a superannuation guarantee with a compulsory employer contribution to private superannuation savings; and a voluntary superannuation contributions and other private savings (OECD, 2020^[39]). The Age Pension is designed to provide a safety net for those unable to save enough through their working life and to supplement the retirement savings of others. The Superannuation system, a defined contribution scheme, is not subject to financial sustainability issues and as the system reaches full maturity, fewer individuals will be reliant on the Age Pension safety-net.

Denmark

The Danish pension system rests on the public pension, which consists of a basic pension and a means-tested pension supplement that is paid to the financially most disadvantaged pensioners, in addition to a mandatory occupational pension scheme based on lump-sum defined contributions called ATP and quasi-mandatory occupational pension plans. ATP is as a public pension provider, investor and administrator of welfare benefits. It is one of Europe’s largest pension funds with 5.4 million members and pension assets exceeding USD 882 bn (229% of GDP). In addition, quasi-mandatory occupational pension schemes negotiated as part of collective agreements cover about 90% of the employed work force. The public pension and ATP ensure that all pensioners, regardless of labour market attachment, will have an adequate basic income. Occupational pension schemes ensure that a person’s income in retirement will not be markedly lower than the income earned during working life.

Sweden

The Swedish pension system consists mainly of public schemes and quasi-mandatory occupational plans (OECD, 2020^[39]). Mandatory public earning-related pensions include both a notional defined contribution scheme and a funded defined contribution scheme. Both cover earnings up to roughly the average wage. On top of these schemes, quasi mandatory occupational pension plans negotiated by social partners in collective agreements cover around 90% of workers. A residence based basic pension (guaranteed pension) ensures a minimum level of pensions at 21% of gross earnings.

2.4. Working-age transfers

In Latin America, the larger part of income support for those in working age is distributed through so-called contributory “social insurance” schemes (Gragnolati et al., 2015^[40]). Just as in the case of contributory pensions, access to this support is typically tied to contributions levied on formal workers’ wages. All 18 countries in Latin America provide sickness insurance and workplace accident benefits to formal workers and several countries in the

region also provide unemployment benefits (Blofield, Giambruno and Filgueira, 2020^[41]). In some cases, expecting mothers or families with children also receive income support. An overview of the main benefits provided by cash transfer programmes in seven countries in the region can be found in Table 2.2.

These contributory schemes often cover only part of the working population due to informality. Even among those who do pay contributions, gaps between legal and effective coverage have emerged and some beneficiaries who fulfil the eligibility criteria specified by law do not receive the benefits or do not take them up (Table 2.2). There could be many reasons for this, including weak programme implementation structures, difficulties in accessing benefits or low take-up, which in turn may have many reasons (ILO, 2020^[33]).

Table 2.2. Legal and Effective Coverage of Social Protection Systems

Type of benefit	Unemployment		Work Injury		Maternity		Children/Family	
	Legal	Effective	Legal	Effective	Legal	Effective	Legal	Effective
Argentina	28.8	10.8	41.1	47.4	34.9	31.7	102.4	79.6
Brazil	48.7	17.6	37.8	48.7	56.2	47.8	100	67.7
Chile	42.5	27	58.2	68.7	47.8	46.6	68.9	68.5
Colombia	62.1	4.6	62.1	37.7	25.6		100	36
Costa Rica	41		54.8	58.1	41	23.4	26.4	38.8
Mexico	0	6	70.3	35.4	37.2	10.4	96.8	23.4
Peru	75.1		75.1	7.4	27.3	8.8	18.8	16.1

Note: Legal coverage refers to the percentage of working age population with a right to be covered by a specific benefit. Effective coverage refers to the ratio of recipients of unemployment cash benefits to the number of unemployed persons (for unemployment benefits); the ratio of women receiving maternity cash benefits to women giving birth in the same year (for maternity benefits); the ratio of children/households receiving child/family cash benefits to the total number of children/households with children (for child benefits).

Sources: ILO, World Social Protection Database, based on SSI; ISSA/SSA, Social Security Programmes Throughout the World; ILOSTAT, ECLAC, IMF, WHO, WB, UNDP, UNICEF, completed with national data sources.

These shortcomings in the implementation of contributory income support programmes in Latin America have led many LAC countries to introduce means-tested, non-contributory cash transfer programmes in the 2000's, often referred to as social assistance programmes. These programmes are typically financed by general tax revenues, with the explicit objective of alleviating poverty among households that are unable to generate a minimum income on their own. As with contributory benefits, the characteristics of non-contributory programmes vary significantly across countries.

In many cases, these benefits have combined means-tested income transfers with measures aimed at lifting families out of poverty over the longer run by encouraging investments into their children through conditionalities attached to benefit disbursement. These are meant to encourage school attendance and medical check-ups for children and expecting mothers, for example. These conditional cash transfers (CCTs) are perhaps the most prominent element of non-contributory social benefits in Latin America, despite their limited size. But not all of the non-contributory benefits have conditionalities attached, and means-testing is sometimes done on the basis of proxy measures, such as the place of residence.

It should be said clearly that the definitions often used in the discussion on social protection in Latin America, and that this paper follows, may at times diverge from the definition used by the OECD in the discussion of OECD member economies. In the OECD context, social assistance generally refers to unconditional transfers, beyond the means-testing, while in many Latin American economies, social assistance cash transfers often do have conditionalities attached. Even if the intention to provide transfers may have been the dominant motivation for

policy makers, the general experience with conditionalities in Latin America is positive and not including them may have seemed like a lost opportunity.

Non-contributory cash transfer programmes were initially launched at the local level in Brazil, while the first systematic rollout at the national level took place in Mexico in 1997, with the Programme for Education, Health, and Nutrition (*Progresa*), formerly known as *Prospera* and *Oportunidades* (Cecchini and Madariaga, 2011^[42]). Chile established its *Chile Solidario* programme in 2002. In 2003, Brazil followed suit with the nationwide rollout of the *Bolsa Família* programme, temporarily rebaptised to *Auxílio Brasil* between 2020 and 2022. These programmes have both become well-known and highly regarded programmes, whose multifaceted success has motivated the proliferation of similar programmes around the world. By 2015, every country in Latin America had a CCT programme modelled after *Progresa* and *Bolsa Família* (Fiszbein et al., 2009^[43]), and by 2019, there were more than 30 active CCT programmes in place in the region (Abramo, Cecchini and Morales, 2019^[44]). Several countries have more than one such programme, and this fragmentation can easily lead to overlaps and inefficiencies.

A large body of evidence suggests that such cash transfers have contributed to significant reductions in poverty (Soares, Ribas and Osório, 2010^[45]; Sewall, 2008^[46]; Stampini and Tornarolli, 2012^[47]; Robles, Rubio and Stampini, 2019^[48]; Millán et al., 2019^[49]). These cash transfers can also bring more long-term benefits for society, such as promoting credit access, better eating habits, better school attendance, better academic results, better cognitive development, reduction of domestic violence, and female economic empowerment (Banerjee, Niehaus and Suri, 2019^[50]). A comparative study of CCTs has shown that they are typically more effective when paired with other measures designed to improve productive inclusion and employment, and in particular, when those other measures help integrate informal workers into the formal economy (Papadopoulos and Leyer, 2016^[51]). This suggests that programme structure and context make a significant difference for programme success. At the same time, CCTs have been criticised for having negative effects in reinforcing the gendered distribution of unpaid work (and – consequently – women’s ability to participate in paid labour markets) as traditionally mothers are the ones responsible for ensuring that conditions like children’s schooling and healthcare are met (UN Women, 2019^[52]).

Spending on non-contributory cash transfers and trends in spending vary significantly across countries, but are generally far lower than spending on formal-sector social insurance. The *Bolsa Família* programme represented 0.5% of GDP in 2019 and covered a quarter of the total Brazilian population, although it has been expanded since (OECD, 2020^[53]). *Progresa* represented 0.35% of Mexican GDP and covered almost a quarter of the population in 2018. Ecuador was the biggest spender on CCTs at 1% of GDP, while Chile was the lowest at 0.14% of GDP, just under half of the regional average of 0.32% of GDP (ECLAC, 2022^[54]).

The evidence on the impact of cash transfers on the incentives for labour participation and formal employment is mixed (Baird, McKenzie and Özler, 2018^[55]; Skoufias and Di Maro, 2008^[56]). While some evidence suggests that cash transfers do not discourage – and in some cases even encourage – labour participation by beneficiaries (Banerjee et al., 2017^[57]), other evidence from the region suggests that transfers can decrease incentives to participate in formal employment (Bergolo and Cruces, 2021^[58]). This is often related to design weaknesses in the programmes. For example, abrupt benefit withdrawals for beneficiaries who find a job or earn more can imply high implicit tax rates for workers who lose the transfer if they earn additional income that lifts them above the eligibility threshold stipulated in the targeting mechanism. That said, it is important that cash transfers maintain strong incentives that encourage those who can generate their own income to do so. The need for strong work incentives will put limits on benefit levels for those in working age, in contrast to the elderly for whom maintaining work incentives are usually not a policy objective.

2.4.1. The way forward: A single cash transfer for the poor

Latin America’s successful experiences with non-contributory cash transfer schemes provide a unique opportunity to build on them to strengthen social protection. Where fragmented benefit systems create unnecessary complexity and scope for benefit duplication, unifying and integrating existing cash transfers into a single national programme would be a first useful step, but that may still fall short of providing universal access to such transfers.

Applying the idea of making social protection benefits available to all those who need them, as outlined at the beginning of this section, would imply getting rid of any eligibility restrictions that are not related to means-testing, i.e. extending eligibility for conditional cash transfers to the entire population. This does not mean that everyone would receive benefits, but those that qualify for them due to their low earned incomes or other qualifying conditions should be able to receive benefits without undue delays.

That is far from being the case at present. Many countries focus on specific regions within the country or within urban areas for benefit eligibility on the grounds that poverty is concentrated there. In Colombia, for example, a household has to be specifically chosen to qualify for the conditional cash transfer programme *Familias en Acción* (now *Renta Ciudadana*), and low income alone is no guarantee for eligibility. Another example is Peru, where the conditional cash transfer programme, *Juntos*, is targeted to rural areas. In most cases, these mechanisms are designed as some way to allocate resources that are insufficient to cover the entire population that meets the income-threshold criteria.

Universality also implies the possibility of rapid enrolment when a household loses a vital income source. Long waiting lines for programme enrolment, as have occurred in Brazil's *Bolsa Família* programme in the past, for example, impede CCT programmes to fulfil their potential role of earnings replacement. If properly designed and implemented, CCTs could provide a backstop for those losing their job or income and could serve as a very rudimentary, non-contributory universal pillar of an unemployment benefit system for those who cannot access more formal unemployment insurance. In several countries, however, enrolment processes are in practice either too much top-down, leaving little scope for needy households to apply for help, or too slow to support people in the face of sudden income losses. An important first step would therefore be to make cash transfer programmes more agile, so that they can disburse quickly when people lose their livelihoods, following the examples of the UK's Universal Credit or Malaysia's BSH cash transfer programme.

One option for designing a single cash transfer for the poor would be to extend current non-contributory benefits to all those who pass the relevant means test, effectively turning non-contributory benefits into a guaranteed-minimum-income benefit scheme for the population aged below 65. This would be a periodic cash transfer to supplement the income received by poor households to reach a certain minimum income level.

Financed from general taxation revenues, such a scheme could build on existing conditional and un-conditional cash transfers for the vulnerable and poor. The amount given to each household could consist of fixed and variable elements depending on household characteristics, as in Brazil's *Bolsa Família* programme. Such a benefit is different from a Universal Basic Income, which grants an identical amount to every citizen, regardless of income (Box 2.4).

Applying some mild conditionalities to a guaranteed minimum income scheme has proven particularly valuable when children are part of the household. In that case, the cash transfer can be conditional on school enrolment of the children and necessary health check-ups for children and expecting mothers, as is current practice in many current CCT programmes around Latin America. Such conditionalities do not aim at excluding anyone but are meant to generate incentives for investing in education and health, which may facilitate the chances of a family moving out of poverty in the longer run.

To maintain the incentives for taking up work opportunities, programme design could include a graduation phase, in which the value of the transfer forgone is smaller than the additional income. This is important to avoid situations where beneficiaries might be reluctant to take up work for fear of losing their benefit, even if they become eligible again at a later moment. The design could include a phase in which for every additional income earned by the household or individual, only some parts of the additional earnings are taken into account to calculate the cash benefit, until gradually reaching a point where no subsidy is available at all. Preliminary and ex-post impact assessments should be systematically conducted to evaluate the effects on (formal) labour force participation and adjust the design if necessary.

Box 2.4. The pros and cons of a Universal Basic Income

A universal basic income (UBI) is an unconditional cash transfer granted at regular intervals to all residents, regardless of their wealth, earnings or employment status. Commonly cited advantages of such a programme are that it is simple and coverage is, by definition, universal.

The main disadvantage of an UBI is that it could be extremely costly. An unconditional payment to everyone at meaningful but fiscally realistic levels would require strong tax rises and possibly reductions in existing benefits, and would not often be an effective tool for reducing income poverty (OECD, 2017^[59]). Some disadvantaged groups would lose out when existing benefits (usually all other social programmes) are replaced by a universal basic income, illustrating the downsides of social protection without any form of targeting at all (Gentilini et al., 2020^[60]).

Similar to the above findings for OECD countries, a truly universal Basic Income would be fiscally unviable in most of Latin America unless benefit amounts are reduced to a level where they lose their effectiveness in providing an acceptable living to those in need. Illustrative calculations for Colombia suggest that disbursing a monetary transfer at the level of the extreme poverty line to resident would have costed 8.7% of GDP in 2020. This UBI levels still would leave many households in poverty, especially those at old-age not receiving any pensions or the unemployed or inactive. If the transfer were set to the level of the poverty line, the cost would be 20% of GDP, almost equivalent to Colombia's entire tax revenues (OECD, 2022^[61]).

Those able to work but without jobs should register with the public employment services and when they find a job, part of their wage could be temporarily exempted from the calculation of the benefit. For those adults already working but able to work more, additional hours worked and better jobs are encouraged, and for each extra income they earn the benefit is reduced by a smaller amount.

A single cash transfer for the poor would gain from strengthening state capacities to check up on self-declared information provided by the beneficiaries. This includes earnings from informal labour, which is far more difficult for the state to observe. Local networks and social assistants can play a key role checking the veracity of self-reported information. Brazil, for example, has made significant progress in building up a granular network of social workers and social centres that help in determining the fulfilment of income eligibility conditions for the *Bolsa Família* programme. In some cases, it has also been helpful to design incentives to encourage citizen responsibility, for example by implementing some kind of penalty for those who provide inaccurate or false information (Universidad de los Andes, 2020^[62]). Maintaining large and up to date social registries of poor households are the key instruments for administering such schemes (Box 2.5).

The level of the guaranteed minimum income benefit could be determined in various ways, but a relevant poverty line, which exists in most countries, is often a useful reference. By calculating the cash transfer as the difference from the per capita household income level and its distance from the poverty line, the programme would ensure that no household or individual is left in poverty.

Another option to provide income support would be through a negative income tax, where income support would be provided through the tax system. Workers would be required to register with the tax authority and file personal income taxes. Those who have declared their revenue is below a defined threshold would be exempt from paying the tax and would instead receive a payment from the revenue authorities. This payment decreases gradually as the individual earns more from work. Channelling the income support through the tax system has the advantage of targeting the support to low-income workers while encouraging the take-up of formal jobs. It can also foster financial inclusion and can reduce the scope for clientelism associated in some cases to some social programmes. Experience from some OECD countries, such as United States experience with the earned income tax credit, is positive (Hoynes; Patel, 2017^[63]), as it has increased formal participation among groups with lower labour market attachment and reduced poverty. Such schemes have been also found to reduce informal employment in developing countries (Gunter, 2013^[64]). This option presents a higher administrative burden for tax authorities, but

recent and ongoing enhancements in the capabilities of several tax authorities in the region (e.g. Mexico, Colombia or Costa Rica) make it a viable option. As cash transfers, it would require continuing to enhance capacities to validate self-declared information and providing incentives for individuals to report their income truthfully. The idea of minimising formalisation disincentives calls for financing anti-poverty transfers to those in working age in a way that does not affect incentives towards informality by raising the cost of formal labour. Already, almost all CCT programmes in Latin America are financed through general tax revenues, making them particularly well-placed building blocks for enhancing social protection. To the extent that CCT programmes are enhanced and able to react more rapidly in the case of sudden income losses, they may reduce the need for contribution-based benefit programmes, particularly among low-income workers where the additional cost of a mandatory contribution may have strong effects on the prospects of finding a formal job. As in the case of pensions, a useful benchmark may be to aim for social contributions close to zero for incomes at the crossroads between formality and informality, which is typically the minimum wage.

Box 2.5. Improving social registries

Social registries of recipients identify the socioeconomic characteristics of individuals and households who are likely to receive assistance from the welfare system. Social registries help in the design, implementation and evaluation of social policies. They are typically used to identify beneficiaries or verify self-declared beneficiary information, calculate the amount of the benefit due, deliver the benefits and measuring their impact ex-post.

The coverage, accuracy, and quality of information collected and recorded in social registries has improved visibly since the late 1990s, as Latin American countries have collected more information to build the targeting instrument upon which their conditional and unconditional cash transfer programmes were founded.

In some of the less elaborate registries, individuals communicate their information each time they seek assistance. For others, social registries are based on information collected at regular intervals, for example through broad surveys that target vulnerable populations. Most countries choose to supplement these with the option for individuals to update their information via a request for a new survey. In this case, an agent or a social worker administers a new questionnaire in the applicant's home.

One recent innovation has been to use additional data sources such as administrative databases to complete and/or update the information already available in the social registries. The cross-checking of self-reported information from individuals with administrative data has been a feature of so-called "second generation" registries, which require significant efforts to identify households uniquely and unequivocally, so as to minimise duplication, inclusion, or exclusion errors in the programmes. Social registries are also increasingly combined with the massive use of information and communication technologies to inform individuals about their eligibility for a programme and/or to deliver their entitlements, for example during the COVID-19 pandemic.

With these innovations, some of which were driven by the pandemic, governments sought to improve the information available on people already receiving social benefits and expand the scope of social action to individuals not previously covered. Building on these efforts made during the crisis would further improve the targeting and the effectiveness of social benefit delivery.

One lesson that emerges from the pandemic is that large parts of the population are potentially in a situation of requiring assistance at some point, which calls for social registries to be as universal as possible, rather than being limited to poor and vulnerable populations. Connecting different data sources can be a way to achieve this, including tax records, land registry records, vehicle registrations, civil registers. Social registries should also be sufficiently flexible so that the information they hold can be regularly corrected, completed, or updated without the need for mass surveys, promoting and facilitating the process and its corresponding validation (control visits and cross-validation with other sources) (ECLAC, 2020b). This is particularly important in the case of dismissals, where people with previously sufficient incomes to make a living will need rapid support.

Given that a guaranteed minimum income is designed to avoid poverty, it may not be able to achieve the full degree of income smoothing or insurance against unexpected variations in household income over time that a society may desire. For example, those with higher incomes may have a legitimate interest in insurance against the sudden and temporary income losses associated with dismissals, for example. But such insurance would need to deliver adequate replacement rates to be attractive. A person earning several multiples of the minimum wage may not be convinced by a guaranteed minimum income scheme designed to prevent people from falling below the poverty line. At the same time, such a person is much less likely to work in the informal sector.

Unemployment benefit schemes could therefore be useful to provide consumption smoothing and maintain living standards for workers above the minimum wage, and probably at some distance from the latter. This second pillar could be based on contributions and provide top-up benefits to the basic scheme. There are several possible ways to design such a complementary contributory scheme for those with higher incomes, and in those countries where such systems already exist, there may be a strong case for implementing only minor reforms.

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3

Policy options and implementation challenges

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The reforms advocated in the preceding chapter would imply a significant re-design of social protection systems and finding the necessary political consensus will face challenges and opposition. While millions of informal and largely unprotected workers stand to gain from social protection reform, potential implementation challenges and opposition from specific groups will need to be considered. An additional key challenge is to finance such reforms as reducing social security contributions for low-wage earners requires raising additional tax revenues or reallocating expenditure, without which the reduction in contributions will not be possible.

The reforms advocated in this paper are not small reforms; they would imply a significant re-design of social protection systems. Large reforms are usually only justified by large challenges, but the extent and persistence of informality in Latin America, and the exclusion from adequate social protection it implies, is a large challenge.

Finding the necessary political consensus for a significant redesign of social protection in the region will face challenges, that will differ from country to country. One of these relates to the tax system. Reducing social security contributions for low-wage earners will inevitably require raising additional tax revenues or reallocating spending. Raising additional tax revenues and reducing social security contributions has proven challenging for most Latin American countries, most of which are characterised by low tax revenues relative to their GDP, with the notable exception of Argentina and Brazil. Most countries in the region have scope for expanding tax revenues and to improve the efficiency of spending. However, if countries are not able to compensate the reduction in social security contributions that the reform would require by raising sufficient additional tax revenues to finance basic social protection, the reforms proposed in this paper will not be feasible, or there is a risk is that social protection is weakened overall or remains weak, which is not desirable. To ensure fiscal sustainability, it will be crucial to ensure that these reforms effectively generate the needed revenue when committing to permanent increases in spending. Increasing social spending should proceed only gradually once permanent revenues are available. Countries would need to set up a clear and detailed reform agenda linking tax reforms with social protection reforms.

A second challenge is that once non-wage labour costs are lowered significantly for those earning the minimum wage, there may eventually be a wage range above the minimum wage where marginal contribution rates will be high. This may make it more costly for firms to raise wages, possibly giving rise to low-wage traps, especially in countries with high minimum wages. This has been discussed at length in some OECD countries, including France, where social contributions for low-wage workers saw considerable reduction in the recent past. At present, this issue seems less pressing than the need to get more people into formal jobs in the first place, but it is something to bear in mind for the future.

Reforming social protection systems, although necessary, will not be enough to fully tackle informality. Better enforcement of tax and labour laws, simpler labour and businesses regulations and lower perceived benefits from informal employment and more investment in human capital, improved rule of law and policies to raise productivity in informal and small firms will also be needed. An upside and a reason to start with reforms to social protection is that they could have a more immediate impact on informality if accompanied by stronger enforcement of labour and tax laws than other reforms, such as policies to strengthen education and productivity that typically take longer to bear fruit.

A key question, and precondition for the successful implementation of the reforms advocated in this report, is how to raise the substantial amount of additional tax revenues that are needed to finance them. For example, estimates suggest that in Colombia such reform would cost 1% of GDP (OECD, 2022^[1]). There are significant differences across countries in the region in tax burdens and levels of taxation so the specific tax reforms would vary from country to country. Overall, the most important sources of tax revenue in the region, as in most countries around the world are value added, individual income, and corporate income taxes. Corporate tax revenues in LAC are higher than in the advanced countries, relative to overall tax revenues. Corporate tax rates are often high, but compliance is typically low, and higher rates may lead to further evasion. One way to make collection of corporate taxes more efficient would be to streamline collections and eliminating exceptions, to reduce the nominal burden (lower the rate) while broadening the base. Improving tax administration and enforcement capacity is also essential to raise tax collection.

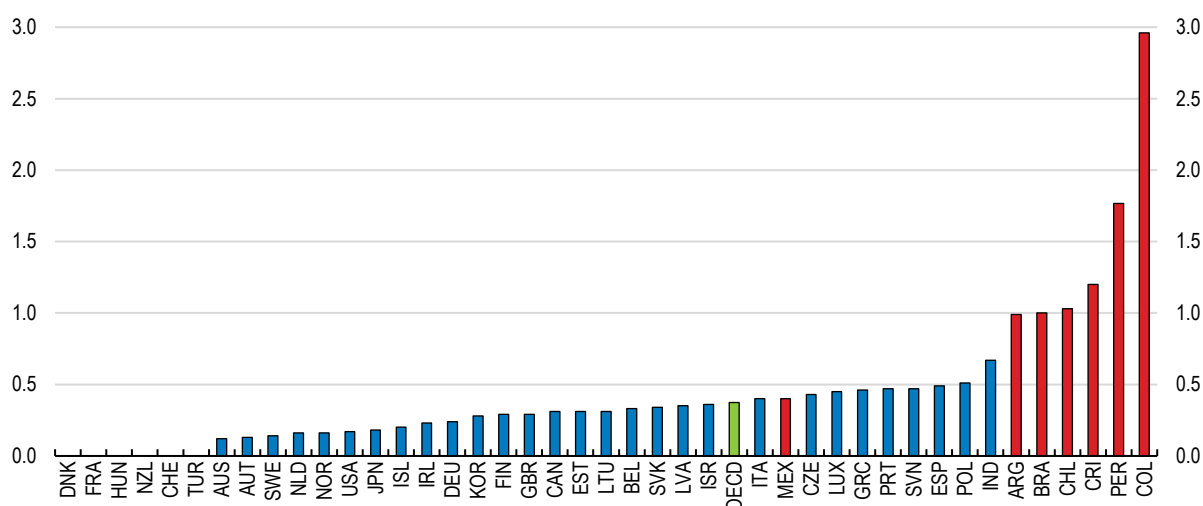
The relatively low contribution of personal income taxes makes income taxes one key element of a possible source of new revenue. LAC countries' low individual income burden is due to low coverage, rather than low rates on top earners. In most countries, only the top 20 percent of citizens pay any income tax, so the tax burden is unusually concentrated. One reason is that personal income tax systems are generally characterised by high income thresholds as of which households start paying taxes, also referred to as basic allowances (Figure 3.1). These are often a multiple of the minimum wage, leaving the incomes of a large part of the upper and middle classes with incomes in between the current basic PIT allowance and the minimum wage untaxed. Moreover, in many countries,

there are numerous personal income exemptions and tax expenditures, often to the benefit of more affluent taxpayers (IMF, 2019^[2]; OECD, 2020^[3]; OECD, 2018^[4]; OECD, 2022^[1]). Reforms could focus on broadening the personal income tax base by lowering exemption thresholds. Caution is needed in lowering the personal income tax exemption as there could be possible negative impacts on labour market participation and hours worked, as well as increases in informality. Those that would start paying personal income tax would need to have incomes far above those for whom social security contributions would be lowered, so the combined effect of higher personal income taxes and lower social security contributions is progressive overall, and to ensure a reduction in non-wage labour costs in the relevant lower income ranges where informality is most prevalent.

Expanding the reach of the personal income tax system could be a valuable objective, as authorities would also gain more information for operating the social protection system, which is currently based on social registries (see Box 2.5). People with incomes below the basic allowance could be required to file simple tax returns. But caution is needed not to affect non-wage labour costs in the lowest income range close to the minimum wage, and not to raise compliance costs for those same low-income people the reform is trying to help by expanding basic social protection.

Figure 3.1. Personal tax income threshold relative to the average wage in Latin America

Income threshold where single taxpayers start paying income tax, measured as a multiple of the average wage



Note: Data refer to the year 2024 for Peru (calculations are based on a monthly average labour income PEN 1,765.9 at national level in 2024; the threshold to start paying personal income taxes is PEN 37,450 annually), to the year 2020 for Argentina and Brazil, and to the year 2022 for other countries.

Source: OECD Taxing Wages 2023.

In addition to reforms to personal income taxes, property taxes, inheritance taxes and broader VAT bases can play an important role. Many Latin American countries have low property tax collection. Improving, updating and completing property registries and ensuring accurate property valuation systems are common challenges and can help raise revenues. Building the capacity of local governments to manage and administer property taxes effectively should be also part of the strategy. Many countries in the region have also margin to raise compliance and limit the scope for exemptions and reduced rates in the VAT while compensating the poorest households through the transfer system. A priority could be to reduce those exemptions that primarily benefit the better-off. This reform could increase VAT revenues, while reducing distortions and addressing equity concerns. Inheritance taxes could be used far more in Latin America and are typically very progressive. Considering that for some LAC countries energy subsidies represent high percentages of their GDP, reducing them and adopting a carbon tax would generate revenues of relevance. Modernising tax administrations, starting with improvements in human capital, information

systems and the use of advanced technologies, systematically crossing information from different sources and improving electronic invoicing could also help to raise additional revenues.

Greater efforts to increase spending efficiency can contribute to create the fiscal space to finance the reforms. This could be achieved by making a more systematic use of spending reviews including tax expenditures, cost-benefit analysis, improving means testing mechanisms and social registries and public procurement processes. More systematic evaluations of social policies and more rigorous and transparent cost-benefit analysis of infrastructure projects could also help to boost efficiency.

Identifying potential obstacles to the political implementation of a major social protection reform such as the one advocated here implies identifying those who would win and those who would lose from the reform.

The first question has a straightforward answer: The main winner would be the most vulnerable households in Latin American societies, given that expanding social protection would foster more equal societies and more social inclusion. Among individual groups, the greatest benefits of social protection reform would be the millions of Latin Americans that currently lack access to pensions and/or basic protection against poverty. These are the most vulnerable segments of the population, but they may not be the ones with the strongest political voice.

Beyond low-income households, there would also be large potential benefits for society at large, as widespread informality is negatively linked to productivity (Levy and Cruces, 2021^[5]; Maloney, 2004^[6]; Amin and Okou, 2020^[7]). In the past, favourable demographics and high commodity prices have allowed several Latin American countries to grow without much productivity growth. Now, as less and less young people join the labour force, the population will begin to age rapidly over the next decades. In Latin America as a whole, demographics will turn into a drag on growth rather than supporting it as in the past in about ten years from now, and in some countries in the region, that process is set to start much earlier. In this changing scenario, productivity growth will also need to become the basis for sustainable improvements in wages and living standards. That will hinge on policy reforms that can raise productivity, and incentivising more workers and firms to join the formal economy could play a significant role in this context.

By contrast, groups with a less obvious payoff would include those who are already in the formal labour market. Among formal workers, those with incomes close to the minimum wage may not be the ones who would lose out. After all, their take-home pay would probably rise due to the reduction of social security contributions, while their future pension benefits would in most cases not be lower than under the current setup.

Formal workers in the higher income ranges may oppose the reform to the extent that more of them would be paying personal income taxes than before. Since most of these have incomes significantly above those of low-income households that currently struggle to join the formal sector, the reform would have a progressive distributional effect overall. Some of these higher income formal workers may also benefit from special pension schemes that deliver better actuarial value than the standard pension regime, for example civil servants, teachers, members of the judiciary or others. To the extent that these -often costly- special regimes would be integrated into the general system, this could trigger additional political opposition. But it would also improve further equity and fairness of the pension system, especially considering that these special regimes are often more a legacy of power struggles of the past than of rational policy design.

Social security administrators may oppose any reform that shifts part of the financing burden to taxes, fearing revenue losses. That may have political weight when thinking about private pension funds, but in countries where these are large and are generally perceived to function well, there is no reason why they should not play a strong role in the design of the contributory pension pillar.

A wider concern may be a general mistrust in the capacity of the state to use additional tax revenues for the benefit of the population. In some countries, even where tax revenues are low, some citizens tend to oppose giving government a greater role for fear of these resources being lost in corruption or embezzlement. People are more likely to support policies if they trust that public institutions are competent, act in the public interest and implement policies effectively and fairly (OECD, 2025^[8]). Enhancing trust in the government will be fundamental for successfully

designing, approving, and implementing reforms that increase the resources administered by the public sector. Mistrust of government is high in much of Latin America, reducing support for tax reforms to finance education, social protection, policing and redistribution (Keefer, Scartascini and Vlaicu, 2018^[9]). Reducing corruption and increasing transparency and government accountability can increase trust in government (Scartascini and Valle Luna, 2020^[10]).

To boost feasibility of the proposed reforms, a policy debate to reach the necessary consensus is essential. This policy debate should be evidence-based and should not shy away from a clear identification of the winners and losers of the reforms, quantification of the costs and possible impact on different population groups. An analysis of the sequence and timing of the reforms will also play a very important role. Having a clear mandate and political leadership from the government showing the will and commitment to act would also be important (Tompson, 2009^[11]).

An effective communication strategy on the need for the reforms and their impact on different population groups and the society in general will be essential to lead to acceptance by the population and avoid misperceptions on the impact of reforms. An effective communication strategy can include the provision of information, as well as consultation and dialogue with stakeholders. To reap its full potential, however, authorities can establish a two-way dialogue with the public (OECD, 2020^[12]). People are more likely to support reforms when they understand their objectives and mechanisms. Misunderstandings about policy details can significantly reduce support—even when the reform would benefit them (OECD, 2025^[8]). Acceptability increases when policies include visible compensation for those who lose out in the short term, and when reforms are introduced gradually with clear timelines. Trust in government varies by demographic group and is often lower among those most affected by reforms. Therefore, targeted communication strategies are needed to address different concerns and values across the population (OECD, 2025^[8]).

Another key aspect for the successful adoption and implementation of some of these reforms is to incorporate gradual transition mechanisms, which can reduce resistance to proposed changes (CAF, 2020^[13]). A clear sequencing and gradual implementation of tax reforms will be necessary to make them politically viable. This is also the case for pension reforms. Changing the pension system requires a prolonged period of transition, in which those close to retirement and those already retired are not affected. These individuals would hardly be able to make decisions in the short term that could cushion the impact that such reforms may potentially have on their incomes. The reform recommendations in this chapter can be implemented gradually, but in a coordinated manner, applying a whole of the government approach. In the past, small patches to punctual problems have often failed to consider the broader picture, and often created as many new challenges.

Tackling informality also requires a stronger enforcement of the rules, especially when these rules aim to strengthen formalisation incentives. One key challenge for governments will be to ensure that no abuses of the existing legislation are committed, as would be the case when companies falsely classify workers as self-employed or use service contracts to escape regulatory and tax commitments. Authorities should also step-up enforcement efforts to make sure that workers, including the self-employed, and firms pay their taxes. Although the region has made significant efforts to reduce tax evasion, including continued improvements to the tax authority's digital system and electronic invoicing, there remains scope for further improvements in tax administration. Continued efforts to ensure sufficient resources to institutions tasked with the enforcement of labour laws, which should count with well-trained inspectors and the capacity to collect and analyse relevant data and information. Streamlining the penalty enforcement and improving its presence in rural areas are also open agendas in many LAC countries.

Moreover, reforms require regular monitoring and evaluations of their impact, to ensure that progress is made towards the reform's objectives. A robust monitoring and evaluation framework would increase trust in the reform and support the social protection system, while offering the most productive tool to simultaneously assess the programme's effectiveness and provide guidance for improvements. Colombia, for example, already has an advanced monitoring and evaluation framework of public policies in place, and so do several other countries in the region. Continuous efforts to enhance this process, stronger links between planning, budgeting and evaluation, more frequent and faster links between results and decision-making, and better quality of data from the beginning

of the programme implementation would help improve social policy implementation and increase feasibility of reforms.

Finally, there is also a question of finding the right timing for undertaking large reforms. The strong negative impact of the Covid-19 pandemic on social inclusion and potential growth may have generated momentum for reform. Not only is there extensive literature showing that structural reforms, including those related to social protection, may be more easily undertaken in times of economic difficulties (Sturzenegger and Tommasi, 1998^[14]; Drazen and Grilli, 1993^[15]). The Covid-19 pandemic has also triggered an unprecedented level of emergency support to citizens, including many new or expanded social benefits. In light of the significant policy support that most governments in the region and the world have provided during the pandemic, citizens may now be more inclined to turn to the state when they are in severe need, and the expectations about the state's role and capacity to provide social protection may be much higher now than only a few years back.

All these considerations provide a strong rationale for moving forward towards a social protection system that is compatible with low incentives for informality, providing benefits to all those in need. Building social protection systems in Latin America was a long and arduous task, but it eventually happened, despite all the unresolved challenges in its design. Now is the moment to reform the system to achieve better material living standards and more inclusive societies for all Latin Americans.

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4

Strengthening incentives for formalisation in Argentina

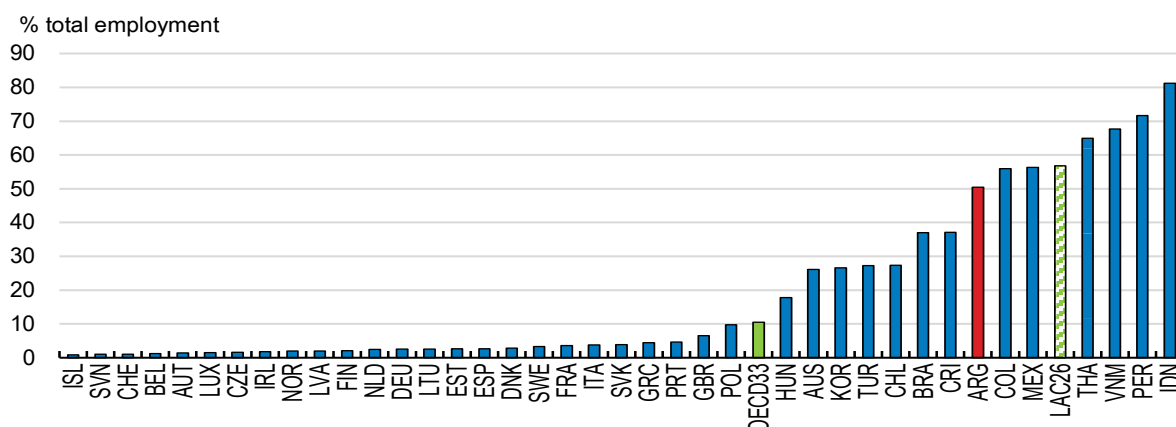
Jens Matthias Arnold, Elisa Carolina Estrada Garcia, Priscilla Fialho, and Mafalda Trincão

Informality in Argentina remains high in international comparison. While Argentina's social protection system has achieved an almost universal pension coverage and features several well-targeted cash transfers that effectively improve incomes and opportunities for those in need, it relies on high social security contributions to be financed, raising the cost of creating formal jobs. Argentina's labour tax wedge is higher than in most OECD countries. Reducing these high non-wage labour costs for low-wage earners with salaries close to the minimum wage may create substantial benefits for formalisation and could be financed through both spending and revenue measures. In the long-term, moving towards a multi-pillar system with better incentives would have additional positive effects on public revenue, given that more economic activity would move into the formal sector and more workers would find opportunities to progressively move up the job ladder.

4.1. Widespread informality undermines productivity and income

A sizeable share of Argentina's economic activity has traditionally been outside the formal economy. Based on the definition of informality used by the International Labour Organisation (ILO), which includes all work not formally registered, taxed, and compliant with employment regulations, in 2023, 50% of employment in Argentina was in the informal sector. This is lower than in some regional and Asian peers, but significantly above the levels observed in most OECD economies (Figure 4.1). National data sources, which use a slightly different definition and methodology, suggest that at the end of 2024, informal employment concerned about 42% of total workers.

Figure 4.1. Informal employment is high in international comparison

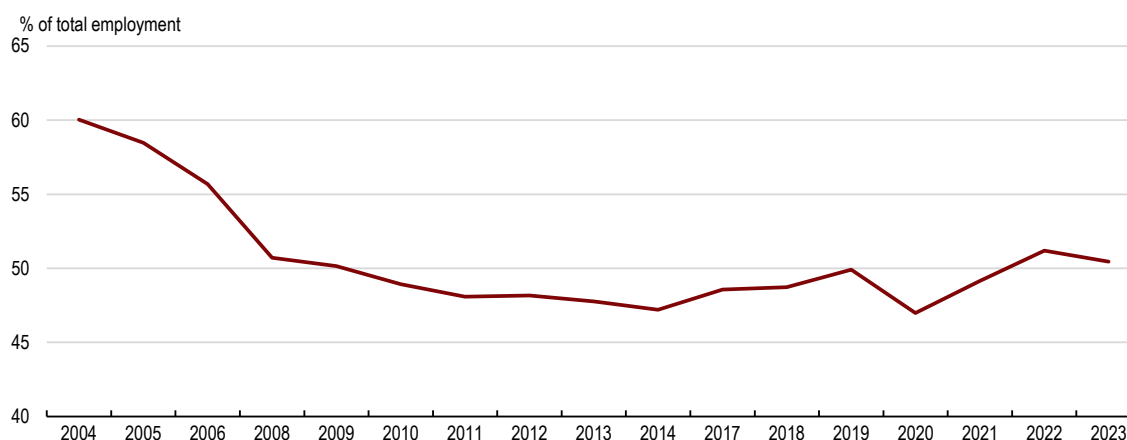


Note: 2023 for Argentina, Brazil, Chile, Costa Rica, Colombia, Mexico, Viet Nam, Peru, Indonesia and Türkiye; 2021 for Australia, Hungary and Switzerland; 2020 for Norway; 2019 for Denmark and Korea; 2018 for Iceland, Thailand and the United Kingdom; and 2022 for other countries.

Source: International Labour Organisation, based on SDG Labour Market Indicators.

Informal work in Argentina decreased sharply in the mid-2000s, when rising commodity prices and favourable global liquidity conditions allowed growth to recover, improving employment conditions and raising real incomes (Figure 4.2). However, informality bounced back again over the last decade, especially after the 2018 economic recession, aggravated by the COVID-19 crisis.

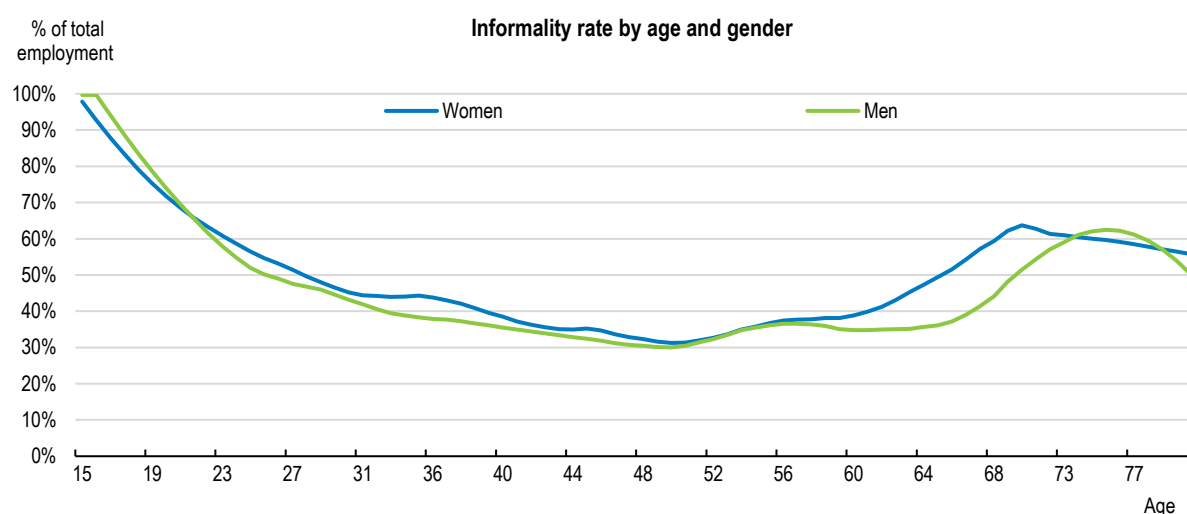
Figure 4.2. The incidence of informal work has increased recently



Source: ILO SDG indicator 8.3.1 – Proportion of informal employment in total employment (%), based on microdata from EPH, INDEC.

Beyond changes over time that may be correlated with the business cycle, the incidence of informal employment varies greatly across demographic and socio-economic groups. The share of informal employment generally decreases with age, reaching about 25% for 50-year-olds, before rising again for older workers, particularly after the legal retirement age of 60 and 65 years for women and men, respectively (Figure 4.3).

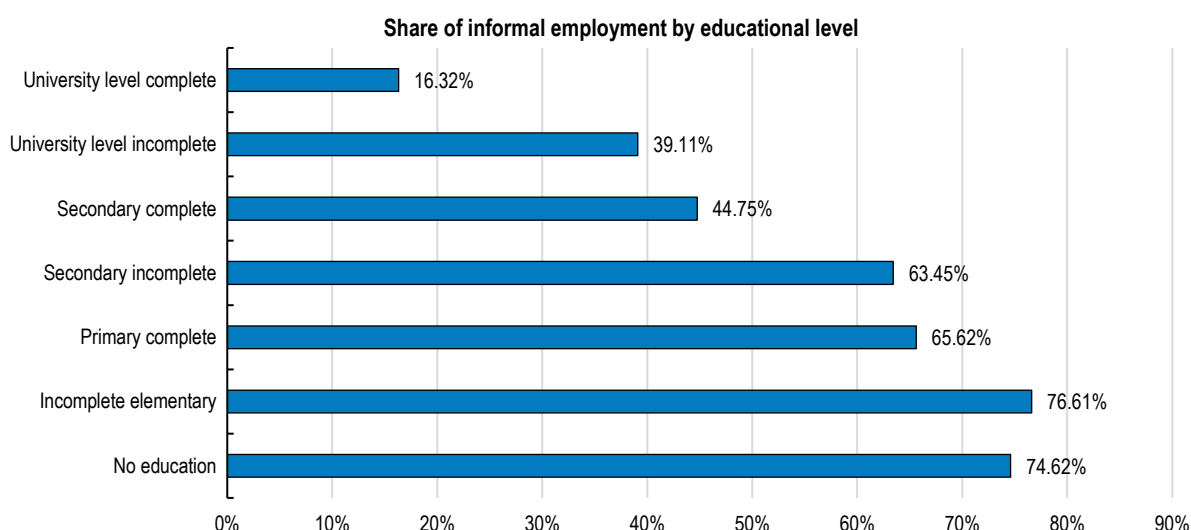
Figure 4.3. Older and younger workers are particularly at risk of informality



Source: OECD analysis based on microdata from the INDEC household survey “Encuesta Permanente de Hogares”, 4th quarter 2024.

The share of informal employment is also negatively correlated with educational attainment. Workers with low levels of educational attainments, particularly those who have not completed secondary education, are more likely to work informally (Figure 4.4). In contrast, among individuals with a higher-education degree, the incidence of informal employment falls well below 20%.

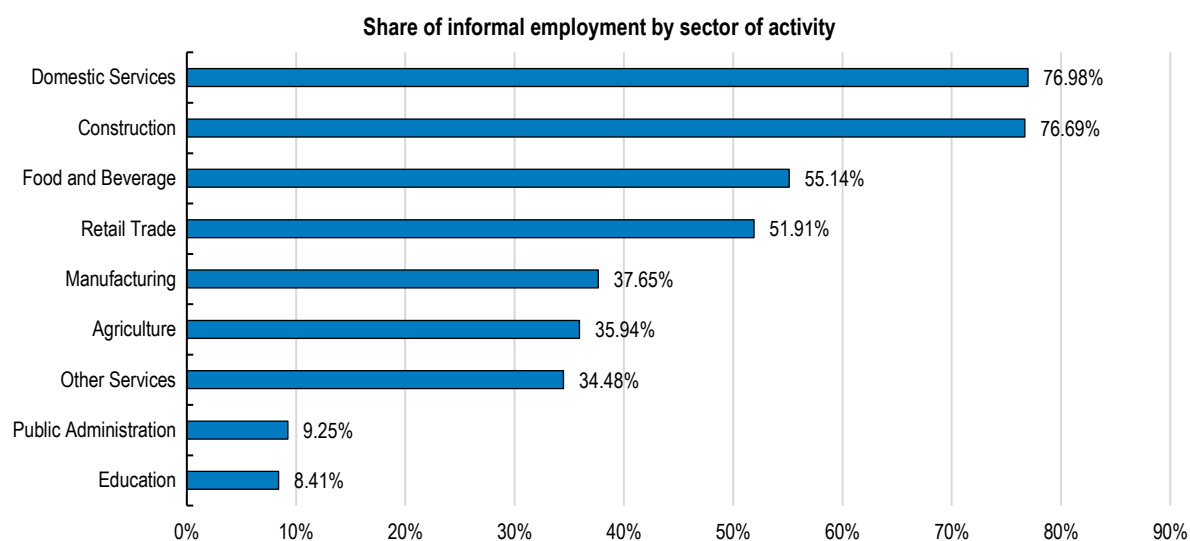
Figure 4.4. The incidence of informality increases with education



Source: OECD analysis based on microdata from the INDEC household survey “Encuesta Permanente de Hogares”, 4th quarter 2024.

Informality also varies significantly across sectors of activity and regions. Informal employment is particularly prevalent in domestic services, construction, hospitality services and retail trade. It is much less common in the public sector and education (Figure 4.5).

Figure 4.5. The incidence of informal employment varies across economic sectors

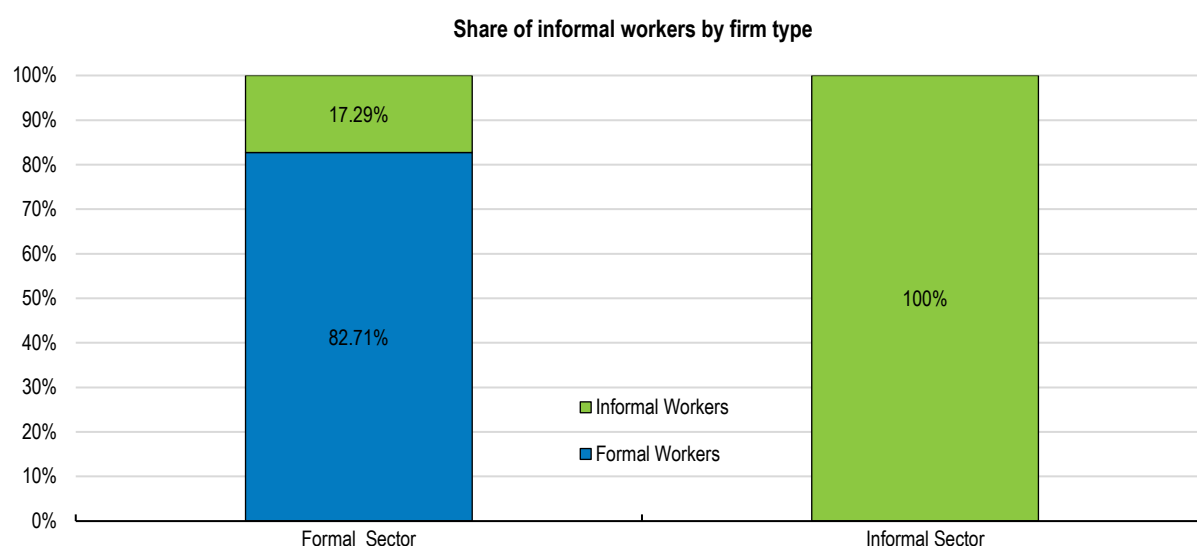


Source: OECD analysis based on microdata from the INDEC household survey “Encuesta Permanente de Hogares”, 4th quarter 2024.

From a geographical perspective, informal employment is more widespread in the economically lagging northern regions. However, available measurements are based on the Permanent Household Survey (“*Encuesta Permanente de Hogares*”, EPH), which only covers the population living in the major urban areas with at least 100 000 inhabitants. Smaller urban and rural areas are excluded from the survey. Since the distribution of small urban and rural populations is not uniform across provinces, in some provinces the survey covers only about 30% of the population (World Bank, 2024^[1]). Any analysis of informality based on the EPH household survey is therefore limited as it relies on the assumption that labour market patterns in small urban and rural areas are similar to those in the main urban areas.

Informality affects not only workers, but also enterprises, although there is no perfect overlap between the two and not all informal employment takes place in informal firms. In fact, among firms that are formally registered, approximately one in six workers is employed informally (Figure 4.6). Firm informality, defined as businesses that are not declared to tax and/or regulatory authorities, could be as high as 13%, according to some estimates (Amin, Ohnsorge and Okou, 2019^[2]). Unregistered firms are generally small-scale, less capital and technology intensive, and concentrated in less productive activities. Informal firms are less likely to use modern technologies or train their workforce. Scaling up is often more difficult for informal firms who typically lack access to formal credit markets.

Unregistered firms can be unfair competition to formal enterprises, given the cost advantages associated with non-compliance with tax and labour laws. Widespread firm informality hence contributes to a misallocation of resources, limiting growth opportunities for formal productive firms, who bear the costs of complying with regulations, and potentially hindering productivity growth and the competitiveness of the economy.

Figure 4.6. Formally registered firms also employ workers informally

Source: OECD analysis based on microdata from the INDEC household survey “Encuesta Permanente de Hogares”, 4th quarter 2024.

For workers employed informally, their status is generally associated with lower income stability and reduced earnings (Kolev, La and Manfredi, 2023^[3]), (Groisman and Beccaria, 2015^[4]), (Susmel and Bour, 2022^[5]). Based on the 2024 household survey “*Encuesta Permanente de Hogares*”, informal workers earn on average 60% less than formal workers. A significant share of informal workers earns below the minimum wage (around USD 250 in August 2025) and even below nationally defined poverty lines (Figure 4.7). Individuals in the lowest income quintile are almost nine times more likely to have informal jobs compared to those in the top quintile (Figure 4.8). The income penalty tied to informality arises from both lower hourly wages and reduced working hours (Susmel and Bour, 2022^[5]).

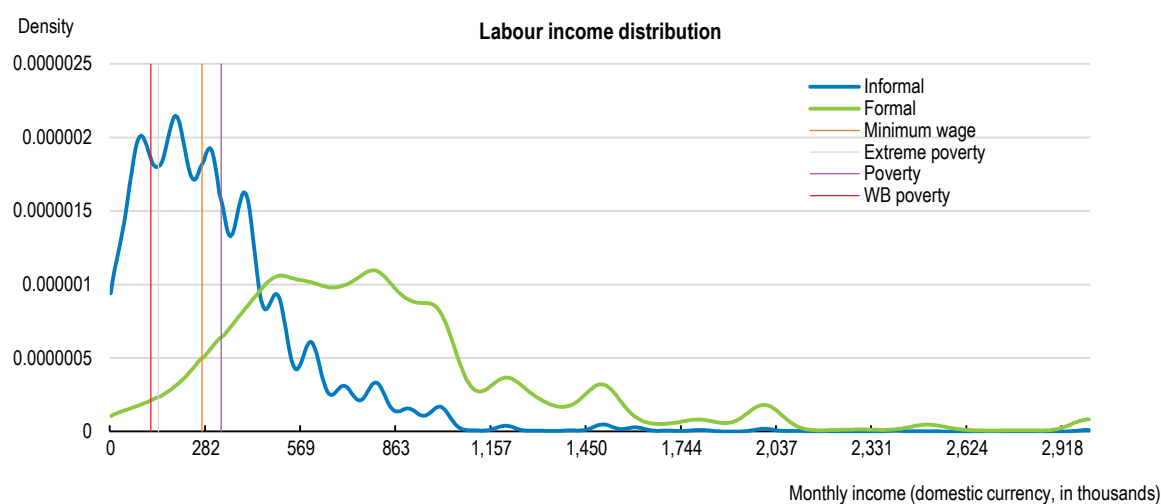
Informality is also associated with higher poverty. The incidence of poverty among informal workers is almost six times higher than among formal workers. Over half of informal workers live in poverty as defined by the National Statistics Institute (INDEC), and nearly one in four experiences extreme poverty (Figure 4.9).

Informality may hinder intergenerational social and economic mobility. For instance, students living in informal households are more likely to drop-out of school early (Figure 4.10). If school attendance is strongly influenced by parents’ labour market status, whether formal or informal, and educational attainment plays a critical role in determining future opportunities in the labour market, informality may contribute for the persistence of poverty across generations.

Finally, informality also affects the public sector as it reduces tax bases and hence undermines the government’s capacity to deliver high-quality public services, such as social protection, education, health, and infrastructure (Leal Ordóñez, 2014^[6]).

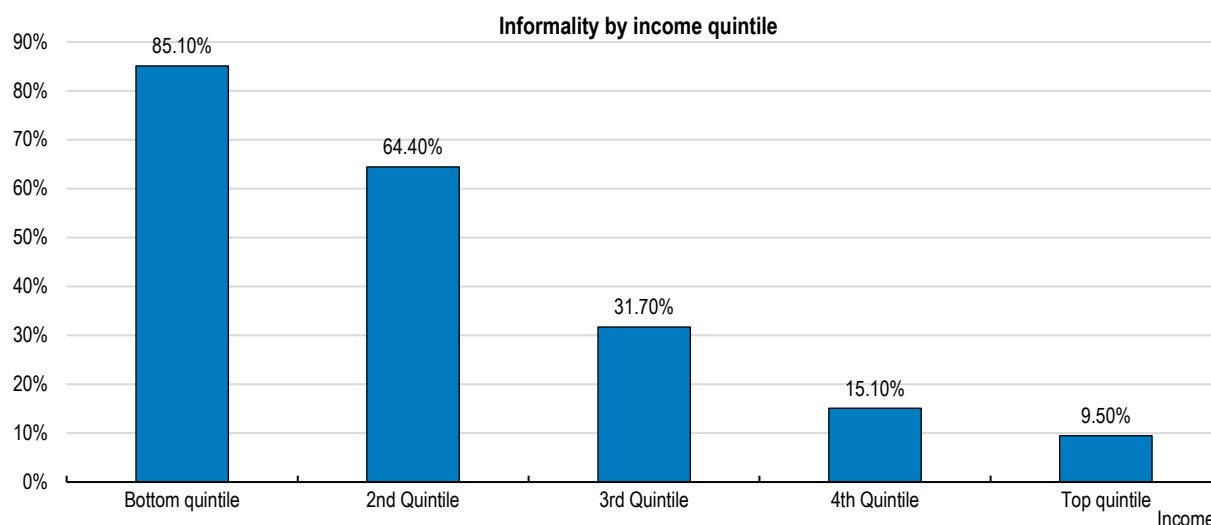
The drivers of informality are manifold. Weak legal enforcement is an obvious necessary condition for widespread informality (World Bank, 2019^[7]). One major reason why firms exploit the possibility given by weak enforcement to operate and employ informally is that informal employment is often less costly than creating formal jobs (Levy and Cruces, 2021^[8]). Regulatory burdens, both in product and labour markets, increase legal and administrative compliance costs, raising incentives for business and employment informality (Susmel and Bour, 2022^[5]). Several studies also found a strong relationship between high labour tax wedges and informality, or between the complexity of the tax system, high tax compliance costs, and informality (Vuletin, 2008^[9]), (Leal Ordóñez, 2014^[6]), (Susmel and Bour, 2022^[5]). The design of social protection benefits can also play an important role.

Figure 4.7. A large share of informal workers has earnings below the poverty line

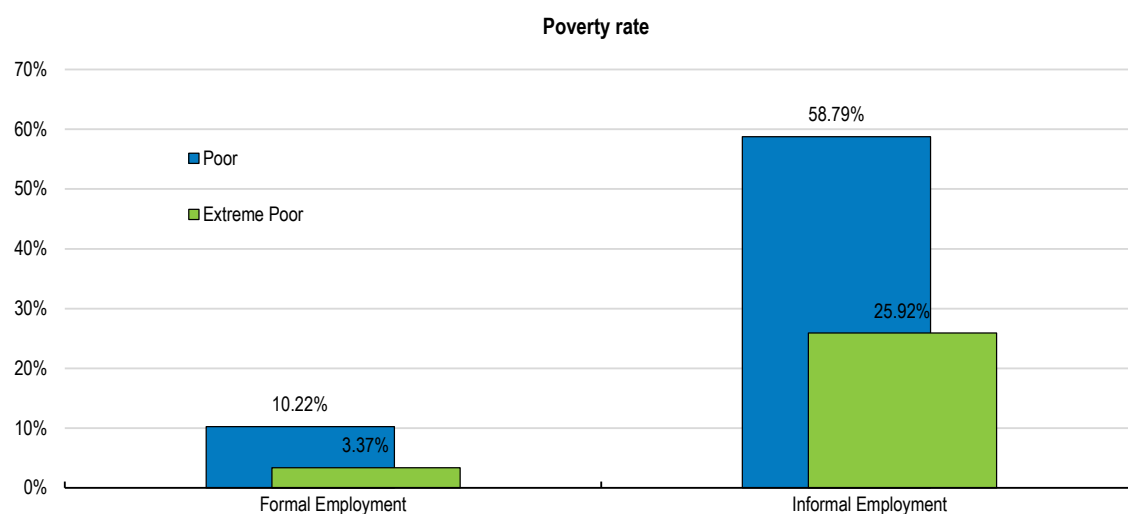


Source: OECD analysis based on microdata from the INDEC household survey “Encuesta Permanente de Hogares”, 4th quarter 2024.

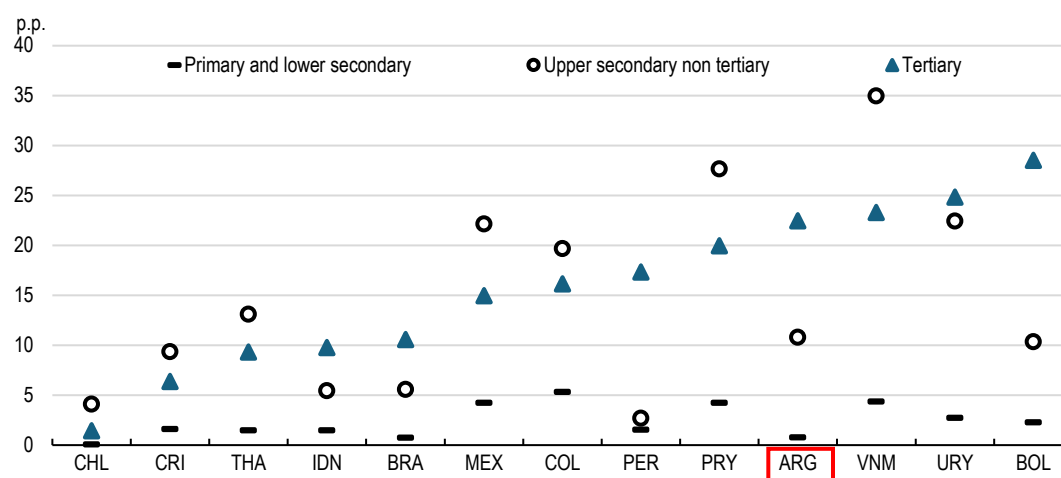
Figure 4.8. Informality is particularly prevalent in low income deciles



Source: OECD analysis based on microdata from the INDEC household survey “Encuesta Permanente de Hogares”, 4th quarter 2024.

Figure 4.9. Poverty is more prevalent among informal workers

Source: OECD analysis based on microdata from the INDEC household survey “Encuesta Permanente de Hogares”, 4th quarter 2024.

Figure 4.10. Students living in informal households are more likely to drop-out of school early

Note: Data refer to youth aged 6-24. (In)formal households are those where all working members are employed in the (in)formal labour market.

Source: OECD, 2021, Key Indicators of Informality based on Individuals and their Household (KIIBIH) (database).

4.2. The social protection system has high coverage, but at the expense of high fiscal and economic costs

The Argentinian social protection system has evolved and expanded over many years and is one of the more sophisticated systems in Latin America. The following sections will detail the key elements of the Argentinian social protection system and analyse social protection coverage for formal and informal workers.

4.2.1. The pension system

Argentina’s main contributory pension system, the “*Sistema Integrado Previsional Argentino*” or SIPA, is a public and pay-as-you-go (PAYG) system and managed by the National Social Security Administration (ANSES). The SIPA pension system coexists with special pension regimes for the army, law-enforcement, university faculty, teachers, scientific researchers, magistrates, and foreign-service staff, each being governed by different parameters. Other

schemes operating in parallel to SIPA further add to the fragmented nature of the system. Provinces and municipalities can manage their own pension schemes for provincial and municipal civil servants. All in all, more than 200 regimes coexist at the national, provincial and municipal levels. Consolidated spending on pensions amounted to 8.9% of GDP in 2023, of which 1.6% of GDP correspond to the provincial regimes. Spending on the national SIPA contributory regime reached 5.1% of GDP, of which almost 0.6% of GDP correspond to special occupational regimes (Figure 4.10).

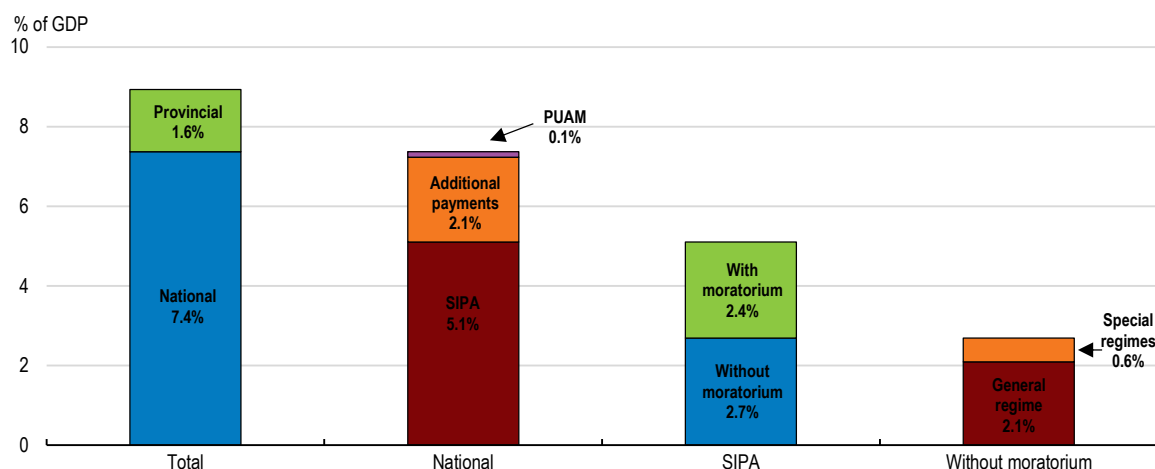
To access a pension from the general SIPA contributory regime, women must be 60 years of age, and men must be at least 65. Moreover, an individual must have contributed to social security for at least 30 years to be eligible. Many exceptions exist for the 30-year contribution requirement, however. The most notable exception has been a series of pension moratoriums, which allowed those with incomplete contribution histories to buy their missing pension rights for a fraction of the missing contributions, thus effectively granting access to a full contributory pension to individuals with limited or no contributions. Benefits are equivalent to the minimum contributory pension, roughly one minimum wage. Moratoriums have occurred in 2005, and later in 2014, 2016, 2019, and 2023. The objective of these moratoriums was to extend coverage to informal workers with low contributions.

Some evidence shows that the influx of beneficiaries beginning in 2005 increased pension coverage, especially among informal workers, but it could also have contributed to increases in informal employment. In the aftermath of the 2005 pension moratorium, formal employment fell by 5 and 4.5 percentage points among men aged 65-68, and women aged 60-64, respectively (Bosch and Guajardo, 2012^[10]). Today, about 62% of SIPA pension beneficiaries acquired their pension rights through pension moratoriums, with a fiscal cost of 2.4% of GDP (Figure 4.11). The last extension of the 2005 pension moratorium expired in March 2025. The pension moratoriums have blurred the line between contributory and non-contributory pensions, with benefit levels effectively calculated in a similar manner for those with few contributions and most of those with longer contribution histories.

Past attempts to make a clearer distinction between contributory and non-contributory benefits while ensuring a basic safety net for all have included the creation of a non-contributory benefit called “*Pensión Universal del Adulto Mayor*” (PUAM) in 2016. The PUAM guarantees a monthly income equivalent to 80% of the minimum contributory pension for all adults over 65, irrespective of their contribution history. In 2023, spending on this scheme reached 0.1% of GDP (Figure 4.11). The PUAM is expected to progressively replace benefits conceded under pension moratoriums. Simulations from ANSES show that if pension moratoriums are no longer extended, the PUAM will have fully replaced benefits from moratoriums by 2060, maintaining the same level of coverage while allowing for different benefit levels according to contribution histories.

Figure 4.11. A small share of pension spending goes to the general national regime

Spending by regime as % of GDP, 2023



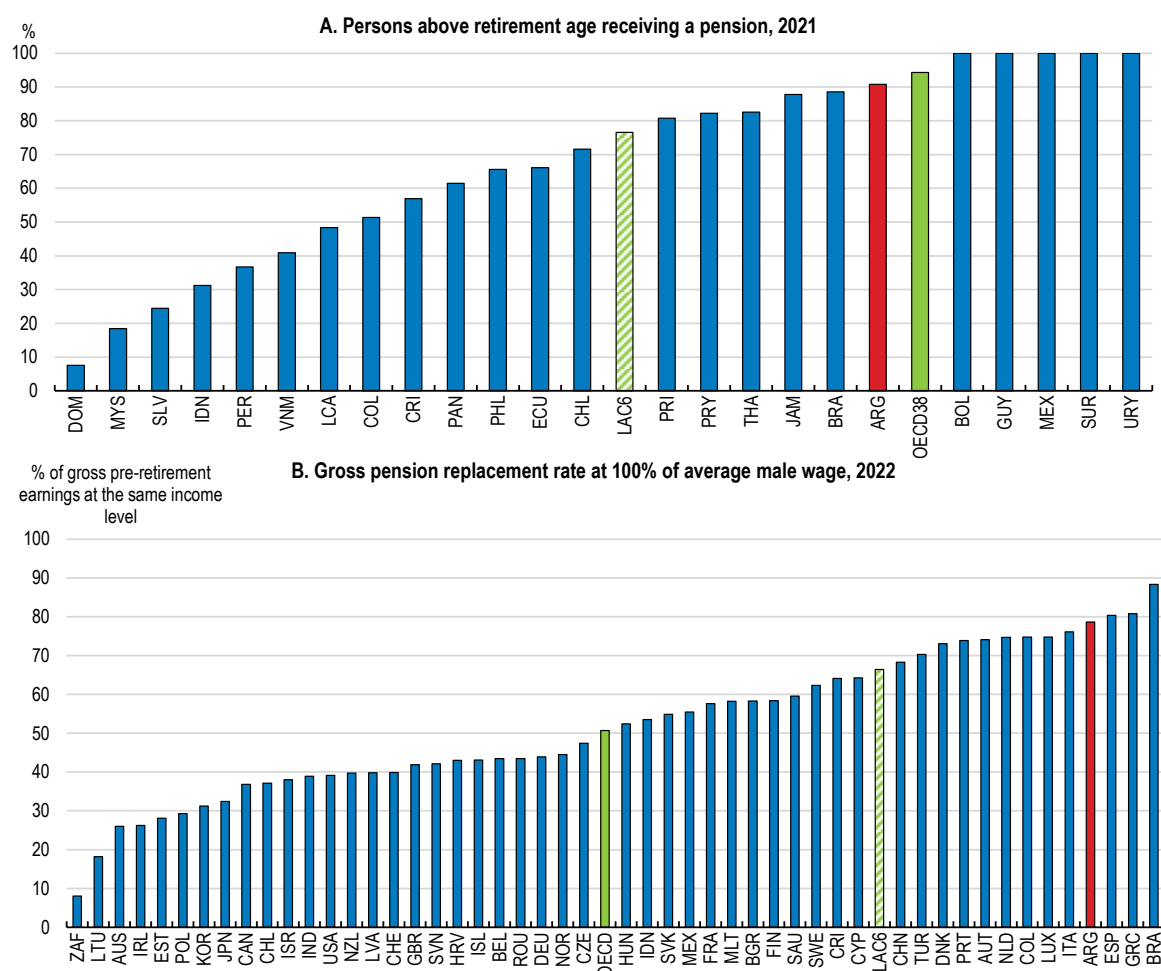
Source: OECD calculations based on data provided by ANSES.

In addition to these old-age benefits, a survivors' pension was introduced in the early 1990s, providing financial support to the dependents of deceased contributors. The survivors' pension can be accumulated with income from formal employment, as well as family subsidies, old-age pension benefits, and other social assistance benefits. There is no minimum eligibility age for a survivors' pension, and it is a permanent benefit. In September 2024, 83% of beneficiaries from a survivors' pensions were women. Spending on survivors' pensions reached 1.1% of GDP in 2023.

Following these changes, pensions have now reached an almost universal coverage. At the end of 2023, about 95% of the population aged 65 and above was covered by a pension. Moreover, automatic pension indexation mechanisms, modified on several occasions over the years, have led to higher replacement rates than in other countries in the region and the OECD average, at least up until 2022 (Figure 4.12).

However, progress in terms of coverage and adequacy has come at the expense of increasing fiscal costs, and this will only exacerbate as the population ages and more people retire. The pension system remains, in fact, the main recipient of public resources, exceeding expenditure on health and education. Some estimates expect pension spending to surge to 21% of GDP by 2065 without parametric changes (Izquierdo, Pessino and Vuletin, 2018^[11]). Public spending on pensions is already similar to that of OECD countries, while the share of the older population remains significantly lower (OECD, 2025^[12]), (Apella, 2022^[13]). A pension reform, phased in gradually and as recommended in the OECD Economic Survey of Argentina 2025, could reduce pension spending pressures.

Figure 4.12. Pension coverage and adequacy are high compared to peers

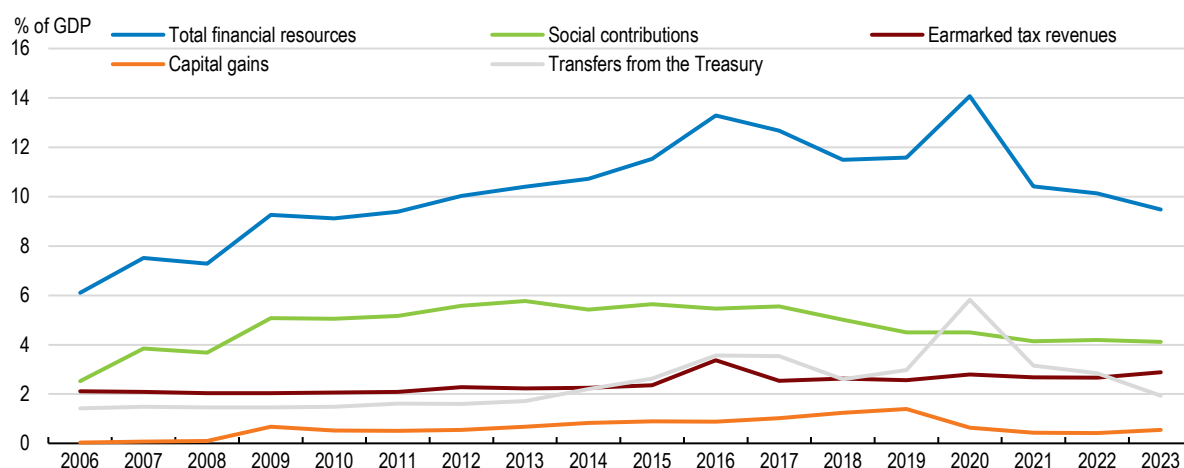


Note: LAC6 includes Argentina, Brazil, Chile, Colombia, Costa Rica and Mexico. In Panel A, data for 2021 except for MYS (2023); COL, CRI, PAN, PRI, JAM, BRA and MEX (2022); LCA, THA, GUY, SUR (2020); and VNM (2019).

Source: ILOstat, OECD Pensions at a glance database.

About two thirds of the National Social Security Administration (ANSES) spending is covered by current contributions, with the remaining funding coming mostly from earmarked general tax revenues and general budget resources (Figure 4.13). In fact, while pension coverage for individuals aged 65 and older is about 95%, the share of individuals paying social security contributions out of the active population is only about 56%. Moreover, around 30% individuals paying social security contributions are self-employed and autonomous workers whose contributions under a simplified tax regime called “*monotributo*” are substantially lower.

Figure 4.13. Social security contributions cover less than half of social spending



Source: Ministry of the Economy, ANSES.

4.2.2. The health care system

Argentina's healthcare system is characterised by a mix of public and private provision. Its basic pillar is a universally accessible and largely tax-financed public healthcare infrastructure, including public hospitals and primary health care centres run by governments across the national, provincial, and municipal levels. The services provided are comprehensive, ranging from basic care to specialised treatments, and are notably present in geographical locations deemed unprofitable by the private sector. Despite challenges in access and sometimes long wait times, demand for care in public hospitals is high as the public system is often sought after to treat complex pathologies. As an example, some of the best children's hospitals are public ones and medical residencies in public hospitals are among the most prestigious ones. Almost 20% of Argentinians rely solely on the public non-contributory system for their medical coverage. The rest of the population benefits from some form of contributory health insurance, including through family members (INDEC, 2025^[14]). Among the poorest households, the share of individuals relying solely on the public non-contributory system increases to more than 55%.

Complementing this public healthcare system, formal-sector workers are mandated to participate in one of approximately 300 sector-specific health insurance schemes, known as “*obras sociales*”. These offer varying levels of coverage, are often administered by trade unions and have faced governance challenges (OECD, 2019^[15]).

Another component of the public system is a non-contributory scheme dedicated to ensuring medical coverage beyond public healthcare facilities for the elderly, the “*Programa de Atención Médica Integral*” (PAMI). PAMI's purpose is to provide health and social benefits to retirees and pensioners of the national welfare system and the SIPA pension system. Even though PAMI is a non-contributory benefit, it is partly financed through social contributions from employers and employees, as well as pension beneficiaries.

Additionally, around 10-15% of Argentinians choose to purchase prepaid health plans with private providers, commonly referred to as "*medicina prepaga*". These cover access to private medical facilities.

The Ministry of Health plays a coordinating role and serves as the primary oversight body, responsible for the regulation, evaluation, and data collection across all three of these subsectors. A key function of the Ministry is to establish the compulsory medical programme including the benefits and medicines that all insurers are legally obliged to cover.

Financial interactions between the different parts of the system are complex and could be improved. Provinces and municipalities are responsible for financing most public healthcare centres including hospitals. While in principle designed for those without other medical coverage, in practice, some of the services offered by public facilities are also used by individuals with contributory or private insurance. A billing system is meant to recover some of the cost of services provided to the latter, but the fees billed are often below costs. Consolidated public spending on healthcare reached about 6% of GDP in 2023.

4.2.3. Family benefits

Argentina provides a range of family support benefits administered by ANSES, aimed at offering financial assistance through both contributory and non-contributory mechanisms. This dual structure seeks to balance broad social protection with incentives for formal participation in the labour market.

Contributory family benefits are means-tested allowances known as "*Asignaciones Familiares*". They benefit households whose joint income is lower than 14 minimum wages, as long as no individual member earns more than 7 minimum wages. This includes income from formal labour, unemployment benefits, income from an old-age pension, among other revenue sources. Families of children with disabilities are always eligible regardless of household income. Several allowances are available. Some are recurrent monthly payments depending on the number of children, while others are temporary during pregnancy, or one-off subsidies for childbirth or child adoption, for example. For the lowest income range in the capital region, the monthly benefit amounts to approximately USD 45 (around 18% of a minimum wage, August 2025). "*Asignaciones Familiares*" are financed through employer contributions.

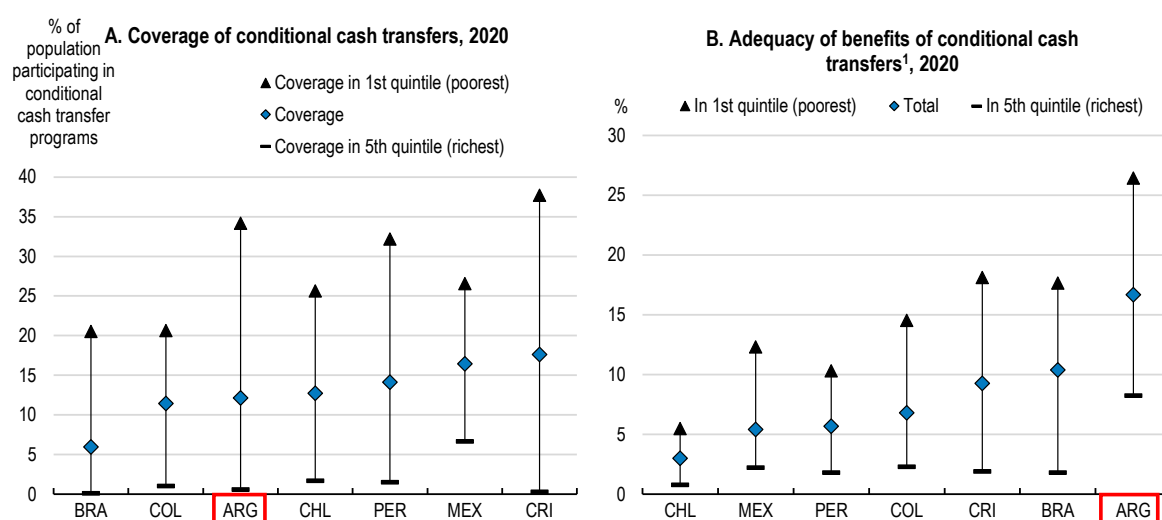
Non-contributory benefits comprise a conditional cash transfer programme known as "*Asignación Universal por Hijo*" (AUH). This monthly benefit can currently reach approximately USD 90 per child (around 36% of a minimum wage, August 2025) and is specifically targeted at families where parents are engaged in informal employment, inactive, or employed as domestic workers by households not paying social contributions. The AUH benefit is conditional: 80% is paid monthly and the remaining 20% accumulates and is released when it is proven that children have completed the health checks, the vaccination plan and the corresponding school year. Food programmes complement the AUH benefit, namely the "*Plan 1000 días*", directed at pregnant women and mothers of children younger than three years-old, and "*Prestación alimentaria*", targeted at large families with children aged up to 17 years-old.

The non-contributory child allowances "*Asignación Universal por Hijo (AUH)*", "*Prestación alimentaria*", and "*Plan 1000 días*", are examples of well-targeted programmes, concentrated on the poorest 20% of the population (Figure 4.14Figure). Moreover, evidence shows that, by being conditional on health controls and school attendance, the AUH benefit has successfully improved primary school completion rates (Poy et al., 2021^[16]), (Gasparini, Albina and Laguigue, 2024^[17]). Other studies have shown that the AUH has also contributed to reduce poverty (World Bank, 2024^[11]). In 2023, public spending on non-contributory family allowances accounted for less than 1% of GDP. In a welcome move, such allowances have been significantly scaled up recently. AUH benefits almost doubled in real terms since the end of 2023, complemented with a 500% increase in the early childhood programme "*Plan 1000 días*".

4.2.4. Unemployment insurance

Unemployment insurance is available for formally registered salaried workers who have been legally dismissed, either without just cause, due to external reasons, or because of company bankruptcy. To be eligible, workers must have contributed to the employment fund known as “*Fondo Nacional de Empleo*” (FNE) for a minimum of six months over the last three years before becoming unemployed. Individuals who are already receiving other social security benefits, excluding contributory pensions and family benefits, are excluded. The insurance also does not cover beneficiaries of existing employment programmes, individuals in internships, or those earning income from other activities.

Figure 4.14. Conditional cash transfer programmes are well-targeted



Note: Data for 2020 except for Peru (2021) and Argentina (2014). 1. Adequacy of conditional cash-transfer benefits refers to the income support received as % of the household income.

Source: World Bank, Atlas of social protection: Indicators of resilience and equity (ASPIRE).

The benefit amounts to a monthly monetary payment of 75% of the highest wage of the last six months. The benefit cannot exceed the minimum wage, nor fall below 50% of the minimum wage (USD 250 in August 2025). It complements family allowances, and medical assistance coverage. The scheme also provides recognition of seniority for retirement purposes and grants access to a SUBE card with a social fare for public transport. Beyond these core provisions, the unemployment benefits program offers additional support, such as assistance for developing individual or collective productive ventures, with the option to receive all unemployment instalments as a single payment for entrepreneurial endeavours. It also facilitates the completion of primary and secondary education, provides vocational training, job search support, guidance for independent work, and offers specific training and integration support into the labour market.

The duration of the unemployment insurance varies, contingent on the length of time an individual has effectively worked and contributed to the national employment fund within the two or three years preceding their job loss. In any case, the duration of the unemployment benefit cannot exceed one year, except for individuals aged 45 and above who can extend the benefit for an additional six months. Unemployment insurance beneficiaries must accept suitable job offers from the Secretary of Labour, Employment, and Social security, and attend all required training sessions.

In December 2024, about 10.3% of the unemployed population received unemployment benefits. The low coverage in unemployment insurance is mainly explained by the high rate of informality, since only formally registered and

contributing workers are eligible for the benefits, but also by the limited duration of the unemployment benefit. The average benefit amounted to less than 80% of the minimum wage. The cumulated expenditure on unemployment insurance at the end of the year was close to 0.04% of GDP and was financed exclusively through contributions to the National Employment Fund. The employment fund operates under a mixed financing model. Employer and employee contributions are the primary funding source, but the system also incorporates public funding through annual budget allocations and provincial contributions, alongside other revenue sources including investment income and fines (ANSES, 2025^[18]).

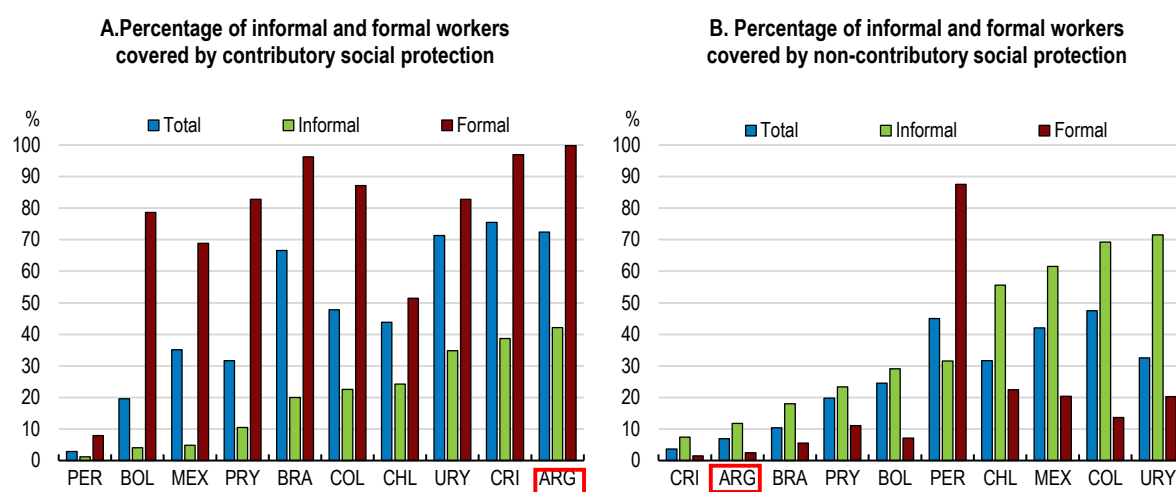
4.2.5. Additional social protection programmes

Additional programs play an important role in the social protection system, including workplace accident insurance (“Aseguradoras de riesgos del trabajo”, ART), a contributory scheme financed entirely by employers to provide insurance in case there is an accident in the workplace. ART also provides advice to employers on how to reduce workplace risks.

4.2.6. Social protection coverage for formal and informal workers

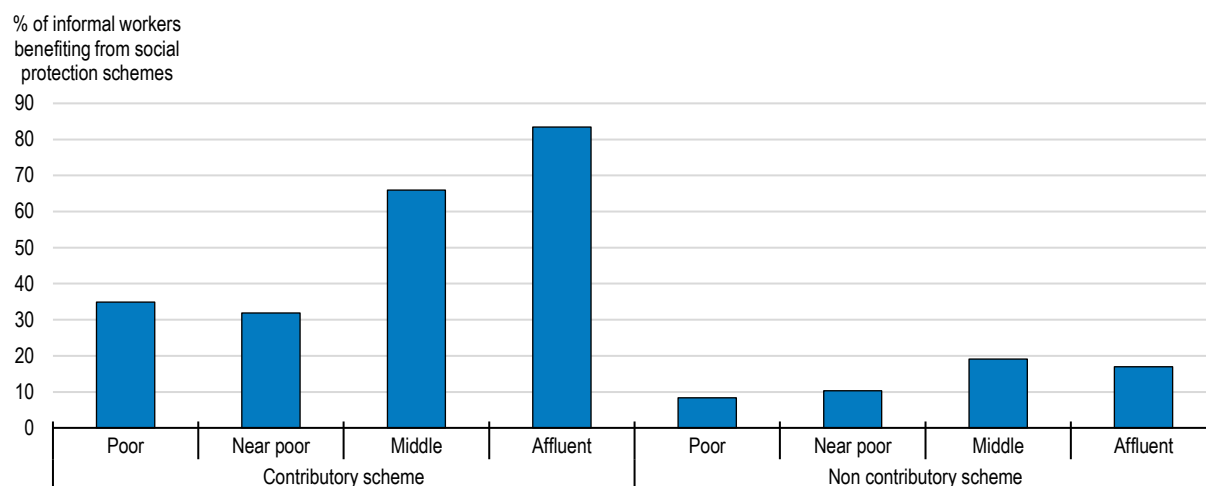
Almost all formal workers in Argentina are covered by some kind of social protection, which marks the highest coverage ratio in Latin America (Figure 4.15). Among informal workers, however, less than half have had access to social protection benefits. This social protection gap is largely explained by the lack of access of informal workers to benefits such as employment-based health, disability and accident insurance and unemployment insurance. At the same time, compared to other Latin American countries, a considerable share of informal workers has access to contributory benefits, either through family members, or owing to past pension moratoriums.

Figure 4.15. Informal workers are half as likely as formal workers to benefit from social protection



Source: Estimates based on (OECD, 2021), Key Indicators of Informality based on Individuals and their Household (KIIBIH) (database).

Contributory benefits granted to informal workers through past pension moratoriums and family members are not specifically targeted towards poor and near poor informal workers (Figure 4.16). Targeting for non-contributory social programmes could also be improved as those also benefit a larger share of affluent informal workers than poor ones.

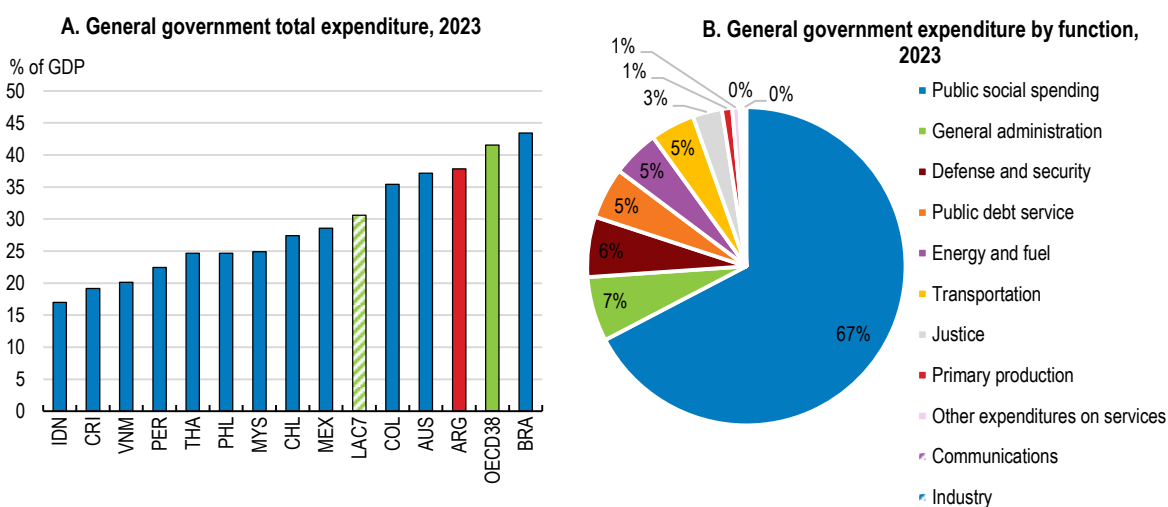
Figure 4.16. Non-contributory social protection schemes are not always well-targeted

Note: Income classes are defined using absolute per capita per day incomes, as follows: poor: int'l dollar 6.85/day or less; near poor: int'l dollar 6.85-15/day; middle: int'l dollar 15-70/day; affluent: int'l dollar 70/day or more.

Source: Estimates based on (OECD, 2021), Key Indicators of Informality based on Individuals and their Household (KIIbIH) (database).

4.3. High social contribution rates are raising formal labour costs

Given the progress made with respect to coverage, the main challenge for social protection in Argentina is to strengthen incentives for formalisation and to enhance the overall financial sustainability, particularly of the contributory pension system, whose ratio of beneficiaries to contributors is set to increase as the population ages. Argentina's public expenditure is high in international comparison (Figure 4.17, Panel A). In particular, the fiscal burden of the social protection system is already considerable, mostly due to pension outlays (Figure 4.17, Panel B).

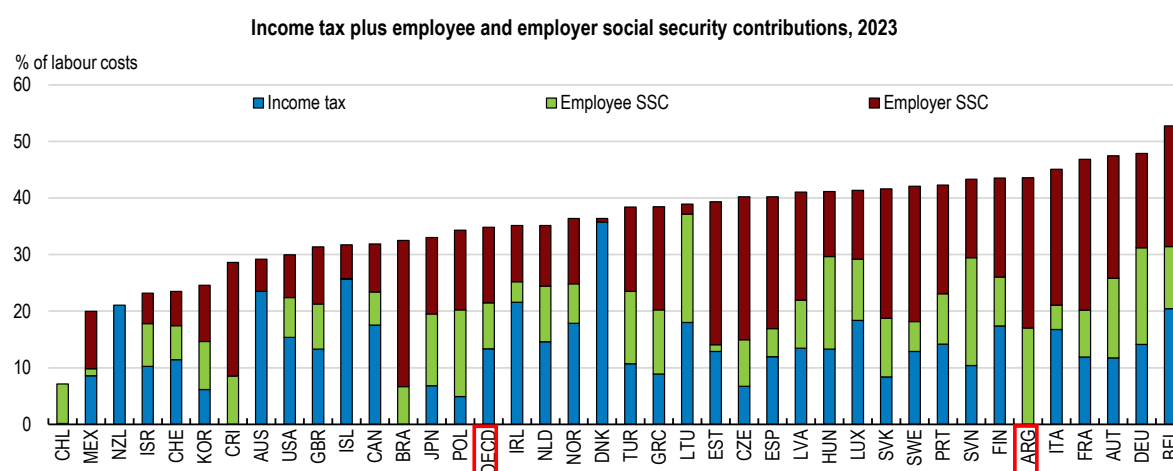
Figure 4.17. Public expenditure is high compared to other emerging economies

Note: In Panel A, data for 2023 except for BRA, CRI and THA (2022); and VNM (2021). LAC 7 is an unweighted average of ARG, PER, BRA, CHL, COL, CRI and MEX.

Source: IMF World Economic Outlook database: April 2025, Ministerio Economía de la República Argentina.

The current financing of social protection benefits relies mostly on labour contributions paid by those who hold a formal job and their employers. These contributions generate a significant wedge between workers' take-home pay and the cost of creating these jobs for employers. Given that these costs are not paid for informal jobs, this wedge can also be interpreted as the additional cost of formal job creation, relative to informal employment. The higher this tax wedge, the stronger the incentives for avoiding social contributions and opting for informal hiring instead. At about 44%, Argentina has the highest average labour tax wedge in Latin America, above most OECD countries (Figure 4.18). Almost all of this can be attributed to social security contributions. Looking at the detailed breakdown of contributions paid by workers and employers, contributions towards the pension system explain most of the non-wage labour cost (Table 4.1). Other non-wage costs, such as mandatory contributions to labour unions, for example, also add to the labour tax wedge.

Figure 4.18. Argentina's labour tax wedge is close to the OECD average



Note: Information about single individual without children at the income level of the average worker. Data for Brazil is from 2019.

Source: OECD Labour taxation – average and marginal tax wedge decompositions database, Taxing Wages in Latin America and the Caribbean 2016, OECD Average annual wages, OECD Taxing Wages 2024 - Country details, national authorities, IBGE, Nubank, OECD Taxing Wages in Selected Partner Economies: Brazil, China, India, Indonesia and South Africa in 2019.

High pension contributions may be particularly discouraging for employees who are unlikely to contribute for long enough to receive a contributory pension, which is currently at least 30 years. Workers in the informal sector may therefore perceive social security contributions as a “formalisation tax” that has little bearing on any future pension benefits they may receive.

Table 4.1. Most the social contributions paid by formal workers reverts to the pension system

Scheme	Employers		Employees
	Private firms in the services and trade sectors	Private firms in other sectors of activity	
Contributory pension scheme “SIPA”	12.35 %	10.7%	11%
Contributory family benefits “Asignaciones Familiares”	5.4 %	4.7 %	-
Unemployment scheme “FNE”	1.08%	0.94%	-
Contributions towards PAMI	1.57%	1.59%	3%
Contributory health insurance “Obras Sociales”	6%	6%	3%
Mandatory life insurance	0.3%	0.3%	-
Work-accident insurance scheme “ART”	2.58%	2.58%	-
Total	28.98%	26.58%	17%

4.4. Reconciling strong social protection with better formalisation incentives could be achieved at a reasonable fiscal cost

One way to reduce high non-wage labour costs among low-income earners would be to move towards a multi-pillar system of social protection, as described in Chapter 1 of this book. As argued in Chapter 1 of this volume, one promising way to reduce the formalisation disincentives from social security contributions and payroll taxes would be to exempt low-income ranges from these contributions as much as possible and replacing these resources with general tax revenues. This would shift some of the tax burden from social security contributions to other taxes and contributions, without raising the overall tax burden. Its success and feasibility, however, will ultimately hinge on the ability to create ways to finance the revenue losses from lowering social security contributions for those low-wage workers that are currently formal and paying contributions, even if this is by far the minority of workers in this income range.

Argentina already has many elements in place that would facilitate such a transition. At the same time, the social protection system is already quite developed and sophisticated, and also costly, so the additional tax revenues required to move to a system that would provide better formalisation incentives are not all that high, especially relative to the current cost of the system.

Preventing old-age poverty would become the role of the first universal pillar, which would essentially be the current basic pension PUAM. All elderly persons would have access to this basic pension, regardless of individual work histories in the formal and informal sectors, as is currently the case. This basic benefit, financed through general taxation, would be the only mandatory pension scheme for low-income earners, which would avoid raising the cost of formal job creation during working lives for these workers, given that the main focus in this income range is to avoid disincentives for formal work. Lowering social security contributions for low-income workers could also increase incentives for self-employed workers to obtain a higher-quality salaried job.

A second mandatory pillar would enrol those with higher incomes and greater contributory capacity. For these workers, the second pillar would complement basic benefits to improve benefit replacement rates and provide more consumption smoothing across working lives and retirement. This pillar would be financed through contributions and would provide more comprehensive benefit packages, based on the current general pension regime SIPA. Participation incentives should be maximised by tightly linking benefits to contributions even for those with short contribution periods, which requires untying eligibility from a minimum number of years of contributions. This would also create incentives for older workers to extend their working lives and support pension sustainability. A third pillar of voluntary individual savings could complement the basic and contributory pillars.

The contributory and non-contributory pillars should be seamlessly integrated within the pension system to ensure strong formalisation incentives for all income ranges and achieve the desired replacement rates for everyone in an effective way. A pension system with at least two complementary and well-integrated pillars would be able to achieve universal coverage while delivering adequate pension benefit levels and minimising disincentives for formal job creation.

Such a unified and universal multi-pillar system would allow streamlining the current array of available benefits. For example, special pension regimes could be integrated into the unified system, reducing the institutional fragmentation of the pension system and enhancing equity. Across the 13 provinces with independent pension regimes for their civil servants, replacement rates continue to be well above those of the SIPA general pension regime. A better alternative would be for provincial regimes to be gradually transferred to the proposed unified multi-pillar system, which would present scope for significant cost savings. Regarding special regimes within SIPA, the rationale for certain groups of workers to receive higher pension benefits than the rest of the system's beneficiaries should be reviewed considering the risk exposure of these occupations into account and gradually eliminating those that are deemed unjustified. Moreover, survivor pensions granting access to old-age protection to partners of formal workers, with a high fiscal cost of 1.2% of GDP in 2023, could be integrated into the unified system by converting the survivor pension into some additional contribution history under the second pillar for the

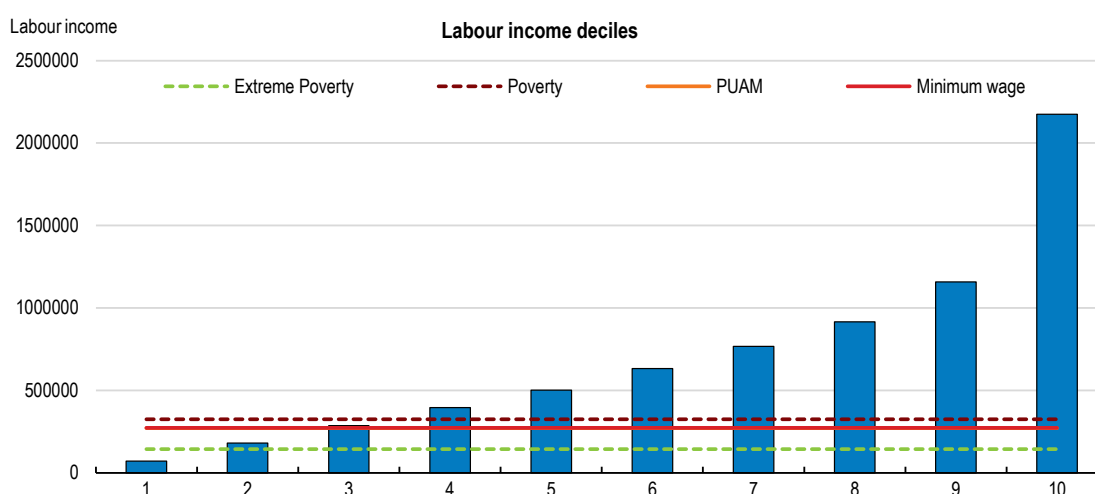
survivor, which would also allow rethinking the desired level of public expenditure on survivors' pensions. Savings of at least 0.6% of GDP, or half the current cost of survivors' pensions, could appear achievable given the disproportionate fiscal costs of this scheme today.

The cost of this reform would be limited by the fact that most informal workers nowadays already receive the PUAM pension, or benefit from a contributory pension, whose value is above the PUAM benefit, without having accumulated enough contributions, thanks to successive pension moratoriums. In the short-term, the fiscal cost of the proposed reform would therefore be limited to the foregone revenues from setting social security contributions close to zero for workers with low incomes.

As for other countries, the exact contribution rate for low-income workers and the income threshold where it would progressively increase should be subject to discussion. One could consider setting the employee contribution to the pension regime to zero for workers earning below the poverty line as defined by the National Statistics Institute (INDEC). Even if workplace insurance and some revamped unemployment insurance scheme were kept in place, this would result in total employee social security contributions below 6% for all workers earning below 1.2 minimum wages. Based on the labour income distribution of formal workers obtained from the household survey *"Encuesta Permanente de Hogares"*, this would concern about one-third of workers who are currently employed formally, and foregone revenues would amount to about 1.1% of GDP (Figure 4.19). From this low entry rate, social security contributions could rise gradually with wages, avoiding discontinuities that could create incentives for reporting a lower than actual income, or disincentives to move up the income ladder.

A reasonable medium-term objective could be for the basic universal pension benefit from the proposed first pillar to converge with the minimum wage or with the poverty line, as this would prevent low-income workers from falling into old-age poverty after retirement. The latter would imply increasing the basic benefit to 1.2 minimum wages, instead of the current 0.8 minimum wage of the PUAM benefit and would add an additional 0.1% of GDP to the fiscal cost of the proposed reform. As the PUAM progressively replaces past pension moratoriums and the number of beneficiaries of this basic universal pension benefit increases, the fiscal cost of increasing the benefit value would eventually reach 0.5% of GDP.

Figure 4.19. A basic universal pension benefit should converge with the poverty line



Source: OECD analysis based on microdata from the INDEC household survey *"Encuesta Permanente de Hogares"*, 4th quarter 2024.

4.5. Covering the fiscal costs of better formalisation incentives through spending and revenue measures

Revenue losses from targeted reductions in social security contributions as described in this previous section have been estimated at about 1% of GDP, assuming that the minimum pension would converge with the poverty line and that half the current spending on survivors' pensions could be rationalised.

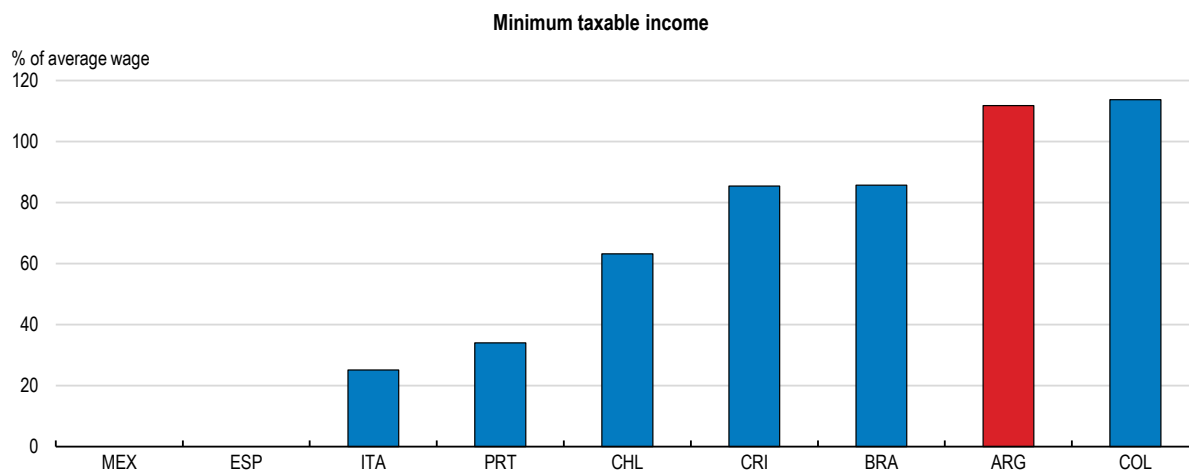
Reforms on both the spending side and the revenue side of public accounts could be used to cover these revenue shortfalls. On the spending side, and starting with the pension system itself, cost reductions resulting from the integration of more generous special pension regimes into the unified system could be a first step. Previous OECD estimates have put the potential savings from aligning the conditions of special pension regimes for select professions with general pension rules at 1% of GDP, which would already be enough to cover the cost of the proposed solely on the expenditure side of public accounts (OECD, 2019^[15]).

Additional spending restraint measures have been identified in the 2025 OECD Economic Survey of Argentina (OECD, 2025^[12]). These include phasing out subsidies on fossil fuels, electricity, and water, as well as some transport subsidies while supporting low-income households through targeted benefits, a package that could result in savings on the order of 1% of GDP. The scope for additional efficiency gains from restructuring the public administration has been estimated at around +0.5% of GDP, despite significant progress already made in recent years.

On the tax side, several measures could be envisaged to raise additional revenues if the above-mentioned spending constraint were not sufficient (OECD, 2025^[12]). Most of these include rethinking current tax expenditures, i.e. special tax treatment that reduces tax revenues relative to what they would otherwise be. One of them is to eliminate targeted corporate income tax regimes for specific sectors and regions, which could result in additional revenues on the order of 0.2% of GDP. Increasing the VAT base by limiting exemptions and reduced rates while supporting low-income households through targeted benefits could also lead to savings, estimated at +0.8% of GDP.

Moreover, an area where there is substantial scope to compensate a possible revenue shortfall from lower social contributions would be to expand the personal income tax base, whose basic deduction is so high that there is ample scope for lowering it without affecting vulnerable households (Figure 4.20). The personal income tax basic allowance exceeds the average wage and results in only about 10% of workers paying personal income taxes in 2021, compared to 51% in OECD countries (Lodola, Moskovits and Zack, 2024^[19]).

Figure 4.20. Few formal workers pay personal income tax

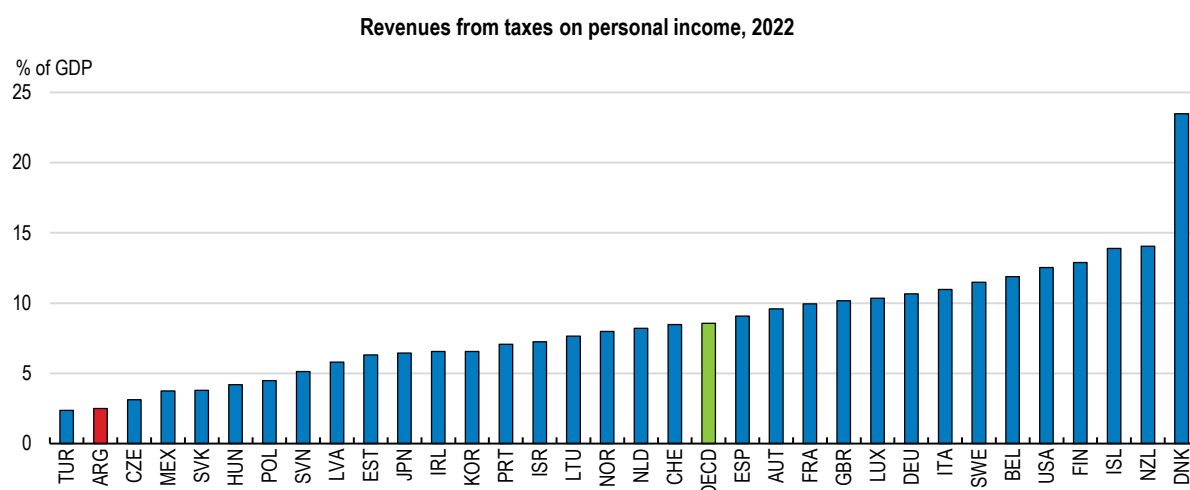


Source: OECD Taxing Wages 2024.

The personal income tax base could also be increased by limiting tax deductions such as those for mortgage interest payments and private healthcare expenses. Given the high basic deduction, these specific deductions currently

benefit only those at the top of the income distribution and hence have regressive distribution effects. In addition, Argentina has a PIT exemption for specific professions, which is highly unusual. Estimates put foregone PIT revenues from such deductions and exemptions at around 5% of GDP (Lodola, Moskovits and Zack, 2024^[19]). These two features are part of the explanation why Argentina's personal income tax revenues amounted to 2.5% of GDP in 2022, compared to 8.6% in OECD countries (Figure 4.21).

Figure 4.21. Revenues from personal income taxes are low in international comparison



Source: OECD Revenue Statistics.

4.6. Conclusion

Informality is a complex phenomenon that is related to many factors. This chapter focuses on how social protection mechanisms, and especially their financing, can influence the incentives for formal job creation. Other factors also matter, and these include weak legal enforcement, the complexity of the overall tax system and regulatory burdens, both in product and labour markets, low educational attainments and skills. Overcoming the challenges of informal activity requires a combination of policies to tackle both employment informality and business informality.

With respect to social protection, a first key consideration is that Argentina's comprehensive social protection system has achieved an almost universal pension coverage and features several well-targeted cash transfers that have been effective in improving incomes and opportunities for those in need. At the same time, the current system is fragmented and presents scope for strengthening the efficiency of public spending on social protection. Beyond that, there is substantial scope for improving incentives for formal job creation. The high social security contributions that finance the system raise the cost of creating these formal jobs, which may be one of the reasons why around half of employment in Argentina is in the informal sector. At about 44%, Argentina has the highest average labour tax wedge in Latin America, above most OECD countries. Reducing these high non-wage labour costs for low-wage earners with salaries close to the minimum wage may create substantial benefits for formalisation and could be financed through both spending and revenue measures, many of which would also reduce inequities and improve incentives in other policy areas. In the long-term, moving towards a multi-pillar system with better incentives would probably have additional positive effects on public revenue, given that eventually more economic activity would move into the formal sector and more workers would find opportunities to progressively move up the job ladder.

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5

Brazil: Social protection and incentives for formal job creation

Daniel Duque and Jens Matthias Arnold

Brazil has built a sophisticated social protection system over the years, contributing substantially to reductions in poverty and inequality. At the same time, the fiscal burden of the system is considerable, and the financing of many social protection benefits relies on labour contributions and taxes by those who have a formal job, which is not the case for almost 40% of the workforce. These contributions drive a significant wedge between workers' take-home pay and the cost of creating these formal jobs for employers, which in turn may be one of the reasons behind widespread labour informality. Reducing these high non-wage labour costs for low-wage earners with salaries close to the minimum wage may create substantial benefits for formalisation. This chapter proposes reforms that could reduce the cost of formal job creation and promote formalisation, provided that alternative financing sources for the labour taxes and contributions of low-wage formal workers can be identified. This could potentially allow many more workers to join the formal sector and benefit from stronger social protection benefits.

5.1. Progress in social protection has been remarkable, but scope for further improvements remains

Over the last decades, Brazil has built one of the most sophisticated and extensive social protection schemes in Latin America. Benefit coverage and levels exceed that of many countries in the region, including an almost universal old-age pension coverage, a universal public healthcare system and conditional cash transfers that reach almost 20 million households. These social protection benefits cover risks like longevity, health and poverty and are contributing substantially to the reduction of poverty and inequality in Brazil. Spending on social policies amounted to more than 16.5% of GDP in 2023.

The current system has evolved over the years through repeated attempts by policy makers to make improvements and address punctual shortcomings and challenges that became priorities at different points in time. These repeated additions to the system have made the system larger and more complete but have not necessarily made the system as a whole more consistent. From today's perspective, Brazil's social protection system as a whole has scope for improving both the efficiency with which it uses public funds to improve social outcomes, and for the incentives it creates.

Social protection in Brazil shares many similarities with other countries in the region: Its origin lies in social security benefits loosely modelled on systems found in advanced economies, mostly financed through contributions in labour receipts, and with benefit eligibility limited to those who pay contributions, which is a common definition of formal sector workers today. These have been complemented by social assistance benefits for those working in the informal sector, largely financed from budget resources, i.e. general taxation revenues. Nowadays, many different, at times overlapping, benefits co-exist and give rise to a social protection system that displays some degree of fragmentation.

One of the consequences of the elaborate social protection system is the sizeable financial burden that its financing imposes on society, which is only set to rise as the population ages, and the distortions resulting from the way that it is financed. With most of formal-sector social security financed through charges on (formal) labour, Brazil is characterised by high non-wage labour costs in the formal labour market, consisting of payroll taxes and social contributions. This high tax burden drives a significant wedge between the cost of creating a formal job and employing a person informally.

In 2023, around 39% of the labour force lacked access to a formal job. Informality has several serious consequences. For one, it precludes workers from better earnings opportunities and job quality. This is consistent with poverty rates that are more than five times higher among those in informal work, whose incomes are more than 45% lower than those of formal workers (IBGE, 2024). In addition, informality deprives a significant share of the population of access to some social security benefits, as will be described in more detail in this chapter.

Furthermore, informality also entails other disadvantages for people's well-being and productivity, including the exclusion from access to credit, related to the absence of any declared income. This precludes informal workers from using access credit markets to smooth consumption in the case of unexpected spending needs, and it reduces the scope for productivity-enhancing investments into the activities of self-employed workers. Where entire firms are kept outside the formal sector, the difficulties in access to credit are likely to hamper productivity and growth of these firms, making informality a clear obstacle to productivity growth. Finally, informality also reduces tax collection. This is true from a static perspective due to lost tax revenues today. But the losses are probably even larger from a dynamic perspective, as firms and workers could obtain higher incomes over time if they were not held back by the constraints that informality imposes on their development, which would eventually lead them to pay more taxes.

While informality has many causes, improving the incentives resulting from the current financing of social protection can probably lead a long way towards reducing it and promoting formal job creation. The current structure of costs and benefits associated with labour and social security legislation makes formal job creation costly – and informality a common form of tax evasion. Improving incentives for formal job creation is therefore a promising avenue to reduce informality, alongside other policies such as refinements in labour regulations and better enforcement.

This chapter on Brazil tries to map a way forward for strengthening social protection mechanisms in a way that unties both the access and the financing of social protection from formal-sector employment. For old-age pensions, it argues that coverage and benefit levels have advanced well, but the financing of these pensions continues to present challenges for formalisation incentives. With respect to benefits for those in working age, the chapter argues that Brazil's main conditional cash transfers programme *Bolsa Família*, which has been substantially upgraded in 2023, can play a key role in this transformation and can be a key tool for breaking the vicious circle between poverty and informality in Brazil.

Some of the proposed improvements in incentives will require finding alternative financing sources to replace current ones. This will necessitate either raising revenues from other sources or finding savings by reconsidering some of the current spending items and raising their efficiency. Brazil has significant scope to improve public spending efficiency, as documented in several editions of the OECD Economic Surveys of Brazil, and some of these financing proposals will be detailed in section 6 of this chapter.

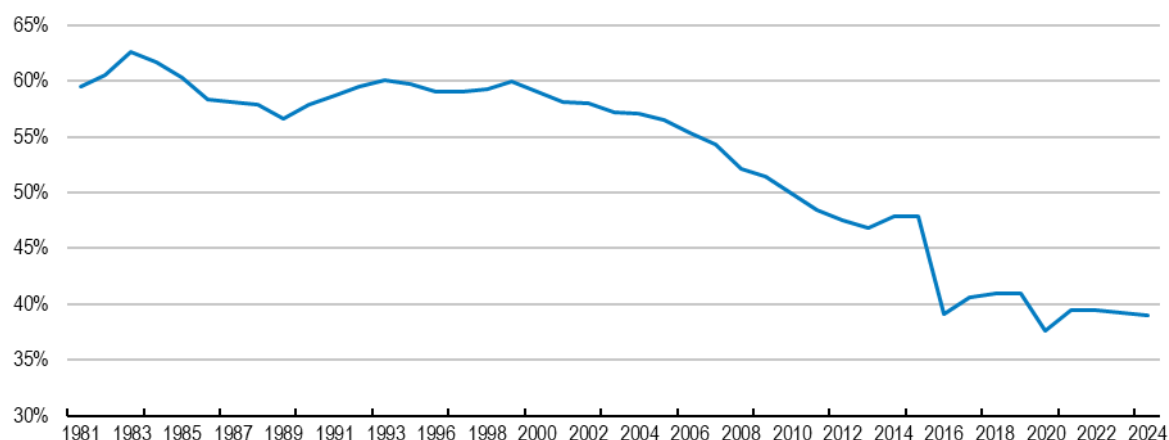
5.2. Extent and history of informality in Brazil

Informality has declined significantly since the 1980, when around 60% of the labour force was working in informal jobs (Figure 5.1). After a period of minor ups and downs hovering around these high levels during the 1980s and 1990s, the Brazilian labour market saw an unprecedented decline in the incidence of informality from the beginning of the 2000s.

This decline in informality occurred in the context of a remarkable transformation of the labour market, both in terms of its sectoral composition and the distribution of income, with marked improvements in the distribution of income towards lower inequality levels. Informality dropped by more than a third between 2000 and 2012, declining from above 60% at the beginning of the millennium to below 40% in 2016. This was even more remarkable given that the minimum wage rose by 61% in real terms over the same period.

Figure 5.1. Informality has declined since the 1980s

Share of informal workers



Note: Years 1991, 2000 and 2001 are interpolated. Self-employed workers without registration are classified as informal.

Source: IBGE, Pesquisa Nacional por Amostra de Domicílios, available at: <https://www.ibge.gov.br/en/statistics/multi-domain/science-technology-and-innovation/20620-summary-of-indicators-pnad2.html>

A decomposition exercise suggests that large part of the decline in informality between 2003 and 2012 can be traced back to improvements in educational attainments, reflected in a declining participation of less educated and less experienced workers, in addition to sectoral shifts and a direct absorption of unemployed workers into the formal sector (Barbosa Filho & Moura, 2015). Similarly, modelling results lead to the conclusion that compositional changes in the Brazilian workforce are the most important factor behind the reduction in informality that occurred over this period (Haanwinkel & Soares, 2021).

Since 2016, informality has remained fairly stable around, and more recently slightly below, 40%. While this means that the achievements of the last decades in terms of lower informality have been preserved, the secular downward trend has come to an end, and informality has remained persistent, pointing to structural factors that prevent it from declining further.

5.3. The status quo: Different social protection benefits available to formal and informal workers

Similar to other countries in the region, the range of social protection benefits available to formal and informal workers is generally not the same, although it is less dissimilar in Brazil than elsewhere in Latin America. This is because Brazil has been particularly successful in expanding non-contributory benefits available to informal workers, who -as a result- are not left entirely without coverage by social protection.

5.3.1. Pensions have achieved almost universal coverage but create strong distortions

Old-age pensions have achieved almost universal coverage in Brazil through a combination of contributory and non-contributory schemes. Public spending on pension was 11.9% of GDP in 2023, which is high relative to the share of the elderly in the population (Figure 5.2, Panel A). Pension expenditures will continue to rise as Brazil's population ages faster than most others in the world (UN, 2024^[1]). The median age has increased by 6 years between 2010 and 2022, and the population aged 65 and above has risen by 57% over that period. In parallel, life expectancy at birth has increased by almost 6 years since 2000, reaching about 76 years in 2021, 80 years for women and 72 for men (OECD, 2021^[2]).

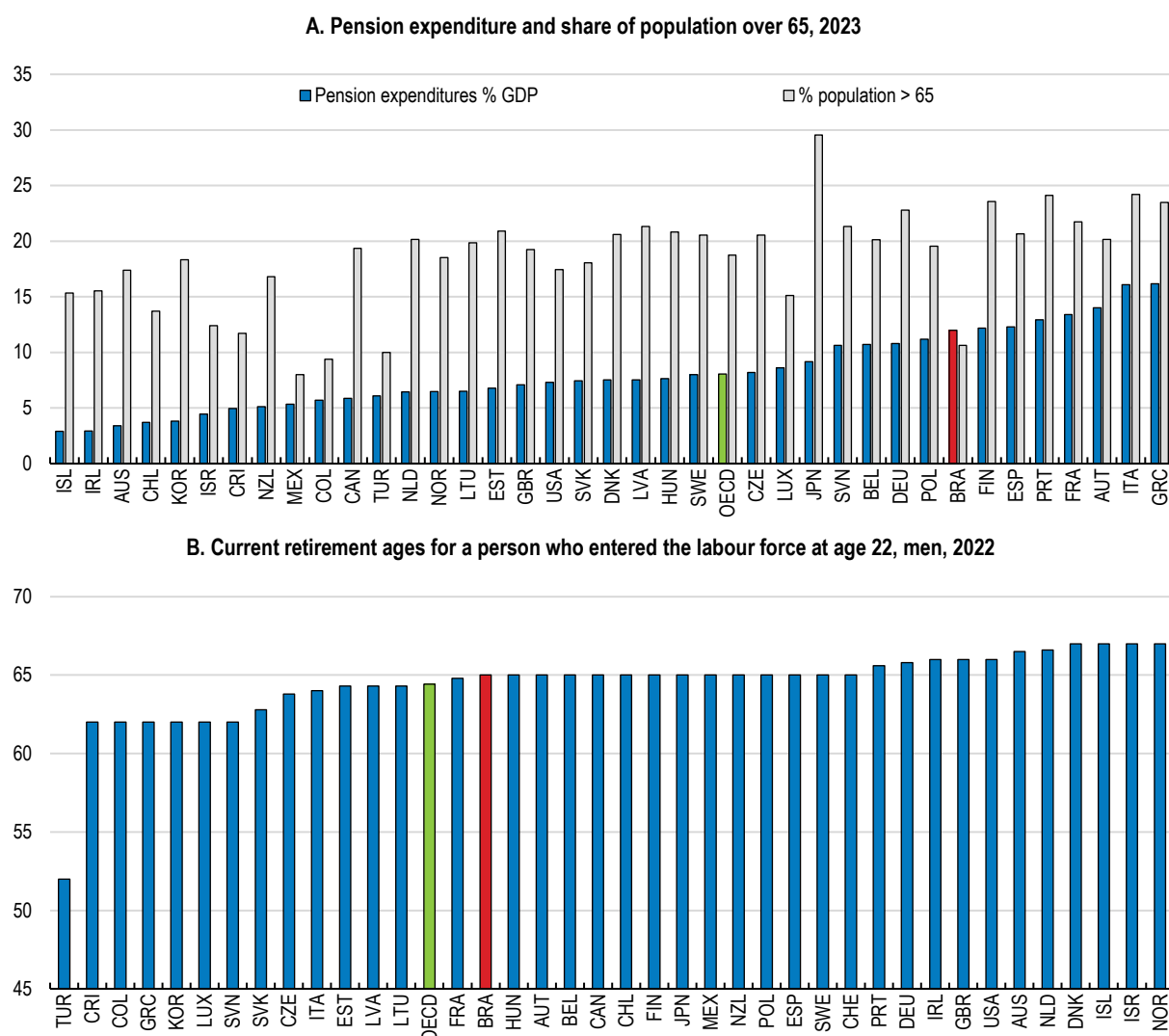
In practice, all those with formal work are affiliated to either the general pension scheme for private-sector employees (RGPS) or to a civil servant regime run by the federal, state or municipal governments (RPPS). While the benefits and fiscal costs are different across the two regimes, with the civil servant regime being somewhat more generous in many instances, both systems guarantee a pension of at least one minimum wage to their beneficiaries. Replacement rates in Brazil's contributory pension systems are generally higher than in most OECD countries. For those earning an average wage, pension benefits under the RGPS replace 88.4% of that gross income, compared to 50.7 in the OECD average.

The 2019 pension reform marked an important step to contain future increases in pension costs and strengthened the system's sustainability (Box 5.1). It introduced a general minimum retirement age of 62 years for women and 65 for men, raising the effective retirement age to levels closer to the OECD average (Figure 5.2, Panel B). It is estimated that the 2019 pension reform will generate savings of about 10 percentage points of GDP over 10 years (OECD, 2020; IFI, 2019).

Box 5.1. Brazil's 2019 pension reform

In November 2019, Brazil approved a pension reform containing a wide range of parametric changes. These included the introduction of a general minimum age of 62 years for women and 65 for men, while previously retirements based on years of contribution led to effective retirement ages of 53 years for women and 56 for men. Contribution rates were made progressive, leading to visibly higher contributions for high-wage earners and to lower rates for minimum wage earners. Survivor pensions will no longer be 100% of the deceased spouse's pension but vary according to the number of dependants. Limits on the accumulation of benefits were also introduced.

The reform improves the distributional footprint of the pension system. By establishing a binding retirement age, it ended the current practice where low-income earners with part of their working life in informal employment retire later than others who retire on the basis of years of formal contributions. Moreover, the reform reduces inequalities between the private sector regime and the public sector regime, as the latter was significantly more generous before.

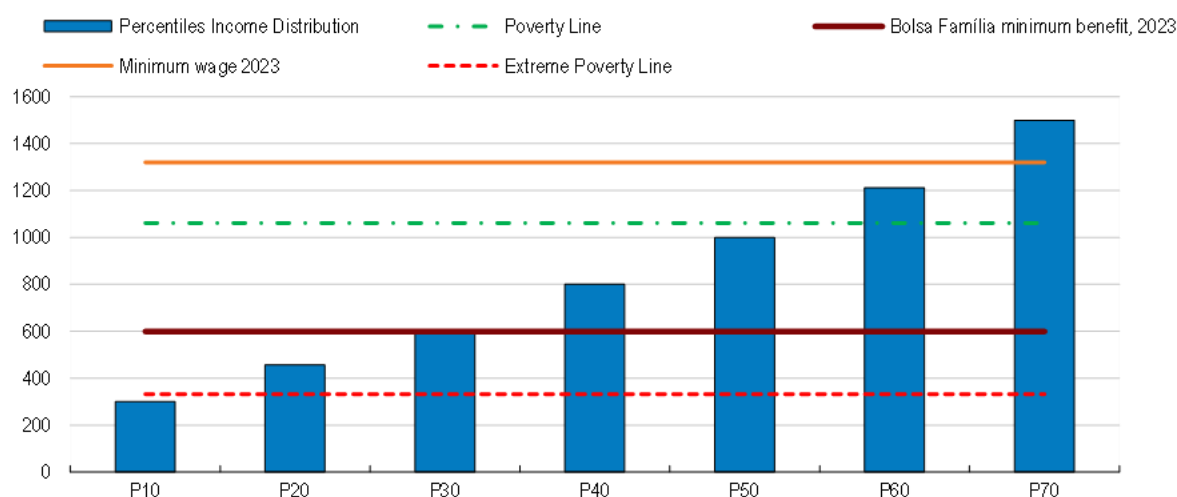
Figure 5.2. Despite improvements since the 2019 reform, spending on pensions is still high

Note: The net replacement rate is the individual net pension entitlement divided by net pre-retirement earnings, taking account of personal income taxes and social security contributions paid by workers and pensioners.

Source: OECD Pensions at a Glance 2023; World Bank; Tribunal de Contas da União; and OECD calculations.

One peculiar feature of pension and other formal-sector benefits, and an important driver of increasing pension costs, has been the current indexation pattern of these benefits. Brazil's constitution mandates that no old-age pension benefit can be lower than the minimum wage. At the same time, the real value of the minimum wage has seen sharp increases of 33% over the last 15 years. After these increases, the minimum wage is now located between the 60th and the 70th percentile of the income distribution, meaning that 60-70% of Brazilians have monthly incomes of less than one minimum wage (Figure 5.3). This strong effective indexation explains Brazil's high pension replacement rates (OECD, 2023b) and has mostly benefited households with above-median incomes, exacerbating income inequality.

Figure 5.3. Social benefits tied to the value of the minimum wage are not well targeted



Note: Extreme poverty is defined as earning less than 2.15 USD 2017 PPP per day. Poverty is defined as earning less than 6.85 USD 2017 PPP per day.

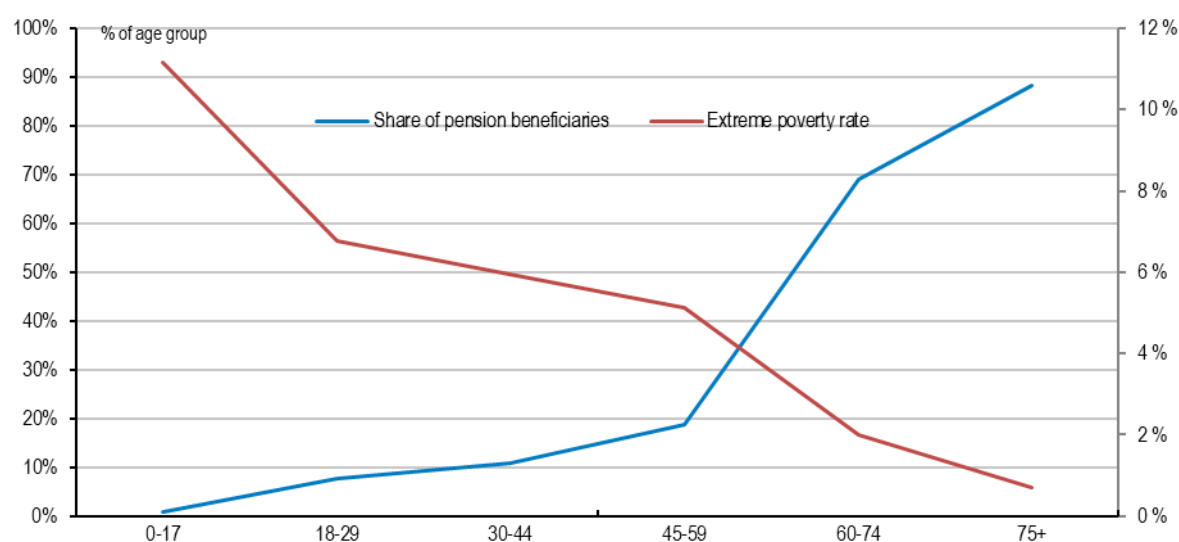
Source: IBGE (PNAD Contínua) and Banco Central do Brasil.

Formal social security pension benefits have been complemented by non-contributory pensions since the early 1990s. The expansion of non-contributory pensions has been instrumental for achieving an almost universal coverage as of the age of 65, with approximately 99% of those aged 65 receiving either a contributory or a non-contributory pension, of which 20% receive a contributory social security pension and 80% a non-contributory pension.

Non-contributory pensions are delivered through two schemes. In rural areas, those who have (presumably) worked most of their lives in agricultural or forestry activities will receive a rural pension without any requirement of past contributions, with a guaranteed benefit level of one minimum wage, plus a 13th monthly payment per year. In urban areas, those who reach the age of 65 and incomes below 25% of the minimum wage have access to a targeted non-contributory pension, the so-called *Benefício de Prestação Continuada* (BPC), which provides a monthly minimum wage to urban low-income workers, but no 13th monthly payment. The amount of these non-contributory, equivalent and automatically indexed to the level of the minimum wage, implies that non-contributory pension benefits are at the same level as social security pensions for most low-income earners, as the minimum wage also acts as a floor for social security pensions. In fact, the vast majority of social security pension benefits granted under the RGPS and the RPPS amount to one minimum wage.

Both these pensions are constitutional rights, so every worker who is eligible to either one of them will have access to it, regardless of any federal budget constraint. This way, pensions among the elderly have become virtually universal. These programmes have essentially eradicated extreme poverty among the elderly, which now affects less than 1% of older age groups (Figure 5.4).

Figure 5.4. Pension coverage is negatively correlated with extreme poverty



Source: PNADC 2023.

5.3.2. Social assistance benefits to those in working age are effective in reducing poverty

Social assistance benefits for those in working age consist primarily of conditional cash transfers, which achieve a broad, almost universal coverage among the target group. Brazil's flagship anti-poverty programme, the *Bolsa Família* programme (BFP), reaches about 27% of households, using a fairly precise targeting to poor households through a large public registry, called the *Cadastro Único*. It combines a low eligibility line, i.e., the maximum income that a household can have to become eligible for a benefit, and a benefit level that varies mostly according to the number of children in the household.

Before the pandemic, *Bolsa Família's* budget saw a steady 13% decline in real terms from 2014 to 2019 (Federal Government, 2020). Since 2010, readjustments in the underlying *Bolsa Família* extreme poverty line, which defines eligibility, had been insufficient to offset inflationary losses. The increasing pressures on *Bolsa Família* spending were partly related to rigid budget rules that include automatic indexation of social security benefits, to which *Bolsa Família* benefits do not belong, and minimum spending floors in certain spending areas. In the face of rising mandatory spending, continuous cuts in discretionary spending, to which *Bolsa Família* belongs in budget terms, was the only lever to meet fiscal targets. Public investment, which is also considered discretionary spending, suffered the same fate of being crowded-out by the inability to rein in mandatory spending, most of which is enshrined in Brazil's constitution and therefore politically more difficult to change (OECD, 2020). In the absence of readjustments during 2014-2016, the average monthly benefit plummeted by 20% over those three years, a time when poverty and inequality increased (Barbosa et al., 2020). New adjustments only came in 2016 and 2018, but they were insufficient to replace the previous losses. At the end of 2019, the average BFP benefit was still 16% below 2014 levels.

In April 2020, the federal government launched the *Auxílio Emergencial* (Emergency Aid) programme to mitigate the strong impact of the Covid-19 pandemic on informal workers. Its amount was originally proposed at BRL 200 per month by the Executive Branch but then raised to BRL 500 by Congress and finally defined at BRL 600 in an agreement between both. The benefit was intended for informal workers and unemployed people from low-income families. In order to receive it, adults only had to register in a mobile application created for that purpose. Beneficiaries of the *Bolsa Família* programme became eligible automatically but had to substitute one benefit for the other.

With this broad eligibility, the programme reached around 66 million beneficiaries in August 2020. At that time, half of the population was living in a household where at least one member had received the transfer. The programme was implemented throughout the whole year 2020, with benefit levels cut to half in the outer months of the year. The programme was continued with a slightly different design between April and September of 2021.

The significant income support provided by the federal government during the pandemic mitigated much of the economic impact of the pandemic on low-income households (Duque, 2020). However, with a fiscal cost of almost 8% of GDP, the programme's price tag was very high in international comparison, putting Brazil in second place among emerging economies with respect to non-health Covid spending, second only to Chile (IMF, 2021). When the *Auxílio Emergencial* ended in October 2021, the Federal Government modified *Bolsa Família* and renamed it to *Auxílio Brasil*. The new programme was similar to the design of *Bolsa Família*, with an adjustment of the eligibility line from BRL 89 to BRL 100 per person and a continuously strong focus on families with young children.

While the base benefit of BRL 190 per family and month was not too far from pre-pandemic levels, a temporary bonus raised the benefit level to BRL 400 per family (around 25% of median earnings), more than doubling the spending on the programme (IFI, 2021). To finance this considerable extra expense, the federal government obtained several temporary waivers from Congress in 2022. In early 2023, the government reinstated *Bolsa Família*, discontinuing *Auxílio Brasil* and permanently increasing the cash transfer value to BRL 600 plus variable benefits, leading to an average benefit level of BRL 680, around 38% of median earnings. The minimum benefit, which had already been temporarily raised during the pandemic to address massive income losses, now represents about 46% of the minimum wage (Figure 5.3). Preliminary evidence suggests that at this level, *Bolsa Família* benefits have come closer to showing a negative correlation with labour participation (Duque 2023, 2024). This measure raised the total costs of the programme to around 1.5% of GDP in 2024. The original conditionalities related to school attendance and healthcare were fully re-established in the new *Bolsa Família* design.

5.3.3. Labour market benefits are limited to formal workers

One area covered by contributory social insurance but not by non-contributory benefits is a more comprehensive protection against economic risks related to unemployment, health and maternity, including paid maternity and sick leave. Access to these benefits is probably the most salient difference in benefit coverage between formal and informal workers in Brazil. There are no provisions for insuring informal workers against sudden income losses such as those related to dismissals or business failures.

Income insurance needs of informal workers are generally higher than those of formal workers. Informal workers tend to be affected more frequently by income shocks than formal workers (Gomes et al., 2019). This is related to a higher volatility among formal workers both in terms of effective earnings and hours worked. For example, between the first quarter of 2018 and 2019, informal workers' hours worked had an average standard deviation of 24% of their average hours, also referred to as coefficient of variation, compared to 18% among formal workers. Similarly, informal workers' earnings had a coefficient of variation of 37%, above the 29% for formal employees.

Social assistance benefits such as *Bolsa Família* could in principle cover these insurance needs and help informal workers who face sudden income losses, if they were disbursed rapidly after an income loss occurs. In practice, however, the long delays between applying for *Bolsa Família* benefits, and their eventual concession is severely limiting the potential of conditional cash transfers for helping a family in a timely manner in moments when a member of the family loses her or his income.

Formal workers have access to two separate programmes that provide benefits in case of dismissal. Although quite different in nature, the two schemes serve essentially the same purpose of providing resources to dismissed formal-sector workers (OECD, 2020).

Seguro Desemprego is a benefit paid for an amount of up to two minimum wages over a period of 3 to 5 months following a dismissal deemed without just cause as regulated by law. This benefit established by the 1946 Constitution and is nowadays regulated by Article 7 of the Brazilian Constitution of 1988. The criteria for accessing

the *Seguro Desemprego* include having received salaries from a legal entity or an individual equivalent to it for periods that can vary from 6 to 12 months, depending on the number of previous benefit request, besides other minor requirements. The benefit is granted for a maximum period varying from three to five months, counting from the date of dismissal. The benefit amount depends on the previous salary. For low-income workers earning up to 1.5 minimum wages, the benefit is set at 80% of the former salary. For workers earning more than 1.5 minimum wages, the replacement rate decreases with the salary, with an overall cap at approximately 2 minimum wages (BRL 2640 in 2023). With a fiscal cost of about 0.4% of GDP in 2023, *Seguro Desemprego* is financed through earmarked resources from a turnover tax on firms.

The *Fundo de Garantia do Tempo de Serviço* (FGTS) is an individual unemployment account scheme created in 1966, with the aim of providing better financial stability to formal workers. Contributions to the scheme are made by the employer at a rate of 8% of the salary, or 11.2% for domestic workers, with top-ups by the Federal government that generate a fiscal cost of about 0.3% of GDP. FGTS allows workers to withdraw their individual account balances upon dismissal or for the purpose of a real estate purchase. Account balances have traditionally been remunerated below market rates and even below inflation for all years but two since 1995, giving the FGTS balances a notion of forced savings for which workers could get a better return elsewhere. The balances are used to finance public policy programmes including in the areas of housing and infrastructure. More recently, annual withdrawals even without a dismissal have become an option for FGTS, but workers who exercise this option have no further withdrawal available in case of dismissal, which defies the original purpose of the scheme to insure workers against income losses associated to dismissals.

In addition to these two schemes, Brazil provides an in-work benefit for low-wage formal workers (*Abono Salarial*), on the condition that they have been registered for at least five years, excluding domestic workers and employees of individuals. It provides an annual benefit that tops up the salaries of formal workers who earned on average up to two minimum wages per month over the year, pro-rated for those who worked less than the full calendar year. Domestic workers and those employed by individuals are not covered. This programme was originally meant to provide in-work benefits to those with low incomes, but given the current parameters and widespread informality, *Abono Salarial* no longer fulfils this purpose. All formal workers earn at least one minimum wage and after many years of strong real increases, the minimum wage currently marks the 65th percentile of the income distribution. The poorest 30% of Brazilian households received only 17% of the distributed *Abono Salarial* benefits in 2017 (CMAG, 2020). By contrast, a childless couple of two formal employees earning between 1 and 2 minimum wages each, for instance, will both be eligible for this transfer, despite being among the top 40% in the income distribution, based on calculations using the 2019 *PNAD Contínua* household data. All in all, the *Abono Salarial* mostly benefits the middle of the income distribution, while the actual low-income workers are those with informal jobs earning less than a minimum wage. The programme budget was about 0.3% of GDP 2023, financed through earmarked resources from a turnover tax on firms.

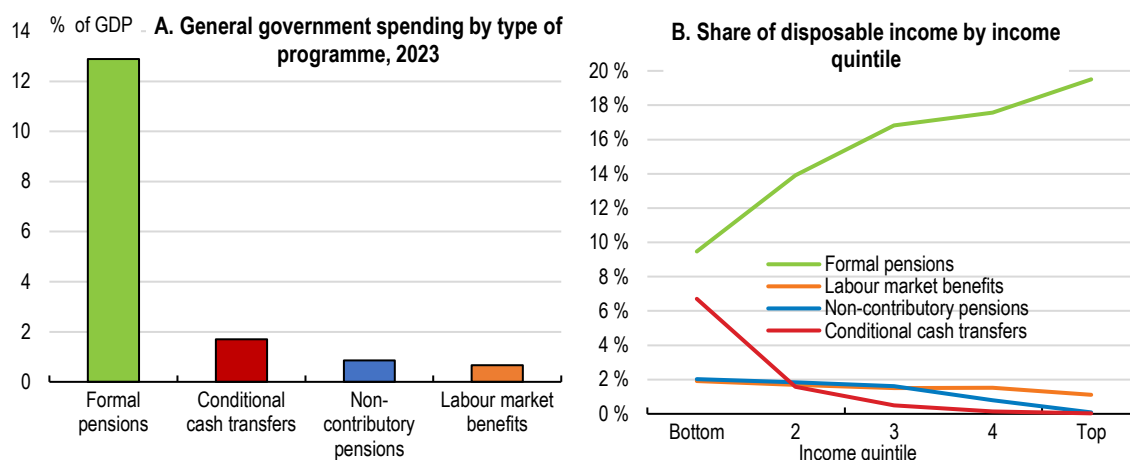
5.3.4. The distributional impact of current social spending

On the whole, Brazil's current set of social protection spending is not characterised by a strong targeting towards low-income households. The public sector spends around 12.9% of GDP on formal-sector pensions and social security, which far exceeds spending on any other social protection programme. This is followed by around 1.7% of GDP spent on conditional cash transfers including the *Bolsa Família* programme. Non-contributory pensions account for public expenditure of around 0.9% of GDP, while Brazil spends 0.7% of GDP on labour market benefits (Figure 5.5, Panel A).

At the same time, public spending on social security pensions has a larger impact on the disposable incomes of high-income households than on those of low-income households, even relative to disposable incomes, as depicted in the upward sloping green line in Panel B of Figure 5.5. This implies that public pensions exacerbate rather than attenuate income inequalities. The opposite is true for non-contributory pensions and especially conditional cash transfers, which leave a larger footprint on the incomes of low-income earners than on higher income quintiles. Labour market benefits are also slightly progressive, but less so than the latter two categories. The progressivity of

labour market benefits comes particularly from their lesser role for the top income quintile, probably as a result of the caps on overall benefits from unemployment insurance schemes. For informal workers, who are more vulnerable than those with formal jobs and largely concentrated in the lower income quintiles, the patterns depicted in Figure 5.5 means that they are eligible for only a minor fraction of the overall social protection spending, as they are excluded from both social security pensions and labour market benefits.

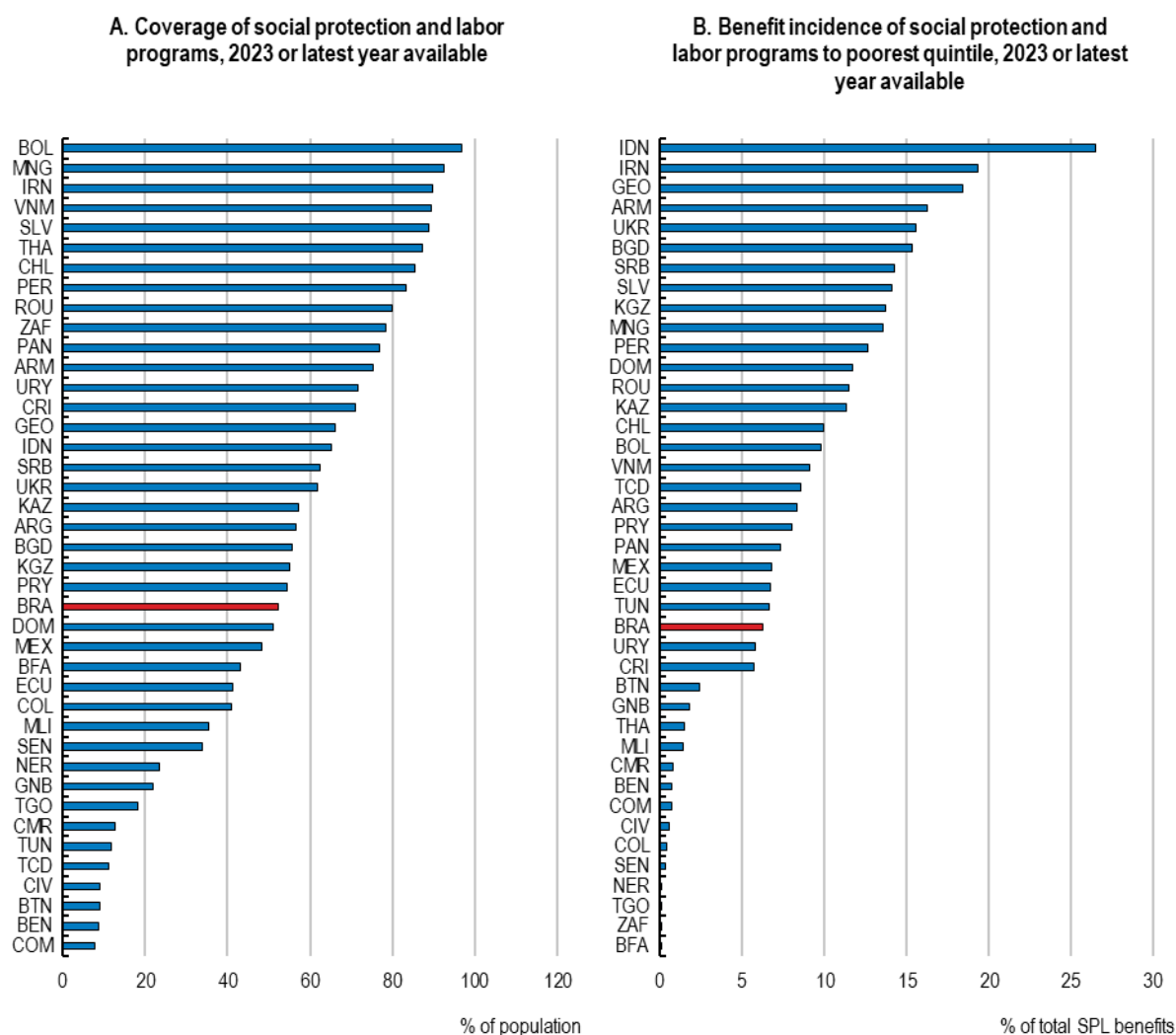
Figure 5.5. Social spending is poorly targeted to low-income households



Source: Panel A: Tesouro Nacional, Estatísticas Fiscais do Governo Geral 2023. Panel B: IBGE, POF 2017/18.

Another way of looking at the success of social protection policies in supporting vulnerable households is to look at the percentage of the population participating in social protection, unemployment benefits and active labour market programmes, including both direct and indirect beneficiaries. With respect to this metric, Brazil occupies an intermediate position among countries covered, with around 50% of the population having some kind of access to such benefits (Figure 5.6). When looking at the benefit incidence and narrowing down on the most vulnerable households, i.e. the poorest 20% of the population, Brazil fares less well in international comparison: Only 4% of the total social protection and labour market benefits go to the bottom quintile of the income distribution, compared to around 9% in the median country depicted in Figure 5.6.

Figure 5.6. Brazil has a mid-range position in benefit coverage, but weak targeting to the poor



Note: Data are based on national representative household surveys. Social protection and labour market programmes include social insurance, social safety nets, unemployment benefits and active labour market programmes.

Source: ASPIRE: The Atlas of Social Protection, World Bank, available at <https://www.worldbank.org/en/data/datatopics/aspire>

5.4. Drawbacks of the status quo: The financing of social protection raises formal labour costs

High non-wage labour costs, a large part of which finances formal-sector social protection, drive a significant wedge between the cost of formal and informal work in Brazil (Firpo and Portella, 2021). Taken together, the different contributions paid by workers and employers add more than 35% to the take-home pay of a formal-sector worker remunerated at the minimum wage. A more detailed breakdown of contributions paid by workers and employers is presented in Table 5.1. Pension system contributions of 20% for the employer and 7.5% for the worker represent the lion's share of non-wage labour costs. In addition, employers pay 8% of the salary of formal workers to the *FGTS* saving system of individual unemployment accounts, an average of 3.25% for a workplace risk insurance scheme. All these contributions provide some kind of direct benefits to workers, although the *FGTS* contribution is taxed implicitly by remunerating balances below market rates. No such direct link to worker benefits exists for a series of payroll taxes totalling on average 4.6% of wages and whose revenues are earmarked to finance education and

training programmes and a public-sector agency in charge of land reform. By contrast, the unemployment insurance scheme *Seguro Desemprego* is not financed from contributions or taxes on workers' salaries, but from a turnover tax on companies. If it were financed through charges on salaries, this would have added another 2.5 percentage points to non-wage labour costs in 2018 (Firpo and Portella, 2021).

Table 5.1. Non-wage labour costs are high in Brazil

Contributions and payroll taxes paid by employers and workers

	Paid by worker	Paid by employer				Total
Salary level in multiples of minimum wage	Contribution to Pension System	Contribution to Pension System	FGTS contribution	Workplace risk insurance	Earmarked payroll taxes	
1	7.5%	20%	8%	1%	4.6%	41.1 %
1-2	9.0%	20%	8%	1%	4.6%	42.6 %
2-3	12.0%	20%	8%	1%	4.6%	45.6 %
3+	14.0%	20%	8%	1%	4.6%	47.6 %
Average	11.8%	20%	8%	1%	4.6%	45.3 %

Note: Earmarked payroll taxes provide no direct benefits to workers that are linked to their contributions. They include taxes used to finance Sistema S, an entity providing worker training, Salário Educação which provides funding for public basic education for all, and the public-sector agency INCRA. The rates applied for workplace risk insurance and Sistema S are an average of their lower and upper bound, respectively 0.5-6% and 0.6-3.1%. The average is calculated using the 'Relação Anual de Informações Sociais' (RAIS) in 2019.

Source: Adapted from Firpo and Portella (2021), on the basis of RAIS 2019 data.

These contribution levels are high in international comparison, as they are only exceeded by Japan and European economies, which have more sophisticated welfare systems, like France, Sweden and Belgium (Figure 5.7). These high non-wage labour costs create strong incentives for tax avoidance through informal employment and are one of the explanations behind Brazil's significant levels of informality, both among workers and among firms. For an establishment employing low-skilled labour that is facing the decision to create a formal or an informal job, the over 40% labour cost difference between an informal and a formal worker will be hard to compensate through other means, especially in markets where firms using informal labour compete with fully compliant firms.

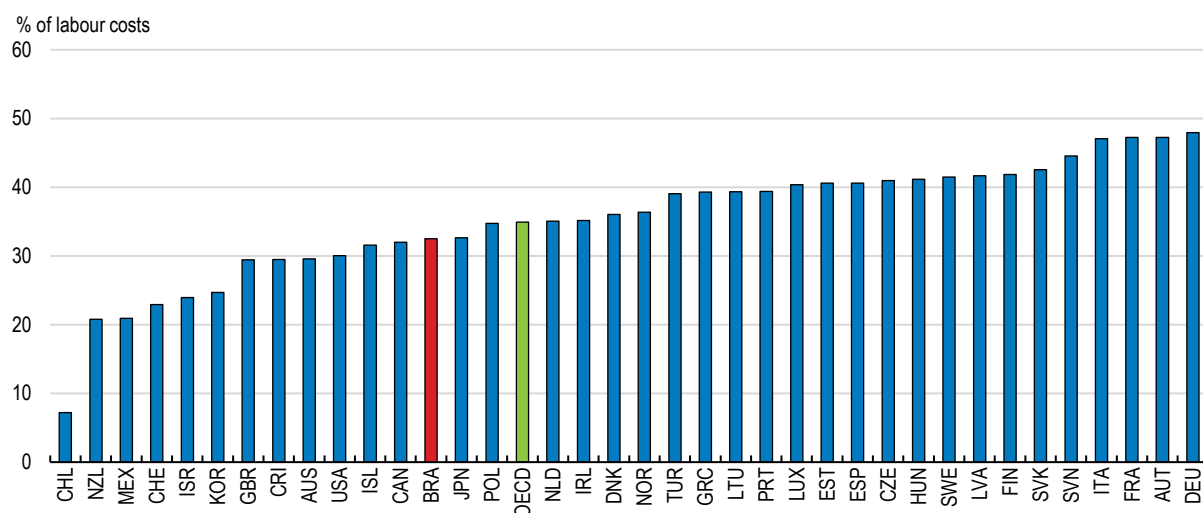
Attacking this root cause of informality would be one promising way of reducing informality in Brazil, even if it is not the only policy lever available. For a low-skilled worker, accepting an informal job is associated with access to less social benefits, but the differential is not that much. Basic benefits like access to an old-age pension or universal public healthcare are available to informal workers on similar terms as to formal workers, including with respect to the level of the pension benefit. The incentives to seek a formal job are diminished by the high level of social security contributions, coupled with the relatively limited differential in benefits.

This situation creates a vicious circle in which the high non-wage labour costs that finance formal-sector social protection effectively preclude many informal workers from getting a foothold in the formal labour market, which in turns cements persistent inequalities in social protection coverage between formal and informal sector workers. Reducing the cost differential between formal and informal jobs would help to break this vicious circle resulting from the interplay of informality and social protection.

Existing evidence based on a natural experiment that reduced non-wage labour costs for some sectors suggests that reducing non-wage labour costs would have strong potential to reduce informality among firms (Rocha et al., 2018). More specifically, industries eligible for the reduction experienced an increase of 4.8% in the number of formal firms as a result of the formalisation of existing informal businesses.

Figure 5.7. Social security contributions are high in international comparison

Income tax plus employee and employer social security contributions, 2024



Notes: Data for 2024 except for Brazil (2019). Single individual without children at the income level of the average worker.

Source: OECD Labour taxation – average and marginal tax wedge decompositions database; and OECD Taxing Wages in Selected Partner Economies: Brazil, China, India, Indonesia and South Africa in 2019.

Brazil's situation is in many ways similar to those of other Latin American countries, but there are also key differences. The almost universal coverage of the population with old-age pensions, for example, is a feature of Brazil's social protection system that several other countries in the region will likely look at with envy, while the wide reach of conditional cash transfers contributes significantly to poverty alleviation. A universal public health system provides basic health benefits to all residents regardless of their labour market status. At the same time, the wide coverage with non-contributory benefits also implies that the incentives for workers to join the formal sector are lower than in other countries in the region, because the range of benefits they can enjoy by moving from informal to formal work changes less than in other countries.

Informality affects almost 40% of the workforce, holding back social progress, productivity and tax revenues. This is keeping the economy trapped in an equilibrium that delivers far from optimal outcomes. Moving from the current situation into a more desirable equilibrium without informality and better opportunities for professional development and productivity growth will require thinking outside the box and undertaking significant reforms to reduce the current disincentives to formal job creation. Given Brazil's long history of endemic informality, small changes are unlikely to have any major impact. Neither the strong growth nor the massive improvements in access to education since 2000 have been sufficient to bring the lower end of the income distribution into the formal sector, even if part of those who managed to move up the skills ladder have been able to find formal employment.

5.5. A way forward: Reconciling strong social protection with better formalisation incentives

Brazil's starting point for reconciling universal access to social protection with financing mechanisms that avoid unnecessary disincentives for formalisation is in some ways easier than that of other countries in the region, given its elaborate system of non-contributory benefits in the area of pensions, conditional cash transfers and healthcare. While many policies have aimed to tackle Brazil's widespread informality, one area that has not seen much progress is a systematic focus on reducing non-wage labour costs low-income earners to reduce the cost differential between informal and formal jobs. Brazil's social security contributions have been at internationally high levels for decades (Table 5.1).

Formal job creation is clearly related to non-wage labour costs. One piece of evidence for this was the introduction of a micro-entrepreneur scheme *Microempreendedor Individual* (MEI) in 2009. This scheme allowed micro enterprises with up to 1 employee (besides the entrepreneur) to join the formal sector at much lower registration costs. As of 2011, the scheme also included a substantial reduction in non-wage labour costs in eligible sectors. The 2011 reform triggered an increase in the number of formal firms of more than 4% in eligible sectors, as a result of informal firms becoming formal (Rocha, Ulyssea and Rachter, 2018). By contrast, an earlier measure that included only a reduction in registration costs for informal companies had no discernible impact.

The level of non-wage labour costs may not matter in the same way in all circumstances. In fact, informal employment is most prevalent among those with relatively low skills and low wages, while for many high-skilled jobs informality is not a relevant consideration. This suggests focusing the efforts for reducing social security contributions on the lower range of the wage distribution. One potential approach could be to aim for substantive reductions in non-wage labour costs for those earning up to 1.25 or 1.5 minimum wages, in combination with additional contributory benefits, and social contributions levied on wages, for those earning more. These higher contributions would, of course, need to rise gradually with incomes to avoid strong discretionary increases in non-wage labour costs at any given threshold, as this would create incentives to keep wages just below such thresholds.

As argued in Chapter 2 of this volume, one promising way to reduce the formalisation disincentives from social security contributions and payroll taxes would be to exempt low-income ranges from these contributions as much as possible and replacing these resources with general tax revenues. This would shift some of the tax burden from social security contributions to other taxes and contributions, without raising the overall tax burden. Its success and feasibility, however, will ultimately hinge on the ability to create ways to finance the revenue losses from lowering social security contributions for those low-wage workers that are currently formal and paying contributions, even if this is by far the minority of workers in this income range.

5.5.1. Pension contributions

The largest element of non-wage labour costs in formal jobs are the contributions of both workers and employers to the pension system, which sum up to 27.5%-29% of the wage bill for salaries in the salary range between 1-2 minimum wages. Reforming these contributions for lower wage ranges would have the largest potential for reducing non-wage labour costs and improving formalisation incentives. This is particularly relevant in the lower wage ranges because the added value of a contributory pension may not be straightforward to see for many low-income workers, given that they can enjoy similar pension benefits through non-contributory pensions.

Reducing pension contributions for low-income earners could be achieved by merging the current non-contributory pensions and a part of the contributory pension system into a universal basic old-age pension. This basic pension would be paid to all those above the retirement age of 65, regardless of their work history.

Such a pension could be financed from general tax resources, as is the case for current non-contributory pensions, as opposed to from specific social security contributions levied only on formal-sector salaries. This would allow reductions in non-wage labour costs for low-wage earners, which are most affected by informality, and hence significantly improve the incentives for formalisation, while continuing to ensure universal access to basic pensions for all. The basic universal pension would be effective in eliminating old-age poverty, while at the same time reducing one of the major distortions that give rise to Brazil's high levels of informality.

This could be done by applying a zero rate to pension contributions for those earning up to a certain threshold, while gradually phasing in pension contributions at initially low but increasing rates as wages rise. The exact zero-rate threshold where the contribution rate could switch from zero to a low positive entry rate could be subject to discussion. But given the bunching of the wage distribution right at the minimum wage, this threshold should probably be slightly above but in the vicinity of one minimum wage. One possible option could be to set it at 1.25 or 1.5 minimum wages, but other options in that vicinity may be equally suited.

For those with higher incomes, there would still be a case for a mandatory contributory second pillar of the pension system with benefits that would top up the basic universal pension for those with higher incomes. The main justification for a contributory pillar for higher incomes is the typical short-sightedness of people's financial planning. Besides preventing old-age poverty, which would be addressed with a universal basic pension from the first pillar, pension systems provide consumption smoothing between the working and the retirement periods, i.e., ensure that retired workers can enjoy pension benefits that deliver a reasonable replacement for their working-age incomes. The basic universal pension provided by the first pillar would not be able to provide adequate replacement ratios for those earning several multiples of the minimum wage.

A contributory second pillar of the pension system should be actuarially fair in broad terms and provide neither subsidies to higher-income pensioners, as the current pension system implicitly does, nor should it expropriate part of their savings from contributions made over the years. There is no reason either why a top-up contributory pension scheme should make any difference between private-sector workers or civil servants. Integrating newly appointed civil servants into the general pension scheme with its basic non-contributory and its complementary contributory pillars would allow substantial savings over time and starkly improve the distributional impact of the pension system, even if introduced only for newly appointed civil servants while preserving the current pension rights for all those already in civil service.

The level of the basic pension benefit could be determined according to several considerations. In principle, a universal basic pension would have the main task of eliminating old-age poverty, suggesting that the poverty line would be a lower bound for such a benefit. This reasoning would likely resonate in a number of Latin American countries where many of the elderly currently go without any pension at all, and old-age poverty levels are high. In Brazil, however, the starting point and the political economy of creating a universal basic pension are quite different, given the current almost universal coverage of the elderly with pensions amounting to one minimum wage. Against this backdrop, a universal basic pension below the level of one minimum wage would likely be politically unrealistic, as it would be perceived by beneficiaries as a step backwards. Setting the basic pension benefit at the level of the current minimum wage would probably be the only politically feasible way forward and ensure continuity with the status quo for most current and future pensioners.

Setting the basic pension at the level of one minimum wage today, however, does not preclude future discussions about the most appropriate indexation mechanism, which will affect the real value of the pension benefits in the future. Over many years, current indexation mechanisms have pushed up the real value of minimum pension benefits, while using these resources for other social benefits that reach those with lower incomes would have allowed significantly stronger progress in reducing inequality (Arnold and Bueno, 2021). Looking ahead, there may be a case for preserving the real purchasing power of future minimum pension benefits without strictly following movements in the minimum wage, which have often outpaced productivity growth over the last decades and may do so again. Many countries automatically index pensions in a way that preserves their real value and passes part of the wage increases of current workers on to retirees, but not necessarily all of those gains.

The proposed two-pillar pension system would strongly improve formalisation incentives and could make real inroads into eventually eliminating the inequalities and the productivity drag resulting from high informality. For a worker in the lower range of the salary distribution, there would essentially be no major cost difference between formal and informal work, except maybe a small contribution to workplace accident insurance. Workplace risk insurance is intimately linked to the employer-employee relationship and Brazil's workplace accident insurance varies both across sectors and according to the accident history of individual firms, which is in principle a desirable feature that creates incentives for firms to minimise these risks (Levy and Cruces, 2021). At the same time, current contribution rates of 1% for low-risk or 2% for medium-risk activities are small and unlikely to make a real difference when it comes to formalisation, as long as people perceive that the insurance will protect them in case of a work accident.

Moving towards a tax-financed basic pension would lead to revenue losses as social security contributions would no longer be due on salaries up to the zero-rate threshold. For those with incomes above that threshold, the question would be whether their incomes up to that threshold should also be paying contributions at a zero rate or

not. While exempting them as well may have regressive distribution effects when looked at in isolation, it would essentially be the price to pay for maintaining compliance incentives and avoiding large threshold effects. If those earning only slightly above the threshold immediately had to pay contributions on their entire salary, including the amount that would be exempt if their salary was below the threshold, then this would lead to extremely high marginal contribution rates at that threshold. Workers and employers would have strong incentives to set or declare salaries just below the threshold instead. At the same time, there are other ways to introduce more progressivity into the financing of social protection, as discussed in the next section.

5.5.2. Payroll taxes

Another place to start reducing the high non-wage labour costs would be the payroll taxes that finance non-work-related policy programmes including training, the public-sector agency INCRA and public basic education for all. These add 4.6% of extra costs to the cost of formal job creation and have no obvious link to the salary or the employment contract on which their economic burden falls. Given Brazil's high minimum wage, it is likely that many employers will be unable to pass on these payroll taxes to workers through lower wages, so that these payroll taxes are likely to have significant effects on formalisation (Firpo and Portella, 2021).

These payroll taxes are used to further broad policy objectives. In the case of *Sistema S* and *Salário Educação*, both worker training and better financing for public education are desirable objectives for a society, not least due to their positive external effects for the economy as a whole. But they have no particular relationship with formal-sector employment and there is no reason why the tax base that finances them should be only for the receipts from formal labour. By defining the tax base so narrowly, these taxes create distortive incentives to substitute formal labour for informal work. Instead, broad policy objectives should be financed from a broad range of taxes, which could include taxes on all kinds of income and taxes on goods and services. Against the background of Brazil's long history of earmarking tax revenues to specific expenditure items, which have created challenging rigidities in the budget that make it hard to adjust the budget to a changing world, the creation of these specific payroll taxes for financing these unrelated policy objectives should be seen like an accident of history rather than a feature of a desirable tax structure (OECD, 2020).

Financing policies currently funded through payroll taxes from alternative tax revenue sources would eliminate this part of the distortion towards informality, and the next section will elaborate a number of proposals of where additional tax revenues could come from.

Estimates suggest that pension contributions and payroll taxes from the income range up to one minimum wage currently amount to 1.35% of GDP. This provides a ballpark estimate of the amount of funding would need to be identified from other revenue sources or by reducing current expenditures.

5.5.3. Unemployment benefits

An additional reform that could make a larger difference in terms of reducing the cost wedge between formal and informal employment would be a reform of the unemployment benefit system. Employers' contributions to the *FGTS* scheme amount to 8% of wages, or roughly one fourth of the current non-wage labour costs at the level of the minimum wage. There are several reasons why these contributions could be reconsidered. One is the broader question about the relative costs and benefits of an explicit unemployment benefit for low-wage workers in a context where well-developed conditional cash transfers exist to ensure a basic lifeline for those unable to generate sufficient income, including following a dismissal.

That perspective would imply that for the large number of workers earning around a minimum wage, the flagship cash transfer programme *Bolsa Família* could be tasked with ensuring a basic transfer to low-wage workers who lose their job. Following the recent increase in benefit levels, the resulting replacement rate would not be too distant from current practice in other countries, for those earning around the minimum wage. The basic *Bolsa Família* benefit of BRL 600 is currently around 46% of the minimum wage, while a single parent with two dependent

children would get BRL 900 from *Bolsa Família*, about 69% of the minimum wage. These sizeable potential replacement rates raise the question of whether an additional separate unemployment benefit scheme is necessary for workers at these wage levels.

A key challenge for *Bolsa Família* to support families after dismissals will be to make the programme more responsive to changes in beneficiaries' personal situation by speeding up processing of benefit claims. Programme enrolment for new beneficiaries can sometimes take months or more, but dismissed workers need immediate income support.

Workers who are already programme beneficiaries will also find it easier to seize employment opportunities if they know that the benefit will resume rapidly should they become unemployed again. This area has seen important progress recently, with a gradual rather than sudden withdrawal of *Bolsa Família* benefits for those whose household income exceeds the programme's eligibility threshold, for example because a household member found employment. This gradual withdrawal allows households to keep receiving 50% of the benefit for a transition period of 12 months. The benefit will only be cancelled if household income exceeds the eligibility line during the transition period and gets reinstated otherwise. This transition period encourages people on *Bolsa Família* benefits to take up job offers, without fear of being worse off if they fail to maintain their employment.

Making the programme even more agile than at present would imply more frequent visits to beneficiary households by local social workers. If conditional cash transfers could react and pay out pro-rated monthly benefits within a few days after a worker declares her or his dismissal and hence becomes eligible for the transfer, they could become one reasonable way to insure the temporary income losses associated with dismissals. For a larger part of low-income workers, namely those currently in informal employment and with no access to unemployment benefits at all, such a change would clearly constitute an improvement over the status quo.

For those on the lower end of the income scale, a reform that would ensure swift coverage with *Bolsa Família* benefits upon dismissal while eliminating the current 8% contribution to the *FGTS* scheme would combine basic insurance against dismissals with a substantial reduction in non-wage labour costs. As a result, more of those currently in informal employment would likely be able to join the formal sector as employers would be less reluctant to create formal jobs.

For higher income ranges, *Bolsa Família* would not be able to generate satisfactory replacement rates, and income smoothing considerations would be poorly serviced by *Bolsa Família* alone. But that does not mean that the current co-existence of two unemployment benefit schemes that -despite their substantial differences in design- essentially aim to ensure workers' losses in the case of dismissal, would be the optimal setup for higher income ranges either. One of them, the *Seguro Desemprego*, is financed from tax revenues that go beyond formal payrolls and will be part of the currently implemented reform of indirect taxes that aims to convert several currently distortive indirect taxes into a dual value-added tax (VAT) levied by the federal and subnational governments. In this context, the future design of the current financing source of *Seguro Desemprego* is expected to be a well-designed VAT, while *FGTS* is solely financed from contributions levied on formal wage bills. These differences in financing sources give *Seguro Desemprego* a clear edge over *FGTS* in the role to insure temporary income losses resulting from dismissals.

Moreover, the benefits that workers receive in return for the 8% contribution that their employers make for *FGTS* are likely to be valued at less than the contributions, given the history and trend of remuneration below market-rates. In fact, Brazilian workers have revealed a preference for withdrawing their funds from *FGTS* whenever they had a chance to do so, including when recent reforms allowed yearly withdrawals at the expense of losing access to *FGTS* funds in the event of a dismissal. A broader reform of the unemployment benefit system could therefore consider abolishing the mandatory returning current balances to *FGTS* account holders while shifting the role of unemployment benefits towards *Seguro Desemprego* and *Bolsa Família*. Such a reform would also allow savings on the current *FGTS* contributions by the Federal government, whose fiscal costs are about 0.3% of GDP.

Establishing a transfer policy to which in principle all can have access upon losing their livelihood would also introduce an opportunity to build a unified registry of employment (both formal and informal) and transfers. Currently, formal employment is registered in the 'Relação Anual de Informações Sociais' (RAIS), while potential social assistance beneficiaries are registered in the 'Cadastro Único'. The lack of a broader database was one of the

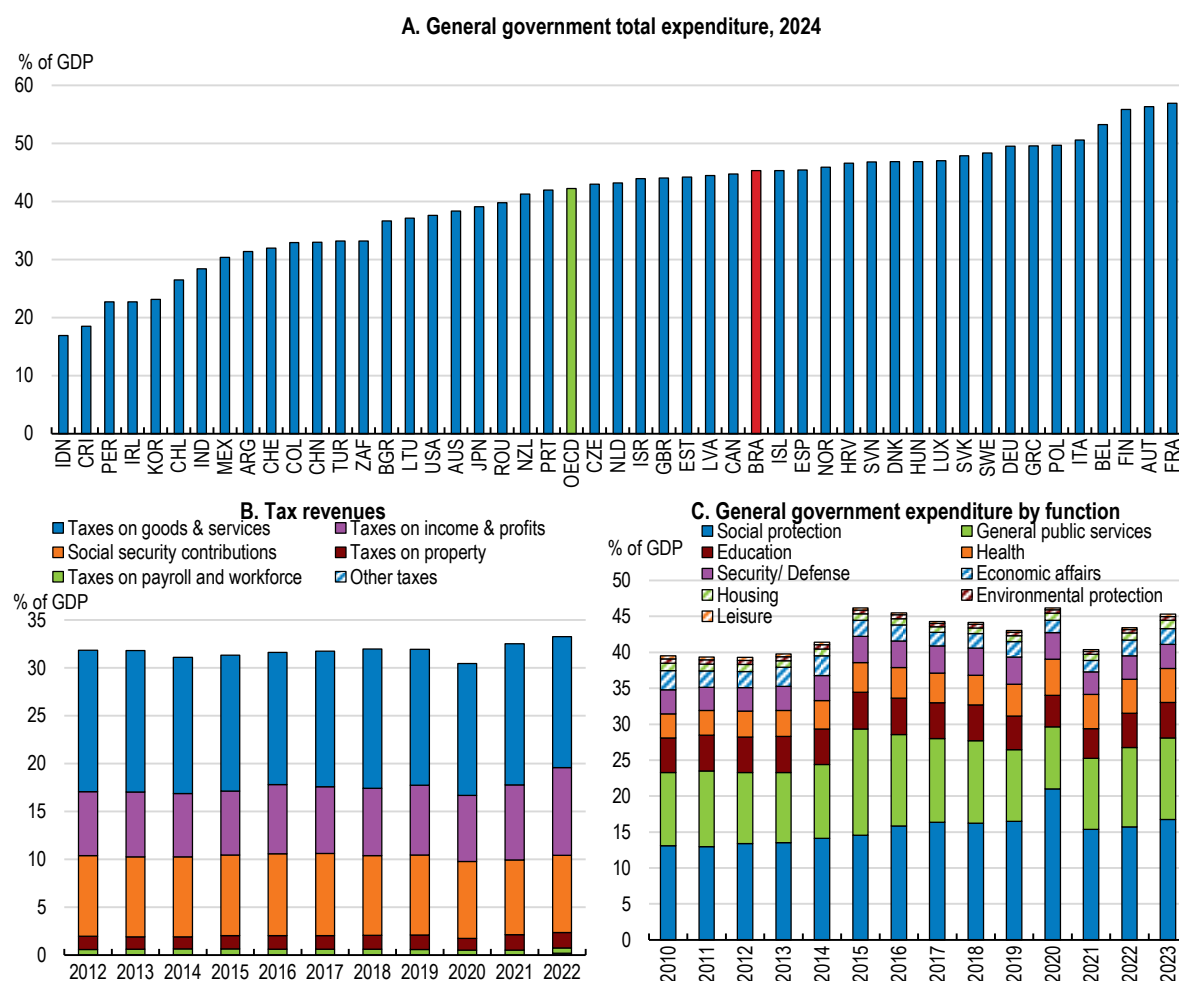
main challenges of the implementation of emergency benefits during the pandemic, prompting the Government to use a mobile application where adults could self-declare their employment situation.

5.6. How to pay for it: Covering the fiscal costs of the proposed reforms

Zero-rating mandatory contributions and payroll taxes on low salaries would eliminate much of the current disincentives to formalisation. But such a reform will hinge on finding alternative funding sources for the social security contributions and payroll taxes currently paid by low-income formal workers. These are currently estimated at 1.5% of GDP for incomes up to 1.25 minimum wages and 1.8% of GDP for those earning up to 1.5 minimum wages. Identifying fiscal space to compensating the lost contributions and tax revenues will be challenging, but not impossible, given significant scope for improving spending efficiency

In the same way as Brazil features a more sophisticated social protection system than some other countries in Latin America, it is also characterised by much larger public revenues and spending. With public spending of more than 45% of GDP, the size of Brazil's public sector exceeds the 40% OECD average and by far exceeds the 28% average of Latin American peers (Figure 5.8). Taxes are characterised by a strong reliance on goods and services taxes, while social benefits, interest payments, education and health are the largest spending items. Social benefits are not only the largest spending category but also the one that has recorded the strongest increase in recent years.

Figure 5.8. Public sector tax revenues and expenditures



Source: IMF World Economic Outlook database: April 2025; OECD Comparative tables of countries in the global database; and Tesouro Transparente.

While a complete analysis of Brazil's fiscal accounts is beyond the scope of this chapter -and has been undertaken by several national and international institutions including OECD Economic Surveys of Brazil (OECD, 2020; OECD, 2023) - the purpose of this section is to give a few examples where reorganising public expenditures and taxes could provide the funding for the social protection reforms proposed in the previous section.

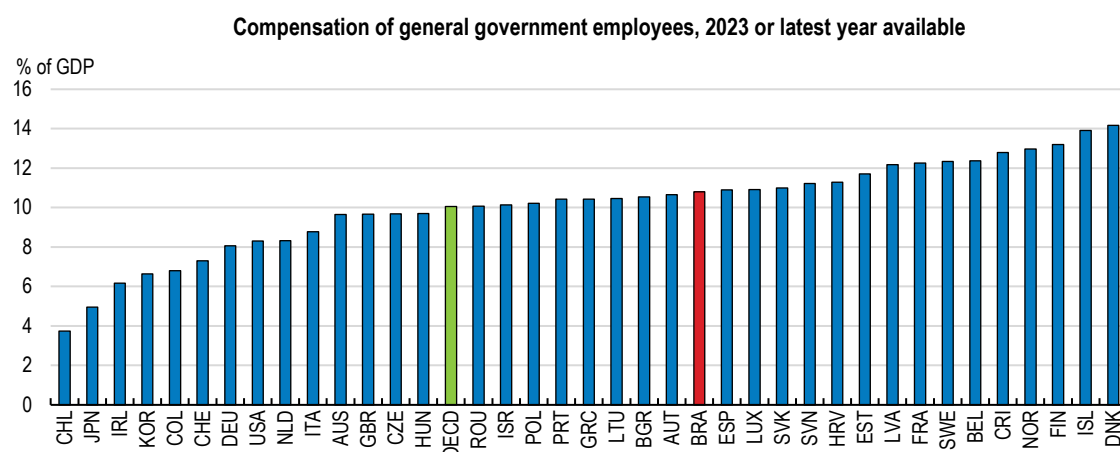
Brazil's relatively high spending and revenue levels in a regional context suggests that looking for additional funding source to compensate for lower social security contributions should start with reviewing some of the current public expenditures, where significant inefficiencies suggest for substantial savings (World Bank, 2018; OECD, 2020; OECD, 2023; Izquierdo, Pessino and Vuletin, 2018).

Improving the targeting and effectiveness of the social protection system as a whole presents room for reducing spending, which could in turn finance lower contributions for those with formal job earning low wages. While large parts of Brazil's social benefits are well targeted and effective in reducing inequality and poverty, this is not the case for all benefits. Formal-sector benefits like the *Abono Salarial* and *Salário Família*, with a budget of about 0.25% of GDP in the last years, could be reconsidered. As discussed in section 3, *Abono Salarial* is a wage subsidy granted to all formal workers earning between one and two minimum wages per month. The *Salário Família* benefit, in turn, is a wage subsidy to formal workers with children below the age of 14 and earning up to 1.35 minimum wages. Given that at least 60% of Brazilians have per-capita incomes below one minimum wage, the beneficiary income ranges of these programmes are considerably above the median income. As a result, these benefits are not well targeted and could be reconsidered. Such a change could be carried out gradually, to ease the transition for those formal workers who would lose access to the benefit.

Pension expenditures themselves probably do not present much scope for immediate reductions, not least given the political economy and the recent 2019 pension reform. One further reform option for the future would be to reconsider the current indexation of pension benefits. Currently no old-age pension benefit can be lower than a full minimum wage, whose real value has increased by 33% over the last 15 years and is now between the 60th and the 70th percentile of the income distribution. This strong effective indexation explains Brazil's high pension replacement rates (OECD, 2021b) and has mostly benefited households with above-median incomes, exacerbating income inequality. Adjusting social security benefits, including pensions, in line with inflation could free up resources to finance reductions in non-wage labour costs for low-wage earners. Removing the automatic link between pensions and the minimum wage would generate increasing annual savings, estimated to reach about 6.1 percentage points of GDP by 2050 (Cuevas et al., 2019).

Beyond the realm of social policies, public-sector wage costs may also present room for reducing public expenditures. Brazil's public sector wage bill for current and retired civil servants is high in international comparison, including when compared with emerging economies and Latin America (Figure 5.9). Most of public employment is concentrated in subnational governments, where the wage bill is now well above half of the primary expenditure. Containing the growth of the wage bill, by strengthening links between pay and performance instead of seniority, will allow creating fiscal space for alternative financing models of social protection. A reform aimed at modernising public administration management could introduce regular and systematic performance evaluations of civil servants, particularly during the probationary period. By some estimated, such a reform could bring fiscal savings of up to 8% of GDP in ten years (IPEA, 2020).

Figure 5.9. Brazil's public sector wage bill is high in international comparison



Source: OECD Annual government expenditure by function (COFOG) database; OECD Annual GDP and components - expenditure approach database; and Tesouro transparente.

On the revenue side, rather than raising tax rates or adding new taxes, the focus could be on reducing tax expenditures such as special regimes and exemptions or reduced rates. Brazil has significant tax expenditures that often fail to serve to purpose they were designed for, or at least fail to do so in an effective way (World Bank, 2018; OECD, 2020; OECD, 2023; Ministério da Economia, 2022). Reducing some of these tax expenditures would lead to higher tax revenues and a larger public sector, but in a way that would broaden tax bases, potentially reducing distortions, and not at the expense of raising statutory tax rates. Taken together, subsidies and tax expenditures amounted to 4.8% of GDP in 2023 at the federal government level, or 7.2% of GDP when including states (de Renzio et al., 2024).

One of the largest tax expenditures is the targeted corporate tax regime for small and medium enterprises called *Simples Nacional*. This regime generates revenue shortfalls of around 0.8% of GDP alone (DEAP, 2022). It combines a lighter tax burden with a simplified calculation of tax liabilities based on turnover, replacing up to 9 separate taxes. The eligibility condition for the simplified regime is to have revenues below approximately USD 1 million, which is high in international comparison and discourages firms to grow beyond the threshold. Being based on revenues rather than income, it also discourages sourcing intermediate inputs from potentially more efficient external providers. For very small firms, the easier compliance may outweigh these considerations. However, with its high participation ceiling, the regime is currently used by 74% of Brazilian firms and could be much better targeted, including by reducing the participation threshold.

Simples Nacional has the merit of lowering tax compliance costs for small and medium enterprises, which is a considerable argument in light of Brazil's exceptionally complex system of indirect taxes. However, in 2023 Congress approved a major reform of the current indirect tax system. The reform is based on simple rules harmonised across states, a broad base, full tax credit of the value-added tax on all inputs and zero rating for exports. The proposal unifies three federal taxes (PIS, COFINS, IPI), as well as one state and one municipal tax (ICMS and ISS, respectively), into a dual value added tax (VATs) with one part administered by the federal and another part by subnational governments. The dual VATs will have a common tax base, but states can apply different rates, while taxing on the basis of the destination of goods and services. The reform will take effect gradually to reduce transition costs, beginning in 2026 and ending in 2033 for taxpayers.

The adoption of a unified value-added tax instead of the current multiple consumption taxes will align Brazil with OECD best practices and reduce distortions. The benefits of a well-designed VAT include its neutrality for production and sourcing decisions as long as the VAT is guided by the destination principle, and the expected reduction in compliance costs for firms can hardly be underestimated. In the context of the ongoing complete overhaul of Brazil's and fragmented system of indirect taxes, the case for maintaining this special regime in its current size will become

much weaker. As compliance costs for small and medium enterprises fall in the context of the reform, the eligibility ceiling for participation in *Simples Nacional* could be reduced gradually until it only covers the smallest firms.

Another reason for reducing the eligibility ceiling of *Simples Nacional* is related to tax arbitration opportunities for professionals such as lawyers, accountants, architects or consultants (Dutz et al 2018). Filing as a corporate entity under *Simples Nacional* has become a preferred choice for many high-income professionals, as this can reduce the effective tax burden from almost 50% to as little as 11.5% for those with few deductible expenses (Appy, 2017). By contrast, the smaller *Microempreendedor Individual (MEI)* programme has a more moderate ceiling of USD 16,000 in turnover, which reduces the scope for abuse. At significantly lower fiscal cost, this programme has contributed to lower informality among low-income entrepreneurs, especially women (OECD, 2023).

Tax expenditures in indirect taxes also include the exemption of basic food items, many of which will carry over to the new value added tax. While basic food items are consumed by low-income households and represent a larger share of their consumption basket than for high-income households, these items are also consumed by the better off. In absolute numbers, households with higher incomes tend to spend more on these items than low-income households, meaning that a large share of the lost tax revenues are appropriated by households that are relatively well off. Usually, targeted benefits provide a more effective way to transfer resources to low-income households than such tax exemptions. These exemptions could be phased out gradually, starting with the less obvious “basic products” such as some types of fish and meat including salmon, beef fillet, turkey, duck; dairy products including specialty cheeses and whipped cream; highly processed items such as soluble cappuccino powder. Estimates based on the current system suggest that reducing these exemptions, referred to as “cesta básica” in the policy discussion, could lead to as much as 0.33% of GDP in additional tax revenues (de Renzio et al., 2024).

Beyond consumption taxes, there is also scope for reducing tax expenditures in personal income taxes. One of these relates to the high level of the basic deduction, or the income level as of which individuals become liable for paying personal income taxes. In 2023, this income threshold was about 1.6 minimum wages, which is more than what 90% of Brazilians earn. In international comparison, this level of the basic deduction is exceptionally high (OECD, 2018). Reducing this basic deduction in a measured and gradual way presents potential for raising additional revenue from the upper and middle classes without affecting the tax burden on lower and lower-middle class income earners.

Moreover, a current personal income tax deductibility of expenditures for private health and education expenses has regressive distributional effects, given that it benefits only those top 10% income earners with incomes above the basic deduction. Moreover, only 25% of Brazilians are subscribed to private health plans, while most of the population relies on the public health system. Phasing out these deductions could save 0.23% of GDP.

Considering all of the points discussed above, finding the fiscal space to zero-rate social contributions and payroll taxes for low-income earners seems clearly possible, at least from an economic point of view. Whether it will be possible to create a political consensus for this remains to be seen, but the prospects of achieving substantial reductions in informal employment, an area where progress has been limited in recent years, should provide a strong argument for doing so.

5.7. Conclusion

Brazil has built an impressive social protection system over the years, with an almost universal pension coverage and anti-poverty cash transfers that have become a model for many other countries. This sophisticated system is contributing substantially to reductions in poverty and inequality. At the same time, as the system has evolved over time and different benefits have been added, the overall consistency of the current system could be improved and the efficiency of public spending on social protection enhanced. While some benefits are highly effective, others may warrant a second thought or refinements. The financing of many social protection benefits relies on labour contributions and taxes by those who have a formal job, which is not the case for almost 40% of the workforce. These contributions drive a significant wedge between workers’ take-home pay and the cost of creating these formal jobs for employers, which in turn may be one of the reasons behind widespread labour informality. Reducing these high non-wage labour costs for low-wage earners with salaries close to the minimum wage may create substantial benefits for formalisation, and is possible, as some of the analysis contained in this chapter is meant to illustrate.

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6

Closing social protection gaps in Chile

Paula Garda and Aida Caldera Sánchez²

Chile has built a comprehensive social protection system, but gaps persist due to informality. The COVID-19 crisis exposed these weaknesses, as informal workers lacked adequate protection and relied on emergency transfers, fuelling demands for reform. Recent measures, including the universal pension, tax and labour reforms, and the 2025 pension reform, strengthen coverage and benefit adequacy of the social system, but further integration and incentives for formalisation are needed to close gaps and build resilience.

² This chapter builds on an original background report prepared by Olga Fuentes for the OECD submitted in October 2022. The current version has been substantially revised, edited and expanded by Aida Caldera and Paula Garda, incorporating additional analysis and updates.

6.1. Introduction

Chile stands out in Latin America for its continuous economic development over the last three decades. Economic progress has been complemented by one of the most comprehensive social security systems in Latin America, including a universal basic pension (*Pensión Garantizada Universal, PGU*), universal access to healthcare, unemployment insurance and employment subsidies for formal-sector workers. These schemes have contributed to sustained poverty reduction.

Despite the strength of the social protection system, challenges remain. Over a quarter of workers are employed in the informal sector, notably lower than the Latin American average of around 50%. Importantly, Chile's informality typically manifests as partial informality, where businesses partially comply with regulations rather than operating entirely outside legal frameworks. Additionally, self-employment, particularly prevalent among informal workers, often involves low-productivity, survival-oriented activities. Informal workers often lack access to social security benefits such as unemployment insurance, holidays or maternity leave.

Around a third of the population is economically vulnerable, and income inequality remains high (OECD, 2022^[1]). These problems dampen economic growth and generate public dissatisfaction due to disparities in access to economic opportunities, basic services, and social security benefits. These disparities culminated in a surge of social unrest at the end of 2019 and demands for reforms, particularly of the pension system.

The Covid-19 pandemic exposed the vulnerabilities of the social protection system. Despite exceptionally strong policy support during the pandemic, with a fiscal response at over 12% of GDP by 2021, one of the highest among emerging markets, the Covid-19 pandemic increased poverty and income inequality. This was primarily due to the large number of informal workers, often lacking access to social security benefits, and the limited reach of social assistance. Informal workers had to rely on emergency cash transfers, which suffered roll-out delays during the first months of the pandemic due to the patchy cash transfer systems coverage. The weak social support led to high pressures on authorities to approve extra-ordinary pension fund withdrawals and develop an almost universal cash transfer scheme in 2021. As a result, overall support overcompensated the loss of incomes during the pandemic and fuelled a temporary consumption boom and inflationary pressures.

Recent years have seen significant reforms aimed at strengthening social protection and reducing informality. Post-pandemic, Chile's macroeconomic recovery has been characterised by the normalization and control of inflation and inflation expectations, the recovery of growth in line with the medium-term trend, and significant social and economic reforms. One measure is the Electronic Family Wallet (*Bolsillo Familiar Electrónico*), a targeted subsidy designed to alleviate the rising cost of living for vulnerable households. A comprehensive tax reform, *Ley de Cumplimiento Tributario*, was approved to strengthen tax administration, reduce informality and combat tax avoidance. The reform introduces measures to level the playing field for SMEs and the self-employed, particularly in relation to large online marketplaces. These include eliminating the VAT exemption for low-value imports, new reporting requirements for banks on frequent transfers, increased penalties for non-compliance in digital platforms, and obligations for marketplaces to share information on informal sellers. Additionally, Chile introduced reforms to enhance pension coverage and adequacy, improved unemployment insurance, and expanded employment subsidies for formal-sector workers. These measures collectively aim to encourage formalisation, strengthen social protection, and reduce inequality.

Persistent informality continues to pose a challenge limiting the reach and effectiveness of social protection, while reducing productivity and diminished potential tax revenues. There is a need for developing a better social protection system that does not differentiate between formal and informal workers. Recent evidence from Chile indicates that the informality rate has slightly decreased despite significant increases in the minimum wage, suggesting complementary policies such as targeted subsidies, enhanced pension coverage, temporary subsidies for SMEs to offset minimum wage increases, and tax compliance reforms likely offset the increased formal employment costs. Still, developing a comprehensive policy agenda remains essential, particularly addressing structural factors such as productivity gaps of workers and firms. The design of the social protection system itself

also significantly influences incentives for formal employment and thus must be carefully structured to encourage formalisation. Ensuring some basic social protection coverage for all, including in pensions, health and unemployment insurance, while simultaneously reducing the cost of formal employment, would reduce labour informality and improve social protection. These reforms would help to mitigate the impacts of future crises and cushion the income effects of economic transformations, such as the digital transformation, climate change, or natural disasters.

This chapter describes Chile's social protection system, including pensions, health, unemployment insurance and social assistance and proposes policy options to strengthen social protection while increasing formal employment.

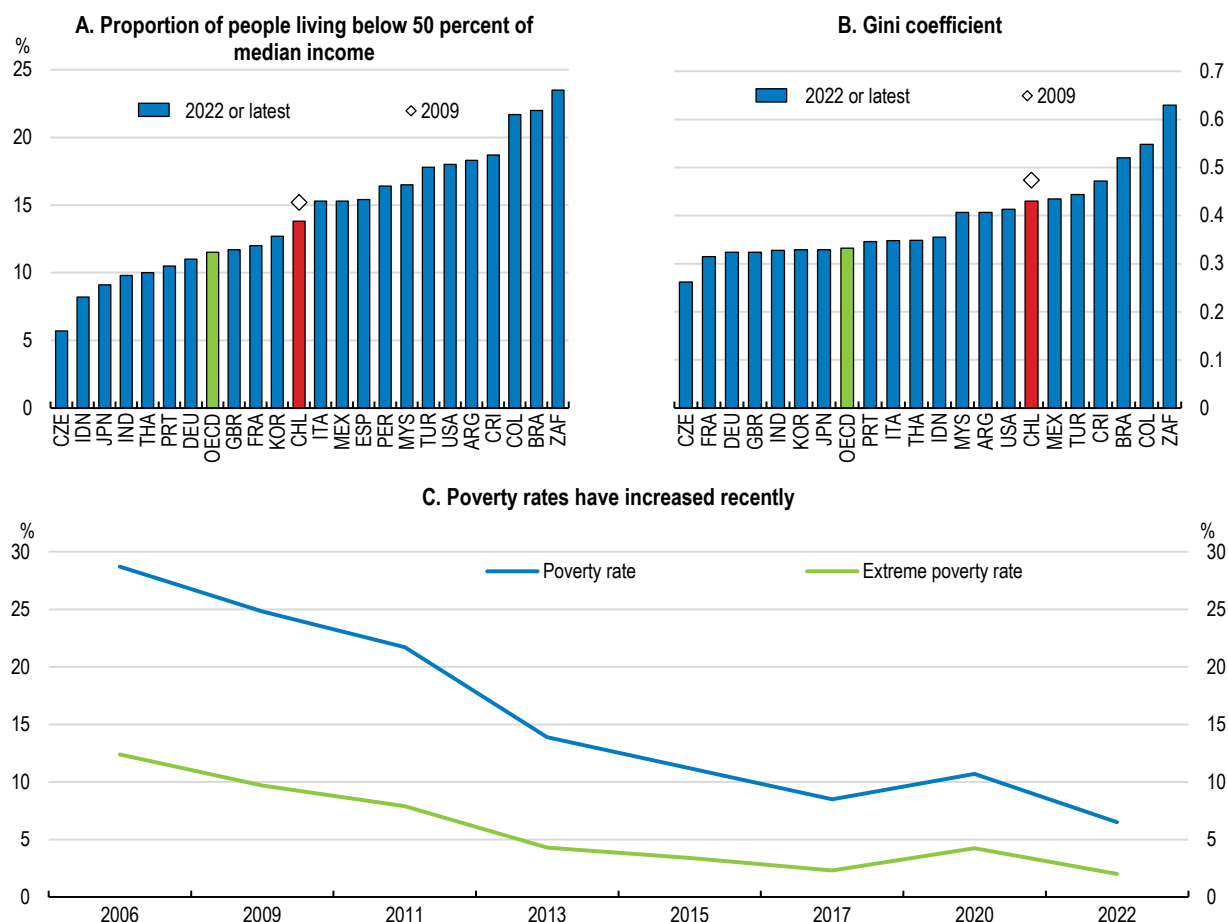
6.2. After the 2019 social unrest, the COVID-19 deepened social gaps

The COVID-19 pandemic had a significant negative impact on the Chilean economy. Unemployment peaked at 13.1% in July 2020 with job loss rates, higher among low- and middle-income households, peaking at 25% for women and 20% for men between May and July 2020. Despite dropping more recently to around 8% during 2024, unemployment remains above the pre-pandemic rate of 7.2% in 2019. Job losses affected particularly informal workers, but also women and youths, exacerbating pre-existing inequalities. However, rising unemployment and declining participation rates among young people, women, and older adults have been structural trends for over a decade. The pandemic accelerated existing structural transformations, including higher youth enrolment in education partly due to tuition-free policies, reducing youth employment, and lower participation among older adults linked to the introduction of the universal guaranteed pension (PGU).

The Covid-19 pandemic reversed decades of declining poverty and inequality. The poverty rate increased from 8.6% in 2017 to 10.8% in 2020, and extreme poverty from 2.3% to 4.3% (Figure 6.1). In 2022, poverty rates started decreasing again to 6.5% and extreme poverty to 2%. Inequality, as measured by the Gini coefficient, increased by 4 points during 2020, to then decrease in 2022, but is still higher than a decade ago.

The strong negative impact of the Covid-19 pandemic on social outcomes can largely be explained by pre-existing structural characteristics of the labour market, including high rates of informality, self-employment, temporary work, and job turnover (Figure 6.2). Unlike in previous recessions, which led to an increase in informal sector jobs, as workers lost formal jobs, the pandemic, and in particular, the lock downs and mobility restrictions, caused massive job losses in the informal sector forcing many informal workers to stay home. Job losses among informal workers were twice as high as among formal workers (OECD, 2022). Stimulus policies in the form of credits, wage subsidies or furlough schemes generally failed to reach informal workers. Moreover, as informal workers typically lack savings and social protection, they relied on social assistance cash transfers that only partially compensated for their lost income (Busso et al., 2020^[2]).

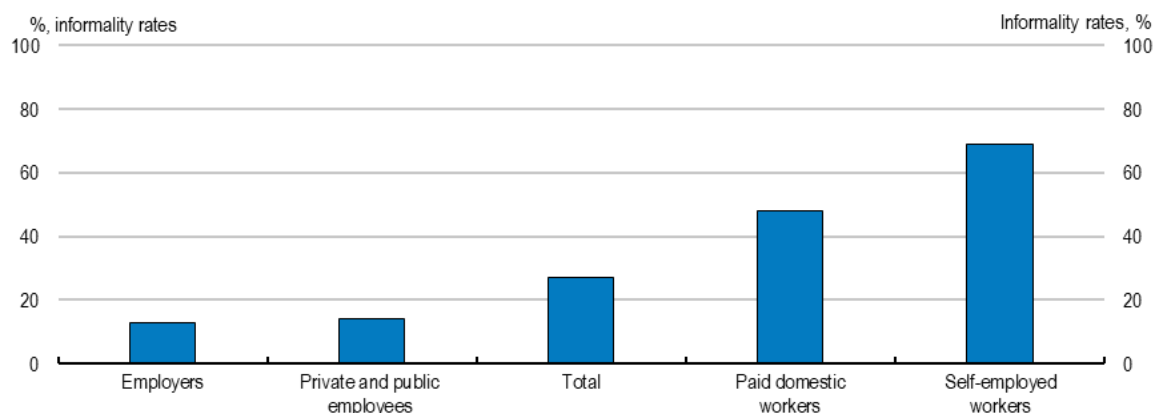
Figure 6.1. Poverty and inequality decreased after a rebound during the COVID-19 pandemic



Note: In Panel A, poverty is defined as the share of people living in a household below the 50% of the median disposable household per capita income (or, in some cases, consumption expenditure). This poverty measure is different from the national definition of poverty by the Ministry of Social Development, which is used in Panel C. Gini index measures the extent to which the distribution of income after taxes and transfers (or, in some cases, consumption expenditure) among individuals or households within an economy deviates from a perfectly equal distribution. Panel C shows poverty using the national definition based on the calculation of the basic food consumption basket.

Source: World Bank, WDI; Ministerio de Desarrollo Social y Familia de Chile.

Figure 6.2. Unpaid family members, domestic workers and self-employed are most frequently informal

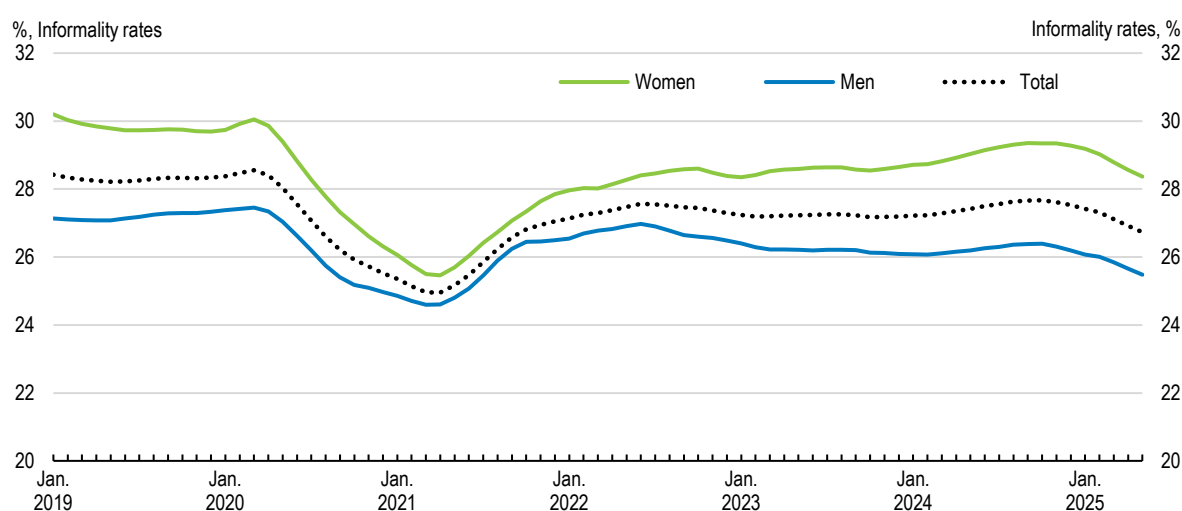


Note: Year 2021. INE identifies three main employment groups: (1) employees and paid-domestic workers, (2) own-account workers and employers, and (3) unpaid family workers. For group (1) a formal worker is the one paying social security contributions. For group (2) a formal worker or employer is the one owing a formal sector enterprise or issuing invoices for the provision of independent services. Unpaid family workers are considered informal employment.

Source: Labour Informality Statistics, INE 2021-2024.

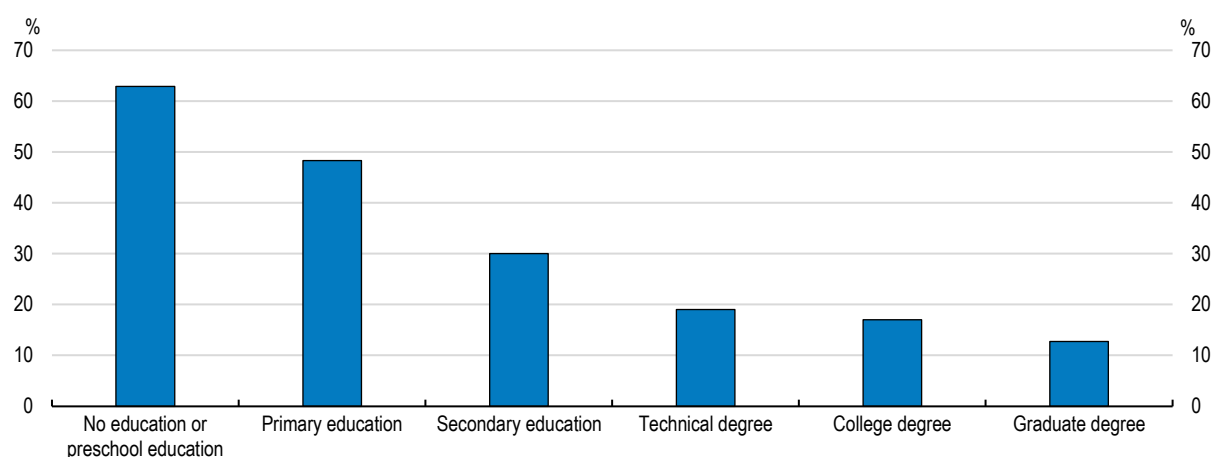
Even before the pandemic, informality rates were persistently high, averaging 28.5% between 2017 and 2019. Post-pandemic, dropped sharply during the pandemic but has gradually rebounded. As of 2024, it remains below pre-pandemic levels, indicating only a partial recovery in informal employment. Women are slightly more likely to work informally than men (Figure 6.3), even if the overall female employment rate is low in Chile compared to the OECD average. Informality is also higher among the elderly, the young and the less educated (Figure 6.4). Informality is also higher among self-employed workers and among lower-income households. Agricultural, construction, retail, hotel, and restaurant workers are also more likely to be informal.

Figure 6.3. Female workers tend to be employed in informal jobs more frequently



Note: Figures are 12-month averages.

Source: Labour Informality Statistics, INE 2021-2025.

Figure 6.4. Lower educated tend to be more informally employed

Source: Own calculations based on Labour Informality Statistics, INE 2021-2022.

6.3. The social protection system is comprehensive but has a fragmented design and remains underfunded

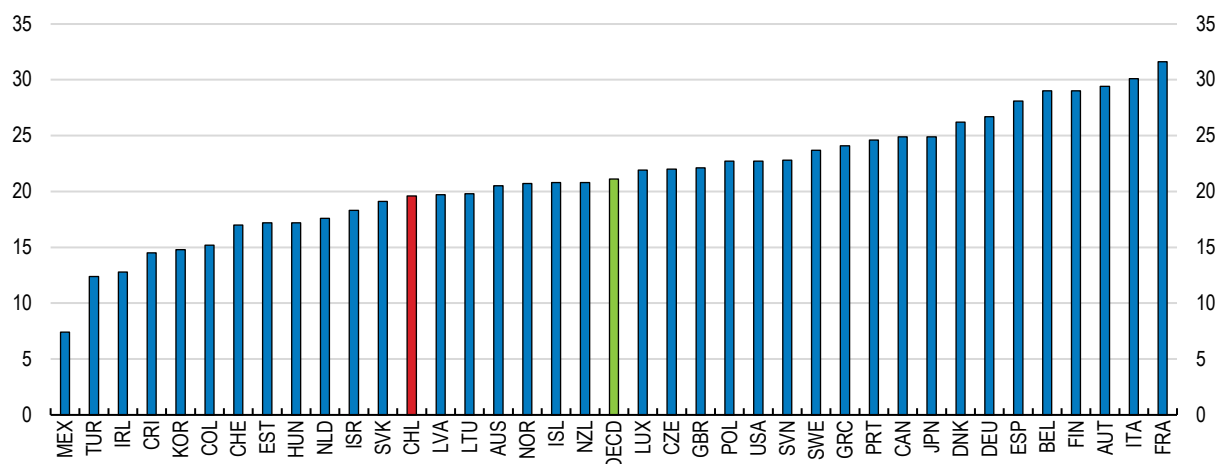
Chile has one of the most comprehensive social protection systems in Latin America. Although public social spending has constantly increased over the last decade, it remains one of the lowest among OECD economies in 2022 (Figure 6.5), although it increased during the pandemic. Around 40% of social spending is allocated to the social protection system, according to the Budget Office. 50% of this social protection spending is allocated to pensions and less than 13% to social assistance programmes supporting the poor and the vulnerable. Furthermore, social protection coverage is relatively low, as access is mainly determined by a worker's employment status and ability to regularly contribute to a social insurance scheme. As a portion of the Chilean workforce is employed in the informal sector or circles back and forth between formality and informality, there are significant social protection coverage gaps. Even though access to contributory social protection in Chile is largely tied to formal employment, an expanding set of non-contributory programmes targets workers without formal jobs. These include the Family Subsidy and Maternity Subsidy, which provide monthly cash transfers to low-income families without social security coverage, as well as the Chile Seguridades y Oportunidades programme, which offers financial support, psychosocial assistance, and access to services to promote economic autonomy for individuals and families in extreme poverty.

The existence of separate contributory and non-contributory systems results in inefficiencies and inequalities in the social protection system, with informal workers being particularly disadvantaged. Informal workers are excluded from most contributory social security programs, such as pensions, unemployment insurance and health coverage. They are not entirely without support, however, as they can benefit from the public health system (FONASA), the universal basic pension, and targeted social assistance aimed at the most vulnerable if they meet means-tested requirements and residence conditions. In this social assistance system, which was created to provide insurance to those left out of the contributory social security system and is generally financed from general tax revenues, Chile has managed to achieve universal access to healthcare and pensions. Many informal workers, however, have incomes above the poverty line, which generally precludes them from accessing cash transfer benefits or unemployment insurance. Informal workers also have less access to training and more unstable earnings. This duality has led to a low coverage of social protection, particularly among certain groups such as the unemployed, although social protection coverage is higher than in other Latin American countries. The public health system is often underfunded and overstretched. Given the low rate of participation in the labour market of women, a gender gap is also present in the social protection system. Women receive lower pensions, as they earn less, live longer and contribute less than men driven by maternity and other family care responsibilities. This is beginning to change

with the 2023 pension reform, which introduced a public social insurance pillar and a strengthened solidarity component aimed at narrowing gender gaps in pension outcomes.

Figure 6.5. Public social expenditure is relatively low

Percentage of GDP, 2022



Note: Social spending with financial flows controlled by General Government (different levels of government and social security funds), as social insurance and social assistance payments.

Source: OECD Social Expenditure Database (SOCX) via www.oecd.org/social/expenditure.htm.

Formal workers, on the other hand, have access to better social protection systems through contributory schemes. This social protection system is characterised by a large participation of private actors, such as private pension and unemployment funds, based on savings in individual accounts. The main branches of contributory social protection are health, workplace health and safety, family and children benefits and subsidies, employment protection and pensions. Government top-ups complement workers' or firms' contributions to increase benefits of the most vulnerable formal workers. Although employee and employer social contributions seem not high when compared to other OECD countries, they can prevent low-income workers, particularly around the minimum wage, from accessing formal jobs. Evidence shows that reducing social contributions in Chile could help low-income and vulnerable workers escape informality (Box 6.1).

Box 6.1. Employment subsidies have helped reduce informality among vulnerable groups

Chile has currently a number of programmes to promote formalisation of vulnerable groups, mainly in the form of employment subsidies targeted to the youth and women of the 40% most vulnerable population covering around half of the total social contributions to be paid to the worker (Table 6.1). Earlier evaluations suggest that these employment subsidies have been successful in increasing employment and reducing informality among vulnerable groups in Chile (Henocho and Troncoso, 2013^[3]; Bravo and Rau, 2013^[4]; Centro de Microdatos, 2012^[5]; SENSE, n.d.^[6]). However, coverage of these programmes has been low in limiting the impact on overall informality. Furthermore, in recent years, the effectiveness of these subsidies has weakened. While programmes such as the Youth Employment Subsidy (SEJ), the Female Employment Bonus (BTM), and others were initially designed to provide benefits equivalent to 20% or more of the minimum monthly income, their real value has eroded significantly. Current estimates suggest average benefits have dropped to around 5% (for workers) and 3% (for employers) of the minimum wage, substantially reducing their incentive power.

Evidence for other emerging market economies, such as Türkiye, shows that employment subsidies covering employers' social contribution costs have a positive impact on employment, particularly in small firms, and this

is driven by the positive effects on formalisation of existing workers more than creation of new jobs (Aşık et al., 2022^[7]). The experience with these programmes demonstrates the importance of reducing the cost of formal employment to encourage the formalisation of vulnerable workers. Targeted subsidies for social contributions can support formalisation when adequately designed and provide sufficient incentives.

Table 6.1. Employment subsidies in Chile

Programme	Target population	Coverage as % of target population	Benefit for workers (% of wage)	Benefit for employers	Fiscal cost in 2021 (% of GDP)
Youth employment subsidy	40% most vulnerable aged 18-24	5.0	The benefit depends on earnings, on average 12%	A third of the monthly subsidy	0.017
Contribution subsidy for young workers	New workers aged 18-35, with 24 or less pension contributions, and income lower than 1.5 minimum wages	*0.3	50% of the pension contribution of a minimum wage	No	0.002
Women's Work Bonus	40% most vulnerable dependent or self-employed women aged 25-59	16.6	The benefit decreases with monthly income, on average 12%	A third of the subsidy for 24 months	0.022

Note: *0.3% of population aged 18-35.

Source: OECD calculations based on SENCE, Finance Ministry, and DIPRES.

6.4. Chile's pension system is the cornerstone of social protection while there is room to provide better pensions and reduce informality

Chile's pension system is the cornerstone of social protection and has been a central issue in Chile's recent elections and political debates. The system has three components: a non-contributory first tier, a mandatory contributory second tier of individual accounts, and a voluntary third tier. The system has been the subject of significant debate because pension benefits are low, particularly for women and the middle-class, leading to public dissatisfaction. Moreover, low trust on the pension funds managers and the impact of the pandemic induced early pension withdrawals raising concerns about the long-term sustainability of the system. As a result, the system has undergone recent adjustments, and a major pension reform passed in Congress in January 2025 (Box 6.2).

Box 6.2. An overview of the 2025 pension reform

A long-awaited reform of Chile's pension system, strongly demanded by the population and stalled in political negotiations for a decade, was issued as law on March 2025. The reform introduces a new 7% employer contribution, gradually phased in over nine years, complementing the existing 10% employee contribution and the 1.5% employer contribution, bringing the total contribution to 18.5%. The reform also increases the universal pension, eliminates gender gaps through a special bonus for women, provides a bonus for existing retirees, and overhauls the pension fund industry.

Of the 8.5% employer contribution, 6% will be allocated to individual savings accounts. This includes a direct contribution of 4.5% and a 1.5% temporary "Protected Return Contribution" (Cotización con Rentabilidad Protegida) to provide benefits based on years of contribution that will be phased out gradually after 30 years, and 1% for a permanent compensation to address gender-based differences in life expectancy. The remaining 2.5% will go to a new Social Insurance (Seguro Social) administered by the Fondo Autónomo de Protección

Previsional (FAPP). To enhance equity, the reform introduces a minimum monthly benefit for women aged 65+ (0.25 UF - USD 9.7), regardless of their savings, to offset their longer life expectancy. The eligibility threshold for contribution-based benefits will also be more accessible for women (starting at 10 years of contributions and rising gradually to 15) while 20 years for men. Independent workers will benefit from simplified and automatic contribution mechanisms.

The reform also increases the universal pension (PGU) to CLP 250,000, to be phased in over 30 months. This new amount aligns with the national poverty line and will remain indexed to inflation. Coverage will continue to target the bottom 90% of older adults based on an affluence test.

Several new measures aim to increase contribution densities. These include a new insurance scheme to cover pension contributions during unemployment, paid from the Unemployment Solidarity Fund; a simplified fixed monthly payment scheme for self-employed workers with automatic bank deductions; and the option for individuals to contribute voluntarily on behalf of family members. The Pension Superintendency will define simplified contribution methods using digital tools to calculate equivalent months of contributions. Unpaid contribution collection will be centralised under the Treasury to improve enforcement and recovery.

The AFP industry will be overhauled to reduce fees and increase competition. A biennial auction will allocate 10% of affiliates to the AFP offering the lowest commission. New entrants will be allowed to compete, and the capital requirement (encaje) will be reduced to 30% of fee revenues. Generational funds with performance-based benchmarks and reserve requirements will be introduced to improve returns while protecting against market underperformance. Investment rules will be relaxed to allow greater allocation to alternative assets.

Together, these measures aim to improve coverage, equity, and efficiency in Chile's pension system while addressing demographic and social challenges.

6.4.1. Chile's pension system

First Tier: Solidarity pillar

The non-contributory pension system, introduced in 2008, aimed to provide a social safety net and alleviate poverty. Before recent reforms driven by social unrest in 2019 and the pandemic, the government provided this pillar to individuals who lacked sufficient pension savings to meet a minimum retirement income threshold to ensure a basic level of income in retirement. The pillar included two components: the basic solidarity pension (*Pensión Básica Solidaria*), a mean-tested benefit for the poorest 60% of the population aged 65 and older who did not participate from the pension system, and the pension solidarity contribution (*Aporte Previsional Solidario*), which supplemented income for individuals whose pension savings fell below a certain level, to boost their income to a more liveable standard. In response to widespread protests and calls for greater equity, the government increased the benefit amount by 50% between 2020 and 2022 to address adequacy concerns, as the benefits provided were previously below the poverty line.

In January 2022, amid ongoing public pressure about low pension benefits and in the context of lingering social unrest and the impact of the pandemic, the government replaced the solidarity pillar with the guaranteed universal pension (*Pensión Garantizada Universal*, PGU), substantially increasing coverage and significantly expanding benefits. The PGU provides coverage to 90% of individuals aged 65 and over, excluding only the highest-income decile, with at least 20 years of residency (including four out of the previous five years) in the country prior to the claim, and having a self-financed pension below to CLP 1,210,828 (around USD 1,200) in 2025. The benefit was initially established at a monthly CLP 185,000 (USD 217) and adjusted by inflation afterwards. The benefit increased to CLP 250,000 (USD 247) in 2024 following the latest pension reform. This amount corresponds to approximately 100% of the national poverty line and about 45% of the minimum wage. Both the amount of the PGU and the thresholds are adjusted annually based on the consumer price index (CPI).

The introduction of the PGU generates stronger incentives for labour formalisation and to contribute to social security. This is because, below a certain threshold, the amount of the PGU does not depend on individuals' pension savings, and therefore it eliminates the implicit tax on pension contributions that characterised the previous solidarity pillar. While there remains an incentive to underreport income to qualify for households in the top deciles, near the threshold, the reform can reinforce formalisation incentives if individuals understand that the PGU is guaranteed and that contributing further improves their replacement rate. The system is also easier to administer as the means-testing mechanism applied for the solidarity pillar has been replaced by an affluence test based on household income that seeks to identify and exclude the 10% most affluent households.

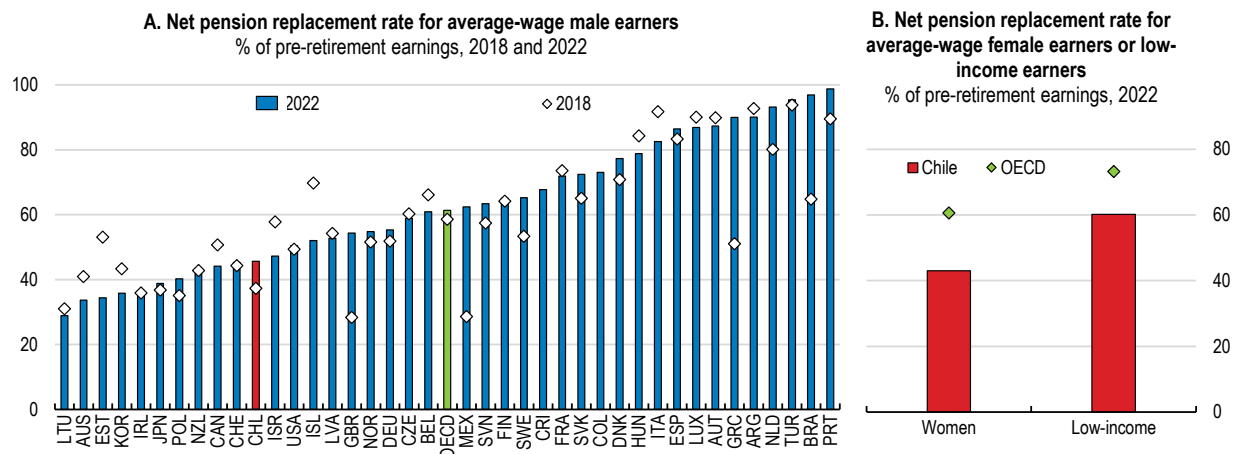
Pension replacement rates have significantly improved with the introduction of the guaranteed universal pension, particularly for low-income workers. Expected pension adequacy has improved substantially with the introduction of the universal guaranteed pension, but it remained below OECD averages in 2022 (Figure 6.6). The OECD estimates for 2022 put the net replacement rate, including both PGU and the self-financed pension, for an average worker entering the labour market at age 22 and retiring at age 65 is 47.5% up from 37.3% in 2018, compared to an OECD average of 61.4%. The net replacement rate for the low-income worker is higher, at 60.1% in 2022 up from 36.2% in 2018, but lower than the OECD average of 73.2%. These estimates, however, are based on projections made before the 2025 pension reform. The 2025 reform introduces a gradual increase in employer contributions and solidarity benefits, which are expected to further improve adequacy, especially for women and low-income workers. According to calculations of the Superintendency of Pensions (2025^[8]), for new retirees in 2025, the median replacement rate is projected at 65.2% with the reform, compared to 50.9% without it, with stronger gains for women and low-income workers.

Second Tier: Individual Accounts

The second, mandatory individual accounts, tier was introduced in 1981 as a Defined Contribution (DC) replacing the previous state-run pay-as-you go system. The system individual capitalisation accounts are managed by private companies (*Administradoras de Fondos de Pensiones, or AFPs*) and provides old-age, disability, and survivorship pensions. The amount of the pension depends on the total contributions made, the returns on investment, and the life expectancy of the retiree.

Until the 2025 reform, replacement rates have been low for the average worker even for those who contribute for a full career (Figure 6.6). This is partly due to contributions rates to the savings accounts that are among the lowest in OECD countries (Figure 6.7). Numerous gaps in the numbers of years a person contributes into the pension system have led to very low pensions. Average contribution density, that is the total number of years that a worker contributes in relation to the potential active life, is around 60% for men and 45% for women (Evans and Pienknagura, 2021^[9]; Benavides and Valdés, 2018^[10]). There is significant heterogeneity across pensioners with only 10% of pensioners having contributed over 30 years (Figure 6.8). These contribution densities vary significantly by income, ranging from 24% for low-income earners (16% for women and 32% men), to 50% for the median income earners (41% for women and 60% for men), to 77% for high income earners (72% for women and 82% men). Women tend to receive lower pensions, the median replacement rate for women is 12.0%, compared to 33.0% for men, due to lower contributions, longer life expectancy, lower lifetime earnings, and longer periods without contributing, because of childcare and other social responsibilities.

Figure 6.6. Replacement rates improved with the introduction of the universal basic pension but remain below OECD average



Note: Main assumptions: full career defined as entering the labour market at age of 22 and working until the normal pension age (65), real rate of return 3%, real earnings growth 1.25%, inflation 2%, and real discount rate 2%. OECD refers to the unweighted average of latest available data of its member countries.

Source: OECD Pensions at a Glance 2023.

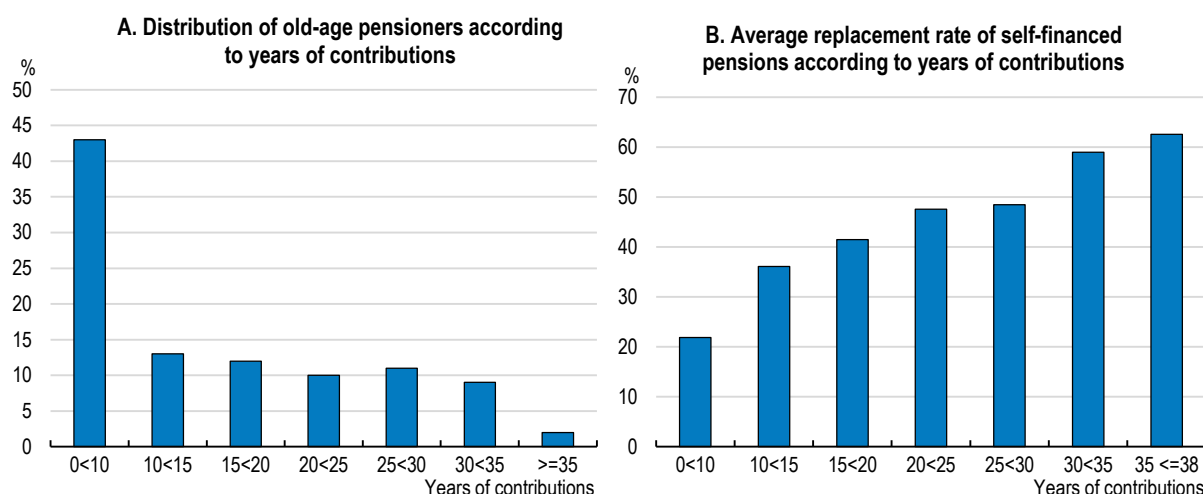
Persistent informality and self-employment, together with frequent unemployment and inactivity gaps, explain the low number of years a person has contributed and low coverage of the contributory pension system. Moreover, the system parameters have not adapted to decreasing global interest rates that have affected returns on pension assets and the retirement age has not changed following demographics. Moreover, adjustments to the mortality tables to take into account increased life expectancy had also led to lower pensions as a consequence.

Figure 6.7. Until the 2025 reform, mandatory pension contribution rates were relatively low



Note: Year 2020. Sum of the contributions of the employee and the employer. Effective rate on average earnings. The contribution rate for Chile includes the commission paid to private funds.

Source: OECD Pensions at a Glance 2019, Pensions at a Glance: Latin America and the Caribbean; OECD Pensions at a Glance 2021.

Figure 6.8. Effective contribution years are low leading to low self-financed pensions

Note: Data refers to December 2019.

Source: (Cabezón and Larraín, 2021^[11]).

Three extraordinary pension funds withdrawals approved by Congress as a response to the pandemic, between June 2020 and April 2021, added to the challenges of the pension system. These have led to smaller self-financed pensions of current affiliates and lower replacement rates. Close to 4.2 million people, 36.5% of affiliates, depleted their account balances via the withdrawals, 62% being women. The measure was badly targeted as the possibility to withdraw was not based on individuals' specific and exceptional circumstances and it benefited mostly households in the upper quintiles of the income distribution, who are able to save more for pensions (Fuentes, Mitchell and Villatoro, 2023^[12]). Replacement rates are expected to decline by about 3 percentage points for the average male worker, and by 1.5 percentage points for female workers (Evans and Pienknagura, 2021^[9]), with larger effects among older cohorts who have less time to save (Fuentes et al., 2021^[13]). Additionally, these pension funds withdrawals create potential future contingent liabilities, as pensions will be lower creating high pressures for more public expenditure in pensions.

Third Tier: voluntary savings

The third, voluntary tier of the pension system covers both employees and self-employed workers. It is a fully funded individual account scheme, with savings managed by pension funds, insurance, and mutual fund companies, banks, and other private entities authorized by the Financial Market Commission. Funds withdrawn before retirement are subject to taxation, while funds withdrawn after retirement are not.

6.4.2. Improving incentives to formality while ensuring sustainability of the pension system

First Pillar

Further adjustments to the first pillar of the pension system were made with the 2025 pension reform, which increased the benefit to USD 272 per month (CLP 250,000), aligning it to the national poverty line. This increase is expected to cost 1.2% of GDP per year once fully implemented. The reform aims to improve poverty alleviation and provide better consumption smoothing at retirement. For current minimum wage earners in 2025 (excluding self-financed pensions), the PGU corresponds to a 50% replacement rate, near the 55.6% OECD average for low-income earners. Considering a male worker entering the labour market now at age 22 and retiring at age 65, an inflation-adjusted PGU would deliver a replacement rate of 34% for low-income workers (excluding self-financed pensions) (Table 6.2).

Second Pillar

The 2025 pension reform increases employer contributions by 7 percentage points, bringing the total contribution rate to 18.5% when including existing employee contributions. The reform introduces a mixed allocation: part of the new contributions are directed to individual accounts, while another share funds a solidarity-based public component that improves benefits, particularly for women and low-income earners. These changes aim to improve pension adequacy and address equity concerns (Box 6.2).

To illustrate the potential impact of such reforms, previous OECD simulations projected that a 6-percentage point increase in rate contributions going fully to individual pension funds, replacement rates would exceed OECD averages for full-career workers. A male worker entering the labour market at age 22 and retiring at 65 could achieve replacement rates of 84% for low-income earners and 67% for average-income earners, combining inflation-adjusted PGU benefits and contributions (Table 6.2).

For pensions to replace at least 60% of pre-retirement earnings, a smaller contribution increase—around 4 percentage points—would suffice for average workers, assuming a full career beginning at age 22. However, if contribution patterns are in line with current contribution densities, i.e. 30% for men and 20% for women and women retire at the age of 60, replacement rates for low-income workers would be below 50%, at any increase of the contribution, particularly for women (Table 6.3). Implementing intra- and inter-generational solidarity in the contributory system, as the new reform does, could help mitigate these issues (Huneeus et al., 2024^[14]), but probably leaves replacement rates still below OECD averages, although some measures were implemented to raise contributions densities (Box 6.2).

A potential consequence of the 2025 reform is that higher mandatory contribution rates could discourage formal employment, especially for low-income workers who may opt to stay informal to avoid higher contributions, even if the benefits outweigh the costs in the long term. This risk is particularly pronounced around the minimum wage and low-income workers, where formalisation incentives are most critical. The basic universal pension (PGU) already significantly boosts replacement rates and achieves strong redistributive effects. While intra-generational solidarity could, in principle, encourage low-income and female workers to formalize by offering them benefits that exceed their contributions, workers often prioritise immediate needs and face financial constraints, making informality a more attractive option. Reforms to increase contribution densities for workers and reducing informality will be key to attain adequate replacement rates while ensuring the pension system remains sustainable. While the statutory retirement age was maintained in the 2025 reform, aligning retirement ages for men and women and linking them to life expectancy remains an important pending reform to ensure both adequate pensions and the financial sustainability of the system.

A more effective approach would involve progressive contribution rates, with lower rates for low-income workers, particularly near the minimum wage, to reduce informality and increase contribution density. For higher-income earners, gradually increasing contribution rates would help ensure sustainability. These contributory pensions would complement the universal PGU, which benefits all workers. In effect, the system would resemble the design of a progressive personal income tax, with contribution rates calibrated to ensure it delivers adequate replacement rates for all income levels. This approach would balance redistribution, reduce informality, and improve contribution densities across income groups.

Further efforts to boost formality and labour force participation, particularly for low-income workers, the middle class and women, will be key to increase the number of years they effectively contribute. The provision of quality childcare and early childhood education has the potential to significantly increase female labour force participation and will also promote more equitable education opportunities for children from disadvantaged backgrounds (OECD, 2025^[15]; OECD, 2022^[1]). Improving access, affordability and quality of long-term care services would also boost female labour force participation as women are usually informal carers. Labour market reforms that reduce the high firing costs leading to a high share of temporary contracts and the resulting frequent gaps of unemployment and inactivity in the Chilean labour market, as already suggested in previous OECD Economic Surveys (OECD, 2018^[16]), would also increase the number of years workers contribute. Moreover, boosting firm productivity,

particularly in SMEs, is critical to make formalisation more viable. Policy priorities include streamlining regulations, such as permitting and trade standards, facilitating access to digital tools, finance and skills upgrading, and promoting innovation adoption and technology diffusion, particularly among smaller firms (OECD, 2025^[15]).

Table 6.2. Projected replacement rates for low- and average-income male workers with full careers

Contribution rate	10%	12%	14%	16%
PGU adjusted by inflation				
Low-income worker				
DC Self-financed	31.1	37.3	43.6	49.9
First Pillar:				
PGU initial value at CLP 250,000	34.2	34.2	34.2	34.2
Total	65.3	71.5	77.8	84.1
OECD low-income earners	70.1	70.1	70.1	70.1
Average-income worker				
DC Self-financed	31.2	37.5	43.7	50.0
First Pillar:				
PGU initial value at CLP 250,000	17.1	17.1	17.1	17.1
Total	48.3	54.6	60.8	67.10
OECD average income earners	57.6	57.6	57.6	57.6

Note: Contribution rates represent the total percentage of income contributed by both employers and employees. The PGU is adjusted yearly by inflation. The estimation is based on the OECD Pension at a Glance (2021) methodology adapted to incorporate the PGU and other assumptions when appropriate. The main assumptions are the following: 2% annual inflation rate, 1.25% real earnings growth, 3% real financial return and 2% discount rate. Male participant who enters the labour market at age 22 and retires at age 65. Full career workers are considered unless is defined otherwise, and monthly average earnings are equal to CLP 856,628. The calculations assume that increased contribution rates are fully allocated to individual accounts. They do not consider any intra-generational or inter-generational redistribution components.

Source: Own estimation based on OECD Pension at a Glance (2021) methodology.

Table 6.3. Replacement rate projections for low-income workers and women, without full careers

Contribution rate	PGU at CLP 250,000 and adjusted by inflation			
	10%	12%	14%	16%
Low-income worker				
Men (contribution density 30%)				
DC Self-financed	9.1	11.0	12.9	14.8
First Pillar:	34.2	34.2	34.2	34.2
Total	43.3	45.2	47.1	49.0
Women (contribution density 20% and retires at 60)				
DC Self-financed	4.0	4.8	5.7	6.5
First Pillar:	34.2	34.2	34.2	34.2
Total	38.2	39.0	39.9	40.7

Note: Contribution rates represent the total percentage of income contributed by both employers and employees. The estimation is based on the OECD Pension at a Glance (2021) methodology adapted to incorporate the PGU and other assumptions when appropriate. The main assumptions are the following: 2% annual inflation rate, 1.25% real earnings growth, 3% real financial return and 2% discount rate. Monthly average earnings are equal to CLP 856,628. Contribution densities are assumed based on individual level data for contributors to the pension system. The calculations assume that increased contribution rates are fully allocated to individual accounts. They do not consider any intra-generational or inter-generational redistribution components.

Source: Own estimation based on OECD Pension at a Glance (2021)

Third Pillar

The coverage of voluntary pension savings in Chile is low. Just 15% of those with a pension, mostly high-income workers, have a voluntary savings account. Total savings in voluntary plans represent barely 2% of total assets under management. Data from other countries suggest there is significant scope to expand voluntary savings systems and benefits associated with doing so. In OECD economies, voluntary savings improve replacement rates by 25 percentage points, on average, for the middle-income worker (OECD Pension at a Glance 2021). In ten OECD member countries, private voluntary schemes cover more than 40% of the economically active population.

Behavioural economics strategies can be employed to significantly increase coverage and participation in voluntary schemes. Automatic enrolment, with opt-out options, for example, has already substantially increased take-up rates in many countries, including the United States, United Kingdom, New Zealand, and Turkey, particularly for middle income workers. Contribution rate increases, linked to wage adjustments, or the minimum wage, could also be automated to boost savings for higher wage earners workers, as well as re-enrolment after a certain “opt-out” period has passed. In the long term, further incentives could be implemented to increase voluntary savings, including financial incentives for employer matching and providing education on financial issues and pensions in the workplace (Nest Insight, 2019^[17]).

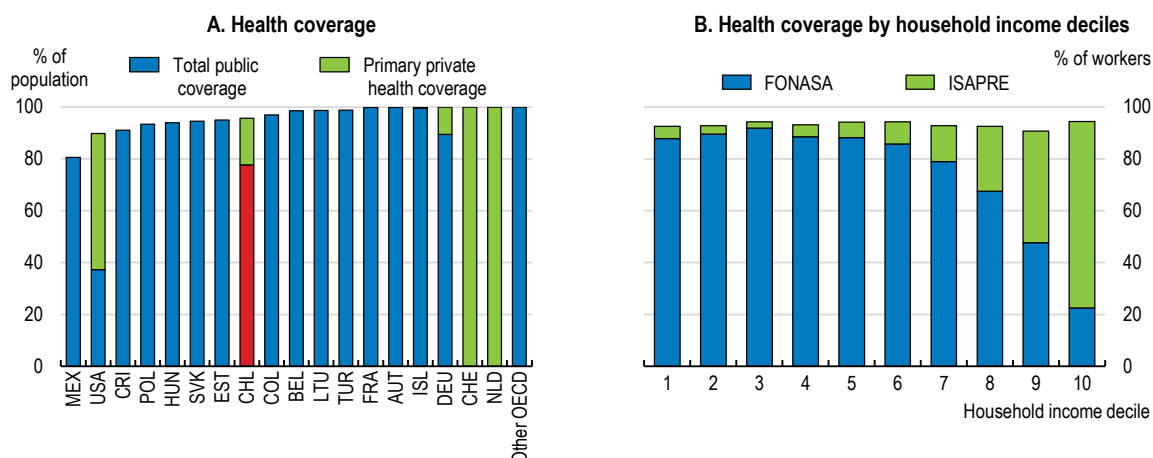
6.5. The health system has high coverage, but inequities in access and high out-of-pocket costs

Chile’s health system has seen significant improvements in coverage over the last decade, achieving almost-universal coverage at 95.7% of the population, close to the OECD average of 98.0%. However, key challenges remain, including inefficient structures, high financial burdens on households, and inequity in access to care. Public perception of the health system is also low, with a satisfaction rate of just 39.0%, compared to the OECD average of 71.0% (OECD, 2021^[18]).

The structure of Chile’s health system is characterised by two parallel and separate insurance schemes a public and private insurance one. The public health system is administered by the National Health Fund (Fondo Nacional de Salud - FONASA). Around 80% of the population is covered by the public system (FONASA). Enrolment in this scheme is open to all residents irrespective of labour status or income. The fund operates based on a solidarity scheme, financed through a combination of general taxation and formal worker contributions, which amount to 7% of taxable income. Formal dependent workers, pensioners in the upper 20% of the income distribution, and, as of 2018, self-employed workers who issue invoices, are all required to contribute. Others can contribute voluntarily at regular or sporadic intervals, with benefits dependent on the number of months of payments. Contributors can access healthcare through either the public institutional system or the private “free choice” system. FONASA covers hospital and emergency room treatment, access to generalist doctors and a limited coverage of specialist doctors and high-cost diagnosis and treatments.

Another 12% of the population is enrolled with one of several private insurers (ISAPREs), serving predominantly households in the upper income deciles (Figure 6.9). Users can choose among affiliated private providers, including hospitals, clinics, and independent practices, based on individual contracts, with pre-negotiated fees. Health plan coverage and cost depends on individual characteristics, including gender, age, pre-existing health conditions, and income. Health plans under this system tend to be more expensive for those needing more protection, which encourages low-income and less healthy individuals to use the public scheme.

The dual nature of the system leads to significant inequalities with respect to healthcare quality, with FONASA generally providing lower-quality services while ISAPREs do not participate of the risk sharing in the health system. These quality differences are particularly pronounced with respect to waiting lines (OECD, 2022^[1]), which may limit the effective coverage of lower-income individuals to certain healthcare services. Because public primary care services are administered by municipalities, geographic inequities also exist depending on municipality budget capacity. Primary care services also suffer low resolution rates, leading to a high rate of referrals to public hospitals, which oftentimes do not have the resources to respond sufficiently to the referral (Goldstein, 2018^[20]).

Figure 6.9. Health coverage is high but there are disparities in the quality of services

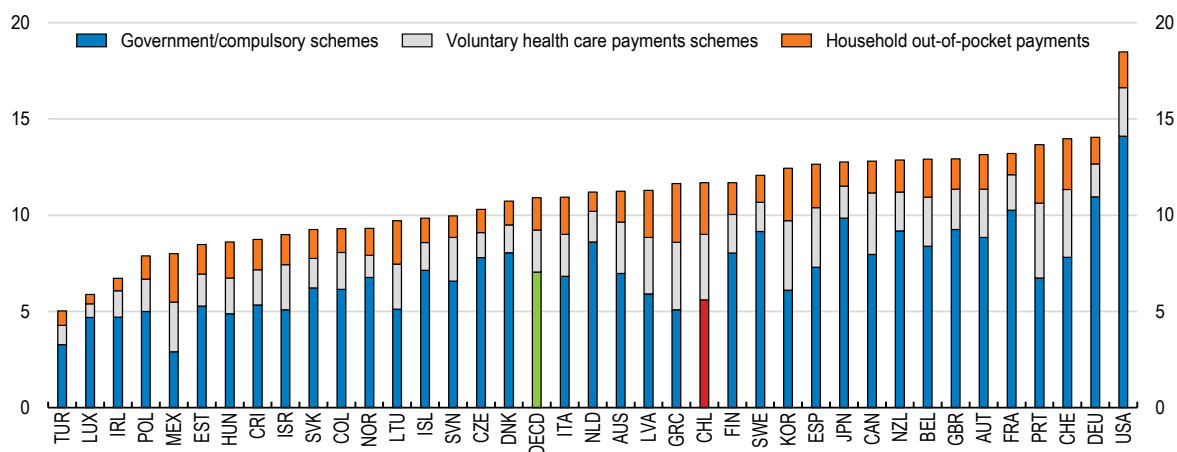
Source: OECD, Health at a glance 2021 and (Morales and Olate, 2021^[19]).

One policy that partially mitigates these inequalities is the Explicit Health Guarantees (GES) programme, introduced in 2004. GES guarantees timely access, quality, and financial protection for a defined set of high-impact health conditions, and was financed by a 1 percentage point increase in VAT. GES applies to both public and private providers, reducing disparities across the two systems. Evidence suggests that GES contributed to a 0.4-year increase in life expectancy in Chile (Menares and Muñoz, 2025^[21]). The programme exemplifies a well-designed social protection mechanism financed from general revenues and offering equal benefits regardless of formal employment status.

Another weakness of the current dual system is the high out-of-pocket spending for healthcare, which is amongst the highest in the OECD and disproportionately affects the poor and the elderly. Although Chile spends approximately 9.4% of GDP on health, above the OECD average of 8.6% of GDP, just 3% of GDP is public spending, compared to the OECD average of 6.3%. Out-of-pocket health expenditure in Chile is high, at 33.9% of total health expenditures, making households vulnerable to health shocks (Figure 6.10).

Figure 6.10. Household out-of-pocket spending is amongst the highest in OECD countries

Total health expenditure, % of GDP, 2022 or latest year



Source: OECD, Health Expenditure and Financing database.

6.5.1. Improving access to quality healthcare benefits while reducing informality incentives

The parallel structure of private and public health systems creates inefficiencies and inequalities. While 80% of the population is covered by the public system, just 64% of the population with relatively higher incomes actually pay contributions and copayments, effectively subsidising the healthcare benefits of the poorest 16%. Those with the highest incomes, however, tend to use the private scheme, where they pay risk-adjusted premiums and therefore do not contribute to a redistributive mechanism. Overall, this amounts to a redistribution from middle-income households to low-income households. Not having high-income earners in the redistribution mechanism embedded in the public system reduces the funding available for FONASA and increases the burden on public healthcare contributions, besides being a missed opportunity for increased risk pooling. Furthermore, the design of the current health system generates incentives for informality, as informal workers have limited incentives to contribute to a health system that provides low-quality services that they can also access for free if they remain informal (Levy and Cruces, 2021^[22]).

To address these problems, resources across the public and private system could be pooled into a national health fund that collects all resources for healthcare and redistributes them to existing insurance schemes based on the number of subscribers and their health risks. Public and private insurance schemes could in principle continue to co-exist under such a set-up, albeit with stronger regulations and higher quality standards. By pooling resources, compulsory health contributions of workers in both FONASA and ISAPRE, together with higher state contributions from general taxes, would be sufficient to reach a public health expenditure of at least 5% of GDP, as calculated by the Chilean Medical School (2020^[23]); (OECD, 2019^[24]).

Another option is to take resource-pooling a step further and create a single, unified healthcare system with universal access for the entire population and a common basic set of high-quality healthcare benefits, as proposed by the OECD (OECD, 2022). Such a universal basic healthcare scheme could be exclusively financed by general tax revenues and supplemented by regulated voluntary private insurance schemes to top up benefits and reduce out-of-pocket spending. For those with higher incomes, mandatory social contributions could be replaced by a commensurate increase in personal income taxes. This would reduce the cost differential between formal and informal employment by 7 percentage points, particularly for low-income workers, incentivising formalisation, and increase redistribution by pooling resources.

Such a reform would build on recent advances such as the “*Copago Cero*” policy implemented in September 2022, which eliminated co-payments in the public health system and guaranteed free access to AUGE/GES treatments, emergency care requiring hospitalisation, medicines, prostheses, dental and mental health treatments, and special programmes (e.g. bariatric surgery, in vitro fertilisation). By improving the quality and equity of public services, and aligning financing mechanisms, such a reform would strengthen incentives to formalise and enhance risk pooling.

6.6. Social assistance programs guard against poverty, but do not reach all of those in need

Over the past few decades, Chile has expanded social assistance programmes aimed at poverty alleviation. These programs tend to target specific vulnerable populations, such as women, children, the elderly, the disabled, and the unemployed. Although there is some support to low-income formal workers, most are designed to protect those left out of existing social security schemes, commonly informal workers in poor households. While conditional cash transfer programmes have contributed to reduce poverty (Cecchini, Villatoro and Mancero, 2021^[25]; Focus, 2016^[26]) and coverage has increased in the last decades the main cash transfer programmes have not reached all those in need and benefits are low even in regional comparison (Figure 6.11).

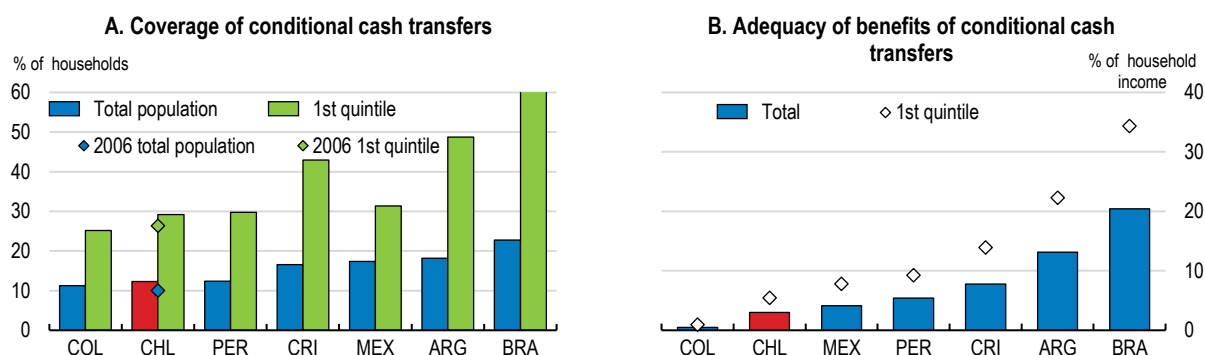
According to the CASEN 2022 survey, cash transfers have played a significant role in household incomes in Chile, particularly among lower-income households. In the lowest income decile, where poverty is most concentrated, monetary subsidies increased by 60% in real terms over five years. Specifically, the average monthly subsidy per household rose from CLP 100,103 in 2017 to CLP 160,073 in 2022 (Obach, 2023^[27]). This substantial increase in cash transfers has contributed to a notable reduction in poverty rates. As of 2022, 62% of households in the social registry

(*Registro Social de Hogares*) received some form of cash transfer (Dipres, 2024^[28]). Among these, almost 80% of the most vulnerable 40% of households received transfers, with coverage reaching nearly 100% for households with either elderly members or children under 18. These numbers include the *Ingreso Familiar de Emergencia (IFE)*, which was a significant temporary cash transfer introduced during the COVID-19 pandemic. The IFE substantially increased the reach and impact of cash transfers, providing near-universal support at its peak. The IFE was discontinued in 2022, which likely led to a reduction in both the coverage and generosity of cash transfers in Chile.

Chile has three primary social assistance programs:

- **Ethical Family Income (*Ingreso Ético Familiar*):** This programme is part of the *Chile Seguridades y Oportunidades* system and focuses on providing conditional and unconditional cash transfers alongside other benefits to address poverty comprehensively. It targets households in extreme poverty with conditional cash transfers linked to health, education, and employment behaviours. Actual benefit amounts depend on specific household circumstances. It cost 0.03% of GDP on average between 2012 and 2022 (0.03% in 2023) and covered 2.6% of the population in 2022. The maximum benefit of this programme per household is around USD 108, which is equivalent to 23% of the poverty line for a reference family. The *Bono Logro Escolar*, a component of the programme targeting students from low-income families with high academic achievement, had its benefit amounts increased in April 2024.
- **Single-Family Subsidy (*SUF*):** Targeted at households in the poorest 60% without income, SUF provides cash transfers conditional on children's education and health check-ups. It reached 866 thousand households in 2021, costing 0.17% of GDP. The SUF aims to alleviate short-term poverty and promote long-term investments in children's development. In December 2023, an automatic version of the SUF was introduced for the poorest 40% of the population. This reform uses administrative data to proactively identify eligible households and deliver benefits without requiring an application. It also increased payment levels by nearly 24%, strengthening the reach and effectiveness of the social protection system.
- **Family Allowance:** This monthly transfer supports formal workers with dependent children earning less than 2.2 times the minimum wage. Payments vary by income and number of children, covering 895 thousand households in 2021 at an annual cost of 0.04% of GDP. It incentivises formal work by providing benefits to low-income formal workers.
- ***Ingreso Mínimo Garantizado*:** A wage subsidy designed to supplement the income of formal workers earning close to the minimum wage. It ensures that low-income workers receive a minimum guaranteed income.

Figure 6.11. Cash transfers programmes leave many poor households without any support



Note: Data are for 2022, except 2019 for Argentina. Family allowances=Asignaciones familiares, Single family allowance=Subsidio Único Familiar, Ethical Family Income=Ingreso Ético Familiar; Permanent family allowance=Aporte Familiar Permanente.

Source: World Bank, Atlas of Social Protection: Indicators of Resilience and Equity (ASPIRE) 2025.

6.6.1. A single cash transfer programme for the vulnerable

Cash transfer programmes are fragmented, with weak coordination among different managing institutions and a lack of consistency with regards to eligibility criteria. Over the years, increased coverage has mostly been achieved by creating new benefits operating alongside existing ones (World Bank, 2021^[29]).

Since 2024, Chile has initiated a substantive modernisation process through the Ministry of Social Development and Family. This reform has expanded coverage by leveraging administrative records and digital technology. Notable advances include the automation of the Single-Family Subsidy (*Subsidio Único Familiar*) for children and adolescents in the most vulnerable 40% of households, and the launch of the Social Single Window (*Ventanilla Única Social*), an online platform where the State takes an active role in informing households about the benefits they are potentially eligible for according to their socio-demographic profile.

Enhancing regular monitoring and evaluation of social programmes would support social spending efficiency. There have been significant recent efforts to improve the information on beneficiaries, monitoring and evaluation of social programmes. The main challenge now lies in translating these findings into policy decisions that effectively address identified duplications and overlaps.

Protection against poverty and income loss could be improved by unifying and integrating existing cash transfer programs into a single poverty alleviation scheme. This would avoid overlaps in target populations and increase program efficiency and transparency. The primary goal of the new scheme would be poverty alleviation, but it could also be designed to increase investment in human capital in the form of higher educational attainment and health outcomes for young people, and higher rates of adult formal employment.

The selection of beneficiaries could depend on a comprehensive set of household indicators including income levels and needs, based on the Social Household Registry from the Ministry of Social Development and Family. The cash transfer amount would depend on household income, with transfers gradually decreasing to zero as household income increases to a specified threshold. An assessment should be performed to define benefit and subsidy amounts and corresponding income thresholds to effectively increase household economic wellbeing without creating incentives to reduce other sources of income. While the primary cash transfer would be unconditional, additional conditional benefits could be defined to motivate increased investment in human capital and employment, in line with the secondary objectives of the programme. Incentives for employment are particularly important for women, as evidence suggests that women's reservation wage is often above the statutory minimum wage due to the additional costs associated with leaving the household. Policy design should avoid locking women into inactivity, as paid work provides not only income but also empowerment and social inclusion.

These suggestions align with the 2022 OECD Economic Survey (OECD, 2022^[1]) proposal for a guaranteed minimum income for those under 65 years of age and living in poverty. The minimum income cash transfer would serve to cover the gap between an individuals' income and the poverty line. Not only would a universal minimum income improve upon existing poverty alleviation mechanisms, but it would also provide a backstop for the unemployed, as discussed below.

6.7. Improving protection against job loss

Chile is one of the few countries in Latin America with unemployment insurance for formal workers (Box 6.3). The number of affiliates and beneficiaries of the unemployment benefit system has increased constantly since its creation, and particularly in recent years, but remains low (Figure 6.12). Between 2010 and 2020, the percentage of employed people who contributed and are covered increased from 50% to 60%, because of a decrease in informal and self-employment. As of 2023, the number of affiliates surpassed 11.5 million, while the number of beneficiaries grew to nearly 1.2 million, up from 730,000 in 2021. However, according to the Superintendencia de Pensiones, only 42% of the employed were affiliated and contributing in 2022, and just 27% received benefits when unemployed.

The low coverage reflects frequent informality and self-employed jobs, but also short duration of employment contracts and their high turnover (Huneus, Leiva and Micco, 2012^[30]; ILO, 2019^[31]). Only 50% of employees that terminate a contract each year have enough contributions in their accounts to access benefits. Moreover, 50% of workers with fixed-term contracts had non-contributing periods lasting more than three months from the same employer in 2015, which impedes their access to the Solidarity Fund (Sehnbruch, Carranza and Prieto, 2019^[32]). Hence, the unemployment benefit system protects workers with higher income levels and more stable jobs much better than it protects vulnerable workers, who are also much more likely to become unemployed (Sehnbruch, Carranza and Contreras, 2020^[33]).

The system has undergone significant reforms in recent years. In response to the 2019 social unrest and the 2020 pandemic, Chile expanded unemployment insurance by loosening eligibility, increasing benefit amounts, and creating the Employment Protection Law. This law allowed job suspension or reduced working hours with partial wage compensation funded by unemployment insurance, protecting over 3 million workers between April 2020 and October 2021. Domestic workers were incorporated into the unemployment insurance system, improving their benefits and access to solidarity fund support. In 2023, the unemployment insurance system underwent a significant reform. This reform increased coverage by relaxing eligibility requirements, extended benefit profiles for fixed-term contracts financed by the Solidarity Fund, and improved benefit amounts. It also introduced an automatic adjustment mechanism for benefits and coverage in the event of catastrophic events, enhancing the system's responsiveness and sustainability. For example, the minimum contribution requirement to access the Solidarity Fund is reduced from 10 to 8 months, benefit durations can extend from 5 to 7 months, and replacement rates can increase by up to 10 percentage points. These adjustments are predefined and triggered automatically, enabling rapid response without new legislation.

Box 6.3. Chile's unemployment benefit system

The Chilean unemployment benefit system, in place since 2002, is based on individual accounts with complements from a solidarity fund. While individual accounts are financed through mandatory contributions from dependant workers and its employers, the solidarity fund is financed by employer's contributions and complemented with general taxation. In this system, workers need to fulfil certain requirements to withdraw money from the unemployment individual savings accounts or accessing the solidarity fund related to number of months that they have been contributing (Table 6.4). Workers on permanent contracts have also the right to severance payments. The legal severance pay is an amount equal to one month of salary for each year worked, with a maximum of 11 months. The severance payments are relatively high with respect to the average OECD country, and also in Latin America (OECD, 2018^[16]).

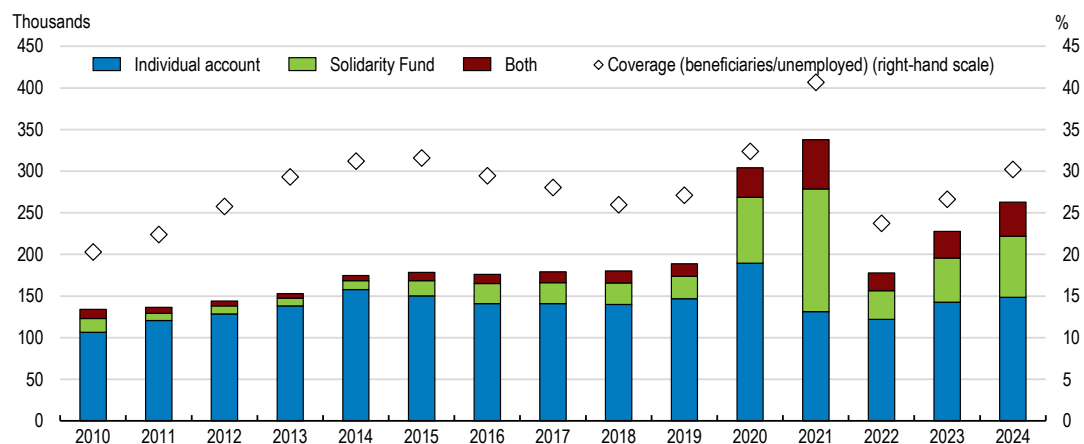
One advantage of individual unemployment savings accounts over other unemployment insurance systems is that they significantly limit the risk of moral hazard (ILO, 2019^[31]; OECD, 2011^[34]; OECD, 2018^[35]). By allowing workers to run down their personal savings during periods of unemployment, workers internalise the cost of unemployment benefits, thus strengthening the incentives of the employed to prevent job loss and of the unemployed to return to work quickly. Individual unemployment savings accounts can also strengthen incentives for working formally since social security contributions are less perceived as a tax on labour and more as a delayed payment (OECD, 2018^[36]). Additionally, contributions accumulated during the employment career are not withdrawn by the worker, any surplus could be credited in the form of pension entitlements upon retirement, which could be also perceived as savings for retirement. The disadvantage of individual unemployment savings account system is that generally individuals with lower contributory capacity, who also tend to have a higher risk of unemployment, tend to receive insufficient protection. This is partially addressed by the Solidarity Fund that can be accessed once the individual accounts have been exhausted and it is financed by worker's contributions and general taxation.

Table 6.4. The unemployment benefit system in Chile

Contract type	Contributions to individual accounts	Contribution to the Solidarity Fund	Requirement for access when unemployed		Benefits
			To individual accounts	To the Solidarity Fund	
Permanent contracts and domestic workers	Worker 0.6% of wages Employer 1.6% of wages For a maximum of 11 years	0.8% of wages for all the duration of the contract	10 continuous or discontinuous contributions in the last 24 months. Voluntary or involuntary termination of contract.	10 contributions in the last 24 months. The last three contributions need to be done continuously and from the same employer. Having insufficient resources in individual account.	Individual accounts: In the first month, 70% of the average wage of the last 6 or 12 months. This percentage falls progressively to 30% from the sixth month onwards. Workers receiving the benefits from the individual accounts can collect benefits until their balance is exhausted.
Fixed-term contract	Employer 2.8% of wages	0.2% of wages	5 continuous or discontinuous contributions in the last 24 months. The last three contributions need to be done continuously and from the same employer. Proof of termination of contract.	Dismissal due to unforeseeable or circumstances, force majeure or due to the needs of the company.	The Solidarity Fund covers up to the fifth month (if permanent worker) or third month (if fixed term worker). For fixed-term workers the replacement rate starts are 60%, 40% and 35%. The benefit received is in proportion of the average earnings of the last 12 months and has maximum and minimum caps. The benefits received from the Solidarity Fund are conditional on enrolment in public employment services.

Source: OECD Secretariat.

Despite these measures, informal and self-employed workers were largely excluded, leaving significant gaps in income protection. The pandemic highlighted relying solely on unemployment insurance is insufficient in a labour market with high informality. Complementary mechanisms are necessary to provide a minimum income floor for precarious workers during crises.

Figure 6.12. Coverage of the unemployment insurance system has increased but remains limited

Note: 2025 refers to January to April.

Source: Own calculations based on INE and Pension Regulator data.

6.7.1. Improving income protection for dismissed workers

Implementing the single cash benefit programme for the vulnerable, as discussed in the previous section, could improve the income protection for dismissed workers from vulnerable backgrounds. This would serve as a first layer of protection against unemployment for the most disadvantaged groups, and support dismissed workers in precarious, informal, or short-term jobs who are excluded from traditional unemployment benefits. In practice, for workers earning the minimum wage, a cash benefit equivalent to the poverty line would imply a replacement rate of around 50%. To implement the single cash benefit programme, it will be crucial that the targeting system and the Household Social Registry become more agile and able to detect, or at least verify, changes in workers' labour market status and income without long delays. Beneficiaries of the cash transfer programme and the unemployment insurance system would need to be automatically registered with the labour market intermediation services to support the search for employment and training.

The existing unemployment insurance system could complement this non-contributory component by providing top-up benefits for those able to contribute more regularly to provide consumption smoothing and maintain living standards for higher-income dismissed workers. This second component would be financed from individual savings accumulated by workers.

6.8. Achieving universal social protection can be done at an affordable cost

Illustrative simulations, based on the 2022 Economic Survey (OECD, 2022^[11]) and on microdata from a Chilean household survey (CASEN) for 2017, allow comparing costs and benefits of reforming social protection in Chile, by estimating the likely fiscal cost of different reforms and gauging the impact on poverty and inequality. While poverty has declined significantly since 2017—from 8.5% to 6.5% in 2022 (CASEN)—the 2017 dataset remains useful for illustrative purposes, especially for simulating structural policy impacts. The cost estimates can only provide an upper bound for the short run, as they are based on the current status quo and do not account for the medium-term benefits from improvements in labour incomes, inequality and productivity derived from formalisation. The latter are notoriously hard to estimate in a reliable way, but they are the ultimate reason why such a reform should be undertaken.

A cash transfer programme as described in section above, that would supplement incomes of those below 65 affected by poverty and lift their incomes to the poverty line would cost 1% of GDP (Table 6.5). The cost is calculated with 2017 pre-pandemic data and is a reasonably conservative medium-run cost estimate. After replacing existing cash transfer programmes, the net cost would be 0.7% of GDP. This is an upper bound of the estimated costs, as a profound revision of all existing social programmes should be undertaken to eliminate those without the desired impact, which would create more savings than those calculated here.

Alternative financing mechanisms for employee contributions to the contributory health scheme would imply funding needs equivalent to 0.8% of GDP, based on 2017 household data. Workers with higher incomes, i.e. above 1.5 minimum wages, accounted for 90% of those enrolled in the private system, whose contributions are equivalent to 1% of GDP, and for these workers, the current social contributions could be simply replaced by personal income taxes of the same amount. From those enrolled in the public system, 70% have earnings below 1.5 minimum wages, leaving a remainder of around 0.8% of GDP to be financed from general taxation revenues instead of labour charges, as workers with incomes close to the minimum wage are unlikely to become subject to personal income taxation in the near future.

The proposed reforms in this chapter together would have a long-term net cost of 1.5% of GDP (Table 6.5). This takes into account the expected savings in spending on current cash transfer programmes. All the calculations in this section are an illustrative exercise, with the final cost depending on many details of the reforms and its implementation. The implementation of such reforms can be gradual and should be accompanied by a comprehensive fiscal reform to achieve higher tax collection and progressivity (2022 and 2025 Economic Surveys). This calls for broadening the tax base—particularly through reductions in VAT exemptions (notably services) and eliminating inefficient tax expenditures. Increasing progressivity through broadening the personal income tax base,

higher property tax revenues, increased environmental taxes, lower diesel exemptions and tobacco taxes, alongside improvements in tax administration via digitalisation, enhanced risk analysis, and transparency, could increase tax revenues and finance social spending preserving fiscal sustainability.

Table 6.5. Illustrative long-term fiscal costs of achieving universal social protection

New programme	Total cost (% GDP)	Current cost of programmes to be phased out (% GDP)	Net cost (% GDP)	Assumptions
Create a guaranteed minimum income to eradicate poverty	1.0	0.3	0.7	Cash transfer to supplement income up to established minimum income equivalent to the poverty line for the population under the age of 65 living in vulnerable households. The cash transfer is defined following this rule: $S = GMI - 0.8 * \text{household income}$
Phasing out health contributions to improve universal access to quality healthcare services through a single national health fund	0.8		0.8	For workers with higher incomes, i.e. above 1.5 minimum wages, the current health contributions are replaced by personal income taxes of the same amount
Total net cost			1.5	The net costs include the replacement of existing social cash transfers programmes by the new ones.

Note: The calculations imply subtracting from household income the existing programmes, such as Ingreso Ético Familiar, Subsidio Único Familiar y Asignaciones Familiares, and replacing them by the new proposed programme.

Source: OECD Secretariat calculations based on DANE-GEIH data.

The universal guaranteed minimum pension and the proposed cash transfer scheme would significantly reduce poverty and inequality (OECD, 2022^[1]). Lowering social contributions would permanently increase formal employment by reducing the cost of formal work compared to informal employment and capital. These changes would encourage firms to hire more formal workers and motivate the self-employed to formalise, boosting productivity and economic growth. Higher formalisation and growth would, in turn, increase tax revenues to help fund the reforms. Additionally, structural reforms to enhance productivity, as outlined in the 2022 and 2025 Economic Surveys of Chile, would further raise employment, individual incomes, and tax collection.

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7 Filling in the gaps: expanding social protection in Colombia

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The pandemic has highlighted significant gaps in social protection, in particular among informal workers. With around 60% of workers in informal jobs, many of those most in need of social protection are left behind. The government has attempted to fill this gap with non-contributory benefits, but coverage and benefit levels are low. By contrast, formal workers have access to a full range of social protection benefits, involving large-scale public subsidies to the better-off. Labour informality and social protection coverage are interlinked, as high social contributions are one of the main barriers to formal job creation. Ensuring some basic social protection coverage for all, while simultaneously reducing the cost of formal employment, would reduce labour informality, raise productivity, and decrease poverty and inequality, all of which are long-standing challenges in Colombia.

³ This paper is based on Chapter 2 of the 2022 OECD Economic Survey of Colombia (OECD, 2022_[31]) and updated using the 2024 OECD Economic Survey of Colombia.

7.1. Introduction

Around 60% of workers in Colombia are informal⁴, lacking access to contributory social insurance, such as unemployment insurance, old-age pensions or paid sick and maternity leave. This situation exacerbates poverty and leaves many workers vulnerable to economic shocks. Informality is also high among firms, with around 76% of microenterprises not registered with the tax administration and 89% not registered in the chamber of commerce in 2020, according to the microenterprises survey of the national statistical institute. Informal firms generally face reduced access to credit and training programs, which hampers their growth, face lower productivity and lack of formal sector benefits. At the same time, workers in informal firms often lack social or employment protection and training.

As with many countries in the region, informality, a structural characteristic of Colombia's labour market is, at least in part, responsible for the large social impact of the COVID-19 pandemic and drives high poverty and inequalities. Informal workers lost jobs at nearly double the rate of formal ones and missed out most stimulus policies, such as guaranteed-state loans, wage subsidies and furlough schemes. Informal firms also fared worse, unable to access policy support or adopt digital solutions like teleworking or online sales.

Although informality has many causes, such as the low access to quality of education and training, weak institutional frameworks and labour law and tax enforcement, the design of the social protection system is a key factor in determining informality. One of the main impediments to formal job creation is the high mandatory social contributions and other payroll taxes that finance formal-sector benefits (IMF, 2021^[1]; Meléndez et al., 2021^[2]; Levy and Cruces, 2021^[3]; Loyaza, 2018^[4]). In Colombia, the sum of employers' obligations can reach 53% of wages for earners on the minimum wage. Because regulations are imperfectly enforced, firms regularly evade the costs of social insurance and hire salaried workers informally. Low-income or self-employed workers with earnings below the minimum wage face prohibitively high costs of formalisation and are forced to remain informal, which is reflected in low social insurance coverage. High non-wage costs, bundled with a relatively high minimum wage, which lands close to the median wage, leave many workers in informal jobs and without social protection.

To address the lack of coverage in social protection of informal workers, non-contributory pensions and health pillars have been established over the years. They are financed through the budget with general tax revenues, i.e. non-earmarked resources coming from different taxes. They have been complemented by other social assistance programmes, such as conditional cash transfers, which have helped to reduce poverty. Recent reforms, such as the pension reform in 2024, have expanded coverage of non-contributory and semi-contributory pensions and cash transfers (Box 7.1). However, non-contributory coverage and benefits are still low. The non-contributory health system has achieved almost full coverage, but its financing encourages informality as informal workers receive the same benefits as their formal peers but free of charge.

Achieving the long-term goal of universal formalisation and universal social protection coverage will require deep reforms to social security and social assistance schemes, coupled with adjustments to labour market policies, as discussed in chapter 1 of this book. This will require delinking access to social protection from worker status in the labour market; a key challenge to break the current duality in incomes and job quality. Lowering social contributions, particularly for low income workers, and other payroll taxes can be a powerful tool to reduce informality, as illustrated by Colombia's 2012 reform. These reforms need to go hand-in-hand with a cautious approach to future minimum-wage adjustments, as both levers affect the cost differential between formal and informal employment. Continuous efforts to enhance labour and tax enforcement should complement improvements in formalisation incentives. Simplifying regulations, reducing bureaucratic hurdles for starting firms and reducing corporate tax burden are also critical to encouraging firm formalisation (OECD, 2024^[5]).

⁴ As with the rest of this book, this chapter defines informal employment as every type of worker not contributing to social security, i.e. the pension system. The payment of the pension contributions is highly related to all the remaining social contributions (such as health) or the non-compliance of other employment regulations.

Box 7.1. Recent government reforms of social protection

Pension reform: The pension reform approved by Congress in June 2024 aims at expanding pension coverage and addressing competition between the two competing schemes in the contributory system. Originally set for implementation in July 2025, Colombia's pension reform is now on hold following a Constitutional Court ruling, and a new implementation date will be defined. The existing system allows members to choose between a state-run defined benefit plan, and an individual defined contributions savings account plan, managed by private pension funds. The reform establishes three benefit pillars with an additional fourth voluntary pillar, as follows:

Solidarity pillar: The non-contributory pillar is strengthened, offering eligibility to poor and vulnerable individuals aged 65 (60) or older for men (women) with minimal to no accrued pension benefits. They will receive a monthly benefit of the "extreme poverty line", currently estimated at COP 230,000 per month (EUR 53) nearly three times higher than the existing benefit level.

Semi-contributory pensions: Individuals between 300 to 1,000 weeks of contributions but lacking the requisite of 1,300 weeks at age 65 for men or 1,000 weeks and 60 for women will receive a life annuity based on individual contributions and a state subsidy equivalent to 30% of savings for women and 20% for men. This pillar also includes workers who contribute to the scheme BEPS who may now include these contributions in the calculation of their life annuity.

Contributory pensions: Employees would contribute to the public pay-as-you-go scheme on earnings up to 2.3 times the monthly minimum wage and on earnings above this threshold to individual defined contribution accounts managed by private pension funds. Upon retirement, benefits from both sources would be combined into a single pension. A new public savings fund will accumulate the capital redirected from private funds and contributions to the public scheme. The normal retirement age (62 for men/57 for women) and most existing eligibility requirements remain unchanged, such as the required 1,300 weeks of contributions for men and 1,000 for women. However, women with children will have shorter contribution periods, with required weeks reduced by 50 per child. Indigenous peoples, Afro-descendants, Palenqueras, and peasants have also lower required contributory weeks. Employer and employee contribution rates on earnings up to four times the monthly minimum wage will remain at 12% for employers and 4% for employees, but for earnings above 4 minimum wages, the employee contribution will increase to between 1.5% and 3% (depending on the wage) to fund the solidarity pension. At retirement age, individuals with more than 1,000 weeks of contributions but less than the 1,300 weeks required for a contributory pension will qualify for an early old-age benefit equivalent to at least one minimum monthly wage, and the value equivalent to the missing contributions shall be deducted from their monthly allowance, until they attain 1,300 weeks. The reform introduces weekly pension contributions for self-employed and part-time workers. The transition system was set up with a requirement of less than 750 weeks for women and 900 for men.

Citizen Income Programme (*Renta Ciudadana*): A new comprehensive conditional cash transfer programme that aims to consolidate all existing programmes (*Familias en Acción*, *Jovenes en Acción*, *Ingreso Solidario*) while enhancing coverage and benefits with the goal of progressively reaching all households in poverty or vulnerability is being implemented. The programme maintains conditionalities of cash transfers to achieve desired outcomes in education and health. By 2024, it is set to include all those facing extreme poverty.

7.2. Social protection in Colombia is fragmented and coverage is low

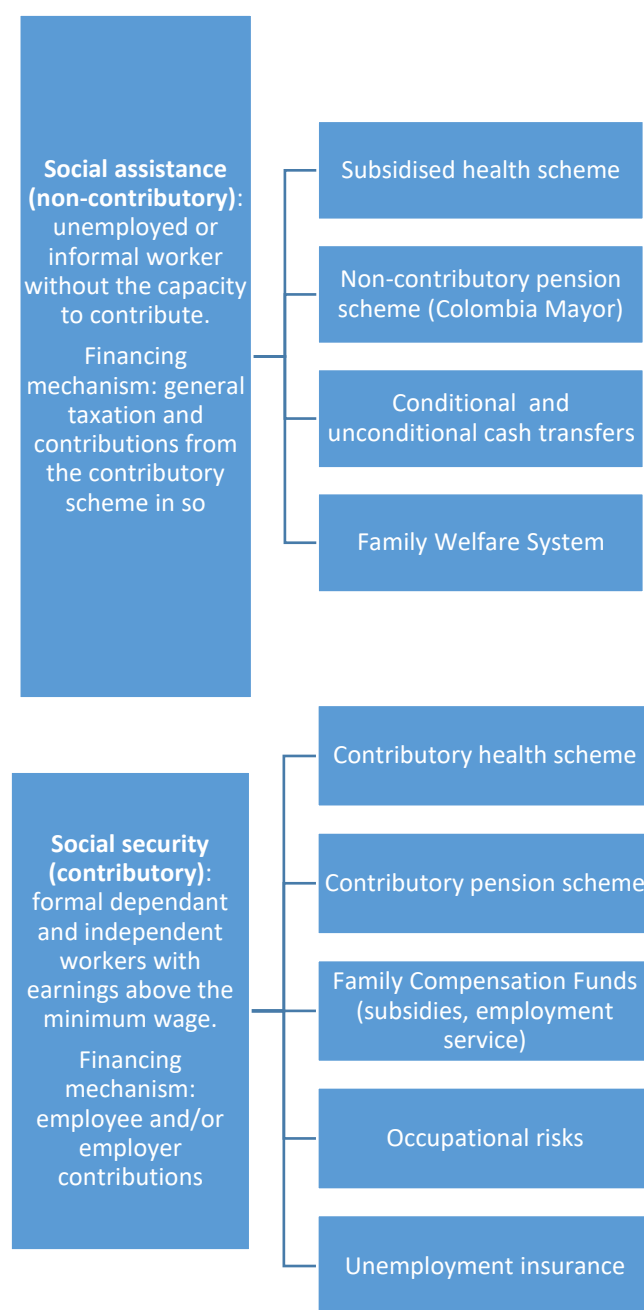
Social protection in Colombia can generally be divided into two components: social security and social assistance. The social security component comprises a health system, a pension system, unemployment insurance, occupational risk coverage, and family benefits (Figure 7.1), and is financed primarily through contributions made by employers and/or employees proportional to worker's wages. Workers covered by this scheme are subject to

regulations on employment protection and minimum wages. The social assistance component, designed to cover those left out of the social security system, comprises the non-contributory (subsidised) health scheme; a non-contributory pension scheme, which is a cash transfer programme to assist the elderly poor (*Colombia Mayor* before the pension reform); conditional cash transfer programmes (such as *Familias en Acción*, and more recently *Renta Ciudadana*); and an integrated strategy to help people in poverty. Social assistance is financed primarily through general taxation. Other social protection programmes to support low-income workers include the national training institution (*Servicio Nacional de Aprendizaje*, SENA), which offers vocational and professional training, the Colombian Family Welfare Institute (*Instituto Colombiano de Bienestar Familiar*, ICBF), which assists vulnerable and poor households, and *Familias en su tierra* (“Families on their own land”), which assists the victims of forced displacement who have returned or relocated to their land. Still other programmes targeted at the poor aim to strengthen entrepreneurship and promote productive activities to sustain self-generating income activities. *Cajas de Compensación Familiar* (Family Compensation Funds) in Colombia are institutions that administer a range of social benefits, including education and training, housing, unemployment support, recreation, and financial services. These funds primarily provide benefits to affiliated workers and their families. The financing of these benefits comes from social security contributions made by employers, along with parafiscal contributions.

The social protection system in Colombia is fragmented, with parallel but separate systems for formal workers (covered by contributory social insurance programs) and informal workers (covered by non-contributory social assistance programs). As discussed in Chapter 1 of this book, fragmentation of social protection systems leads to inefficiencies and coverage gaps, particularly for informal workers. While informal workers have lower average incomes than formal workers, some have incomes above the poverty line, which precludes them from accessing non-contributory benefits. Other informal workers may not be covered by contributory benefits because contributions are calculated based on a monthly minimum wage, meaning that those earning less than minimum wage would need to contribute a prohibitively high proportion of their wages to gain access. These gaps and inefficiencies contribute to inequality and low productivity growth (Levy and Schady, 2013^[6]; Levy and Maldonado, 2021^[7]).

Coverage gaps are also associated with low spending on social protection systems (Figure 7.2). Although social spending increased substantially in the last two decades, from 5.7% of GDP in 1990 (Melo-Becerra and Ramos-Forero, 2017^[8]) to 10% of GDP in 2019, it remains low compared to other OECD countries. Spending on social protection (the primarily component of social spending) was around just 8% of GDP in 2019, with 60% allocated to pensions, and less than 3% to social assistance programmes supporting the poor.

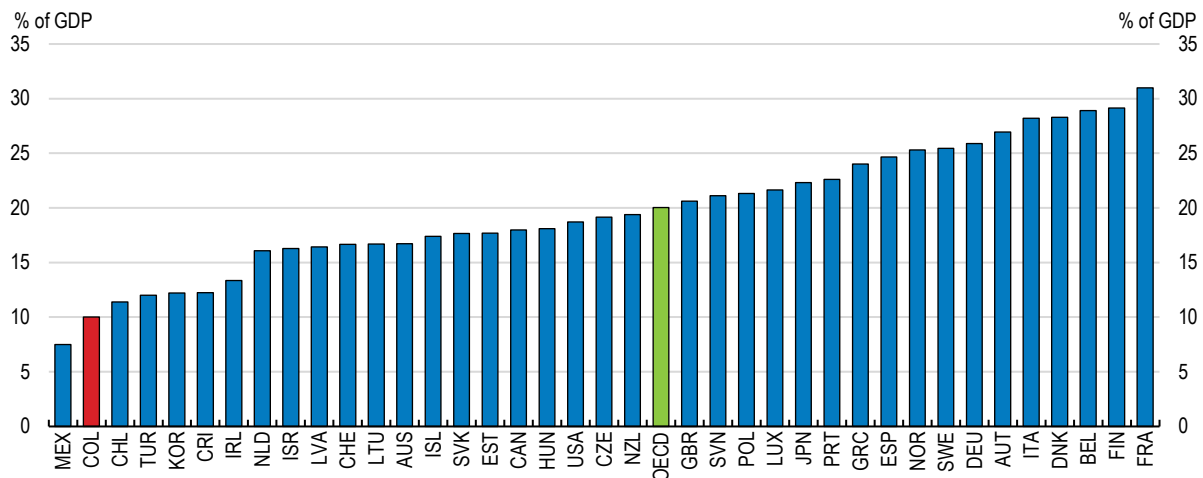
Figure 7.1. The social protection system in Colombia



Source: OECD Secretariat.

Another factor contributing to low coverage is poor targeting of social spending (Table 7.1). Significant shares of spending benefits non-poor households, particularly when it comes to pensions, housing, education subsidies, and public utilities, such as electricity or telecommunications. Pre-school and primary education expenditure is well targeted to the poor, but the benefits of public spending on tertiary-level education mostly accrue to high-income households (Joumard and Londoño Vélez, 2013^[9]).

Figure 7.2. Social spending is low



Note: Year 2019. Social expenditure comprises cash benefits, direct in-kind provision of goods and services, and tax breaks with social purposes. In the OECD Social expenditure database Colombia shows a 13.1% of GDP in 2018 of social spending. Source: DNP and OECD Social expenditure database.

Social assistance programmes, such as *Familias en Acción* which has been replaced by *Renta Ciudadana*, are best at targeting vulnerable households, but still almost 40% of the spending in these programmes went to non-poor households in 2016 (Fedesarrollo, 2021^[10]), though targeting has improved since following pandemic-related changes and the replacement of several programmes under the 2022–2026 National Development Plan.

Table 7.1. Social spending is poorly targeted

	Per capita household income quintile					Spending in non-poor households, % of total	Budget (%GDP)
	1	2	3	4	5		
Education	42.2	25.2	16.9	10.6	5.1	46.4	3.7
Pensions	5	9.2	12.7	18.9	54.2	89.8	2.6
Health	48.8	26.1	14.7	7.9	2.5	42.6	1.9
Programmes for conflict victims	43.2	22.9	12.9	17.3	3.7	51.5	1.5
Public services	21.9	20.6	19.4	20.1	17.9	81	0.5
Housing	7.1	18.9	23.1	24.8	26.1	93.2	0.4
Familias en Acción	56.2	24.7	12	5.5	1.6	38.4	0.2
Education grants	10.3	18.9	7.9	28.1	34.8	59.5	0.1
Colombia Mayor	51.2	23.8	15.1	7.1	2.8	42	0.1
Unemployment subsidy	15.1	25.4	21	18.4	20.1	66.7	0.02
Jóvenes en acción	39.5	23	21.3	13.3	2.8	51.7	0.02
Familias en su Tierra	41.6	30.7	16.6	9.2	1.9	45.2	0.01
Other transfers	27.6	23.9	16.9	28.6	2.9	67.2	
Total without pensions	39.6	24.3	16.6	12.1	7.4	50	
Total	31.1	20.6	15.6	13.7	18.8	59.8	11.1

Note: Year 2017. Poor households are defined according to the national poverty line. The value reported for pensions in the table reflects only the implicit subsidy. Education covers all public education institutions, while education grants refers to educational subsidies and scholarships. Public services includes subsidies for public utilities such as energy, water, sewerage and communications.

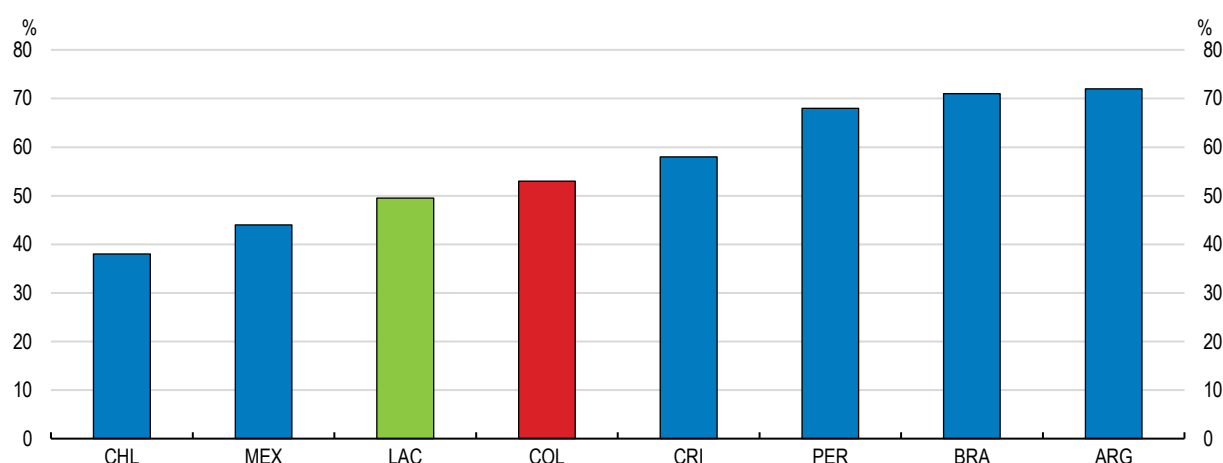
Source: (Fedesarrollo, 2021^[10]) based on ENPH-DANE.

7.3. High non-wage labour costs result in the exclusion of numerous workers from formal employment

Non-wage labour costs, which represent 50% of the labour costs of an average-wage worker, also perpetuate high rates of informality, self-employment and unemployment (Figure 7.3). For informal workers, non-wage labour costs add up to about 120% of their average wages (Alaimo et al., 2017^[11]). Among self-employed workers, contributions are highest for those with the lowest incomes, as contributions of the self-employed are always calculated based on the minimum wage, even when they earn less (Figure 7.4).

Figure 7.3. There is room to reduce non-wage labour costs

Average non-wage cost of salaried workers as % of the average net formal wages, 2014



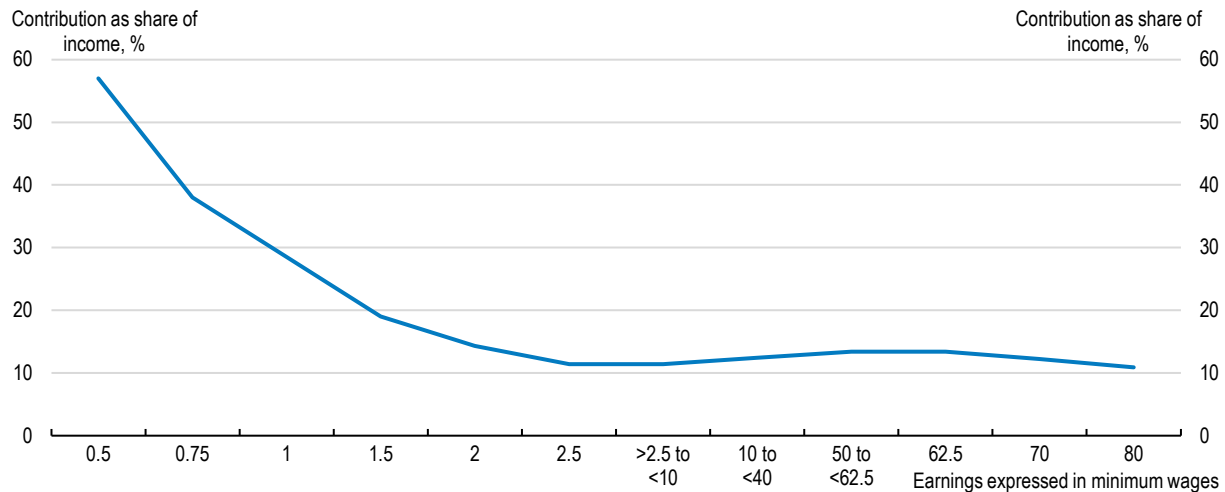
Note: LAC refers to the average of 20 countries in the region. Estimations include mandatory contributions (such as social security contributions for health and pensions, professional risk, transport subsidy), 13th salary in the form of bonuses, annual leave, severance payment and firing notice.

Source: Alaimo et al. (2017), “Measuring the Cost of Salaried Labour in Latin America and the Caribbean”, IDB Technical Note N. 1291, <https://publications.iadb.org/handle/11319/8430>.

The 2012 tax reform that reduced payroll taxes and employer’s health contributions (Box 7.2) shows that reducing non-wage labour costs helps to reduce informality. In the aftermath of the reform, labour informality declined visibly (Figure 7.5). Impact evaluations suggest that the reform led to a 2 to 4 percentage-point reduction in the informality rate (Kugler et al., 2017^[12]; Morales and Medina, 2017^[13]; Fernández and Villar, 2017^[14]; Bernal et al., 2017^[15]). Formalisation increased more among workers in smaller firms, as larger firms were more impacted by the simultaneous increase in corporate taxes (Bernal et al., 2017^[15]). Estimates of wage effects of the reform vary, ranging from only a small effect (Morales and Medina, 2017^[13]), to a positive effect of 2.7% of average wages (Bernal et al., 2017^[15]). Overall, the effects of the reform have been broad-based and long-lasting, with the manufacturing, services and agricultural sectors experiencing reduced informality rates (Garlati-Bertoldi, 2018^[16]).

Figure 7.4. High social contributions leave many self-employed with no other choice than being informal

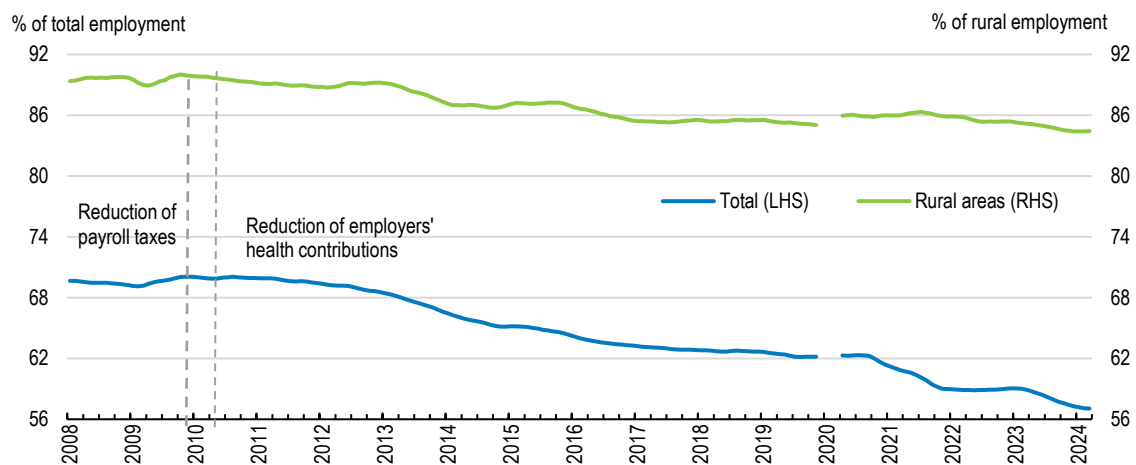
Pension and health contributions relative to the self-employed worker's income



Source: (Meléndez et al., 2021^[2])

Figure 7.5. Informality has declined but remains high

Informality rate



Note: 12-month averages. Informality is defined as the percentage of workers in employment not contributing to the pension system. The statistical definition is different from the one followed by DANE. Months from April to August 2020 are missing because of the pandemic some questions were not asked in household surveys.

Source: DANE.

But despite the 2012 reduction, overall non-wage costs remain high. For a dependent formal worker earning the minimum wage, the cost of contributions and other payroll taxes amounts to 53% of the wage for an employer. Among the most expensive non-wage costs is a transport allowance, which is mandatory only for workers earning less than two minimum wages and not considered in the calculation of social contributions. The only rationale behind this allowance is its exemption from social contributions, but it constitutes a big disincentive to formal hiring.

The fall in informality accelerated its pace between 2019 and 2023, falling by 4 percentage points overall and by 10 percentage points among women. This reduction was driven by the strong post-pandemic recovery and social security employment subsidies (Banrep, 2023^[17]). These subsidies, introduced during the pandemic and extended until 2026 by the current government, offer subsidies of 30% of the minimum wage for youth, 20% for women, and 10% for men. As a complementary measure to reduce effective non-wage labour costs for priority groups, the national government is implementing the “Empleos para la Vida” programme to promote, generate and protect formal employment. The programme grants a subsidy equivalent to 30% of the minimum wage for each additional young person (18–28 years) formally employed, 35% for each additional worker with a disability, and 20% and 15% for each additional woman and man over 28 years of age, respectively. Between January and October 2024, the programme benefited 230 000 workers, of whom 53% were women and 47% men.

In addition to pension and health contributions, employers also pay a 4% contribution to finance the family compensation funds (*Cajas de Compensación Familiar*), which offer a wide range of services from housing, education, and training programmes to sports and entertainment. Family compensation funds have increasingly been mandated by the government to provide benefits and services to non-affiliates. Still, their financing continues to rely uniquely on formal-sector labour charges (OECD, 2016^[18]). Moreover, many of the funds’ services are located in the regional capitals and are unavailable to formal employees living in smaller cities or the periphery. As a result, an increasing part of the contributions to the family compensation funds is in reality a tax on formal labour that is used to finance social policy programmes for which formal workers are not eligible. For most formal workers, the benefits perceived fall short of the costs, thus incentivising informality (Levy, 2019^[19]).

The unintended consequences of non-wage labour charges on formal job creation call for a broader approach to raising general tax revenues for financing social services and benefits, including the benefits provided by Family Compensation Funds. A shift towards financing services provided by Family Compensation Funds deemed worth maintaining through general tax revenues can subtract 4 percentage points from labour charges and significantly strengthen the incentives for formal job creation. If this proves politically too difficult, a temporary improvement would be to transform the current flat contribution rate into a progressive rate that spares out low-income workers, for whom formalisation incentives are most relevant. A recent revenue-neutral proposal suggests a zero contribution around the minimum wage that rises with income, but remains low below two minimum wages (Fedesarrollo, 2021^[10]). In this case, a centralised contribution collection system would transfer resources to the funds based on the services actually provided to low-wage members and on the number of members, considering the quality of services delivered. This would be a fundamental first step towards ensuring the progressivity of the funds and strengthening the government's position on the use of resources.

Other non-wage labour costs are related to costly and complex business regulations that hamper the formalisation of firms and jobs. The Government has been implementing a one-stop shop mechanism for all registration procedures (*Ventanilla Única Empresarial*), and should keep up efforts to integrate all commercial, tax and social security procedures necessary for the opening of companies and registering of formal workers. Increasing the use of digital tools would also offer the double dividend of reducing the regulatory burden while limiting opportunities for corruption and non-compliance, particularly when paired with additional efforts to increase compliance. Efforts in this direction have been undertaken with the SIMPLE tax regime that aims to reduce the tax burden but also facilitate compliance with tax obligations for micro and small firms. Take up of the SIMPLE tax regime has not been large, and there is margin to reform to improve take up and ensure objectives are met. Authorities have also implemented programmes, such as *Programa para la Formalización* and *Crecimiento Empresarial*, aiming to formalise micro and small firms.

Box 7.2. The 2012 tax reform and non-wage labour costs

In December 2012, Colombia's Congress approved a reform that reduced payroll taxes by 13 percentage points of wage earnings. In particular, it eliminated employers' contributions to SENA (the public training agency) and ICBF (the childhood services agency), previously set at 2% and 3% of firms' payrolls respectively. The reform also eliminated employers' contributions to the health system that amounted to 8.5% of the payroll. These payroll tax reductions applied only for workers with wages below ten minimum monthly wages (around 98% of formal workers). SENA and ICBF contributions were eliminated by mid-2013, while health contributions were eliminated starting in January 2014.

To finance this reduction of payroll taxes, authorities implemented a new corporate income tax (the "CREE") of 9% of total profits, while reducing the existing corporate income tax from 33% to 25%. The goal of the reform was to stimulate formal employment, while keeping tax revenue unchanged. The reduction in payroll taxes did not apply to employers not subject to corporate income taxes, including firms in the special tax regime and, in particular, non-for-profit organisations, which operate mainly in the education and health sector.

Table 7.2 shows all non-wage labour costs for employers, employees and the self-employed after the 2012 tax reform. The largest single elements of the tax wedge are pension contributions (12% for the employer), transport and severance allowances (11.7% and 8.3%, respectively) for the employer and pension and health benefits (8%) for the employee.

Table 7.2. Non-wage labour costs in detail

% of wage	Employer		Employee	Self-employed
Pensions		12%	4%	16%
Health insurance	0% for employees earning less than ten minimum wages	8.5% only for employees who earn more than 10 times the minimum wage or for firms in the special tax regime	4%	12.5%
Contributions for professional risks	From 0.522% to 6.960% depending on the risk profile of the occupation		-	Between 0.522% and 6.960%
Family compensation funds	4%		-	-
SENA	0% for employees earning less than ten minimum wages	2% only for employees who earn more than 10 times the minimum wage or for firms in the special tax regime		
ICBF	0% for employees earning less than ten minimum wages	3% only for employees who earn more than 10 times the minimum wage or for firms in the special tax regime		
Severance	8.3%			
Interest on severance	1%			
Transport allowance	11.7% for those earning less than 2 minimum wages			
Holidays	4.2%			
Footwear and clothing	3%			
Service bonuses	8.3%			

Source: Ministry of Labour of Colombia.

7.4. Cash transfers help reduce poverty but suffer from low coverage and low benefits

Due to the low coverage of social insurance contributory schemes, cash transfer programmes were implemented to protect those left behind, typically informal workers in poor households. Among poor households, 83% of their employed members had worked informally in 2019. The main conditional cash transfer programmes (Table 7.3) are

Familias en Acción (Families in Action), which targets poor households; *Jóvenes en Acción* (Youth in Action), now structured under *Renta Ciudadana*, which provides incentives to young people for entering and completing higher education; and *Colombia Mayor*, the non-contributory pension scheme.

Table 7.3. Main pre-COVID conditional cash transfer programmes in Colombia

	Familias en Acción	Jóvenes en Acción
Target population	Households below the poverty line, conflict-displaced and indigenous families with children under the age of 18	Vulnerable young students (16-24 years-old)
Conditionality	Education attendance and health controls in children	Successful continuation of studies in post-secondary education
Benefits	Varies depending on the number of children and their level of education. On average a household receives COL 145 thousand (USD 56) every two months, or the monthly equivalent of 22% of the poverty line	Contributions to tuition fees and direct cash payments. On average COL 365 thousand (USD 141)
Coverage	2.3 million households; 3.7 million children and teenagers in 2019	270,000 young people in 2019
Budget	Joint annual cost of COL 2.4 trillion (0.3% of GDP).	
Administration	Colombian Department for Social Prosperity	

Source: OECD based on Social Prosperity Department Management Report (2019).

Evaluations suggest that these social programmes have contributed to reducing poverty and raising well-being of households. *Familias en Acción* has had a significant impact on educational attainment, nutrition and other dimensions of life quality (Angulo, 2016^[20]), in addition to reducing extreme poverty, poverty, and multidimensional poverty (DNP, 2008^[21]; DPS, 2020^[22]). On the other hand, evidence suggests that being a beneficiary of *Familias en Acción* may increase the probability of being informal, since having a job in the formal sector increases individual income and reduces the probability of being eligible for the program (Saavedra-Caballero and Ospina Londoño, 2018^[23]). *Jóvenes en Acción* has had positive effects on earnings and employment prospects, including formality, in the short and in the long run, and increased educational attainment for participants and their relatives (Attanasio, Kugler and Meghir, 2011^[24]; Attanasio et al., 2017^[25]; Kugler et al., 2020^[26]).

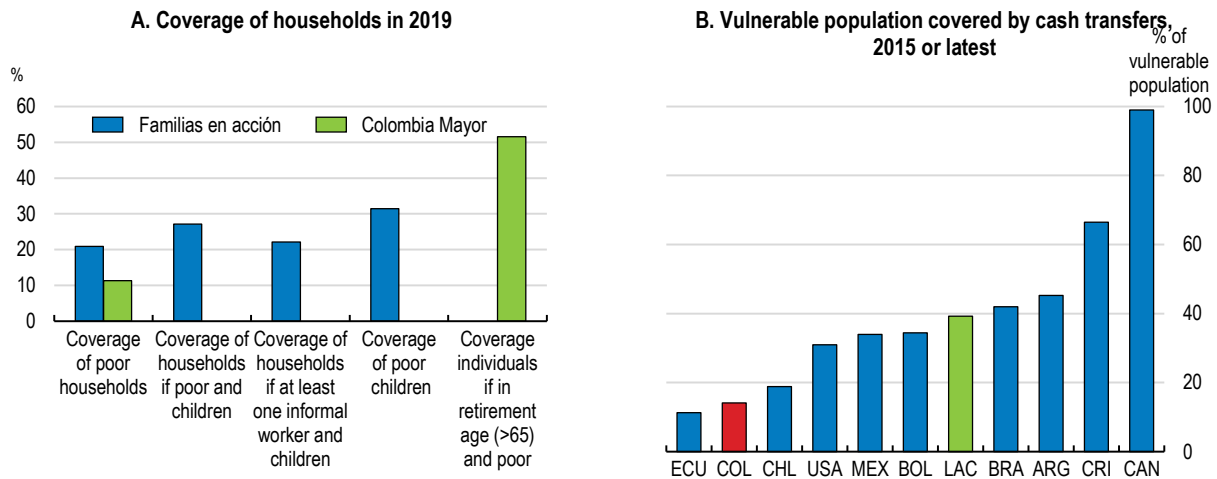
Although they have had a positive impact on the beneficiaries that they reach, cash transfer programme coverage remains low, leaving many poor households without support (Figure 7.6). 52% of poor households do not receive any support from the state. Only 13% of households with all members working informally received support through *Familias en Acción* in 2019. And in 2019, only 2.7 million out of 4.3 million poor families were targeted. The coverage is similar in rural and urban areas, but poverty rates are higher in rural areas, as less-educated households in remote areas are more difficult to reach. Moreover, the system lacks policies to protect the middle class from temporary shocks that may affect their income or assets. It must be highlighted that the new programme *Renta Ciudadana* has as an objective increasing coverage and benefits, but fiscal constraints have limited the impact.

Benefit levels of cash transfers are also low. *Familias en Acción* provides financial support equivalent to less than 5% of average monthly GDP per capita in 2019 (USD 23 or 22% of the poverty line), one of the lowest in emerging markets (ILO, 2017^[27]), where the average is 15% (Gentilini et al., 2021^[28]). Insufficient programme resources is the main reason for low coverage and benefit levels.

In addition to *conditional and non-conditional transfer programmes*, other social assistance programmes exist to support productive inclusion and entrepreneurship, or to cover the specific needs of certain population groups. The design of these programmes aims to cover all life stages and conditions necessary for a person or family to enter the labour market, generate income and improve life quality. However, there is a lack of coordination and efficiency in these efforts. Aware of these challenges, authorities set up an equity roundtable (*Mesa de equidad*) in 2019 formed by the president and all the ministries, to coordinate social programmes among all institutions targeting

poverty alleviation. And in 2020, the management of all cash transfers programmes was centralised under a single public entity, a welcome step to reduce fragmentation.

Figure 7.6. Cash transfers programmes leave many poor households without any support



Note: in Panel B, vulnerable population is defined as (a) all children; (b) persons of working age not contributing to a social insurance scheme or receiving contributory benefits; and (c) persons above retirement age not receiving contributory benefits (pensions). Social assistance is defined as all forms of non-contributory cash transfers financed from general taxation or other sources (other than social insurance).

Source: OECD calculations using GEIH 2019 and ILO, World Social Protection Database.

7.4.1. Recent changes to cash transfer systems

The Covid-19 pandemic accelerated significant changes in cash transfer systems to protect the poor and vulnerable. Programs like *Familias en Acción* expanded eligibility to include more economically vulnerable households and waived conditionalities due to the lockdown. Jóvenes en Acción also fast-tracked its age expansion to support young people aged 14-28, with plans to add 200,000 more beneficiaries. All existing programmes provided extraordinary cash transfers. Additionally, the government launched *Ingreso Solidario*, an unconditional cash transfer program aimed at informal workers, reaching up to 4.1 million households by 2022, offering COL 160,000 (USD 40) per month. This program showed positive impacts on household income, food consumption, and education (Gallego et al., 2021^[29]). The government also fast-tracked the implementation of the VAT compensation program in March 2020 to offset the regressive effects of VAT on vulnerable households, reaching 1 million beneficiaries. Early evaluations suggest these programs improved household welfare and access to food (Londoño-Vélez and Querubín, 2020^[30]). Together, these social responses mitigated the pandemic's impact on poverty, reducing national poverty by 2.2 percentage points in 2020. While coverage was still limited, emergency transfers fully offset income losses in rural areas, where real income even grew during the crisis.

During 2024, the implementation of the Citizen Income Programme (*Renta Ciudadana*) aligns with past Surveys recommendations by increasing benefits and coverage of conditional cash transfers programmes aiming to reduce poverty and support for vulnerable households. The programme consolidated multiple legacy schemes (*Familias en Acción*, *Ingreso Solidario*, *Jóvenes en Acción*) into a unified cash transfer system targeting Colombia's extreme and moderate poor, especially households in Sisbén IV groups A and B. In 2024, coverage reached up to 3 million households per payment cycle—around 9 million people, or roughly 17% of the total population—thus covering nearly all households in extreme poverty and a share of those in moderate poverty.

The amount of the benefit varies depending on the household's socioeconomic status. *Renta Ciudadana* is structured around four components, each tailored to address specific vulnerabilities among poor and extremely

poor households. The Colombia sin Hambre (Colombia Without Hunger) component aimed to guarantee a minimum income floor for households facing extreme poverty and food insecurity. This was the broadest line in 2024 but was discontinued in 2025 due to fiscal constraints. This narrowed the effective coverage to 600,000–800,000 households. The *Valoración del Cuidado* (Care Recognition) component focuses on recognising and compensating unpaid care work, targeting female-headed households and those caring for people with disabilities. It provides COP 500,000 every 45 days and became the programme's main focus in 2025. The *Fortalecimiento de Capacidades* (Capacity Building) line supports human capital development, linking transfers to participation in education or training, especially for youth. Finally, the *Atención a Emergencias* (Emergency Support) component provides flexible assistance during shocks such as natural disasters or economic crises. While all four components were active during the programme's initial phase, 2025 reforms narrowed the focus primarily to the Care Recognition line in order to preserve support for the most vulnerable under tighter budget conditions.

The benefit is also designed to be temporary with the objective of transitioning households into more permanent social protection schemes. The average monthly transfer is expected to range between COP 200,000 and 400,000 (around USD 50-100), close to the extreme poverty line, although this amount can vary based on household needs and composition. For example, larger families or those in deeper poverty may receive higher amounts. *Renta Ciudadana* aims to bring beneficiaries closer to the poverty line but does not fully eliminate poverty for many households, particularly in urban areas, where the cost of living is higher.

While *Renta Ciudadana* has made progress, the program's coverage and benefit levels have been limited by **budget constraints**. Additionally, although there have been efforts to improve targeting of social policies by introducing a new social registry, it remains a challenge, with the risk that some households in need might be excluded or miss out on benefits due to incomplete data or inefficient registration systems.

To sustain incentives for formal employment and prevent disincentivising beneficiaries from seeking formal work due to fear of benefit loss, a tapering phase, where the reduction in transfer value is less than the additional income earned, would encourage formal work uptake. Cash transfers can also be linked to pro-formal employment behaviours such as skills training, and engagement with public employment services, facilitating poverty alleviation efforts (OECD, 2022^[31]).

7.4.2. A guaranteed minimum income could provide a backstop against poverty

The implementation of *Renta Ciudadana*, a unified social program that integrates existing cash transfers, marks an inflection point for Colombia and the future of cash benefits. This represents a significant step forward in expanding coverage and improving social protection for the most vulnerable. Moving forward, a further improvement would be to establish a guaranteed minimum income scheme for the population aged below 65, which would complement the incomes of those living in poverty. This programme could become the prime poverty alleviation instrument and provide a backstop to those who lose their livelihoods temporarily in the case of dismissal or income loss. Other social programmes that aim at improving household assets and human capital could serve a complementary role.

A guaranteed minimum income is a periodic cash transfer that supplements the income received by poor households to ensure a minimum income level. The scheme would be financed by general taxation revenues, and could build on existing conditional and un-conditional cash transfers for the vulnerable and poor. The amount given to each household would be related to the household's own income before the transfer (from both formal and informal jobs) and assets. If the household has no income, the maximum transfer amount would be made. As household income increases, the transfer amount would gradually decrease until income reaches a point at which the household would no longer be eligible for any transfer. *Renta Ciudadana* has moved in this direction, as the amount of the benefit depends on the size and degree of vulnerability of the household. This system differs from existing cash transfers, which provide a fixed amount to poor households independent of the household or individual income (usually called basic income schemes). When children are part of the household, the transfer could be conditional on human capital accumulation and desired health behaviours, as in the *Familias en Acción*

programme, to generate incentives for investing in education and health. In line with the current cash transfer programmes, benefit levels would take into account children's age and educational level.

To maintain the incentive to work, and in particular, to work formally, it is important that cash transfer programmes are designed so that a beneficiary moving into employment forgoes a transfer smaller than the additional income gained from working formally. To this end, the program could include a phase in which, for every additional peso earned by the household or individual, only some part of the self-declared additional earnings, including both formal and informal earnings, are taken into account to calculate the cash benefit, until gradually reaching a point where no subsidy is available (Reyes, 2020^[32]). Preliminary and ex-post impact assessments should be systematically conducted to evaluate the effects on (formal) labour force participation and adjust the design where necessary.

The level of the guaranteed minimum income should also take into account the poverty line to ensure no household is left in poverty. By incorporating the national definition of the poverty line into its calculation, the minimum income would also naturally adapt to the varied cost of living in the different territories and changes in prices over time. Hence, the most efficient way to fight poverty would be to establish a minimum guaranteed income equivalent at least to the poverty line, while eliminating all other subsidies or tax exemptions. Unifying all income support into one programme would make it more efficient and transparent, which could in turn increase popular support for the reform.

The programme should be accompanied by an effort to strengthen state capacity to regulate and administer the system, including systems for income and wealth reporting and verification. Local networks and social assistants would play a key role in income verification. Also important would be designing incentives to encourage citizen responsibility, for example by implementing some kind of penalty for those who provide inaccurate or false information (Andes University, 2020^[33]).

An almost equivalent alternative to a guaranteed minimum income would be a Negative Income Tax or Earned Income Tax Credit. In such a programme, the subsidy would decrease gradually as earnings increase. After a certain income level, an individual would no longer benefit from the subsidy and instead begin to pay earned income taxes. Evidence shows that the Earned Income Tax Credit in the United States has raised labour force participation, particularly for single mothers, a group that previously faced the greatest disincentive to work (Hoynes and Patel, 2017^[34]). There are also positive impacts on poverty reduction, as the programme rewards work and supplements the income of low-wage workers. These programmes have also decreased informal employment in developing countries (Gunter, 2013^[35]). The salient distinction between a guaranteed minimum income and the negative income tax is that the latter is financed directly through the progressive income tax. Another important difference is that the former allows for some part of the cash transfer to be conditional on educational and health behaviours. Also, in the case of the guaranteed minimum income, a network of social workers is in charge of verifying and constantly improving the database of poor households while raising awareness of available benefits, while under a negative income tax, tax inspectors would do this work instead, which might make their work more difficult.

7.5. Protection against job loss needs deep reform

Risks arising from the loss of employment among formal workers are currently covered through three different instruments. The first is severance pay, consisting of a fixed one-off payment paid by the employer to the worker at dismissal. The amount depends on the worker's salary, ranging between the equivalent of a month and a year's salary. The second is an unemployment protection scheme based on individual accounts, financed by individual savings accumulated by through contributions. In March 2021, around 9 million people were affiliated with individual severance accounts (*cesantías*), corresponding to 95% of all formal salaried workers. Of self-employed workers, however, only 8% contribute to this system.

The individual unemployment savings account system fails to provide proper income protection. Over time, the system has lost its purpose, as workers can withdraw their savings before job loss for a variety of reasons, including financing education or purchasing or renovating a home. In 2017, two thirds of the funds were withdrawn for

reasons other than unemployment (ACRIP and Fedesarrollo, 2018^[36]). In 2013, to redirect the system of individual severance accounts towards income support provision in the case of unemployment, the government introduced a bonus proportional to the savings amount for those who keep at least 10% of their savings in the fund, 25% for those who earn more than twice the minimum wage (OECD, 2016^[18]).

The third is an unemployment insurance benefit (*Mecanismo de protección al cesante*), established in 2013 to complement individual savings accounts. It partially replaces lost wages, ensures the continuation of health and pension contributions for six months, and provides income-support for families with children, and access to public employment services and vocational training and employment offers. It is granted to formal workers who lose a job and whose employer contributed 4% of the payroll to a family compensation fund for at least 12 months in the three years before the job loss (24 months for self-employed workers). Although this benefit has substantially expanded since its introduction, most unemployed people do not qualify, either because are informal or because their employer did not contribute long enough. This explains the poor targeting of this protection mechanism: 82% of resources go to non-poor households and 53% to the two highest income quintiles (Fedesarrollo, 2021^[10]).

The unemployment insurance system proved insufficient for compensating formal workers for income losses during the pandemic. To compensate, the government implemented a transfer equivalent to two minimum wages over a period of three months during the lockdowns for those earning less than four minimum wages. By late June 2020, nearly 800,000 applications for unemployment insurance had been received, but only 109,000 people had actually been granted insurance. By December 2020, more than 400,000 unemployment subsidies were approved. Given the high number of newly unemployed workers on the waiting list, the government injected the unemployment protection mechanism with resources from the general budget and in early June authorised some of these individuals to be included in the *Ingreso Solidario* cash transfer programme for vulnerable workers (Blofield, Lustig and Trasberg, 2021^[37]).

Ingreso Solidario provided a backstop for those losing their job or income as a result of the Covid-19 pandemic. The success of this program at supporting the unemployed during the pandemic indicates that a cash benefit programme to the poor could serve as a universal pillar of an improved unemployment insurance system. For workers earning the minimum wage, a cash benefit equivalent to the poverty line would imply a 40% wage replacement rate. This would allow job seekers to look for jobs without an immediate concern for survival, improving workers' bargaining power and the probability of obtaining fair wages.

As part of the proposed guaranteed minimum income, beneficiaries would also be automatically registered with the labour market intermediation services to receive support in their search for employment and training. As this pillar is designed to avoid poverty in the case of job loss, a second contributory pillar could exist to provide consumption smoothing and maintain living standards for workers above the minimum wage, with the goal of achieving a wage replacement rate more in line with other OECD countries (60% on average). This second pillar would provide top-up benefits and be based on existing individual unemployment accounts financed from individual savings accumulated by workers.

One advantage of individual unemployment savings accounts over other unemployment insurance systems is that they significantly limit the risk of moral hazard (ILO, 2019^[38]). By allowing workers to run down their personal savings during periods of unemployment, workers internalise the cost of unemployment benefits, thus strengthening incentives for the employed to prevent job loss and for the unemployed to return to work quickly. Individual unemployment savings accounts also strengthen incentives for formal work since social security contributions to individual accounts are perceived less as a tax on labour and more as a delayed payment (OECD, 2018^[39]). The disadvantage of individual unemployment savings account system is that individuals with lower contributory capacity, who also tend to have a higher risk of unemployment, generally tend to receive insufficient protection. This is why these systems are often supplemented to support individuals with lower contributory capacity. The guaranteed minimum income programme would act as such a supplementary support.

The current individual unemployment savings accounts system would need improvements to regain its income protection role during periods of unemployment. An important first step is to restrict withdrawals to instances of

dismissal. If the worker does not withdraw all of the contributions accumulated during their career, any surplus could be credited in the form of pension entitlements upon retirement, a practice already in existence in Chile. Contributions to the severance accounts could be limited to a maximum number of years to allow for a sufficient accumulation of resources to cover the eventuality of unemployment.

As the benefits received from the severance accounts provide top-ups to the guaranteed minimum income programme, contributions to the individual accounts could be substantially reduced. Employers are currently mandated to contribute to the employee's severance account around 8.5% of the payroll and 12% of interest on the annual amount of the severance pay. These contribution rates are high even compared to advanced countries (ILO, 2019^[38]).

7.6. Achieving universal pension coverage while fostering formality

The Colombian pension reform (Box 7.1), currently being implemented, aims to address longstanding issues of low coverage, fragmentation, and inequalities within the system. Despite progress, challenges remain, including persistently low coverage for informal workers and the fiscal burden of the current system.

The pre-reform pension system is characterised by a complex structure: a contributory system, a non-contributory scheme as a cash transfer (*Colombia Mayor*), and a voluntary savings scheme (BEPS). The contributory system consists of both a public defined-benefit system and a private capitalisation scheme, operating simultaneously, competing against each other. The coexistence of two contributory schemes operating under different rules means that two workers with identical contribution histories can acquire different pension entitlements at retirement. This contributory system is characterised by low coverage—only 25% of the elderly receive a contributory pension (Figure 7.7), and this is projected to decrease to less than 20% by 2050 (Bosch et al., 2015^[40]). This low coverage stems from high informality in the labour market and the exclusion of many workers who do not meet the system's requirements (Table 7.4). Inequality is another key issue, with significant benefits flowing disproportionately to higher-income groups, as the public system fills gaps for high earners, creating implicit subsidies. The average income replacement rate in the public benefit-defined scheme (73%), which supports higher-income earners, is also much higher than that of the private capitalisation scheme (39%) (López and Sarmiento, 2019^[41]), or the OECD average (58%).

As a whole, pension spending is the worst-targeted item of social spending in Colombia, with 73% of subsidies going to high-income households, and just 5% going to the poorest households. In fact, Colombia is the only country in the region in which contributory pensions increase inequality (Lustig, 2016^[42]). There are also marked inequalities in pension coverage across population groups, with a coverage rate for women of 21%, compared to 30% for men. In rural areas, less than 10% of the elderly are covered.

The fiscal cost of the pension system, which includes several special regimes for public sector employees, such as military personnel and teachers, is also high in relation to its coverage at 3.9% of GDP and nearly 30% of government tax revenues in 2019, nearly three quarters of which were subsidised to the public scheme.

The non-contributory scheme, called *Colombia Mayor*, provides small cash transfers to the poorest of the elderly and has expanded in recent years (DNP, 2016^[43]; Econometria, 2017^[44]). This scheme is far from sufficient, covering just 39% of those older than 65 with no contributory pension in 2019, or 29% of the total population aged 65 and above. Average benefits are also low, at about 60% of the extreme poverty line, or USD 25 per month (the benefit is higher for those over 80 years of age), making *Colombia Mayor* one of the least generous non-contributory pension systems among emerging market economies (ILO, 2021^[45]).

The so-called Periodic Economic Benefits Scheme (BEPS) is the third pillar of the Colombian pension system after contributory and non-contributory systems. Its original aim was to encourage voluntary savings for retirement among low-income Colombians. But design problems and its reliance on voluntary savings by a low-income population limit its impact and take-up. To increase pension coverage among low income earners, the government implemented a “social protection floor” in 2020, making contributions to BEPS for dependent and independent

workers earning less than a minimum wage, and providing pension transfers, non-contributory health coverage, and additional insurance against labour risks (for which the employer contributes 1% of the wage). For those with earnings above the minimum wage, the social protection floor was voluntary.

Table 7.4. The Colombian pension system before the 2024 reform

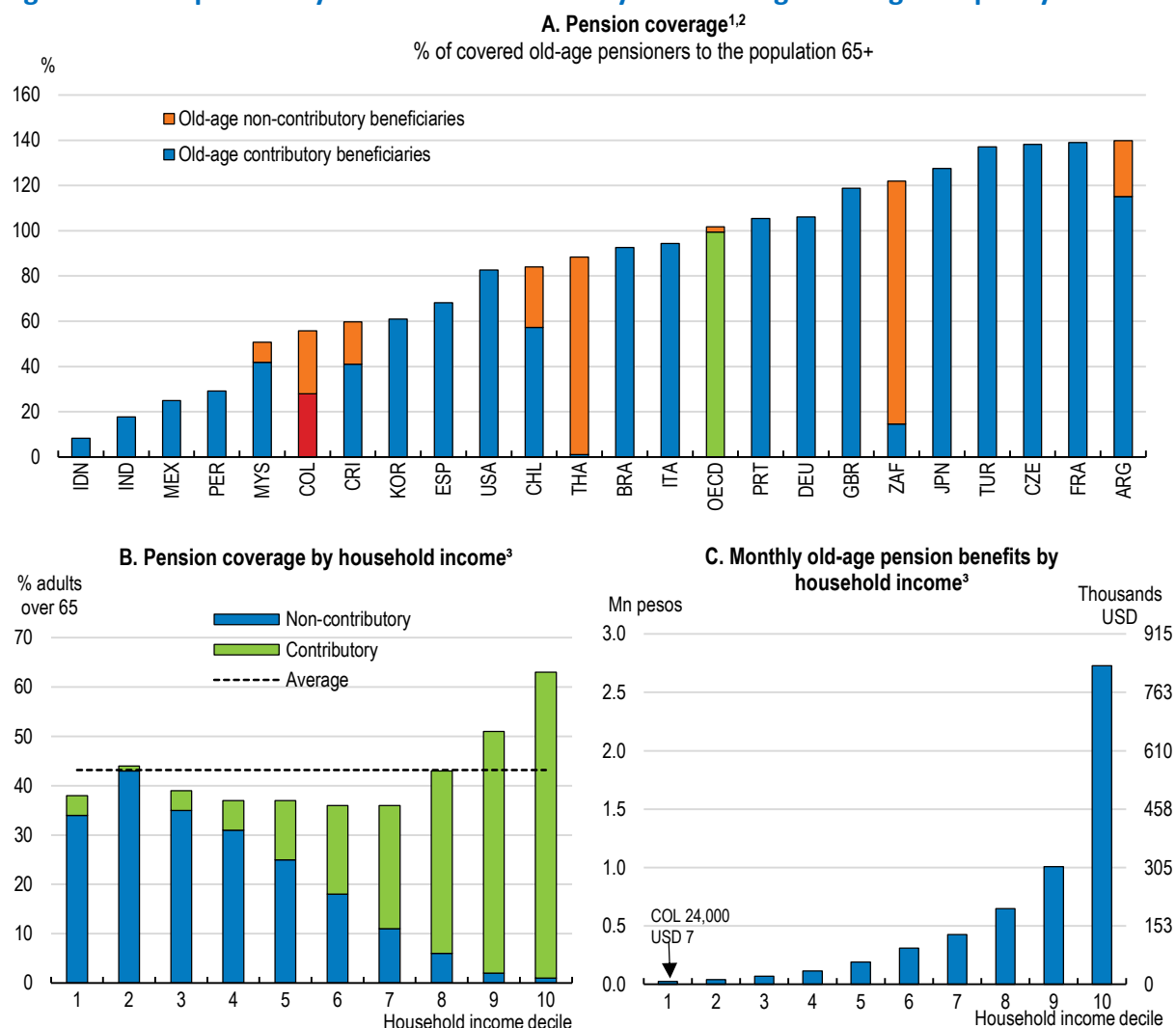
	Contributory system			Non-contributory
	Public defined-benefit	Private capitalisation	Periodic Economic Benefits Scheme (BEPS)	Colombia Mayor
Contributions	16% of base salary (75% by the employer and 25% by the employee, for self-employed earning more the one minimum wage it is calculated based on 40% on the base income)		Voluntary for all self-employed workers earning less than the minimum wage; mandatory for part-time workers, employers contribute 14% of wages (the social protection floor)	
Requirements for getting the pension or benefit	Age of retirement of 57 for women and 62 for men and 1,300 weeks of work	Sufficient capital to receive a pension equivalent to 110% of one minimum wage or attain retirement age (57/62) and 1,150 weeks of work	Attain retirement age (57/62)	Extremely poor and aged more than 54 for women and 59 for men. Priority targeting for aged over 65.
Benefit	By constitution, contributory pensions cannot be lower than one minimum wage		Accumulated savings plus Government subsidy (20% of the stock of savings accumulated at retirement)	COP 80,000 monthly (USD 25 or 60% of the extreme poverty line in 2019)
	Percentage over the last 10 years of earnings. Maximum pension of 20 minimum wages.	Based on accumulated savings. If the calculated pension is below the minimum wage, workers can access a fund to achieve the minimum wage, which is financed by allocating on average 1.5% of the contributions of affiliated workers.		
If requirements are not met	Get their balances book adjusted for inflation without interest accrued on the savings (<i>indemnización sustitutiva</i>)	Get back the capital with financial returns	--	--
Coverage	6.5 million affiliated individuals (but less than one-third are active contributors); 1.2 million pensioners	14 million affiliated individuals (but less than one-third are active contributors); 120,000 pensioners	667,000 are active contributors and 13,000 received annuities in 2019	1.7 million beneficiaries, less than 25% of those aged above 65
Administration	The Government (<i>Colpensiones</i>)	Private pension funds	The Government (<i>Colpensiones</i>)	Solidarity Pension Fund; Ministry of Labour

Source: OECD Secretariat.

The recent pension system reform (Box 7.1) is heading in the right direction by aiming to enhance the coverage of non-contributory pensions and eliminate competition among contributory schemes, and will help reduce inequities and poverty. This reform also reduces implicit subsidies to the wealthy under the pay-as-go system, where most affluent retirees captured most of the benefits. The reform involves transitioning from the current system to a pillar system. The first pillar entails a non-contributory tier that provides a minimum income equivalent to the extreme poverty line to all mean aged 65 and women aged 60 and above living in poverty. The second pillar focuses on semi-contributory pensions for workers who have contributed to the system but fall short of the requirements for a full pension. The third pillar comprises the existing pay-as-you-go and private individual account systems, but all

workers contribute to the pay-as-you-go system and only those earning more than 2.3 minimum wages to the private individual accounts. This limits subsidies for high earners, and redistributes public support toward lower-income workers.

Figure 7.7. The pension system is characterised by low coverage and high inequality



1. OECD refers to the unweighted average of latest available data of its member countries excluding Australia, Israel and Switzerland.

2. Data refer to 2018 for Colombia. Latest available data for the remaining countries.

3. Year 2019 based on GEIH. Source: Colpensiones; Finance Ministry of Brazil; Ministry of Economy of Argentina; OECD Pensions at a Glance: Latin America and the Caribbean (2014); OECD Pensions at a Glance 2019, OECD Stat Pension spending, OECD/IDB/The World Bank (2014), Pensions at a Glance: Latin America and the Caribbean and Fedesarrollo (2021).

Firstly, the pension reform increases benefits and coverage for all citizens by guaranteeing a pension to those unable to attain a contributory one, ensuring no elderly falls in extreme poverty. The reform also provides pension benefits for those workers that contributed but did not achieve the required minimum 1,300 weeks of contributions for men and 1,000 weeks for women through a new semi-contributory pillar. Currently, these individuals are only entitled to the return of their contributions without any interest accrual. This is largely welcome as the current pension system exacerbates inequities leaving many elderly people in poverty given the low coverage among the most vulnerable. While this is an improvement from the previous scheme, in the medium term it would be advisable to enhance benefits within the non-contributory pillar to prevent anyone from falling into poverty, while ensuring fiscal responsibility in the process.

Secondly, the reform unifies the two current competing contributory schemes. The contributory system allowed members to choose between a state-run defined benefit plan and an individual defined contribution savings account plan managed by private pension fund administrators. The reform enlarges the public pay-as-you-go system by redirecting contributions from the private funds towards the public system. Only workers earning more than 2.3 times the minimum wage will contribute to the private pension funds for earnings above this threshold. Around 75% of all contributions to the contributory pillar will go to the public defined-benefit component. A new public savings fund, accumulating capital redirected from private funds and contributions to the public scheme after the reform, will be managed by the Banco de la República, whose independence ensures credibility in resource management. Thirdly, the reform improves targeting by increasing subsidies to low-income workers through the solidary and semi-contributory pillars and reducing them for high-income workers in the contributory pillar when contributions fall short of outlays.

In the medium to long term, given the current aging process and to ensure fiscal sustainability of the reform (as discussed in the (2024^[5]) Economic Survey of Colombia) the government will need to consider parametric reforms. There are two alternatives. First, lowering the threshold from which workers need to contribute to the private pension funds, as now it is relatively high with less than 15% of all workers earning above the 2.3-monthly minimum wages. This would have the advantage of encouraging national savings and capital market depth. Second, changing the calculation of pension replacement rates. Replacement rates are generous by international standards in the public scheme, at 72% of pre-retirement earnings in 2022, compared to an OECD average of 62% (OECD, 2022^[31]). The average wage over lifetime could be used to calculate the pay base, instead of the last ten years of wages (Mejia, 2023^[46]). Additionally, Colombia could also consider raising the retirement age (currently 57 for women and 62 for men) and equalising the retirement age for men and women (OECD, 2015^[47]). Tying pension age to life expectancy would facilitate small and automatic adjustments as life expectancy increases.

Efforts to increase labour formality will be fundamental to expand the coverage of the contributory pension scheme. The low coverage of the current scheme (25% of all workers) is primarily due to high labour informality and that only workers with a full-time monthly minimum wage can contribute. The pension reform might encourage workers to contribute to the system by granting access to the semi-contributory pillar after 300 weeks of contributions. The pension reform also encourages contributions as contributions will be based on a daily minimum wage, with a minimum requirement of one week's worth of contributions, for independent and part-time workers. However, simulations indicate that by 2100 only 22% of the old-aged will belong to the contributory system (Universidad de los Andes, 2023^[48]), and most workers will belong to the semi-contributory pillar. This suggests, there is a need of further measures to ensure workers have the incentives to contribute for the full earnings and working life.

Universal coverage of the pension system while reducing the incentives for informality could be achieved by transitioning to a non-contributory universal tier, with the mandatory contributory tier that tops-up benefits from the first tier. The first, non-contributory universal tier would provide minimum pension benefits for all residents aged 65 and above. Benefit levels would focus on reducing old-age poverty, while leaving consumption-smoothing objectives for the other components. The need to strengthen the incentives for formal job creation calls for shifting the financing burden of pensions away from (formal) labour towards broader sources. Essentially, this implies financing the universal pension from general taxation revenues, as opposed to labour charges. This would generate a need for mobilising additional tax revenues, which is a key priority for Colombia. Such a universal minimum pension, would allow to reduce social contributions, at least for low-income workers, boosting formality. Mandatory contributory rates could be progressive, lower for workers earning the minimum wage or below, and increasing gradually for workers earning higher wages. To ensure adequate pension amounts and fiscal sustainability, contribution rates could be calibrated to achieve replacement rates of at least 60% of pre-retirement earnings, close to the average OECD replacement rate for men.

7.7. Fostering formalisation without jeopardising universal health care coverage

Colombia has achieved almost universal healthcare coverage, with 97% of the population covered by the public health system in 2020, one of the highest coverage rates in the region. The country has simultaneously achieved

very high financial protection, with out-of-pocket expenditures below the OECD average and the lowest in the LAC region, a remarkable achievement (Figure 7.8).

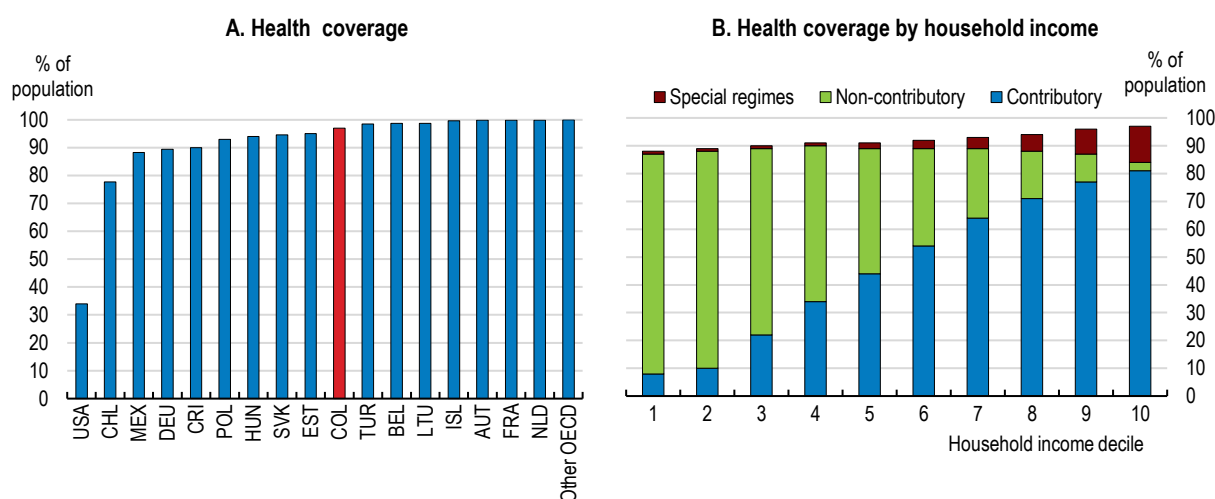
However, the design of the public health system, which consists of two parallel schemes (a contributory scheme for formal workers and a non-contributory scheme) incentivises informality for three reasons. First, the non-contributory system offers nearly the same services as the contributory one, with the exception of disability allowance and maternity leave, but is free of charge. Second, part of formal workers' healthcare contribution is used to cross-finance the non-contributory system and thus is effectively taxed away. Finally, workers face a temporary discontinuity in healthcare coverage when switching between systems due to their change in employment status. These switches can also negatively impact the quality of care as medical files and treatment histories are usually not shared across the two systems.

Improving incentives to formalise while keeping good health coverage would require shifting much of the financing burden of public healthcare away from formal labour charges and toward general taxation, especially for workers earning around the minimum wage where disincentives are highest.

Moving towards a single, universal health care system financed through general taxation would reduce by 4 percentage points the cost differential between formal and informal employment, which is currently paid by the employee. For self-employed workers, this would reduce the cost differential between formal and informal labour by 12.5 percentage points, and even more for those earning less than a minimum wage. Funding the health system by not discriminating between formal (contributing) and informal (non-contributing) workers would boost formality (Levy, 2019^[19]).

A second option that could be implemented at no fiscal cost is to unify the two existing systems and keep the financing through labour charges, but shift the burden of contributions more heavily onto higher income workers and less on workers earning around the minimum wage. One recent proposal sets at zero the contribution rate for salaried or self-employed workers earning up to one minimum wage, and then increases the rate gradually up to a maximum for workers earning 25 minimum wages (Fedesarollo, 2021^[10]). This would leave the average contribution rate at around 4% of wages, implying no fiscal cost, but would make contributions more progressive, lowering the cost of formalisation.

Figure 7.8. The health coverage is almost universal but its financing generates incentives for informality



Source: OECD Health at a Glance, 2020 and (Fedesarollo, 2021^[10])

Reducing healthcare-related labour charges and the associated distortions is particularly important for those firms subject to the “special tax regime,” which account for 16% of all formal employment, mainly in the sectors of education and health. The special tax regime features an additional 8.5% employer health contribution, as the regime was not included in the 2012 reform due to its exemption from corporate taxes, generating even stronger

disincentives to formal job creation. Moreover, as these sectors employ 26% of female workers, reforming them would help to improve gender equality.

7.8. These reforms can be done at reasonable fiscal costs

Illustrative simulations based on microdata from the Colombian household survey (GEIH) allow for an estimation of fiscal costs and impact on poverty and inequality of different social protection reforms in Colombia. Actual costs will depend on the details of the reform and its implementation. Furthermore, the cost estimates can only provide an upper bound in the short run, as they are based on the current status quo, and do not account for the medium-term benefits from improvements in labour incomes, inequality and productivity. Such medium-term benefits are notoriously hard to estimate in a reliable way, but they are the ultimate reason why such a reform should be undertaken.

A basic, non-contributory, universal pension for all individuals aged 65 and above would cost 1.6% of GDP in 2020 (Table 7.5). The corresponding benefit would amount to a 4-fold increase vis-à-vis the current non-contributory *Colombia Mayor* programme and imply a replacement rate of around 50% for a minimum-wage earner. Taking into account demographic changes, and maintaining the benefit at this level, the cost of the universal basic pension would peak at 2.6% of GDP in 2030, fall to about 1.8% of GDP in 2060 and 0.7% of GDP by the end of the century (Fedesarrollo, 2021^[10]).

Table 7.5. Illustrative fiscal costs of achieving universal social protection

New programme	Cost (% GDP)	Current cost of programmes to be phased out (% GDP)	Assumptions
A universal basic pension	1.6		Cash transfer equivalent to 1.3 poverty lines, covering 75% of those aged more than 65 in 2020 (the remaining 25% are the current beneficiaries of the contributory pension system)
A guaranteed minimum income equivalent to the poverty line	3.0		Cash transfer to supplement income up to the poverty line for the population under the age of 65 living in poor households
Phasing out health contributions and Family Compensation Funds for low-income workers	0.8		For workers with higher incomes, i.e. above 1.5 minimum wages, the current health contributions and to the Family Compensation Funds are replaced by personal income taxes of the same amount
Short-term net cost	3.6	Existing cash transfer programmes: 1.2; Colombia Mayor: 0.1; Subsidies on public utilities: 0.5	The short-term net costs include the replacement of existing social cash transfers programmes by the new ones and the elimination of subsidies on public services. The pension reform would be implemented only gradually without affecting acquired pension rights.
Long-term net cost	1.0	Subsidies on pensions: 2.6	Reflects the full implementation of the 2024 pension reform, which phases out subsidies to high-income pensioners (estimated at 2.6% of GDP). These savings are already legislated and will materialise gradually. The growth and formalisation effect of the reforms is not taken into account.

Note: The calculations imply subtracting from households' income all transfers based on social programmes, such as Colombia Mayor, Familias en Acción and Ingreso Solidario, and replacing them by transfers based on the new proposed programmes.

Source: OECD Secretariat calculations based on DANE-GEIH data.

A guaranteed minimum income programme, topping up to the poverty line all incomes of those below 65, net of current government transfers, would cost 4% of GDP in 2020. This number is clearly higher than the expected cost in the future, given the extraordinary increase in poverty rates during 2020. Once poverty rates return to pre-

pandemic levels (2019), the estimated cost would be around 2.5% of GDP. A reasonable conservative medium-run cost estimate may be around 3% of GDP (Table 7.5). An alternative option with similar fiscal cost but lower impact on social outcomes would be a basic income programme, similar to the current social programmes (*Renta Ciudadana*), delivering a fix benefit to all households in poverty regardless of their income or wealth. If a basic income programme were pursued, delivering a benefit equivalent to the extreme poverty, the fiscal cost would be of 3.9% of GDP in 2020, only slightly lower than that of the guaranteed minimum income. For a similar cost, the guaranteed minimum income provides a higher minimum income floor, assuring no one is left in poverty.

These reforms together would initially cost 5.4% of GDP, but the net cost, after phasing out existing cash transfer programmes and subsidies on public services, would fall to 3.7% of GDP (Table 7.5). This takes into account the expected savings in spending on current social assistance programmes, such as *Familias en Acción*, *Ingreso Solidario* and *Colombia Mayor* (which have now been replaced by *Renta Ciudadana*), whose transfers to the poor were worth 1.2% of GDP in 2020, and public subsidies of around 0.5% of GDP. With the new pension reform already approved, subsidies to high-income pensioners worth 2.6% of GDP are set to be phased out gradually. That would reduce the long-run net cost of a deep social protection reform to around 1% of GDP. Even in the short run, a smaller part of the pension savings could be frontloaded by subjecting high pensions from the current system to income taxes.

Finding alternative financing mechanisms to employee contributions for the contributory health scheme and employer's contributions to the Family Compensation Funds would imply funding needs equivalent to 2.2% of GDP, based on 2019 household data. Social contributions of workers with higher incomes, i.e. above 1.5 minimum wages, which accounted for 1.4% of GDP, could be simply replaced by personal income taxes of the same amount. That would leave a remainder of around 0.8% of GDP to be financed by general taxation revenues instead of social security contributions, as workers with incomes close to the minimum wage are unlikely to become subject to personal income taxation in the near future.

In general there is significant scope for raising tax revenues in Colombia, as it currently raises around 1.9% of GDP less in general government revenues than the average economy in Latin America, and 12.4% of GDP less than the average OECD economy (OECD, 2024^[5]). In the short term, existing exemptions that dampen tax collection and the progressivity of the tax system should be removed, tax rates on high incomes should be increased, and tax bases for corporate and personal income taxes broadened. In the long term, the higher rates of employment formalisation and growth that can be expected as a result of these reforms would increase incomes, in turn increasing tax collection.

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8

Reducing informality in Costa Rica: challenges and opportunities

José-Francisco Pacheco and Alberto González Pandiella⁵

Costa Rica's social protection system has historically ensured broad coverage and good quality, but it now faces growing pressures from demographic change, widespread informality, and persistently high poverty and inequality. With around 40% of workers in informal employment, many remain excluded from protection, while high payroll contributions discourage formal job creation. To expand coverage and reduce informality, reforms are needed to secure at least a basic level of social protection for all. A gradual strategy could begin by extending coverage to the elderly poor and poor children. The chapter proposes shifting financing away from payroll contributions toward general taxation, a reform that would both facilitate formal employment and strengthen social protection.

⁵ This chapter builds on an original background report prepared by José-Francisco Pacheco for the OECD. The current version has been revised and edited by Alberto González Pandiella (OECD), incorporating additional updates.

8.1. Introduction

Costa Rica has a long tradition of social protection initiatives aimed at protecting its population from different risks. While informal initiatives were already implemented since the mid-19th century, the country's first formal social protection pillar emerged during the 1940s, with the launch of the Caja Costarricense de Seguro Social (CCSS) and the labour code reforms. Since then, the contributory social insurance system has expanded to other sectors. Non-contributory social assistance initiatives aimed at poverty reduction emerged during the 70s. Such initiatives included the creation of the Fondo de Desarrollo Social y Asignaciones Familiares (FODESAF), a fund financed by payroll contributions and public budget transfers. Over time, a network of social assistance programs, primarily funded by FODESAF, expanded to cover children, the elderly and the poor. Social protection financing as it stands today relies heavily on social contributions. Overall, mandatory social contributions amount to about 37% of wages, with around two-thirds of these resources directed to the Costa Rican Social Security Fund (CCSS). Employers bear most of the cost, covering roughly 72% of total contributions.

Despite being characterised by consolidated institutional and financing models, the social protection system in Costa Rica suffers from fragmentation in service delivery and falls short in several aspects. In particular, labour informality levels have grown in the last decades, and now affect around 40% of total workers. Although multiple factors may explain labour informality (Pacheco, 2020), as analyzed in the OECD Economic Surveys of Costa Rica, there is increasing acknowledgement that social protection financing, and in particular, high mandatory contributions, are an important factor (Flores-Estrada Pimentel, 2021).

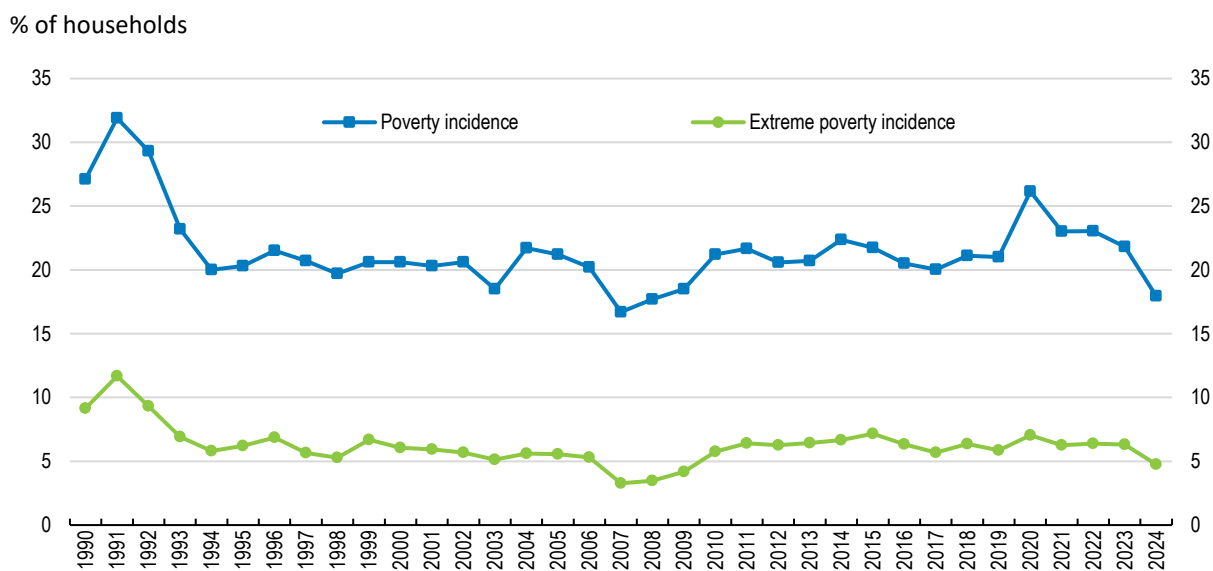
Various options for reducing informality in Costa Rica have been discussed in the past decade, but few concrete actions have materialised. This chapter examines the option of reducing reliance on social contributions and increasing the use of general taxation to finance social protection in Costa Rica, and how this shift could lower informality and strengthen social protection.

8.2. The Evolution of Poverty, Inequality, and Labour Market Structure

8.2.1. Poverty and inequality

Since 1994, household poverty levels in Costa Rica have remained stable at around 22% (Figure 8.1). Extreme poverty rates have also remained stable, affecting roughly 6 out of every 100 households.

Figure 8.1. Costa Rica: Poverty and extreme poverty incidence rates, 1990-2024

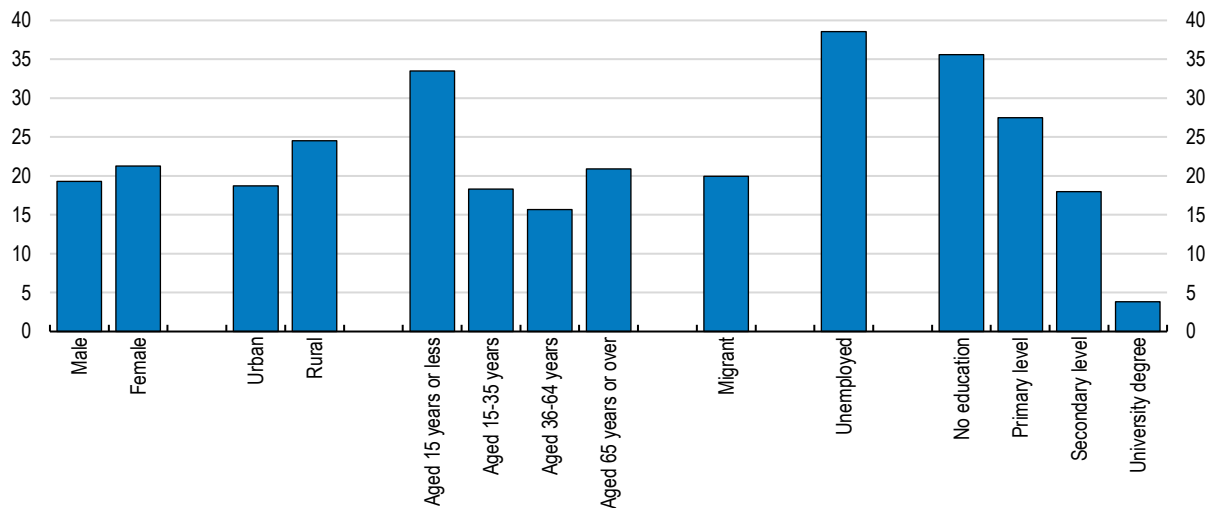


Source: INEC historical records.

During the pandemic (2020), most social indicators worsened, with household poverty rates growing to 26.2% (30% of the population). These rates started to decline again in 2021, and by 2024 poverty incidence was below pre-pandemic levels and similar to 2007 levels. Different sectors of the population experience different rates of poverty, with children, unemployed persons, and people without formal education experiencing the highest rates (Figure 8.2).

Figure 8.2. Costa Rica: Poverty incidence by population group

% of population, 2024

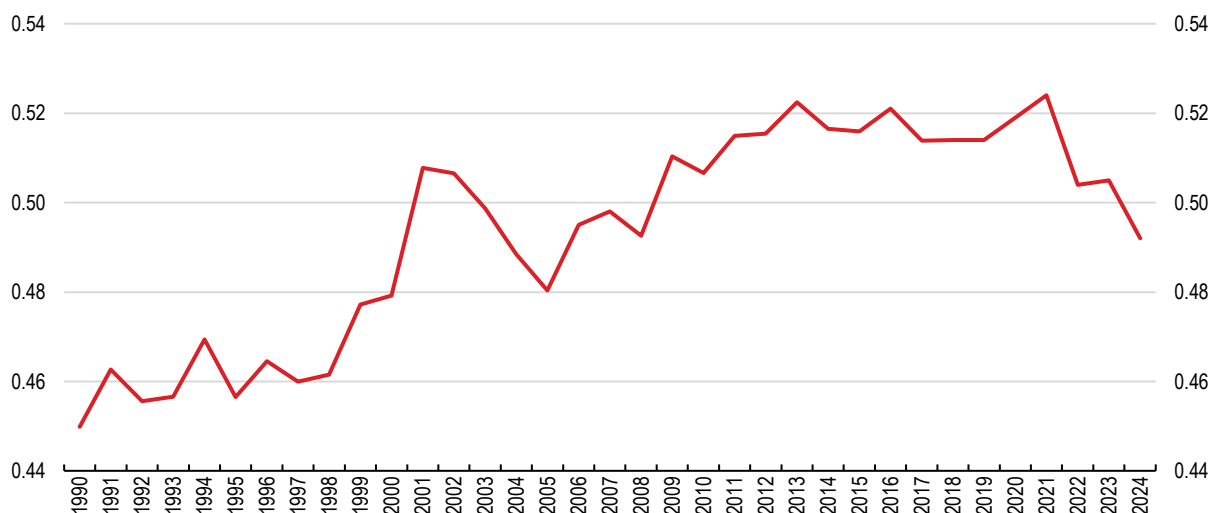


Source: ENAHO 2024.

Inequality trended up over the 1990s and 2010s (Figure 8.3). It started falling in 2021, although it remains higher than in the average OECD economy.

Figure 8.3. Inequality measures in Costa Rica, 1990-2024

Gini coefficient, from 0 ("perfect equality") to 1 ("perfect inequality")



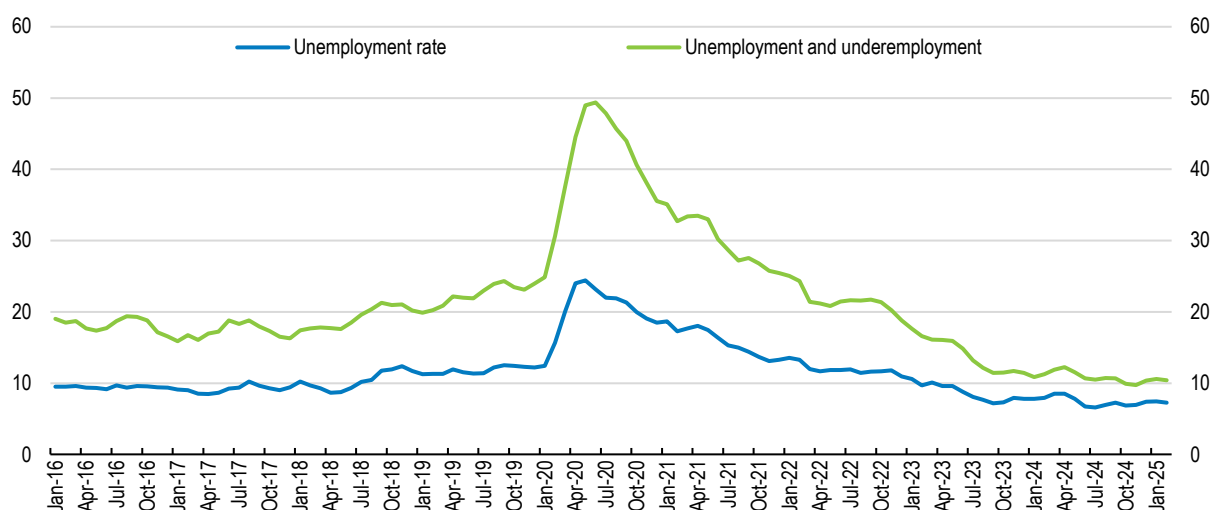
Source: INEC historical records.

8.2.2. Labour Market Structure

Unemployment increased substantially in Costa Rica during the pandemic (Figure 8.4). The Government adopted a series of sanitary measures to prevent the spread of the virus including driving restrictions, business closures and the shutdown of beaches, cultural and religious sites and frontiers. Face-to-face attendance to the school year was replaced by virtual lessons. During the first quarter of full pandemic control measures (2nd quarter of 2020), unemployment doubled from 12% to 24% and remained over 20% during the following three quarters. The trend reversed in 2021 and unemployment has been on a declining path, partly due to a fall in participation among some segments of the population. By 2023, unemployment achieved a one-digit rate (7.3%), being this the lowest rate since 2016. It has stayed broadly constant since then.

Figure 8.4. Unemployment and underemployment rates, Jan-2015 – Feb-2025

% of labour force



Source: INEC historical records.

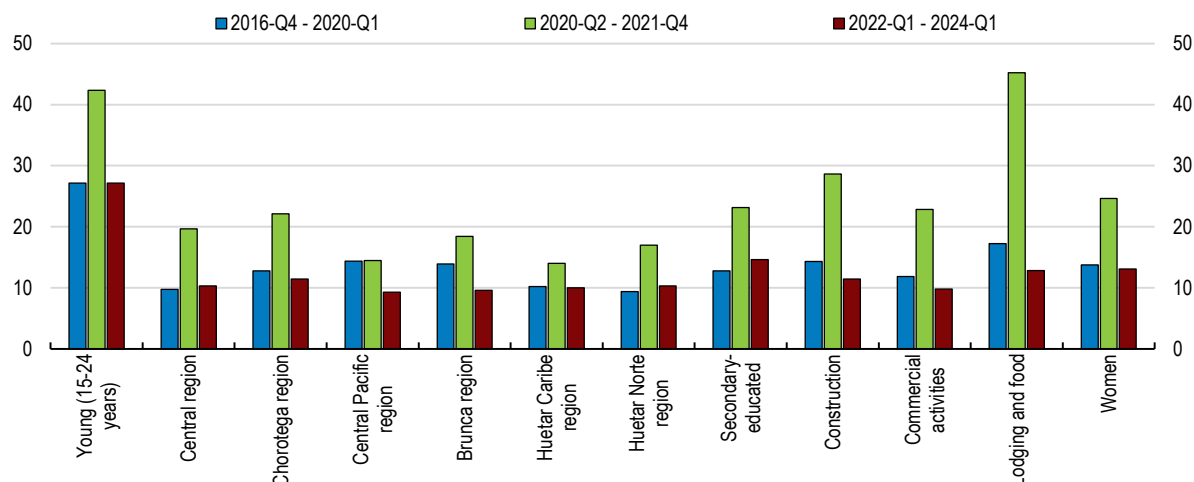
Like poverty, different populations experience different rates of unemployment (Figure 8.5). Women, young people, and residents of the Central Pacific and Brunca regions experienced the largest pre-pandemic unemployment rates (IV-2016 to I-2020). The youth unemployment rate affected 25% of citizens aged 15 to 24 years, female unemployment averaged 13.3%, and Central Pacific and Brunca regions observed rates between 13.5% and 13.9% of their labour force, respectively. During the pandemic period (II-2020 to IV-2021), youth unemployment reached 48% during the second quarter of 2020, and unemployment among women reached an unprecedented 24.6%.

The pandemic also increased unemployment rates among people aged 25 or above from 7.3% (pre-pandemic) to 14.9% (pandemic), partially closing the gap between youth unemployment and adult unemployment. The gap between women and men widened during the pandemic, from an unemployment rate of 1.6 to 1.65 times greater among women than among men.

Finally, the post-pandemic period (I-2022 to I-2024) shows reduced unemployment rates in all groups in comparison to pandemic years. Perhaps the most important feature of this period is the level of recovery that each group experienced in relation to pre-pandemic years. In this regard, unemployment in the Central Region, Huetar Norte Region and people with secondary education is higher than before COVID-19. On the contrary, rates are now lower in the rest of regions, women and those unemployed persons who used to work in construction, lodging and food and commercial activities. Youth unemployment remains at the same rate as in pre-pandemic years, although the rate itself remains high.

Figure 8.5. Unemployment rates by individual characteristic and period

Average unemployment rate



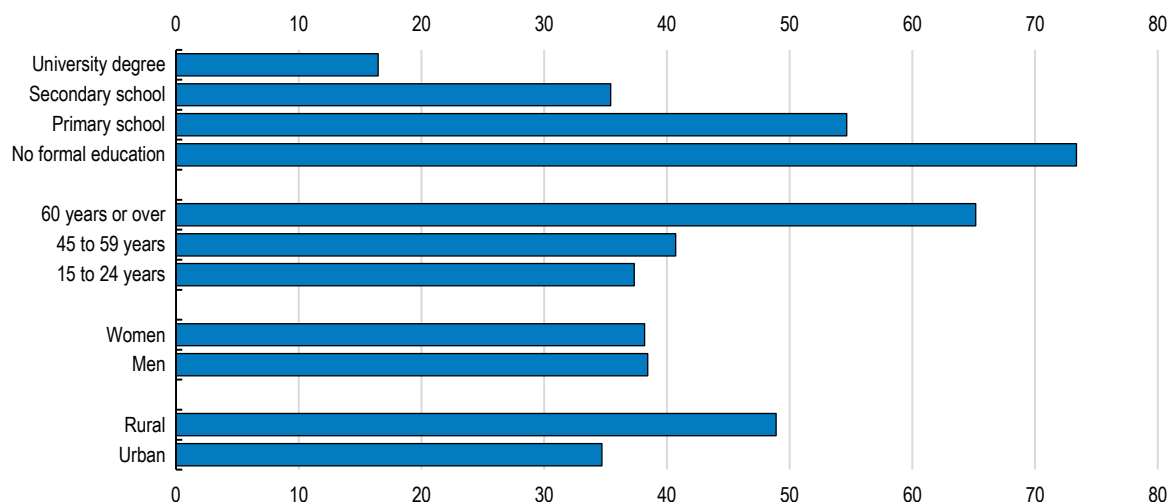
Source: INEC database.

Higher informality rates is also a growing matter of concern given that informality is associated with lower levels of social protection, productivity, and resilience to macroeconomic shocks. Informality has been hovering around 42% over the last 15 years although in that period the rate experienced an inverse U-shaped curve. In this way, informality moved from 37.6% of total occupation in 2010-2011 to 45.1% in 2018-2019, reaching a maximum 47.1% in the first quarter of 2020. Since 2021, informality dropped to 41% of total workers. Based on the information of Figure 8.6, informality tend to be higher among less-educated workers over 25 years, living in rural areas. Rates by sex show no significant differences.

Informal workers, who already had low incomes, experienced a sharp decrease in income during the pandemic. In pre-pandemic years, 42.1% of informal workers earned less than the minimum wage (US\$ 2.2 per hour) and just 11.7% earned two times the minimum wage or more. In the second quarter of 2020, 48.7% earned less than the minimum wage and just 8.3% earned two times the minimum wage or more.

Figure 8.6. Informal employment rates by characteristic, 2024-Q4

Informality rate, %



Source: INEC database.

8.3. Costa Rica's social protection system

This section provides an overview of the social protection system in Costa Rica including contributory social insurance schemes, key non-contributory social assistance programs, and the main labour market-related initiatives.

8.3.1. Overview of Existing Systems

The Costa Rican social protection sector includes the three typical components that characterise modern systems: social insurance (contributory), social assistance (non-contributory), and labour market policies. Social insurance programs are contributory programs that typically cover formal workers. Social assistance programs are non-contributory programs that typically cover informal workers. Labour market policies are the regulations that define the labour market structure.

The primary social insurance institution is the *Caja Costarricense del Seguro Social* (CCSS), which was first created in 1941. The CCSS covers healthcare services, social security provisions and the contributory pension regimen. The *Caja* grants medical care, sickness, old-age (contributory pensions), maternity, invalidity, and employment injury benefits that are provided to direct affiliates and, in some cases, cover dependents (as in the case of healthcare) and widows (survivors' benefits).

The social insurance scheme is financed through social contributions from employers, workers and the State. The State contributes in multiple ways. First, as an employer. Second, there is considerable legislation that has created special health programmes (vaccination, in vitro fertilization, vulnerable groups insurance coverage, smoking cessation) that are financed through taxation or debt. Third, the State also contributes with 1.91% to the contributory pension fund and with 0.25% to the health insurance scheme. Each year, the Ministry of Finance allocates a determined amount of funds in the National Budget that are later transferred to the CCSS.

The CCSS has set a minimum contributory income of reference under which no salaried worker can contribute. In 2023, the corresponding floors were defined at US\$564 for pensions and US\$603 for healthcare. In 2022, the Board of the CCSS reduced the minimum contributory income for independent workers and defined it at US\$283.

The CCSS also administers the non-contributory pension regime (NCR). The NCR, created by Law 5662 of 1974, is a monetary transfer “with the objective of protecting all those people who are in need of immediate economic protection and do not qualify in any of the existing contributory or non-contributory regimes” (Abarca and Fernández, 2017: 5). The subsidy is mainly addressed to protect elderly, orphans, widows and people with cerebral palsy with a subsidy of US\$136 per month.

The social assistance component is financed with the Fondo de Desarrollo Social y Asignaciones Familiares, or FODESAF, which allocates resources to 21 institutions in charge of more than 35 social assistance schemes, including the non-contributory scheme previously mentioned. This large number of institutions illustrates the high level of fragmentation that characterise social assistance in Costa Rica, with multiple schemes following similar objectives in terms of protecting people from poverty and deprivation. Established in 1975, the FODESAF is funded with two sources of funding. First, there is a payroll contribution paid by employers that is equivalent to 5% of the total wages⁶ they disburse. In addition, the existing legislation requires the Ministry of Finance to allocate and transfer to FODESAF the equivalent of 593,000 base salaries, an amount that represented 0.7% of GDP in 2021⁷.

⁶ This includes private employers except those ones with payroll-related expenses below one base salary and agricultural companies with salary expenditures below two base salaries.

⁷ The base salary refers to the salary of a clerk category 1, used by the Judiciary to set fines and penalties. In 2023, this parameter was defined at US\$853 per month.

FODESAF allocates around 1.7% of GDP (Pacheco and García, 2022) with five key interventions accounting for two-thirds of that expenditure (Table 8.1). Individually speaking, the main programs are the non-contributory pensions (0.35% of GDP), the Fund for Housing (0.27%), the IMAS Program of Welfare and Family Promotion (0.16%), Avancemos (0.16%) and the School Feeding Program (0.23%). The rest of the funding is addressed to smaller initiatives administered by the Equity Programs of the Ministry of Public Education to avoid/reduce school dropout, the Instituto Mixto de Ayuda Social (IMAS), the Instituto Nacional de la Mujer (INAMU), the Patronato Nacional de la Infancia (PANI), the Ministry of Health and the Consejo Nacional de la Persona con Discapacidad (CONAPDIS), among others.

Table 8.1. Main programs financed by FODESAF and level of spending, 2016, 2018, 2020 and 2024 (as % of GDP)

Program	2016	2018	2020	2024
Noncontributory pension	0.41%	0.39%	0.41%	0.35%
Subsidy Fund for Housing	0.33%	0.31%	0.29%	0.27%
Program for Welfare and Family Promotion	0.16%	0.17%	0.17%	0.16%
Programa Avancemos	0.15%	0.11%	0.13%	0.16%
Comedores Escolares	0.15%	0.14%	0.14%	0.23%
Total	1.20%	1.12%	1.14%	1.17%

Source: Pacheco and García (2022)

As it was mentioned before, the non-contributory pension scheme is funded with taxes that are allocated to FODESAF and then to the CCSS. The subsidy is granted to poor elderly people 65 years old or older and other vulnerable groups (widows, orphans, people with cerebral palsy) who receive US\$136 per month. By the end of 2020, the scheme benefitted 129,265 persons (FODESAF, 2021). Beneficiaries of this transfer have, on average, 76.5 years with 43.4% living in rural areas and half belonging to zones outside the Central Region. The pension represents, on average, 20% of the income of beneficiary households (Pacheco and García, 2022).

The Subsidy Fund for Housing (FOSUVI, in Spanish) is the second largest programme in terms of spending accounting for around 0.3% of GDP. The Housing Fund averages around US\$12,375 and since 1991 it has awarded 404,423 benefits. In total, 18.1% of the Costa Rican households have received the Bond according to information in 2021's Household Survey. It is important to mention that the subsidy is not limited to poor households but it may be granted to families with gross income up to US\$2,785 per month.

Avancemos and Crecemos are two of most important conditional cash transfer programs financed by FODESAF for young populations. These two initiatives, both administered by IMAS, targets persons below 25 years old in Costa Rica and are linked to school attendance and school year completion.

In the case of Avancemos, the programme grants a monetary transfer of ₡30,000 (US\$45) per month with the objective of contributing to “the inclusion, permanence, assistance and reintegration into the education system” of secondary school students (aged 12 years or older) belonging to poor or vulnerable families. Crecemos, on the other hand, provides a ₡18,000 (US\$27) monthly subsidy to poor children in Early Childhood or primary school levels (11 years old or younger) with the objective of promoting permanence and assistance to the education system (IMAS, 2021).

The last component includes labour market policies. Both the Ministry of Labour and Social protection and the National Vocational Institute (INA) rank as the top two institutions with relevant functions and responsibilities in this category. According to the Ministry of Labour, its key responsibilities in terms of labour market policies and regulations include:

- Manage the process of public policy in socio-labour matters, through the management of specific policies and general guidelines to exercise the stewardship and steering responsibilities

- Design and implement strategies to promote labour equity, aimed at employers and population groups with special needs.
- Supervise and guarantee the adequate application and compliance of labour legislation, including that related to occupational health
- Set, review and advise on minimum wages in the private sector.
- Direct the design and implementation of actions for the progressive eradication of child labour and protection of adolescent workers, the elimination of the worst forms of child labour, special protection for the worker and his family.
- Contribute to the generation of employment by supporting micro-businesses, by financing productive initiatives for entrepreneurs.

The INA, on the other hand, is the institution in charge of training and certifying individuals and companies in those technical areas that promote human talent, according to market conditions and the competitiveness requirements of the business environment (INA, 2021). In this regard, the Training and Vocational Training Services is the most important budgetary programme currently administered by the Institute.

The mission of this program is to promote and develop high-quality Vocational Training and Training Services through their design and execution, aimed at people over 15 years of age and the productive sector, in search of attention to the needs of civil society and the labour market.

While the Ministry receives most of its funding for labour-related policies from general taxation (through the National Budget), the INA is financed with a payroll tax.

Table 8.2 provides an overview of existing social protection programs during the life cycle.

Table 8.2. Costa Rica: Social protection inventory of programs, per group

Social protection category	Programs and interventions
Health and maternity	• Health insurance scheme administered by the CCSS • State-financed health insurance coverage for poor households • Maternity coverage
Childhood	• School feeding programs at Ministry of Education • Network of Care (IMAS, PANI, CEN-CINAI) • Conditional cash transfers in the form of scholarships • School transportation subsidy • Other monetary or in-kind support (i.e. purchasing of school supplies)
Working-age population	• Insurance in case of disability, old age and death • Vocational and technical training (INA and Ministry of Labour) • Labour Capitalisation Fund
Elderly	• Contributory pensions (CCSS and others) • Non-contributory pension regime • Golden Citizen Program (social services for elderly people) • Subsidies administered by IMAS
People with disability	• Non-contributory pensions • Subsidies granted by CONAPDIS

Source: Own elaboration based on ILO and institutional web pages

In terms of coverage, the Costa Rican social protection system performs relatively well, especially when it comes to social security. As can be seen in Table 8.3 below, health insurance ranks at the top of the list. Statutory coverage (Bonnet and Tessier, 2014) grants access to 100% of the population in case of emergency services. Contributory health coverage currently covers about 89% of the population while contributory pension regimes (CCSS and other schemes) cover almost two thirds of the labour force.

While average coverage rates are high, there are significant gaps in coverage for vulnerable groups, most notably the elderly poor, children, persons with disability, and the unemployed. Just 71% of poor elderly persons (over 64 years old) receive either a contributory or a non-contributory pension. Only 29% (127,830 beneficiaries) of poor children between 0 and 17 years old receive a monetary benefit from IMAS; this rate declines to 17.7% of the whole group below 18 years. In short, there are about 313,000 poor children and adolescents without Avancemos transfers. This low rate of coverage is in part due to the fact that the cash transfer program targets only school-aged children, and not children in early childhood.

Regarding other groups, one in three poor persons with disability receives any type of monetary transfers, including pensions. Unemployed persons experience the lowest level of social protection coverage, with only 2% receiving any benefit. Although there is no formal unemployment insurance scheme in the country, salaried people who lose their jobs usually receive some compensation as part of the Labour Capitalisation Fund (LCF) mechanism. The FCL is a savings mechanism, financed with contributions by the employer on behalf of the worker. The final amount is made up of 1.5% of the employee's salary and the respective investment returns. The beneficiary is entitled to request this money in case of resignation, dismissal or retirement.

Table 8.3. Social Protection Coverage Rates, by group. 2024

Indicator	Result
Share of the population with social health insurance coverage	90.2%
Share of labour force workers contributing to contributory pension regimes	73.2%
Share of poor children aged 0-17 years with monetary transfers	29.7%
Share of poor elderly people aged 65 years or older with contributory or non-contributory pensions	70.7%
Share of poor people with disability less than 65 years with monetary transfers or pensions	34.1%
Share of unemployed persons that receive monetary transfers or pensions	4.2%

Source: Estimations based on ENAHO 2024

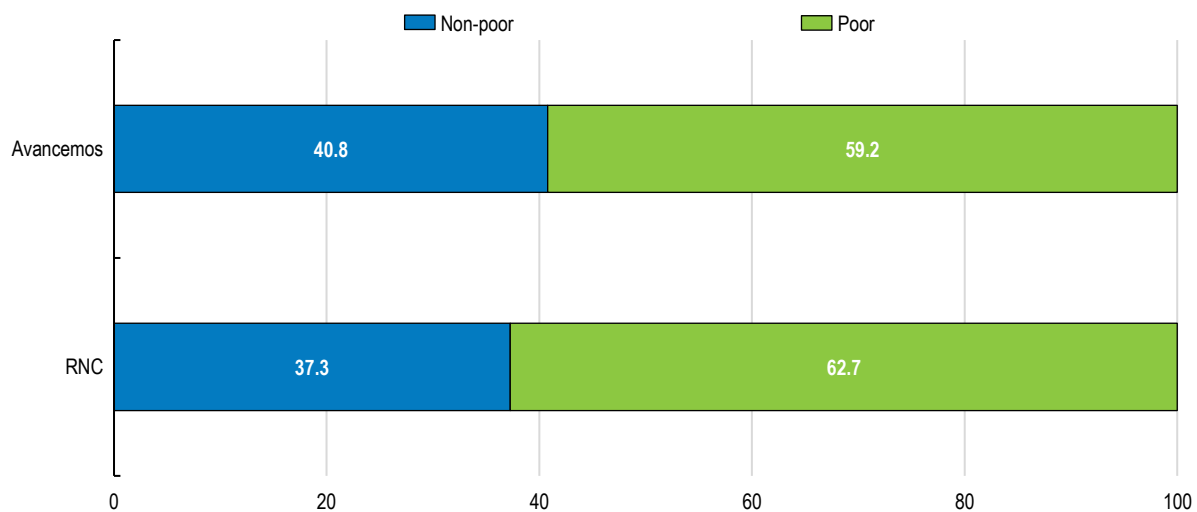
Beyond their coverage, the extent of financial protection provided by benefits (i.e. the size of the transfers) is another important dimension. Non-contributory pensions provide a high level of financial protection, with an average (US\$125 per month) amounting to 76.7% of the average poverty line. However, as there are different poverty lines for urban and rural residents, the level of protection is higher among rural beneficiaries (93.2%) than among urban beneficiaries (71.3%). In the case of contributory pensions, the average amounts were calculated at US\$484.6 among urban residents and US\$309.3 among rural pensioners (data from Household Survey 2021). Respectively, they account for 3.4 and 1.7 times their corresponding poverty lines.

Childhood-oriented benefits provide lower levels of protection. In the case of Crecemos, aimed at protecting children below 12 years, the average benefit amounts US\$30 per month representing between 16.5% (urban) and 21.4% (rural) of the poverty lines. Avancemos, on the other hand, average US\$50 per month with sufficiency representing 26.7% and 34.7% of the regional poverty lines. However, it is important to consider that infant-based lines should have a reduced value as several services consumed in the household, like some utilities, experience Economies of Scale. Finally, in the case of healthcare benefits, financial protection in the country is high. According to World Bank Development Indicators, out-of-pocket expenditures is estimated at 22.3% of current health expenditures, lower than the average in Latin America region, where this indicator amount 28.3%. Looking forward the health sector face the challenges of buttressing the financial sustainability of the CCSS, as highlighted in recent actuarial assessment (Pacheco and Itriago, 2022), delivering adequate services, and boosting efficiency and cost control (the country ranks among the bottom four OECD countries in terms of medical doctor productivity, measured as medical visits per doctor).

While benefit coverage and amount are relatively high, there remain substantial targeting problems among social assistance programs. Figure 8.7 shows the distribution of benefits from three cash transfer programs (Avancemos, Crecemos, and non-contributory pensions) between poor and non-poor households, as determined by pre-benefit household income. One-third of non-contributory pensions (RNC) were allocated to non-poor households, and over 40% of the beneficiaries of the Avancemos and Crecemos programs were from non-poor households. In total, resources allocated to non-poor households would amount to 0.59% of GDP out of which 0.16% comes from the non-contributory pensions, 0.26% from Crecemos and 0.17% from Avancemos. There is, consequently, room to improve programmes targeting. A 15% reduction in mistargeting would liberate roughly 5,729 non-contributory pensions, 4,197 scholarships of Avancemos and 7,060 transfers coming from Crecemos.

8.3.2. The financing of Social Protection

Social protection programs in Costa Rica can be categorised into three types based on their financing mechanisms. The first type of program is funded through contributions, such as the health insurance and contributory pension programs managed by CCSS or the FODESAF Fund. The second has legislation linking their financing to an existing source, mainly general taxes. The PANI, for instance, receives 7% of the income tax according to Act 7648 of 1996. The third category has no defined financing, and it is usually funded from the general budget.

Figure 8.7. Distribution of social assistance benefits per socioeconomic group, 2021

Source: Author elaboration using ENAHO-INEC 2021.

The financing of social protection programs in Costa Rica relies heavily on high payroll contributions, which, as discussed in chapter 1 of this book, are barriers to formalisation. Table 8.4 presents contribution rates for each system. In total, contributions account for 37% of wages. Of this burden, employers pay 72% (26.5% of wages) while workers pay the remaining 28% (10.5% of wages). Of total contributions, 64.8% are allocated to health insurance and contributory pension financing (CCSS). FODESAF is the second largest recipient at 13.5% of contributions, while the National Vocational Institute absorbs 4%. Institutions under the umbrella of the Law on Worker's Protection account for an additional 5.75%. Part of the contributions are also used to finance a state-owned bank.

Table 8.4. Payroll-based contributions in Costa Rica, by entity of destination

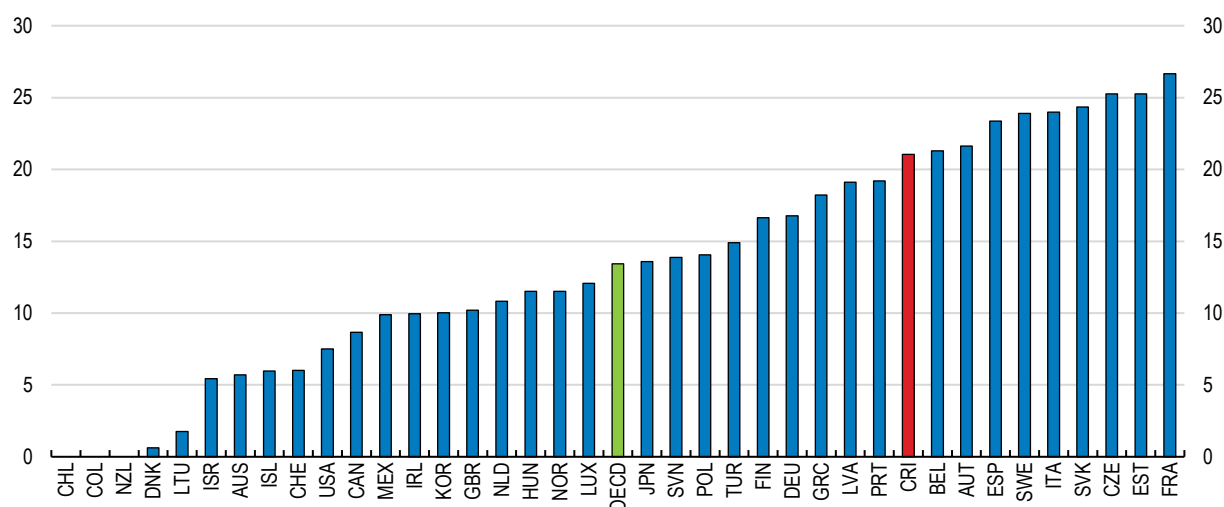
Caja Costarricense de Seguro Social			
Concept	Employer	Employee	Total
SEM/Health	9.25	5.5	14.75
IVM/Pensions	5.25	4	9.25
TOTAL CCSS	14.5	9.5	24
Other institutions, all paid by employer			
Bank for Communal Development (State-owned bank)			0.25
FODESAF			5.0
IMAS			0.5
National Vocational Institute (INA)			1.5
Total Other institutions			7.25
Act on Worker's Protection			
Bank for Communal Development (employer)			0.25
Bank for Communal Development (workers)			1.0
Labour Capitalisation Fund (employer)			1.5
Compulsory Complementary Pension Regime (employer)			1.5
National Insurance Institute (INS) (employer)			1.0
Total Act on Worker's Protection (AWP)			5.25
TOTAL			36.5

Source: CCSS

When compared with OECD countries, payroll charges paid by employers in Costa Rica, at 21% of labour costs, are higher than in the average country (Figure 8.8).

Figure 8.8. Employers' payroll charges are high in international comparison

Employer contributions, % of labour costs, 2024



Source: OECD Taxing Wages database.

8.4. Improving the Social Protection System

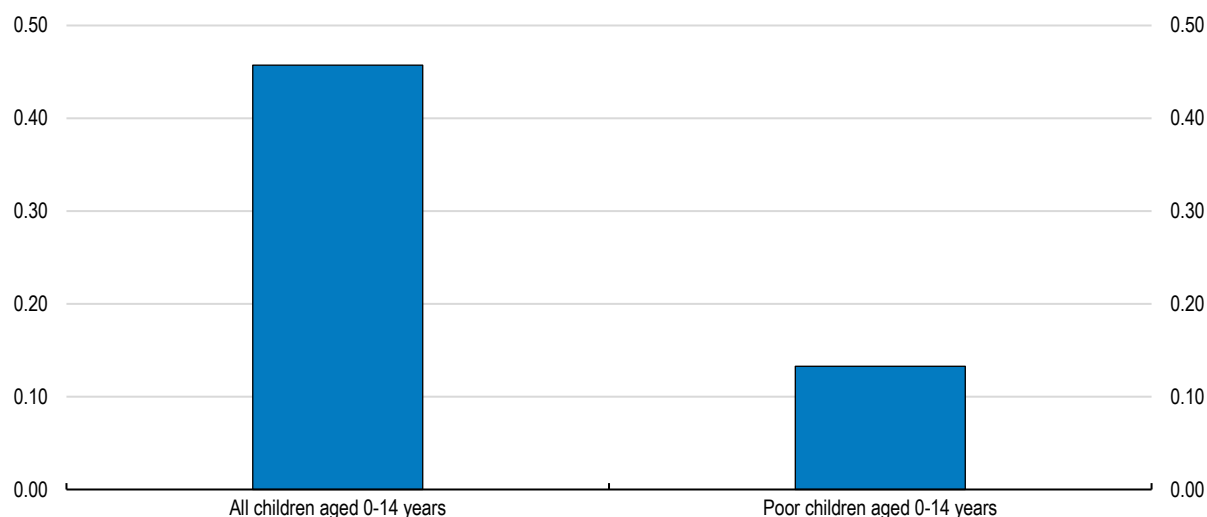
The previous analysis showed that the level of social protection varies considerably by population. In the analysis that follows, we will focus our recommendations on three groups, children, unemployed and the elderly, for different reasons. Children below 15 years currently experience the highest poverty rate in the country (about 40%) while the proportion of elderly people (65 or older) is experiencing the highest rate of growth, compared to all other age groups, so in the course of the next 15-20 years they would represent roughly 20% of the population in Costa Rica. Not keeping the path in terms of group coverage may imply a considerable reduction of elderly people coverage by 2040. Finally, just a very small fraction of unemployed persons receives any type of social protection monetary support.

8.4.1. Universal coverage for children

To provide universal coverage for children, benefits provided by cash transfer programs and option would be to increase the coverage of Avancemos. The expansion would target children between ages 0 and 14, and would provide a monthly benefit of ₡24,000 (US\$36) that represents the average of the Avancemos subsidy. If the target group included all children, this would imply an additional fiscal cost equivalent to 0.45% of GDP (Figure 8.9). If only poor children were targeted, then cost would be equivalent to 0.12% of GDP.

Figure 8.9. Marginal cost of providing universal coverage for children

% of GDP



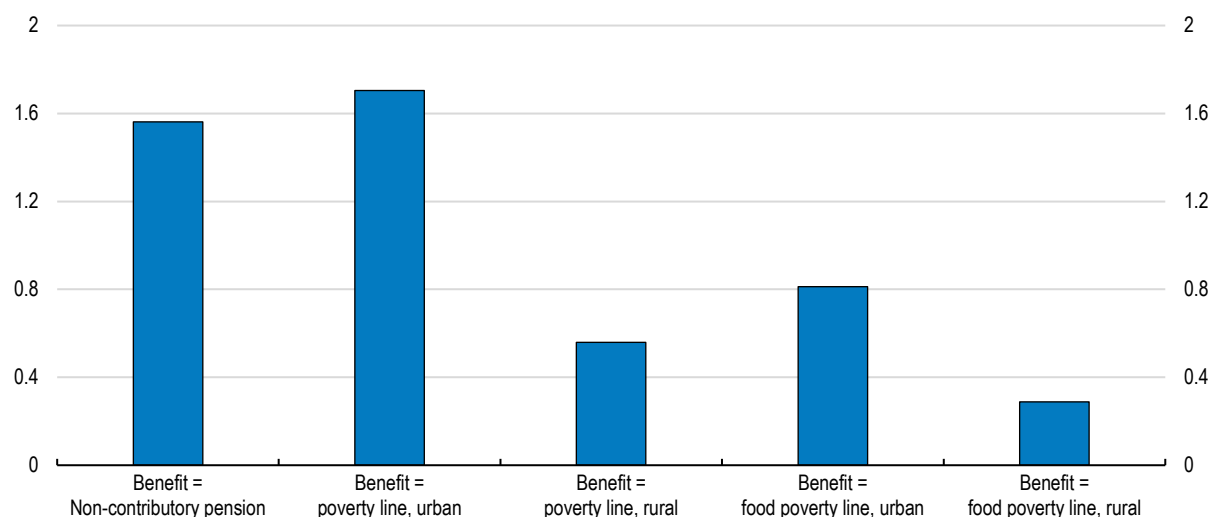
Source: Author elaboration based on ENAHO 2024 and FODESAF.

The benefit amount could also be raised to different benchmarks, with varying cost implications. If the transfer amount was increased to the level of the current non-contributory pension (US\$124 per month), then the cost would be 1.5% of GDP (Figure 8.10). Several reasons could be outlined for the use of this benchmark. The first is that, being a program already established, it allows us to know the social investment in case of standardizing the benefits between groups. Second, the amount granted to the non-contributory program is the highest of all subsidies granted in mass coverage programs so that it could represent a "ceiling" on how much to allocate to beneficiaries.

Matching the benefit amount with the poverty line (US \$127 for urban areas and US \$133 in rural areas) would imply a cost of 2.1% of GDP (1.6% of GDP for urban children and 0.5% of GDP for rural children). Matching the benefit amount with the food poverty line (US \$78 in urban areas and US \$65 in rural areas) would imply a cost of 1.1% of GDP (0.8% of GDP for urban children and 0.3% of GDP for rural children).

Figure 8.10 Cost of universal coverage depending on benefit levels

% of GDP



Source: Author elaboration based on INEC and FODESAF databases.

Finally, if the former scenarios are estimated for poor children only, then achieving full coverage may cost between 0.32% (benefit equals food poverty line) and 0.65% of GDP (benefit equals poverty line). Additional estimates for poor urban children yield 0.23%-0.48% of GDP while poor rural children may demand between 0.10% and 0.17% of GDP. A benefit equivalent to the non-contributory pension implies 0.45% of GDP in additional funds (Table 8.5).

Table 8.5. Additional cost of universal strategies by benefit, poor children

Scenario	Cost % GDP
Benefit = Non-contributory pension	0.45%
Benefit = poverty line, urban	0.48%
Benefit = poverty line, rural	0.17%
Benefit = food poverty line, urban	0.23%
Benefit = food poverty line, rural	0.09%

Source: Author elaboration based on INEC and FODESAF database.

8.4.2. Closing the coverage gap among elderly

Elderly people (aged 65 or older) in Costa Rica experience high levels of social protection coverage in comparison with other countries in the region, with most receiving benefits from contributory pension or non-contributory social transfer systems. The non-contributory transfer that elderly people currently receive, US\$124 per month, amounts to 72% of the urban poverty line (93% of the rural poverty line), or 1.6 times the urban food poverty line (1.9 times the rural food poverty line). This is the amount of reference that these estimations will utilise to calculate the costs of increasing coverage.

Still, according to the Household Survey, in 2021 31.8% of persons aged 65 or over (a total of 211,019 people) did not receive either a contributory, a non-contributory pension or a foreign pension. This is the case of people who: 1) never contribute to the CCSS; 2) contribute but did not reach the minimum number of years to qualify for a minimum contributory pension; 3) do not qualify for a non-contributory pension or 4) never applies to non-contributory benefits. In other words, they are fully unprotected and depend on secondary sources or support to maintain a basic consumption. The proposal considered in this section aims to close this coverage gap by expanding the existing non-contributory pension system. This may imply creating new funding that would be transferred to FODESAF and then to the CCSS as administrator of the scheme.

Closing the gap for elderly people using a transfer that would be equal to the non-contributory pension would cost US\$ 314.6 million, an amount equivalent to 0.5% of GDP (Figure 8.11). If the exercise uses the poverty line as reference, the additional fiscal cost of 0.70% of GDP out of which 0.57% is linked to urban elderly people while the remaining 0.13% refers to the additional cost for rural old age persons.

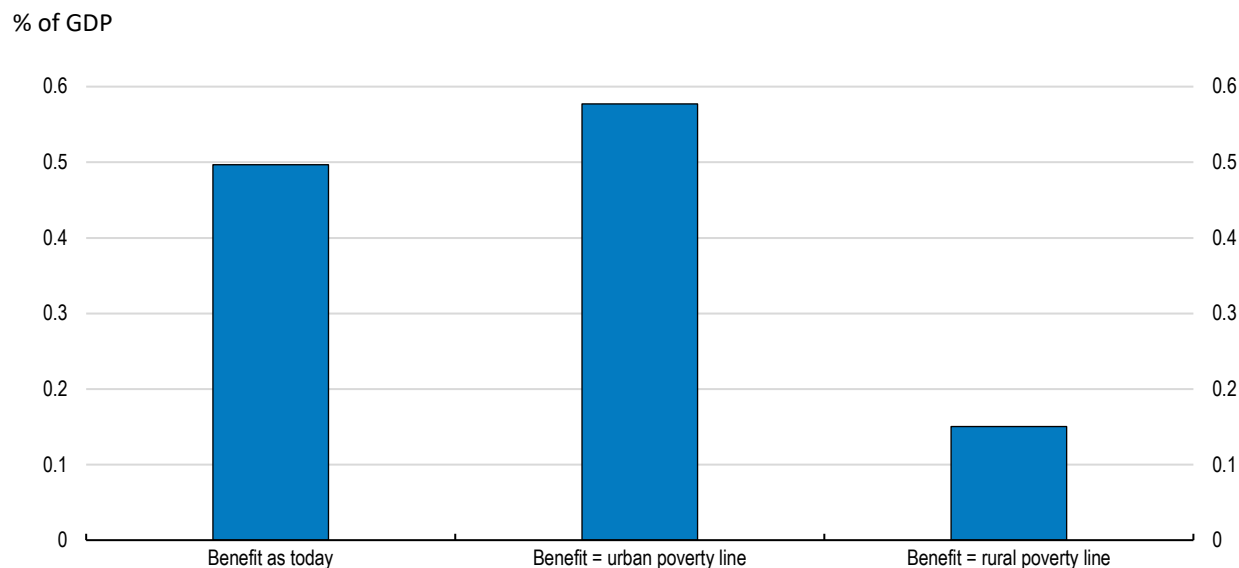
If the expansion targets only poor elderly persons without any type of protection, then the target population drops to 50,855 people (36.4% of poor elderly). In this case, the demand for new resources to achieve universal coverage is estimated at 0.13% of GDP in the case of matching the current benefit amount, or 0.17% of GDP in the case of matching the poverty line.

8.4.3. Expanding coverage to unemployed

Unemployment social protection support provides monetary benefits over a determined period of time to unemployed people who are capable of working (Social Protection and Human Rights web page). For the purposes of this exercise, the costing assumes that all unemployed persons receive a transfer during 4 months equivalent to the non-contributory pension. Then, a second exercise assumes that only poor unemployed (43.1% of total unemployed or 112,160 persons) would receive the benefit.

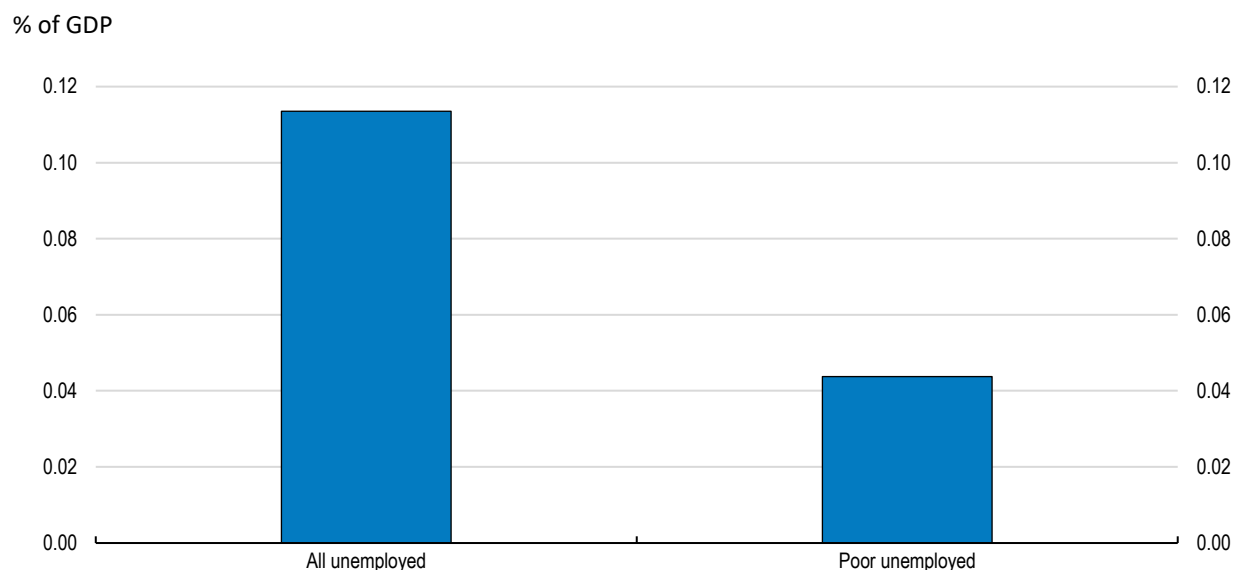
In the first case, the cost of covering all unemployed persons is estimated in US\$129.0 million or 0.11% of GDP (Figure 8.12). About 78% of this cost would go to unemployed persons in urban regions. In the case of the scenario in which only poor unemployed receives the transfer, the cost would be US\$55.6 million or 0.04% of GDP.

Figure 8.11. Marginal cost of universalization of elderly persons under different benefits



Source: Author elaboration based on INEC and FODESAF databases.

Figure 8.12. Cost of covering unemployed persons with transfers



Source: Author elaboration based on INEC.

Alternative scenarios can be constructed based on changes in key parameters. If the decision is to grant the subsidy during 5 months instead of 4 months, then the incremental funding needs would be US\$32.3 million (all unemployed) and US\$13.9 million (poor unemployed) in relation to the base scenario. That would represent a 0.05% of GDP increment up to 0.25% in the first case and of 0.02% of GDP (to reach 0.11%) in the second situation.

8.5. Improving Social Protection Financing and Incentivising Formalisation

The previous section described Costa Rica's social protection system as an extensive, but highly fragmented system, with low social expenditure levels compared to OECD averages, high social insurance coverage, and limited coverage with monetary transfers (non-contributory, social assistance). In addition, social protection financing relies heavily on payroll contributions, which disincentivises formalisation. Indeed, recent debates have pointed to high contribution rates as one of the main causes of the country's high unemployment and informality rates (Robles, 2022). More empirical research is needed, but initial results show a connection between informality and number of hours worked, which is partly explained by the existence of the Minimum Contributory Rate (Mora-Guerrero, 2020).

Against this background, this section outlines options for shifting financing coming from payroll contributions to other financing sources, as a means to facilitate higher formalisation. While here we focus on restructuring social protection financing, it's important to note to reduce informality policy actions are also needed in other areas, as outlined in Chapter 1 of this book and in OECD Economic Surveys for Costa Rica (OECD, 2023). This includes simplifying formalisation procedures for firms and workers, enhancing workers' skills through higher-quality education and training opportunities, and strengthening institutional capacity to ensure broader enforcement of existing regulations.

8.5.1. Options for reducing contributions to incentivise formalisation

This section identifies a series of policy options to reduce the cost of formalisation by shifting tax burden from payroll taxes (or contributions) to general taxes. This section uses the value added tax (VAT) to assess the necessary increase in general taxes that would be needed to make up for the lost revenue of reducing payroll taxes. Importantly, VAT is just one potential policy tool for replacing lost resources as it generates an important volume of revenues. The VAT was introduced in Costa Rica in 2018, by transforming an existing sales tax into a fully-fledged value-added tax. The current VAT rate in Costa Rica is 13%, against a 20% average in the OECD. An increase in the VAT rate is used here as an illustrative option and is not the only possibility. As explored in recent OECD Economic Surveys, there is room to combine increase in the VAT rate with increases in direct taxes (see also Table 8.10).

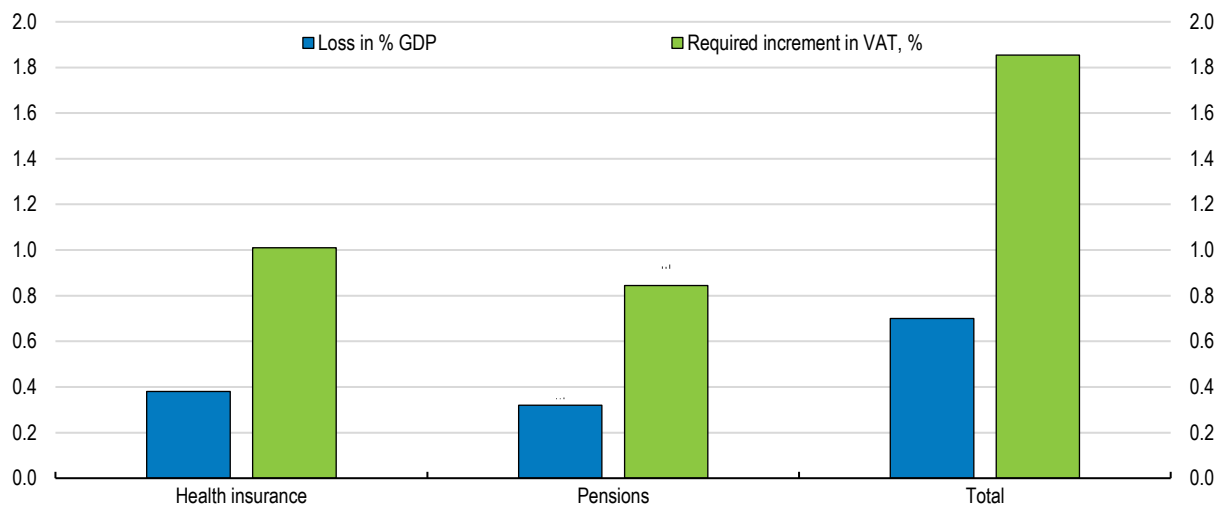
8.5.2. Reducing employers' contributions to the CCSS

Total payroll contributions to the CCSS amount to 24% of gross wages (14.5% from the employer and 9.5% from the worker). One option for lowering the barrier to formalisation is to reduce employer contributions. This reduction may apply to the healthcare insurance scheme, to the pension scheme, or to both, and to all employers, or just to employers in specific sectors.

Employer contributions amounted to ₡1.32 billion (US\$2,129 million) to health insurance in 2021 and ₡ 495,309.4 million (US\$798.9 million) to pensions in 2020⁸. A one percentage point cut in employer contribution rates each to the healthcare and pension systems would result in a reduction in healthcare revenues equivalent to 0.4% of GDP and a reduction in pension revenues equivalent to 0.3% of GDP. Taken together, the total effect of a one-point cut in the contributory rates to the CCSS of the two schemes would be 0.7% of GDP (Figure 8.13).

To counteract the proposed reduction in employer contributions, the VAT would need to be raised by 1 percentage points for health and 0.8 percentage points for pension systems, or a total increase of 1.8%.

⁸ Latest available figures per scheme.

Figure 8.13. Effects of 1-point reduction of social security rates, by scheme and total

Source: Author elaboration based on CGR and CCSS databases.

The main limitation of the former estimate is that it only considers the negative effects in CCSS revenues of reducing the contributory rates. A dynamic model would be required to calculate how affiliation may react after the rate is cut, but this product is beyond the purpose of this document. Instead, some related analysis may illustrate those effects. For instance, León-Murillo (2021) estimated the effects of reducing the contributory rate paid by the employers on labour formality. To proceed, the author simulated a 25%, 50%, 75% and 100% reduction in the corresponding rate. The results can be observed in Table 8.6. For instance, if the rate is set at 19.88% (25% reduction), so the level of labour formalisation would increase from 56% to 61.4%. Subsequent declines motivate increasing gains in formalisation. In the extreme case that no employer rate exists, formalisation would achieve a high 83.3% rate.

Two related outcomes were relevant in the discussion. The first one refers to the estimated decline in social contributions collected by the CCSS. As per the simulation, contributions would fall from 7.5% of GDP to 6.9%, 6.0%, 5.0% and 3.5%, depending on the size of the reduction. Second, although lower rates may have a positive effect on employment, the author considers that additional collection due to new workers may not be sufficient to compensate the reduction in contributions. As a result, the net effect in CCSS revenues is an estimated loss of 0.63% of GDP under the smallest reduction but it may grow up to 3.92% loss if the contribution rate were 0%.

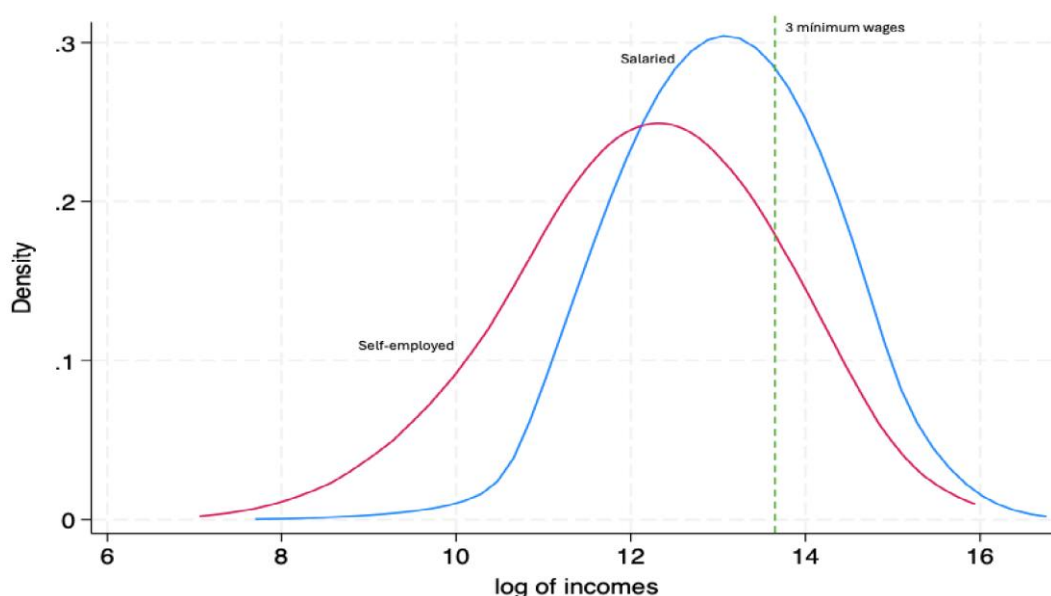
Table 8.6. Effects of contributory rate reduction in labour informality

Proposed rate	Contributory rate by employers				
	26.5%	19.88%	13.25%	6.63%	0%
Estimated % formal employment	56%	61.4%	67.6%	74.8%	83.3%
Required transfer from Central Government to compensate loss (% GDP)	0%	0.63%	1.45%	2.52%	3.92%

Source: León-Murillo (2021)

8.5.3. Reducing contributions for those earning less than 3 minimum wages

A second option is to reduce the social security contributions of workers earning below three times the minimum wage. The minimum wage in Costa Rica was set at US\$712.7 per month at the end of 2024, so this would cover workers with wages below US\$2,138, which accounts for about 90% of salaried workers (Figure 8.14).

Figure 8.14. Wage distribution by type of worker and three minimum wage benchmark

Source: Author elaboration using INEC and Ministry of Labour databases.

This policy option establishes a 2-point reduction (one per scheme) in the social contributions that both employers and salaried workers pay for health insurance and pensions. Empirical evidence estimated using the Household Survey indicates that the CCSS revenues may fall 0.13% per year if the proposed 2-point cut in the corresponding rates is applied. In other words, the joint revenue collection may go from 6.23% to 6.10% of GDP.

By social security scheme and contributor, the results indicate that 38.5% of the reduction (0.11% of GDP) is linked to employer healthcare contributions while an additional 22.9% (0.06%) is due to reduced workers' contributions to health, too. In other words, the contraction of healthcare-related contributions explains 61.5% of the total fall. Pensions, as expected, would experience a 0.11% of GDP revenue shrinkage.

To fiscally compensate this measure, an increment in VAT of 0.33 points would be sufficient to cover the initial loss. If, instead of VAT, the decision is to increase income tax (that generates, on average, 0.33% of GDP per point), then the increment should be 1 point.

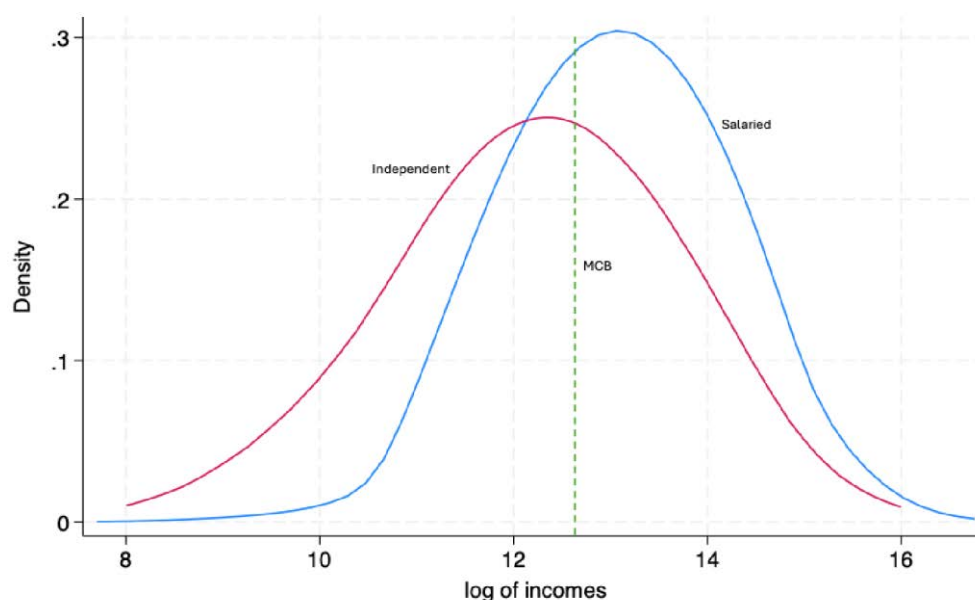
An alternative scenario, in the same line as the former, assumes no contributions applied to all workers earning below the minimum wage. According to the Household Survey, about 674,993 salaried workers received less than that, something equivalent to 39% of all wage-earners. However, if only those salaried persons working 40 hours per week or over are considered, then the number receiving less than the minimum wage drops to 459,277 or 31.7% of all workers with working weeks of 40 hours or more (26.6% of all wage-earners). So this measure may significantly affect CCSS revenues as the proportion of workers fully exempted from contributions is high.

Being the median wage of ₡400,000 (US\$776.5 approximately), the level of foregone contributions would amount US\$1.38 billion in a year. This result is equivalent to 1.45% of GDP. However, as pension contributions cannot be fully exempted, if only health insurance is 100% subsidized, then the foregone income would be 0.89% of GDP.

8.5.4. Eliminating, totally or partially, the Minimum Contributive Base

A third option for reducing contributions is to eliminate totally, or partially, the minimum contributive base (MCB). Figure 8.15, below, shows the distribution of wages for salaried and independent workers income (in logs) as reported in the 2024 Household Survey. Self-employed workers are the most affected group as around 64% of self-employed workers earn less than the minimum base, as compared to 39% of wage-earners.

Figure 8.15. Distribution of salaries and independent income, 2024



Source: Author estimations based on INEC and Ministry of Labour.

The elimination of the minimum base would mean that affiliated workers and employers would contribute according to their actual earnings. So, for instance, all affiliates who today earn less than the MCB and who today pay based on that reference point, would start contributing based on their actual income.

Table 8.7, below, presents calculations for the total income loss that could be expected if the MCB were eliminated for the health system. Income loss is calculated by estimating collected contributions from salaries and independent earnings with and without the MCB, using the 2024 Household Survey.

The full elimination of the MCB would result in a total income loss of US\$ 864.9 million per year, equivalent to 0.9% of GDP, with reduced revenues from salaried workers amounting to US\$500 million, or 0.53% of GDP, and with lower contributions from self-employed amounting to US\$364.9 million, or 0.38% of GDP). Although there are much more salaried workers than independent ones (the ratio is 3.5:1), the gap between average wage and the MCB and the one between independent earnings and the MCB is much wider in the latter. Consequently, although there are much more wage earners, the gap compensates this unbalance on the independent side and for that reason the loss between groups closes. For instance, independent earnings are about two-thirds the median value of wages. According to the ENAHO 2024, the median value of self-employed labour-related income is US\$485 per month versus median wages of US\$776.5 per month. Those two elements seem to compensate the reduced participation of self-employed among occupied persons and equalise the expected losses due to the elimination of CBM.

Table 8.7. Expected losses due to elimination of CBM (in million US\$ and GDP terms)

Category	Expected revenues per year		Income loss	Loss as % GDP
	Current rules	No minimum base		
Salaried	2,662,926,365	2,368,426,161	-11.1%	0.31%
Self-employed	749,548,640	428,258,042	-42.9%	0.34%
Total	3,412,475,005	2,796,684,203	-18.0%	0.65%

Source: Author elaboration based on ENAHO 2024- INEC

Alternatively, the MCB could be reduced to 50% of the minimum wage (US\$356 per month). In this case, the associated loss for the health insurance scheme would be 19.3% of total revenue. This would imply a net loss of

US\$705.8 million, or 0.74% of GDP (Table 8.8). Losses related to independent workers would account for 35.8% of the total losses.

Table 8.8. Expected losses due to elimination of CBM (in million US\$ and GDP terms), alternative scenario

Category	Expected revenues per year		Income loss	Loss as % GDP
	Current rules	No minimum base		
Salaried	2,414,571,645	2,368,426,161	-1.9%	0.05%
Self-employed	536,060,259	428,258,042	-20.1%	0.11%
Total	2,950,631,904	2,796,684,203	-5.2%	0.16%

Source: Author elaboration based on ENAHO 2024- INEC

Initial estimations show that full elimination of the CBM can be compensated by a 2.33-point increment in the VAT. The second scenario, in which the CBM is set at 50% of the minimum wage, would demand a 1.89 VAT point adjustment. This last result runs in line with the recently approved reform that reduced the CBM to US\$282 for independent workers.

8.5.5. Temporarily reducing payroll contributions of young persons

A fourth option is to temporarily reduce the contributions of young people, who experience the highest unemployment rates of any age group. By IV-2021, youth unemployment (15 to 24 years) was estimated at 16.5% of the young labour force (aged 15 to 35 years) or 26.5% of 15-24 year-olds.

Robles (2022) suggests a temporary reduction of social contributions for young people. The scenario considered in this section assumes a 5-point decline in the rate, from 31.25% to 26.25% (i.e. excluding only contributions to the entities under the Law on Worker's Protection). The results of the simulation show that revenues coming from young workers' contributions may fall by 16%. This represents a loss of 0.09% of GDP if the reduction applies to workers aged 15 to 24, and 0.44% of GDP if it applies to workers aged 15 to 35. About 75% of this reduction may finally affect the finances of the CCSS. To balance revenues, VAT would have to increase by between 0.24 and 1.11 percentage points.

Increasing the VAT may not be necessary if other effects occur. In the long term, for instance, the loss in revenues may be compensated by increased formal employment of young people as it is expected that lower contributory rates would motivate employers to hire more young people. A 128,245 person increase (19%) in youth formal employment (ages 15 to 35), would be enough to fully offset the reduction in contributions. If the policy applies only to 15-24 year olds, then just 37,855 workers would need to be added to the formal workforce.

8.5.6. Eliminating specific payroll contributions

A fifth policy option is the elimination of a select few outdated and oversized contributions. Workers contribute 0.25% of wages to the Popular Bank, and 1.5% to the National Vocational Institute (INA). The contribution to the Popular Bank, created in 1969, is outdated, as the bank is already a mature institution integrated into the financial market, and the funds are no longer required for its operation. In 2019 and 2021, the Bank received US\$46.2 million (6% of its total revenues) each year from employer contributions. Removing this 0.25% payroll contribution would reduce employer's contributory rates by less than 1% of the current burden.

In the case of the INA, contributions are oversized, as the Institute reports persistent financial surpluses. Between 2018 and 2021 (excluding pandemic year 2020), the Institute observed annual revenues of US\$208 million per year, of which social contributions accounted for 96.2%. Expenditures, on the other hand, amounted to just US\$167 million per year, resulting in surpluses to the order of US\$24.5 million per year, representing about 20.6% of the

received payroll contributions. Cutting contributions to the INA by anywhere between 0.20% to 0.40% of wages⁹ would reduce these surpluses and have minimal impact on INA operations. This policy option would also require no change to VAT taxes.

8.5.7. Looking for fiscal space for social protection: alternatives

In the above discussion, VAT was suggested as a policy tool for offsetting revenues lost through by reducing social contributions. Official data show that VAT generated 4.6% and 5.1% of GDP in 2020 and 2021, respectively, with 2020 revenues heavily impacted by the COVID-19 pandemic. A comparison with other OECD countries, suggests that Costa Rica has room to increase VAT revenues. However, such a policy may not be politically feasible in the immediate future. A fiscal reform in December 2020 transformed the former Sales Tax to the Value Added Tax. Although the rate remained the same at 13%, one of the lowest in Latin America, the political space to negotiate an incremental rate at this point of time may be difficult to assure.

Alternative options for generating revenues exist. Such options should be explored not only as an alternative to VAT increases to make up for lost revenue, but also as a means to fund the higher expenditures on social protection systems that are needed to increase coverage of children and the elderly. Based on the prior analysis, increased coverage of children and elderly persons would require additional funding of between 0.3%-1% of GDP, depending on the strategy pursued (Table 8.9).

Table 8.9. Additional funding needed to achieve universal coverage, by group and strategy (% GDP)

Group	Universal	Only poor
Children	0.46%	0.13%
Elderly	0.50%	0.13%
Total	0.95%	0.26%

Source: Author elaboration based on INEC and FODESAF databases.

Other financing options include improved expenditure allocation, improving the revenue-enhancing capacity of existing taxes and broadening tax bases by removing tax exemptions or tax evasion. Table 8.10, below, presents a list of options available in the literature. Most options would be sufficient on their own for funding increased coverage of poor children and poor elderly persons. Combining several options would be needed to fully fund universal coverages for all children and elderly persons.

Table 8.10. Potential fiscal space options to close financing gap

Type of source/measure	Revenue generation % GDP	Share of universal strategy covered by additional funding (% of needs)	
		Universal	Only poor
1 point increment in VAT	0.38	40.0	146.2
Remove tax exemptions in 13th salary and school bonus	0.33	34.7	126.9
Remove cooperatives tax exemptions	0.15	15.8	57.7
Increased property tax	0.6	63.2	230.8
Improved e-procurement and centralised purchasing	1.55	163.2	596.2
10% tax to internet and mobile services	0.18	18.9	69.2
10% reduction in all profit tax exemptions	0.21	22.1	80.8

Source: Authors calculations.

⁹ These figures were the result of dividing the annual surplus by the income generated per contributory point.

Other measures that could increase resources available include improve the targeting of social benefits, as based on 2021 Household Survey, around 30% and 40% of total benefits go to middle or high-income households. The SINIRUBE, a social registry of beneficiaries of social programmes, could be the central building block to select beneficiaries of social benefits and improve the targeting.

These options are, like VAT increases, not free of limitations. The elimination of existing tax exemptions, for example, would face political challenges, and reducing tax evasion may take several years, as it requires increased institutional capacity.

The current macroeconomic situation implies also some constraints, as the country is undergoing a gradual process of fiscal consolidation, which was needed to reduce the public-debt-to GDP ratio from its very high level (OECD, 2022). Hence, the fiscal rule, created under Law No. 9635 on “Strengthening of the public finance”, currently in place establishes limits to future increases in public spending, depending on the level of the level of public debt. One exception is the non-contributory pensions program, currently exempted of the application of the rule.

Moreover, if lower contribution rates motivate higher levels of formalisation, from other perspective, there is a debate of whether the compensation via VAT increment should be a temporary or a permanent measure. If the expected outcome of increasing formality finally materialises, initial losses due to the reduction of contributions may be compensated by new affiliates that were informal workers before. The length of the temporary transfer via increasing VAT may also be a subject of debate.

8.6. Final remarks and recommendations

Over the years, the Costa Rican social protection system has provided a good level of coverage and quality of the services, particularly when it comes to social security. However, the society in which this system operates is changing fast. The population pyramid is shifting, with the proportion of elderly increasing. Informality remains high, affecting around 40% of all workers. Inequality remains high and poverty has remained little unchanged for the past 25 years. In this context, a review and reform of the social protection system is needed with a view to increase its coverage. Social protection coverage and labour informality are interlinked, as high social contributions is a key barrier to formal job creation in Costa Rica. Reforming social protection systems to ensure some basic social protection coverage for all, regardless of whether they work in the formal or informal sector, while simultaneously reducing the cost of formal employment, has significant potential to reduce labour informality and decrease poverty and inequality, all of which are long-standing challenges in Costa Rica.

Achieving universal coverage, even for specific population groups, remains a significant challenge that will require time and sustained effort. Given current constraints, an initial strategy could focus on expanding coverage for the elderly poor and poor children. Our analysis indicates that there is fiscal space to mobilise additional revenues to support this expansion. Crucially, these additional resources should not only increase overall funding but also enable a reduction in payroll contributions. A shift in the financing structure of social protection, towards greater reliance on general taxation and less on payroll contributions, would help promote formal job creation. As detailed and quantified in this chapter, multiple policy options are available to both expand social coverage and raise the necessary revenues through general taxation.

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9

Expanding social protection and reducing informality in Mexico

Luis Monroy-Gomez-Franco and Alberto González Pandiella¹⁰

Informality remains a key challenge in Mexico, with more than half of the population employed informally and thus largely excluded from social protection. This perpetuates low productivity, high poverty, and persistent inequality. Despite recent pension reforms and the expansion of social programmes, over 34% of Mexicans still lacked access to health services in 2024. This chapter pays particular attention to broadening access to health, outlining a path toward a universal healthcare system underpinned by a social registry and a unified identity number, integrated with pensions and tax administration. Financing this expansion through general taxation rather than higher social security contributions would support formal job creation and the extension of social protection.

¹⁰ This chapter builds on an original background report prepared by Luis Monroy-Gomez-Franco for the OECD. The current version has been revised and edited by Alberto González Pandiella (OECD), incorporating additional updates.

9.1. Introduction

Informality is a long-standing structural challenge in Mexico's labour market, with nearly half of the population relying exclusively on informal employment. Informal workers are often excluded from social protection systems, as eligibility is typically linked to formal-sector jobs.

Informality is both a cause and consequence of low economic growth (Ros, 2015, 2019; Levy, 2019; Levy and López-Calva, 2020). It is also closely associated with low productivity and high poverty rates. Breaking this cycle is essential to reducing inequality and fostering inclusive economic development.

This chapter proposes a series of reforms to transform Mexico's social security system with the dual aim of reducing informality and expanding social protection. While recent pension reforms have sought to increase coverage and the number of social programme beneficiaries has grown, major challenges remain. According to INEGI (National Statistical Institute), approximately 34.2% of the population—about 44.5 million people—lacked access to health services in 2024. Advancing toward universal health coverage therefore remains a pressing priority.

To address this, the chapter focuses on establishing a universal healthcare system with comprehensive coverage, underpinned by a universal social registry. This registry would be integrated with the new health system and linked to both the pension system and tax administration. A central component of the reform is the introduction of a unified identity number, allowing individuals to interact seamlessly with healthcare, pension, and tax systems. Currently absent in Mexico, such a system would provide the institutional foundation needed to move away from informality as a defining characteristic of the labour market.

In addition, the chapter presents options for tax reform to finance the expansion of health coverage. Rather than increasing social security contributions, which can raise the cost of formal employment and discourage job creation, the proposed approach would rely on an increase in general taxation. This would avoid reducing disincentives to formal employment and support broader formalisation of the economy.

9.2. Informality in the Mexican labour market

Informal employment represents more than half of total employment in the Mexican economy. Most informal workers are subordinate employees. Table 9.1 presents an overview of the structure of the Mexican employed population by type of employment and informality. This structure has remained relatively stable, even during the Covid-19 pandemic.

Table 9.1. Composition of employment in Mexico

(Percentage of the total employed population and number of persons)

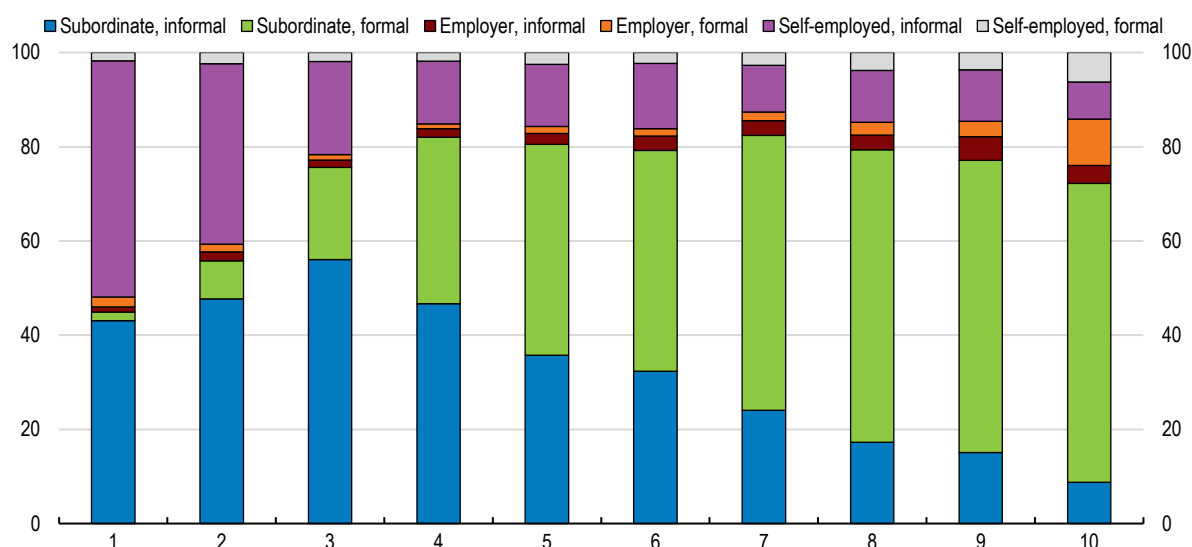
	2020	2021	2022	2023	2024
Informal subordinate workers	29.89	29.93	29.70	29.87	29.75
Formal subordinate workers	38.83	39.24	38.46	38.78	39.42
Informal employers	2.00	2.21	2.24	2.22	2.49
Formal employers	2.75	2.74	2.90	3.02	3.03
Informal self-employed	19.17	19.59	19.39	19.09	18.62
Formal self-employed	3.24	3.16	3.22	3.17	3.13
Unpaid informal workers	4.12	4.12	4.10	3.86	3.56
Informality rate, total population	55.18	55.85	55.42	55.03	54.42
Total employed population	52,997,745	55,165,865	57,322,399	58,896,384	59,365,9655

Note: Data refer to the Encuesta Nacional de Ocupación y Empleo (ENO) for 2020 Q1 and from 2023 onwards, and to the Encuesta Nacional de Ocupación y Empleo (Nueva Edición) (ENOEN) from 2020 Q3 to 2022 Q4. Survey weights were employed.

Both informal employees and informal self-employed workers earn less, on average, than formal employees. Figure 9.1 shows the composition of each decile in the labour income distribution of the employed workforce by type of employment and formality condition. Formal employment is almost non-existent in the lowest deciles of the income distribution, whereas informal employment is low among the upper deciles. Poverty rates are also higher among informal workers (CONEVAL, 2024).

Figure 9.1. Structure of the Mexican employed population, by labour income decile

% of each decile



Note: Information from the Encuesta Nacional de Ocupación y Empleo 2024. Survey weights were employed.

Source: INEGI.

Informality implies not just higher poverty rates, but also lower rates of social protection. Table 9.2 shows the proportion of subordinate workers with access to different social protection benefits in Mexico. Across the board, informal workers are less likely to be covered than formal workers. Only 2.3% of all formal subordinate workers declare not to have any benefits, compared to 71.5% of informal subordinate workers. The benefit with the highest coverage rate among the informal employed is the end-of-year bonus, at 25%. The current labour law mandates most of these benefits to all workers, regardless of their formality status, including the profit-sharing arrangement in private businesses, a retirement savings account, the end-of-year bonus, and paid vacation time. Thus, although the definition of informality for subordinate workers is typically limited to the absence of access to healthcare, in practice, informal employment often entails a much broader lack of labour rights. Informal subordinate workers are generally engaged in employment relationships that fail to provide the protections and benefits mandated under labour law. These include the absence of written contracts, social security contributions, pension entitlements, paid leave, severance pay, and occupational safety guarantees. As a result, informality implies a situation in which most of the rights that should be afforded to workers under formal employment arrangements are not respected or enforced.

Table 9.2. Percentage of subordinate workers with access to each specific benefit
(Mexico, 2024-1)

Type of worker	Printed contracts	Unionized	Loan funds	Private healthcare insurance	Life insurance
Informal subordinate	10.29	0.61	1.98	0.28	0.70
Formal subordinate	90.94	22.28	41.79	8.39	36.89
Type of worker	Childcare services	Mortgage credit	Profit-sharing	Paid vacation time	End-of-year bonus
Informal subordinate	0.35	1.40	1.17	11.24	25.01
Formal subordinate	27.67	81.45	37.8	91.64	96.31
Type of worker	Care work leave	Retirement savings account	Working poor household	No benefits	
Informal subordinate	0.58	1.54	25.73	71.47	
Formal subordinate	30.88	80.87	10.23	2.32	

Note: Data refer to the Encuesta Nacional de Ocupación y Empleo (ENOE) for 2024 Q1, except data for working poor households that comes from the Encuesta Nacional de Ocupación y Empleo (Nueva Edición) (ENOEN) for 2022 Q1. Survey weights were employed. Printed contracts refer to the share of workers with a copy of their employment contract. Loan funds refer to having access to loans through the employer. Care work leave refers to having a stipulated time to attend to care work outside the workplace. Working poor household refers to the person inhabiting a household in which the labour income per capita of the household is below the extreme poverty line. No benefits refer to not having access to any of the benefits stated in the table.

An additional consequence of informal employment is job insecurity. Around 91% of formal employees declare to have a printed copy of their work contract, compared to just 10% of informal subordinate workers, putting informal workers at a disadvantage when it comes to defending their legal rights as employees. This asymmetry is compounded by the prevalence of poverty among the households in which these workers live, as 25% of them live in households with a labour income below the poverty line, which increases the costs of quitting to look for a better job.

9.3. The current social protection system is fragmented

The current social protection system is composed by separate, parallel contributory and non-contributory systems. The bedrock of the social security system is the Mexican Institute of Social Security (*Instituto Mexicano del Seguro Social*, IMSS), created in 1943 (Hidalgo-Garza, 2021). The IMSS, accessible only to formal private sector workers, requires contributions from both employees and employers, and provides healthcare, pension, and other benefits. In addition, IMSS offers a voluntary affiliation scheme (*Modalidad 33* for health coverage, and *Modalidad 40* for pension contributions), allowing self-employed individuals, informal workers, or others outside the formal sector to access certain benefits by paying fixed monthly contributions directly. In 1959, the state expanded contributory social protection by creating the *Instituto de Seguridad y Servicios Sociales de los Trabajadores del Estado* (ISSSTE), to fulfill the same role as the IMSS for public employees. The remainder of the population, largely informal workers excluded from these contributory systems, rely on a series of fragmented supplemental programs. The IMSS has taken steps to expand coverage to previously excluded groups. Two notable initiatives include the Independent Workers Program (*Programa de Trabajadores Independientes*, PTI) and the Domestic Workers Program (*Programa de Trabajadoras del Hogar*, PTH). The PTI allows self-employed individuals to voluntarily enroll in the IMSS system, offering them access to full social security benefits in exchange for monthly contributions tailored to their situation. The PTH, initially launched as a pilot and made mandatory in 2024, enables domestic workers to be registered with multiple employers and benefit from pooled contributions.

In the healthcare system, formal workers have access to all three levels of care—ranging from basic ambulatory visits at local clinics to highly specialized surgical procedures in advanced hospitals. Institutions such as IMSS and ISSSTE provide comprehensive coverage for insured individuals, including care for a wide range of medical conditions, chronic illnesses, and specialized treatments (CIEP, 2018).

Initially, non-contributory health programs were limited to services directly provided by the state through the Ministry of Health. Over time, these programs expanded to include other mechanisms such as *IMSS-Bienestar*, a collaboration between the federal government and IMSS to deliver healthcare to vulnerable populations, and *Seguro Popular* (2003–2020), a funding scheme jointly implemented by federal and state governments. However, the scope of services offered by these programs was significantly more limited than those available through formal social security systems. For example, *Seguro Popular* covered 1,603 medical interventions and diagnoses, while the earlier version of *IMSS-Bienestar* primarily focused on providing care in rural and peri-urban areas (CIEP, 2018).

Following the dissolution of *Seguro Popular* in 2021, the Institute of Health for Well-being (INSABI) was created. After INSABI itself was dissolved in 2023, the decentralised public body *IMSS-Bienestar* (OPD *IMSS-Bienestar*) was established, drawing on the institutional experience and operational model of the previous *IMSS-Bienestar* program. According to the latest data from CONEVAL, 34% of the population lack access to health services—highlighting the persistent challenge of ensuring universal access, regardless of individuals’ employment status in the formal or informal sector.

The current pension system, composed of multiple schemes administered by six institutions, is also highly fragmented. The largest pension scheme is administered by the IMSS and enrolls 83% of contributing workers. Four other institutions manage the pensions of government employees (ISSSTE), two state-owned companies and members of the armed forces. The Ministry of Wellbeing (Secretaría de Bienestar, SEBIEN) provides support for workers not covered by contributory systems through universal non-contributory pensions for vulnerable populations, including individuals with disabilities.

The coverage of the non-contributory parts of the health care system have been growing, either through the predecessors of the *IMSS-Bienestar* programme or by creating new schemes such as “*Seguro Popular*”. Some authors argue that the expansion of these programs contributed to the growth of informal employment arrangements, as they reduced the opportunity costs of these type of employment arrangements for both employers and employees (Levy, 2008 and 2018).

A comprehensive reform package to strengthen the social protection system could help reduce informal employment in Mexico. It should be accompanied by measures to simplify labour and business regulations, enhance workers’ skills, and strengthen enforcement, as outlined in latest OECD Economic Surveys of Mexico (for example OECD (2022)).

9.4. Reforming the health system

A universal healthcare system, detaching access from job characteristics, would be a key step to significantly improve informal workers’ situation. In addition, this system represents an opportunity to strengthen the relationship between the population and the State by creating a mechanism through which a person can interact with the tax, healthcare, and pension systems. The specific mechanism is an identity number, the equivalent of a social security number, that would serve as a key for all interactions between the person and the different State agencies.

As individuals register in the new healthcare system, all existing identifiers in the tax and pension systems will be linked to their new unique identifier. For both workers and employers, this integration streamlines administrative processes, reducing the costs associated with formalisation. For instance, employers will be able to pay pension contributions and taxes for workers using a single identifier. Workers, on the other hand, will benefit from having all their accounts related to the State consolidated into a unified system. Furthermore, for the State, this system simplifies the enforcement of labour laws by enabling the identification of discrepancies between a business’s tax records, its employees’ tax records, and contributions to the pension system. This enhanced transparency will facilitate more effective oversight and compliance.

While the unique identifier serves as a tool to connect individuals with the various systems involved in formal employment relationships, its introduction would not add an unnecessary layer of bureaucracy without clear benefits. Implemented in isolation, it might risk doing so. However, by integrating it into the universal healthcare system, the identifier would be seen as a gateway to tangible benefits, specifically improved access to healthcare services.

This approach not only underscores the advantages of formal employment but also enhances the incentives to engage with the other two components of the system: taxes and pensions. By demonstrating the practical benefits of formality, the identifier becomes a central mechanism for fostering broader participation and compliance.

The World Health Organization and the World Bank set three key dimensions that need to be covered in the construction of a universal healthcare systems. The first dimension is effective universal coverage, meaning that all people are eligible for healthcare benefits, regardless of employment status or contributions, and that the benefits provided are actually accessible to all. The second is financial sustainability. And the third is accordance between the system and the population that it serves (WHO/WB, 2015). In other words, the ability of the system to meet the basic needs of the population, including reproductive, maternal, and child healthcare, prevention and treatment for infectious disease, and treatment for non-transmittable chronic disease. The benefits of introducing a universal health system include expanding coverage to those that need it and eliminating the inefficiencies associated with the fragmentation of the current system.

There are already several estimations of the costs of constructing a universal healthcare system in Mexico that meets these characteristics. The *Centro de Investigación Económica y Presupuestaria* (CIEP) estimated that guaranteed essential medical coverage and coverage of services related to the three most common non-transmissible diseases in Mexico would cost 4.6% of GDP in 2016. A less ambitious system covering only essential healthcare would cost 4.4% of GDP (CIEP, 2018). Altamirano et al. (2020) provide a higher estimation of 4.8% of GDP in 2019 for essential services, assuming a coverage rate of 76%. This is similar to the estimation of 4.6 % of the GDP by Antón-Sarabia and Hernández-Trillo (2017) for a universal healthcare system that provides the same services as IMSS. The narrow range of estimates and characteristics of the proposals suggest a convergence in opinion on the type of universal healthcare system that would be feasible for Mexico. All cases, however, indicate a significant increase in resources allocated to healthcare, as healthcare expenditures represent 2.4% of GDP in 2025. These estimates are likely to be a lower bound, as they do not account for the impact of the Covid-19 pandemic, or the need to improve physical and personnel resources.

With these additional factors in mind, the proposal in this chapter is to introduce a universal healthcare system with a per capita annual expenditure between 1,195.48-1,307.55 PPP dollars, or 5.39-5.90% of GDP. This represents expanding the proposal by Altamirano et al. (2020) to an assumed 100% effective coverage rate and increasing estimated per capita annual expenditure by 10%. The services offered would be equivalent to those currently offered by IMSS, as in the proposal by Antón-Sarabia and Hernández-Trillo (2017) and CIEP (2018). The corresponding gaps in financing would be around 2.63-3.14% of GDP.

The proposed reform requires the design of a clear pathway for institutional convergence to ensure that existing hospital infrastructure has sufficient resources to meet the increased demand generated by an expanded package of services. Given its scale and central role in healthcare provision, the integration process could logically begin with the IMSS system. This would involve building on existing frameworks, such as the agreements with the recently created decentralised public body, *IMSS-Bienestar*, to guarantee universal and free access to medical and hospital services for individuals not affiliated with social security institutions. However, defining the specific structure and institutional configuration of a new universal healthcare system is a complex undertaking that falls beyond the scope of this paper. Regardless, strengthening digital infrastructure and operational capacities will be essential to support any such transformation.

9.5. Financing options

Several options are available for financing the new universal healthcare system and to do so in a progressive way. These include increasing income taxes for top earners, expanding the range of goods subject to the Value Added Tax (VAT) and raising its rates, and introducing new taxes on wealth. Table 9.3 provides a summary of these options, which are further detailed in the sections below.

Income tax is one of the first candidates for change, as it can achieve two goals simultaneously: raising tax revenues and decreasing inequality through increased progressivity. Evidence suggests that although the current income tax scheme is already redistributive, progressivity can still be improved (Scott et al. 2017 and Hlasny, 2019).

One possible proposal would be to increase tax rates for higher income tax brackets (brackets V to XI), with an increase from 35% to 47% for the top bracket. Assuming only 18% of self-employed workers remain informal, this change would increase tax collection from 3.627% of GDP to an estimated 4.143% of GDP. The number of total deductions could also be capped at 10% of income, down from the current 15%. The bottom tax rate would not change, in line with the secondary goal of increasing progressivity.

An alternative to this proposal would be to generate more brackets between the current IX and XI income brackets, increasing the progressivity in those sections of the income distribution. However, this alternative would need to maintain a high-top tax rate to achieve the necessary collection potential to finance a universal healthcare system, as mentioned in Ramírez Cuellar (coord.) (2021) and in Clavellina et al. (2021).

In addition to personal income taxes, changes to the income tax for businesses and corporations could also be made. Without changing the tax rate (30% of net profits), there is room to boost collection by changing the deductions allowed. As CIEP (2021) shows, most deductions many are difficult to justify as promoting desirable business practices. For example, deductions are currently allowed for the purchase of internal combustion automobiles and consumption in restaurants. This proposal includes the elimination of both deductions, which would increase revenue collection by 0.09% of the GDP (SHCP, 2020).

The second possibility for increasing revenue involves reforming the Value Added Tax (VAT). Currently, the VAT rate is set at 16%, but several goods and services are either exempt—such as rents, educational services, and local transportation—or subject to a zero-tax rate, including food and beverages, medicines, and female hygiene products.

This proposal suggests raising the VAT rate from 16% to 18%, while eliminating all exemptions but retaining zero tax rates. The aim is to strike a balance between the need to expand tax revenues to fund the new universal healthcare system and the importance of minimising the burden of higher VAT rates on low-income households. This reform is projected to increase tax revenues from 4.35% of GDP to 5.62% of GDP.

Two additional tax changes are considered to complement the VAT increase and further enhance funding for the universal healthcare system. First, an increase in the "Impuesto Sobre Automóviles Nuevos" (Tax on New Automobiles, ISAN) rate from 2.72% to 3%, which would raise revenue from 0.043% to 0.058% of GDP. Second, an adjustment to the tobacco tax, as calculated by CIEP (2020), which would increase revenue from 0.177% to 0.263% of GDP.

Assets and wealth are also highly concentrated at the top of the distribution, indicating space for a more progressive property tax. To increase progressivity and to reduce the burden on labour income, this proposal assesses how to the introduction of a net wealth tax, a capital gains tax and an estate tax.

The net wealth tax would follow a design similar to the proposal by CIEP (2021) but would increase the annual tax rate from 1% to 2% of annual net wealth for those with wealth of more than 20 million pesos. This tax would produce a 0.4% GDP increase in tax revenue. Although a progressive tax could render higher funds, a flat tax rate is easier to administer and serves as a starting point for developing the state's capabilities for taxing property. Thus, this proposal represents a compromise between increasing progressivity and limiting the resources required by the state to implement the reform.

A similar approach is proposed for the introduction of an estate tax, a levy on the net value of a deceased person's assets before they are transferred to heirs. The proposed tax is expected to generate revenues equivalent to 0.2% of GDP, placing it at the lower end of the range collected by other countries that apply similar taxes (OECD, 2021). As with the other tax proposals, implementing a low, flat-rate estate tax would facilitate efficient administration and collection, while minimising the risk of capital flight or tax avoidance through emigration. Greater progressivity, such as higher rates for larger estates, could be introduced in future reforms as the system matures.

Table 9.3. Possible tax changes and the associated increased in revenues

Income tax (individuals)			
Income tax bracket	Income range	Current tax rate for the bracket	Proposed tax rates
I	0-780.99	1.92	1.92
II	781-6,571	6.40	6.40
III	6,572-11,549	10.88	10.88
IV	11,550-13,541	16.00	16
V	13,542-16,213	17.92	20.92
VI	16,214-32,700	21.36	25.36
VII	32,701-51,539	23.52	27.52
VIII	51,540-98,398	30	35
IX	98,399-131,197	32	37
X	131,198-393,592	34	45
XI	393,593	35	47
Tax collected as % GDP		3.627	4.143
Income tax (business and corporations)			
Tax rate: 30% of net profits		No changes	Eliminating deductions for internal combustion automobiles and consumption in restaurants).
Tax collected as % GDP		3.745	3.835
ISAN (new automobiles)			
Tax rate		2.72	3
Tax collected as % GDP		0.043	0.058
VAT			
Tax rate		16%	18%
Tax collected as % GDP		4.35	5.62
Tobacco tax			
Tax collected as % GDP		0.177	0.263
Net Wealth Tax			
Net wealth tax rate		0	2%
Tax collected as % GDP		0	0.40
Estate tax			
Tax collected as % GDP		0	0.2
Non-changed taxes collection as % of GDP		8.573	8.573
Total tax collection as % of GDP		20.48	23.292
Difference between current and proposed scenario		2.612% of GDP	

Note: Unless other source is cited in the text, all calculations on the proposal's effects are made using the CIEP Fiscal Simulator public module available at <http://simuladorfiscal.ciep.mx/>. The model employs the assumptions made by the expenditure budget for 2022 regarding the growth rates of the Mexican economy in the following years. We assume that the effect of introducing the universal healthcare system led to informal employment being reduced to 18% of the total employed labour force. This is equivalent to assuming that all informal subordinate workers become formal workers. The income tax ranges are expressed in PPP USD from 2012 from OCDE (2022b).

All together, these changes to the tax system would correspond to an increase in tax collection of 2.612% of GDP. This would be sufficient to fund the lower bound of the universal health system reform.

It is important to note that the proposed reform excludes from its considerations the social security contributions currently paid to finance the social security system. These contributions represent nearly 1.7% of the country's GDP. These resources can be used to finance part of the transition costs associated to the implementation of the universal healthcare system. Once this transition is complete, these resources could be redirected to strengthen the existing pension system, paving the way for subsequent reforms.

Additionally, these contributions are not considered a permanent funding source for the new universal healthcare system. This is because the portion allocated to the IMSS healthcare system would be replaced by an increase in general taxes. As a result, over time, the social security contributions currently paid by formal workers could gradually decrease.

9.6. The pension system

In January 2021, congress approved a series of changes to the pension system, including a new minimum guaranteed pension, increased employer contributions, and a reduction in the minimum number of weeks worked required for a worker to receive a pension¹¹.

According to the reform, the amount of the guaranteed minimum pension depends on the number of weeks of formal employment and average wage during formal employment. At the bottom of the scale are workers who, on average, earned the minimum wage, are 60 years old, and worked formally for 1,000 weeks. These workers are entitled to a guaranteed pension of 264.78 PPP USD, equivalent to 1.34 times the national poverty line in the first quarter of 2022. As weeks of formal employment and average wage during formal employment increase, so does the guaranteed minimum pension, with a cap at 832.1 PPP USD, or 4.27 times the poverty line, for workers over 64 years old with more than 1,250 weeks of formal employment and who earned an average income of more than five times the minimum wage. The reform also reduces the number of days of employment required to receive a pension from 1,250 weeks to 750 weeks¹². This extends benefits to workers with shorter formal employment tenures, typically more vulnerable workers, and incentivises contributions by workers in low-security jobs by lowering the barrier to benefit access.

To fund the increased benefit coverage, the reform increases state and employer contributions, including the establishment of a flat employer contribution of 2 % of wages, plus a scaled employer contribution that increases with wages, and a scaled public contribution that decreases with wages (called the “social contribution rate”). The reform maintains a flat worker’s contribution of 1.13% of wages. The transition to this new system is taking place between 2023 and 2030, gradually increasing the total contribution rate from 6.5 % of wages to 15 %. Table 9.4 shows the graduated scale of employer contributions by wage and each years’ expected rate increase.

Table 9.4. New scale of employer contributions to the worker’s pension fund

(Percentage of the worker’s wage with which she is registered in the pension fund)

Wage registered to the retirement fund	2023	2024	2025	2026	2027	2028	2029	2030
One minimum wage (MW)	5.15	5.15	5.15	5.15	5.15	5.15	5.15	5.15
1.01 MW to 1.50 AMU	5.28	5.41	5.54	5.68	5.81	5.94	6.07	6.20
1.51 to 2.00 AMU	5.58	6.00	6.43	6.85	7.28	7.70	8.13	8.55
2.01 to 2.50 AMU	5.75	6.35	6.95	7.56	8.16	8.76	9.36	9.96
2.51 to 3.00 AMU	5.87	6.59	7.31	8.03	8.75	9.46	10.18	10.90
3.01 to 3.50 AMU	5.95	6.76	7.56	8.36	9.16	9.97	10.77	11.57
3.51 to 4.00 AMU	6.02	6.88	7.75	8.61	9.48	10.35	11.21	12.08
4.01 AMU or more	6.24	7.33	8.42	9.51	10.60	11.69	12.78	13.87

Note: The administrative measurement unit (AMU) is an amount used by the Mexican federal government as a monetary reference for different bureaucratic processes. Its value for 2022 corresponds to 301.34 PPP USD from 2021. It actualizes yearly according to the annual rate of inflation each January. The table shows the total employer contribution rate to the pension rate, composed of a 2 % flat rate for the concept of retirement and a varying rate associated with unemployment and old age.

Source: “Decreto por el que se reforman, adicionan y derogan diversas disposiciones de la Ley del Seguro Social y de la Ley de los Sistemas de Ahorro para el Retiro.”

¹¹ Decreto por el que se reforman, adicionan y derogan diversas disposiciones de la Ley del Seguro Social y de la Ley de los Sistemas de Ahorro para el Retiro. December 16, 2020.

¹² The minimum of 750 weeks will climb gradually until reaching 1,000 weeks of work in 2031.

This new financing system is progressive, with the government shouldering 58% of total contributions for workers at the bottom of the distribution and 0% for workers at the top, and employers shouldering 34% and 92% of contributions, respectively. This structure is designed to facilitate the hiring of lower-income workers at the margins of formality, as the costs associated with hiring these employees in terms of social contributions are lower. On the other end of the income distribution, this reform may lead to lower incomes for high-earning workers as employers may pass off increased contributions to employees (Levy, 2008).

As a whole, this reform increases wage replacement rates for all workers¹³, with the largest impact on workers earning less than 1,475.95 PPP USD per month during formal employment, according to calculations by the Mexican Central Bank. For example, the replacement rate for workers with an average base contribution salary of 590.39 PPP USD will increase from 62 to 92% of the contribution salary (Banco de México, 2022).

While the reform is a big step in the right direction, three challenges remain for the pension system. The first is increased pressure on the government budget from workers who retired or will retire under a defined benefit¹⁴ scheme. In 2017, these expenditures already amounted to 2.96% of GDP. They are expected to grow to reach nearly 5% of GDP in 2045 (Villarreal and Macías, 2020). To contain expenditure, Villarreal and Macías (2020) suggest capping the maximum benefit for workers under this system who have not yet retired, but this in itself would not be sufficient to mitigate the pressure. The increased tax revenue associated with integrating more individuals into the tax system through the reforms proposed in this chapter could provide more resources to finance the gap, but further measures will likely be needed.

A second problem is the low capitalisation of the individual accounts systems resulting from low contribution rates and low wages (Moreno-Brid, Garry and Monroy Gómez Franco, 2014). As Colín (2019) shows, current capitalisation rates in the IMSS system are well below sufficient to guarantee replacement rates above the poverty line. This puts additional pressure on public finances, as the State must supplement individual accounts with enough funds to reach the guaranteed minimum. The magnitude of this financing gap is difficult to assess, particularly given the changes to the contribution rates outlined in the 2021 reform, but the risk of insufficient funds remains.

The third challenge is system fragmentation. There are currently two major individual account systems (IMSS and ISSSTE) operating under the same regulations and supervised by the same entity. There has also already been a push to increase movement of funds between the two systems. In the case of defined benefit systems, however, consolidation would require the creation of a new entity designed to concentrate the necessary resources until defined benefit schemes are completely phased out. This would present a political economy challenge, as it implies displacing resources from IMSS and ISSSTE.

9.7. Cash transfer systems and other social programmes

In recent years, Mexico has made efforts to universalise access to social programmes, with a particular focus on vulnerable populations, while also aiming to lower administrative and operative costs. In 2018, the administration overhauled existing cash transfer programmes at the federal level, including the well-known *Oportunidades* programme (also known as *PROGRESA* or *PROSPERA*). The overhaul included the elimination of conditionalities, particularly those linked to school attendance, the disappearance of the health component, and the introduction of a universal scholarship program for students in primary and secondary school. An apprenticeship program was also introduced, designed to improve the labour market insertion of Mexicans between 19 and 29 years old who are neither attending school nor employed. The program relies on a registry of different private and public institutions to provide mentorship, while the government directly pays the trainees 541.91 PPP dollars per month

¹³ The replacement rate is defined as the share that the pension represents of the average contribution base salary.

¹⁴ A defined benefit scheme is a pension scheme in which the person is guaranteed to receive a specific amount as a pension when she retires. In contrast, a defined contribution scheme is a pension scheme in which the person makes a defined contribution to her retirement savings fund throughout her career.

for a year. However, as documented by CONEVAL (2020), the design of the program lacks a tracking mechanism to guarantee the insertion of former trainees into the labour market after the year in the program. Universal non-contributory pensions have also taken a central and growing role in the policy toolkit to reduce poverty, as analysed in the 2022 OECD Economic Survey of Mexico (OECD, 2022c).

As a result of these efforts, the total number of social program recipients increased to 32% of all households in 2024, up from 28% in 2018. However, a key pending challenge is improving the targeting of these programmes to ensure a greater share of benefits reach households in the lowest income deciles, as discussed in the 2022 OECD Economic Survey of Mexico (OECD, 2022c). There is significant scope to improve both the efficiency and equity of the system by addressing the fragmentation of social policy. Numerous schemes are currently managed by different levels of government, often resulting in overlapping responsibilities and gaps in coverage (OECD, 2022c). While the federal government has made progress—reducing the number of federally administered programmes from 272 in 2009 to 123 in 2021—fragmentation remains. Of these 123 programmes, 57% are delivered directly and maintain beneficiary registries, while the rest are implemented through intermediaries such as state or local governments, some of which lack proper records. In addition, states operate 1,444 programmes and municipalities a further 6,829 (CONEVAL, 2021). Establishing a unified, comprehensive registry of beneficiaries across all levels of government could greatly enhance coordination, reduce duplication, and improve targeting. Leveraging digital technologies, such as centralised registries, machine learning algorithms, and alternative data sources like mobile phone or satellite data, could significantly lower the cost of implementing such a system and enhance its precision and effectiveness (OECD, 2022c).

9.8. Implementation challenges

The proposal outlined in this chapter will undoubtedly encounter significant implementation challenges, which merit discussion in this concluding section. A critical challenge is securing broad popular and political support for the consolidation of existing healthcare systems and the proposed tax reforms. .

Historically, reforming Mexico’s tax system has posed significant challenges for the federal government (Aboites-Aguilar and Unda-Gutiérrez, 2011). To overcome this longstanding obstacle, political forces across the spectrum must reach a consensus on the need to universalise the healthcare system, reduce informality and establish appropriate financing mechanisms. The plural committee responsible for the report coordinated by Ramírez-Cuéllar (2021) provides a promising example of the potential for such agreement. To foster public trust, the negotiation process should be conducted with the highest degree of transparency.

Overcoming public resistance will require a clear communication strategy that highlights the direct connection between the proposed tax reforms and the tangible benefits of a universal healthcare system and reduced informality. Messaging should emphasize that universal healthcare stands to benefit all citizens, not just the poor. Securing the support of key stakeholders, including unions, employers, and healthcare professionals, will also be critical. Public acceptance can be strengthened by stressing the increased progressivity of the reform, while the business sector may be encouraged by its potential to enhance employment stability and improve access to public services.

Although the challenges are substantial, they are not insurmountable. In fact, they may become more manageable as the urgency of reform becomes increasingly apparent. This chapter seeks to contribute to the dialogue by unpacking the complexities involved and highlighting the far-reaching benefits that stronger social protection and reduced informality can bring to all Mexicans.

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10 Towards universal social protection in Peru: Challenges and possibilities

Paula Garda and Hugo Ñopo^{15 16}

Peru has reduced poverty and inequality markedly over the past two decades, but the pandemic exposed deep gaps in its social protection system. With over 70% of workers in informal employment, most lack access to pensions, health insurance, or employment protection, reinforcing inequality and limiting inclusive growth. To significantly increase formalisation and social protection coverage, deep reforms to social security, including the pension and health systems, and social assistance schemes are needed. These reforms will require additional fiscal resources. Additionally, the reform agenda should include productive policies, improving the country's capability to create more and better jobs. A politically viable sequencing and prioritisation of reforms must balance the dual goals of boosting productivity and using it for the benefit of all, especially those who need it most.

¹⁵ With the support of Sofia Hidalgo and Jerson Veliz. Group for the Analysis of Development. GRADE.

¹⁶ This chapter builds on an original background report prepared by Hugo Ñopo for the OECD. The current version has been substantially revised, edited and expanded by Aida Caldera and Paula Garda (both OECD), incorporating additional analysis and updates based on the OECD Economic Survey for Peru 2023.

10.1. Introduction

The Peruvian constitution guarantees the universal and progressive right to social security to ensure protection against vulnerabilities and improve quality of life. However, the legislation governing the social protection system ties access to healthcare, unemployment benefits and pensions primarily to contributions from formal salaried employment, leaving a significant portion of population with limited or no coverage.

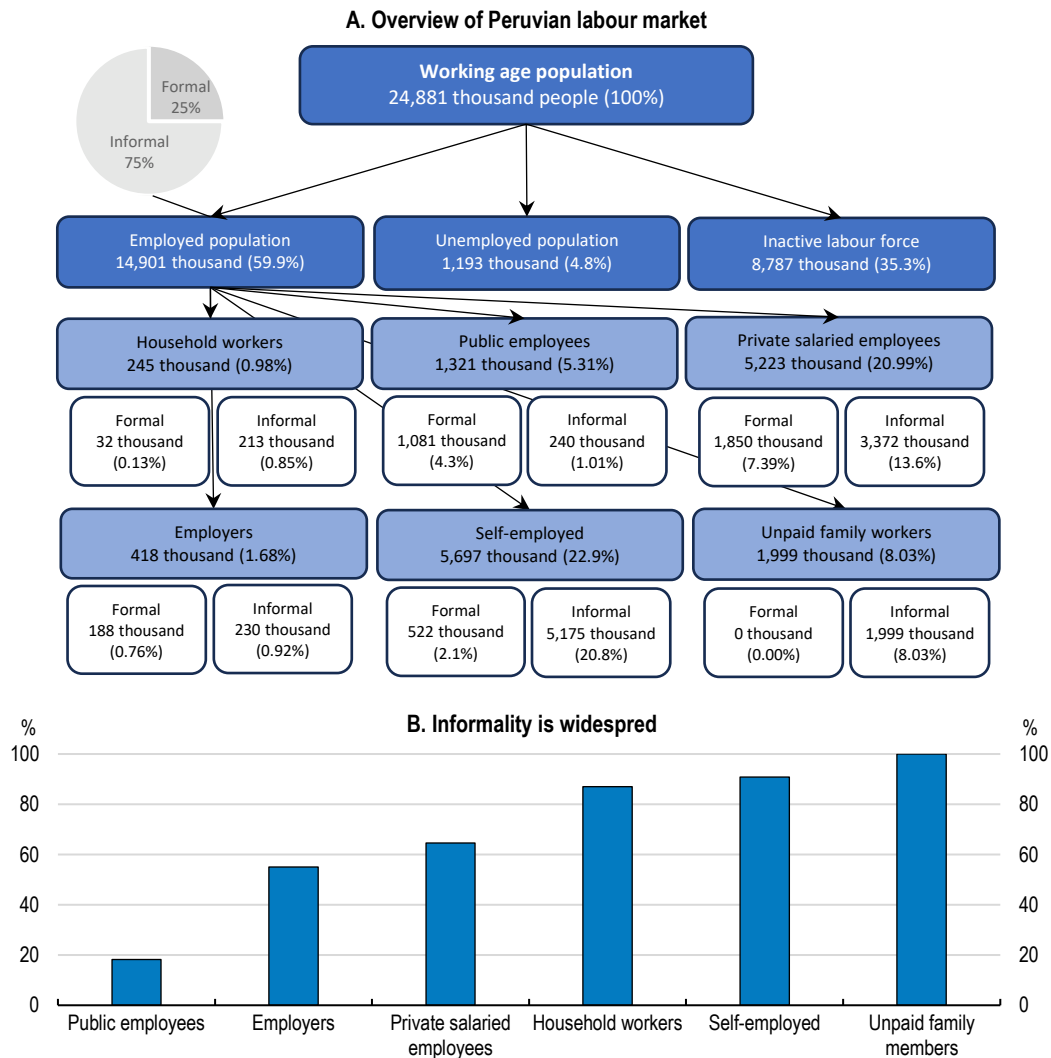
Peru has a high level of labour informality, exceeding what would be expected based on its GDP per capita (Loayza, 2016^[1]). This informality is largely driven by a high number of self-employed and unpaid family workers, who are more likely to remain outside the formal sector (Figure 10.1). However, informality is widespread and high across all occupations and disproportionately affects women: 73% of employed women were in informal jobs in 2024, often with low-quality jobs such as unpaid family work or micro-enterprises. Persistent gender norms, unequal time spent on unpaid care, and exposure to gender-based violence further constrain women's access to formal employment.

Labour informality exists across all income groups in Peru, but it is most common among the poorest households. Peru is one of the few Latin American countries where the gap in informality between the top and bottom income quintiles is the largest (Figure 10.2, panel A) (OECD/ILO, 2019^[2]). The poorest households rely very little on formal labour income (Figure 10.2, panel B), with half of their income from informal work and the rest from transfers (both public and private). As households move up the income distribution, the share of income from formal labour increases.

Informal employment in Peru has remained high and largely unchanged, even during periods of high economic growth (OECD/ILO, 2019^[2]) (Figure 10.3). Over the past twenty years, non-wage labour costs have consistently represented about 40% of average wages for formal employees and employers (Alaimo et al., 2017^[3]; Heckman and Pages, 2000^[4]). While non-wage costs have decreased for certain employment regimes, such as small and micro enterprises, where they fell by around 14 percentage points (Ñopo, 2021^[5]), informal employment continues to be prevalent in micro enterprises. This is because such schemes based on the firm size have generated pervasive incentives for the firms to grow and formalise (OECD, 2023^[6]; OECD, 2025^[7]).

Reducing informality in Peru requires tackling its multidimensional causes through a holistic approach. Key factors include limited access to quality education and training, weak institutions, and inadequate enforcement of labour and tax laws. Low business and worker productivity—driven by limited innovation, skills gaps, and restricted access to finance and technology—makes formalisation unaffordable for many. High regulatory and administrative burden, compliance costs and complex SME tax regimes contribute to informality by discouraging businesses from growing and formalizing (OECD, 2023^[6]; OECD, 2025^[7]). Policies should not only support the creation of micro and small enterprises but also their growth and consolidation, by facilitating access to markets, finance, and technology. Encouraging innovation and the adoption of new technologies across firms can enhance productivity and competitiveness, making formalisation more viable. Promoting formalisation through supply-chain linkages—where formal firms buy from and sell to formal suppliers—can also create strong incentives for smaller firms to operate formally. Highlighting formalisation benefits, such as better access to finance and markets, can also encourage participation in the formal economy. Boosting productivity through better skills, skills certification programmes, infrastructure, innovation, and technology adoption is critical to expand the supply of quality, formal jobs. Addressing corruption and strengthening judicial independence can improve incentives of formalisation, as businesses and workers are more likely to operate formally when they trust that laws and regulations are applied fairly. Improving public spending efficiency by enhancing the quality of public services and infrastructure can also make formalisation more appealing by demonstrating tangible benefits from tax and social contributions.

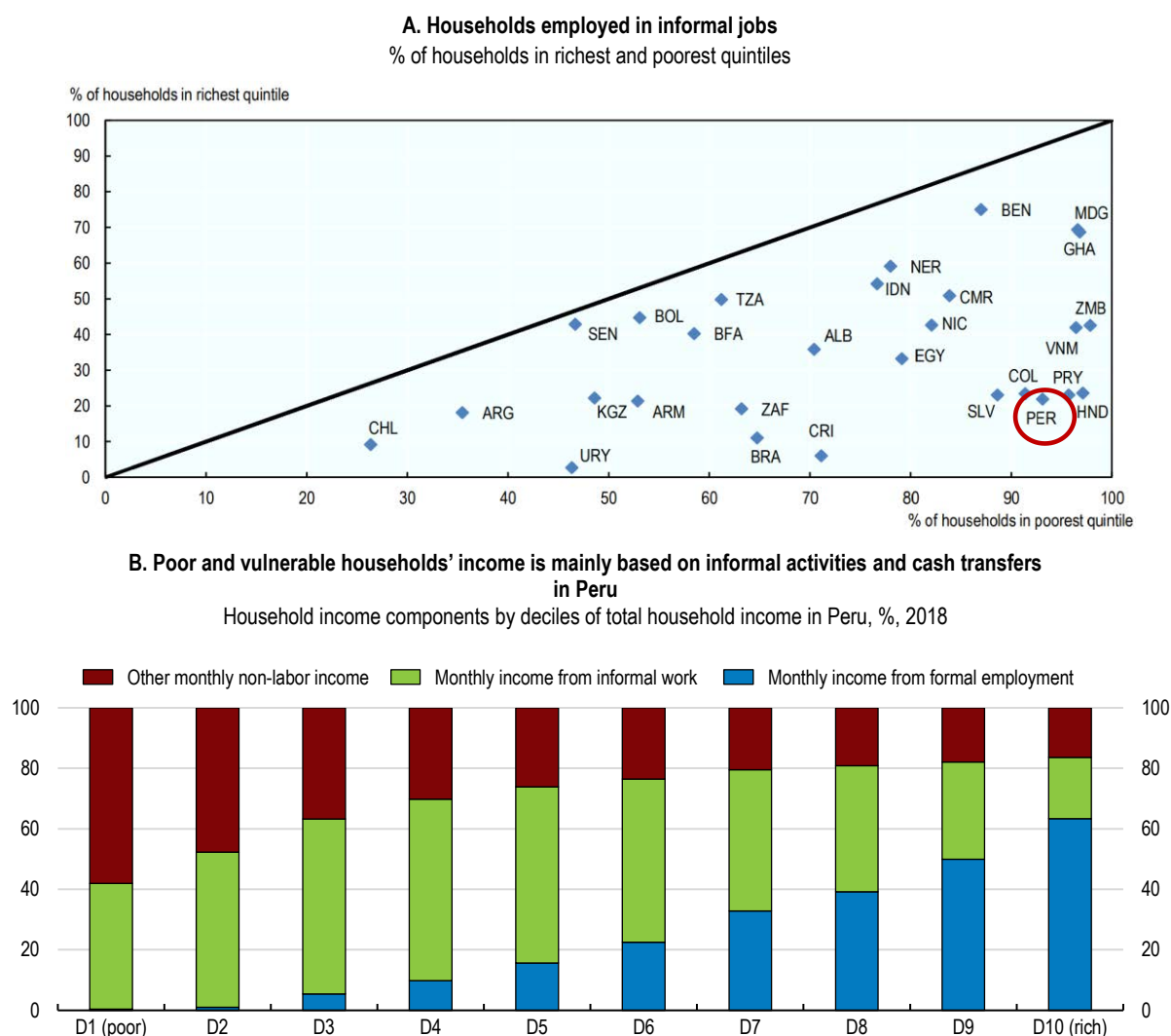
Figure 10.1. High labour informality in Peru driven by self-employment and unpaid work but prevalent across all occupations



Note: Data refer to the year 2020. The National Institute of Statistics and Informatics (INEI for its Spanish acronym) defines the informal workers as those who either: (i) work in informal productive units, or (ii) with in formal productive units but without contributing to a pension plan, or (iii) works as non-salaried family worker (TFNR for its Spanish acronym).

Source: Adapted from Ñopo (2021).

The role of the social protection system in shaping informality cannot be overlooked. Its current design limits coverage and discourages formal employment due to high social contributions that fall disproportionately on low-income workers. Shifting to a universal benefits model funded by general tax revenues and adopting a progressive social contribution system, with lower rates for low-income workers where informality incentives are strongest, would ensure universal coverage while reducing informality incentives. While boosting worker and firm productivity is vital and much needed, these reforms take time to deliver. In contrast, social protection reform can have a more immediate impact on formalisation, though advancing such reforms may face political economy constraints that require careful sequencing and broad support. When embedded in a broader agenda that tackles structural drivers, social protection reform can help disrupt the cycle of informality, improve living standards, and foster inclusive growth.

Figure 10.2. The poorest households rely heavily on informal work in Peru

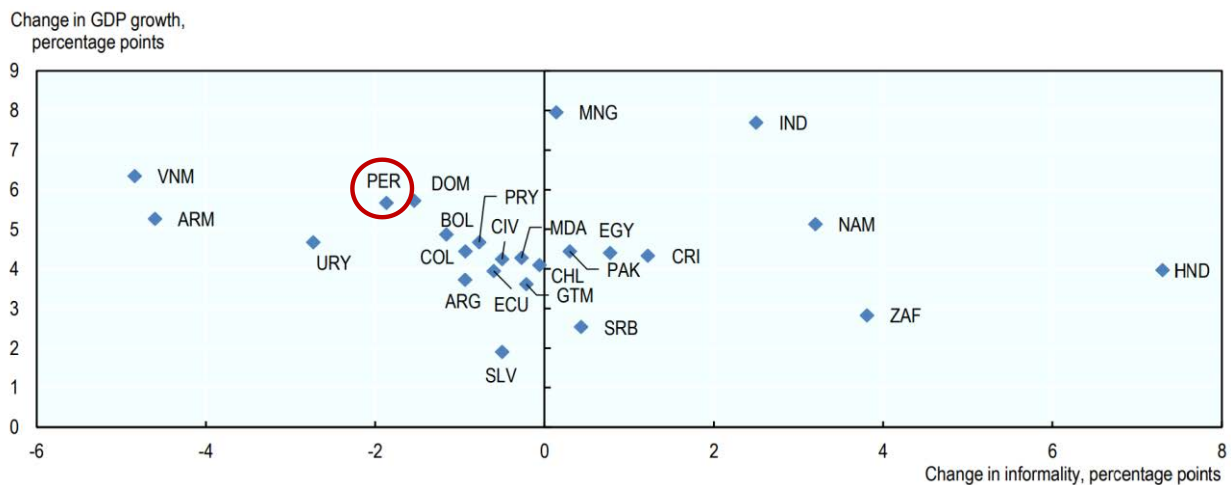
Note: Panel A: Quintiles are based on per-capita consumption distribution of all households. Panel B: Only monetary and regular household income is considered. The income from work is from the main and secondary activity.

Source: OECD-ILO (2019); INEI Households survey (2018).

10.2. Peru's social protection suffers from fragmentation, low coverage, and low funding

Peru's social protection system comprises healthcare, pensions, and social assistance programs for poverty alleviation. The system is fragmented, with most high-income workers accessing contributory schemes and some of the poorest workers relying on non-contributory programmes. This fragmentation perpetuates informality: the high cost of formal work incentivises workers and firms to remain informal, while informal businesses avoid growth to escape regulatory scrutiny. This contributes to lower economic growth, keeps incomes low (Ñopo, 2021^[5]), and requires non-contributory programmes to support vulnerable workers, which indirectly sustain informality by reducing its cost, reinforcing system fragmentation.

Figure 10.3. Informality has responded only weakly to economic growth



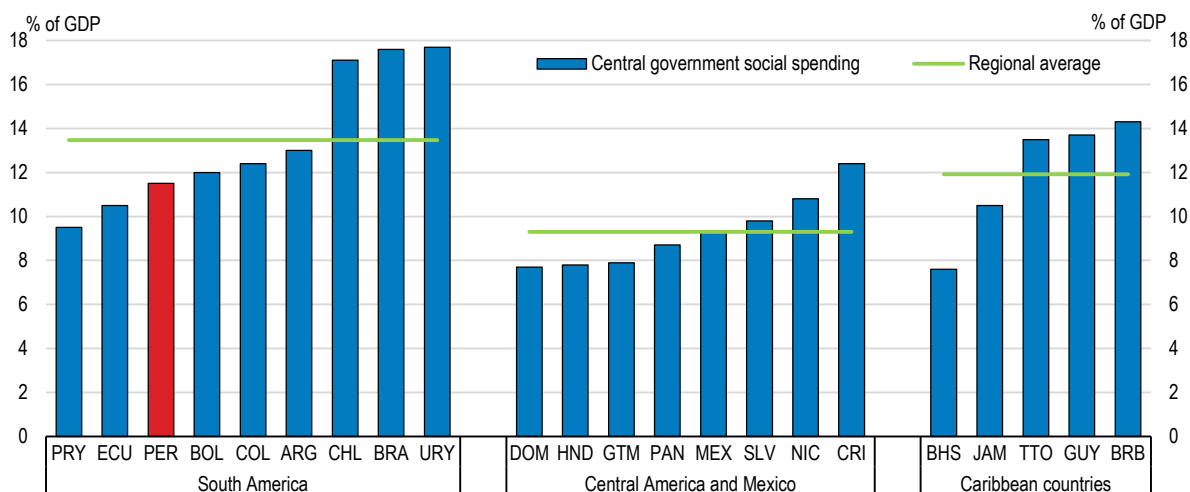
Note: Change in GDP growth measure as the mean of the period-to-period differences in GDP.

Source: OECD-ILO (2019).

The fragmented system creates inequalities, inefficiencies, and coverage gaps. Most high-income workers benefit from formal employment-linked insurance, while some low-income informal workers access limited non-contributory programs. Middle-income workers, frequently transitioning between formal and informal employment, often lack access to either system. As a result, unless properly implemented, social and labour protection, despite its good intentions, can ultimately worsen conditions for workers (Jaramillo, Almonacid and Flor, 2019^[8]).

Limited funding further constrains the system's ability to improve coverage and benefits. Social spending in Peru, at less than 5% of GDP (ILO, 2022^[9]), is among the lowest in the region and far below levels in developed economies, where spending reaches 15% of GDP (Figure 10.4). Peru also lags behind South America's average of 13.5% of GDP (ECLAC, 2020^[10]). Taxes and transfers do little to reduce inequality; after redistribution policies, the Gini coefficient drops only slightly from 0.50 to 0.46. While inefficiency is often cited, evidence suggests insufficient overall spending is the primary issue (Jaramillo, 2013^[11]).

Figure 10.4. Social spending is low



Note: Social spending includes social protection, education, health, housing, environment protection and culture and religion.

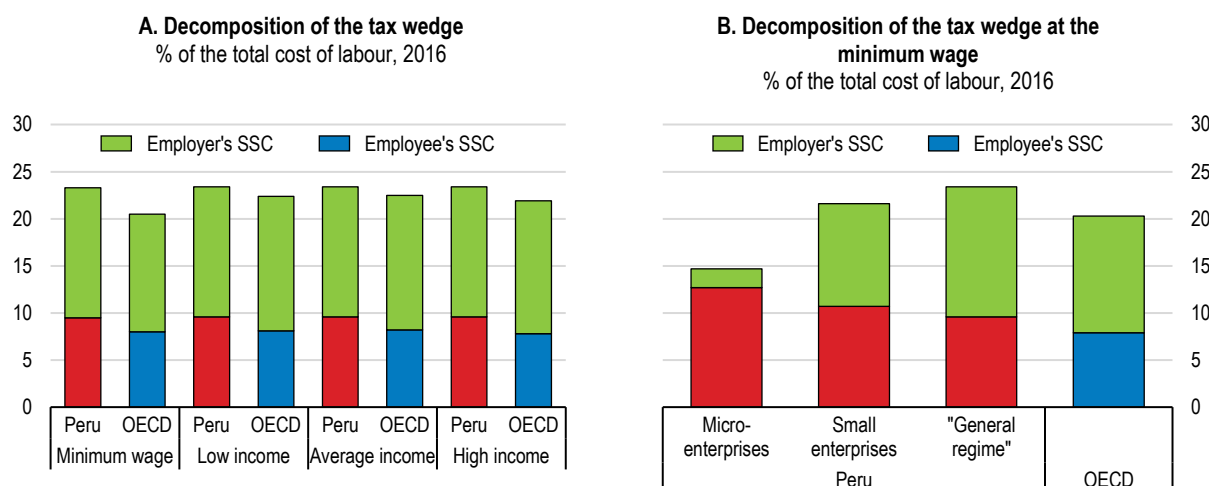
Source: ECLAC (2020).

10.3. Non-wage labour costs incentivise informality

Social contributions to health and pensions, levied both on the employee and the employer, amount to 23.4% in Peru for workers with an average income. This is slightly above the OECD average. However, there is a wider difference between the OECD and Peru for low-income workers and those earning the minimum wage (Figure 10.5, Panel A). Although social security contributions do not seem extremely high, often the employer and employee agree not to contribute to pension and healthcare so that the employer reduces its labour costs and the employee increases its net payment, thereby encouraging informality. For low-income groups, these contributions are particularly prohibitive: for informal salaried workers in the bottom income decile, they can equal 124% of their labour income, making them unaffordable (OECD, 2019^[12]). This issue arises because the minimum mandatory contribution is based on the minimum wage, disproportionately affecting those earning less than the minimum wage—approximately 80% of informal workers and 20% of formal workers.

Peru has special regimes with reduced social security contributions for self-employed workers and employees in micro and small firms (Table 10.1; Figure 10.5, Panel B). Self-employed workers who declare income to tax authorities pay lower health contributions unless they belong to poor households, in which case they are exempt. Pension contributions for self-employed workers are voluntary, but even at reduced rates, these contributions amount to 90% of the income of self-employed workers in the fourth income decile, creating a significant barrier to formalisation (OECD, 2019^[12]). Additionally, regulations such as unemployment benefits, paid annual leave, profit sharing, and family allowances impose considerably higher costs on medium and large firms, further discouraging formal employment. For example, there is evidence that profit-sharing requirements for firms with over 20 employees increase labour costs, discouraging formal employment, investment, and productivity growth (IMF, 2024^[13]).

Although these special regimes and cost difference were set up to encourage formal firm and job creation, they add complexity and create strong distortions discouraging firms to grow or promoting splitting into small units (Garicano, Lelarge and Van Reenen, 2016^[14]; Dabla-Norris et al., 2018^[15]) and encourage informal employment (Dabla-Norris et al., 2018^[15]). It would indeed be important to lower social security contributions for low-income workers while avoiding large jumps depending on firms' size. One option is shifting from the schemes based on firm size to progressive social security contributions linked to workers' income. This would remove the current disincentives for firms to grow and formalise while incentivising labour formalisation in a fiscally neutral manner. Evidence from the 2012 reform in Colombia shows the importance of decreasing non-wage labour costs to reduce informality (Bernal et al., 2017^[16]; Morales and Medina, 2017^[17]; Garlati-Bertoldi, 2018^[18]). Several OECD countries, including France and Germany, have implemented strategies to encourage the employment of low-income workers by reducing their social contributions for this group (Cahuc and Carcillo, 2012^[19]; Galassi, 2021^[20]). Lower social contributions for low-income workers in Germany have shown to boost female employment (Konle-Seidl, 2021^[21]). Similarly, Chile has introduced programmes aimed at formalising vulnerable workers, particularly youth and women, through employment subsidies that cover a portion of total social contributions and have proven effective in promoting formal employment (Bravo and Rau, 2013^[22]).

Figure 10.5. Social security contributions are high, particularly for low-income workers

Note: Data refer to single individuals without children, within the age range 15-64 and working as dependent workers in formal sector. Low income refers to 67% of the average wages; average-income refers to 100% of average wages; high-income refers to 167% of average wages. For Peru, the obligatory universal contributions paid by the employer comprise Health Insurance and the employer's contribution to the unemployment benefit system (Compensación por Tiempo de Servicio, CTS, compensation for length of service). Those paid by the employee are contributions to the pension system.

Source: Data for the OECD come from Taxing Wages 2017, data for Peru are OECD calculations based on information provided in Policy Questionnaire by MTPE and ENAHO 2016.

Table 10.1. Non-wage labour costs by firm size

Employers' social security contributions (% gross wage)	Micro-enterprises	Small enterprises	General regime
Health (EsSalud)	0.8% (supplemented by state subsidies)	9%	9%
Unemployment benefits (CTS)	0%	4.2%	9.7%
Life insurance	-	0.6%	0.6%
Risk work insurance	-	1.1%	1.3%
Training Fund	-	-	0.8%
Holidays	4.2%	4.2%	9.2%
Bonuses	0%	8.3%	18.3%
Family allowance	0%	0%	10% of minimum wage
Severance payment	0.33 per month of salary up to 3 salaries	0.66 per month of salary up to 4 salaries	1.5 per month of salary up to 12 salaries
Profit-sharing	-	Applies	Applies
Employees' social security contributions (% gross wage)			
Pensions	13%	13%	13%

Note: Profit sharing applies for firms of more than 20 workers and depends on the sector of activity, For labour legislation, micro enterprises are those with annual sales below 150 Tax Units (UIT, which is approximately USD 1200), small enterprises are those with annual sales between 150 UIT (approximately USD 180 000) and 1700 UIT (approximately USD 2 million), and enterprises with higher sales fall under the General Regime.

Source: OECD based on (Ñopo, 2021^[5]).

10.4. Access to the health system is low, highly unequal and its financing creates incentives for informality

Peru has made significant progress towards universal health coverage during the past decades. Health coverage has increased from 37% in 2004 to 95% in 2019, according to the register of the universal health insurance, but socio-economic and geographic inequalities persist. The health system in Peru is highly fragmented, with multiple regimes and different rules (Box 10.1). It is composed of three regimes: a non-contributory mechanism, called the Integral Health System (SIS); a contributory system called the Social Security in Health (EsSalud); and private supplementary healthcare providers (EPS). Access to health systems is largely determined by household income (Figure 10.6). The non-contributory mechanism (SIS) covers around 60% of the population, mostly belonging to the lowest income percentiles and informal workers and is primarily financed by general taxation. Part of this system is also semi-contributory, although it makes up a minority of SIS affiliates, as non-poor self-employed and microentrepreneurs can contribute a small amount and enrol. As of 2023, the contributory system, EsSalud, covers 24% of the population, mostly higher-wage workers, and is financed exclusively by labour charges. The private health insurance is only held by 1.2% of the highest-income population. Each system provides the same services to its affiliated population with its own budget, working in parallel with no coordination of functions and are managed by different ministries with limited effective stewardship of the health ministry. This segmentation leads to duplication of services in some areas and gaps in others, especially rural regions, and results in inefficiencies and unequal access to care. Peruvians covered by EsSalud often rely on hospital services even for primary care, while many SIS beneficiaries face long wait times and under-resourced facilities (OECD, 2025^[23]).

Box 10.1. Peru's Health system and its regimes

EsSalud provides health coverage to (i) regular affiliates (formal salaried workers who comply with the contribution obligation), (ii) pensioners of the contributory system, and (iii) self-employed workers who voluntarily contribute. It is the primary entity responsible for providing health services to formal workers and their families, whose employers contribute 9% of their salary, with some exceptions. Historically, EsSalud has catered primarily to the country's middle class. EsSalud is financed exclusively through worker contributions, and at the end of the year, the State covers any operating deficit. A recent ILO study (2019) estimates that, the annual deficit ranges from 2% to 3% of the operating budget (1.6% of GDP). EsSalud currently covers 24% of the labour force and 22% of the total population. While the range of services it provides is broader than other regimes, the waiting time for care is often long.

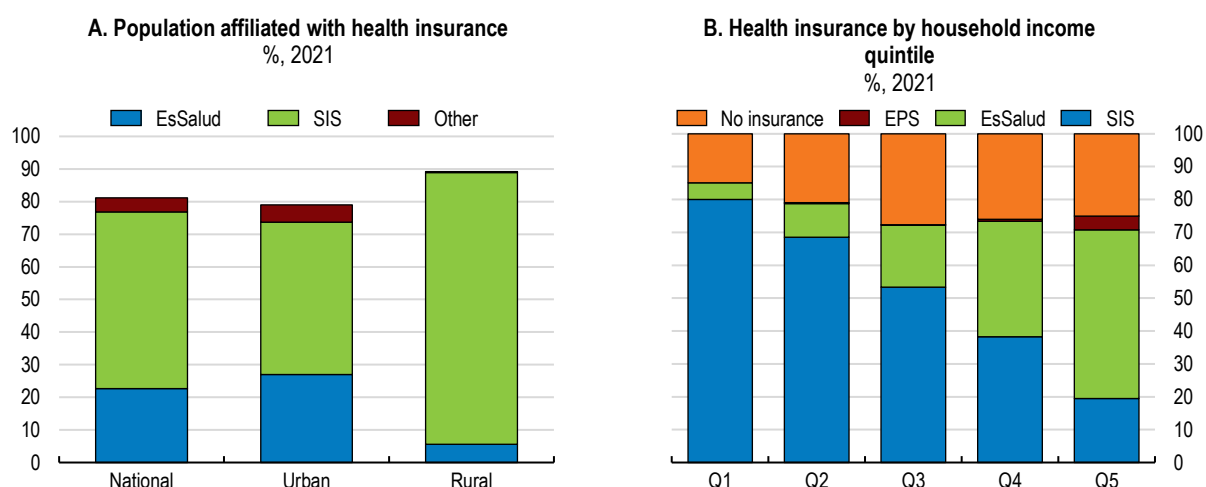
The **private supplementary health insurance providers (EPS)** offer a voluntary contributory scheme that supplements EsSalud, negotiated between employers and workers, aimed at higher-income earners. Employers may redirect 2.25% of the EsSalud contribution toward the EPS premium. This scheme requires additional copayments at the point of care, and affiliation of dependents (spouse and children) is mandatory; otherwise, they lose access to EsSalud. The EPS system covers 0.5% of the labour force, primarily those in higher income brackets. Waiting times for services provided by EPS are shorter, services are perceived as high quality tailored to wealthier segments, within prime city locations.

The **Integrated Health System (SIS)**, created in 2002, is a **non-contributory social security mechanism**. Initially designed to support people in poverty and extreme poverty, the SIS has expanded its coverage in recent years to include households above the poverty line. It now offers five insurance plans: (i) Free SIS, for people in extreme poverty, as well as pregnant women, children, firefighters, and other specific groups; (ii) SIS for All, for individuals without health insurance, regardless of economic status; (iii) SIS Independent, for those self-employed workers who can afford to pay a low cost; (iv) SIS Microenterprises, for micro-enterprise owners who want to enrol their workers; and (v) SIS Entrepreneur, for self-employed individuals like bricklayers, hairdressers, and dressmakers. SIS covers 43% of the employed population.

The health regimes provide services that differ significantly, resulting in inequities. SIS offers a large primary coverage, but with inadequate infrastructure and equipment (Phillips, 2022^[24]). For example, while SIS has 40 primary care facilities for every 100,000 affiliated, EsSalud has only four leading to longer waiting times for appointments. On the other side, EsSalud has a better provision of more complex health care interventions (Ñopo, 2021^[5]) and better cost coverage (Seinfeld et al., 2021^[25]). As a result, out-of-pocket expenses can differ significantly depending on the health scheme and typically higher for households affiliated to SIS for complex illnesses.

The financing of the health system incentivises informality (Torres, 2021^[26]). While the non-contributory system SIS provides free access, formal workers need to contribute 9% of the monthly salary to EsSalud at the minimum wage. However, users' satisfaction with both systems is similar (Ñopo, 2021^[5]). This leads to formal workers paying for what informal workers receive for free or at a very low cost, and leads to contributions to the health system viewed as a tax on formality by workers and employers. This perception is particularly strong among low-wage workers, for whom formalisation brings immediate costs with limited perceived benefits. The health system creates other complexities that result in awkward incentives. For instance, there are semi-contributory regimes that require self-employed and microentrepreneurs to pay for identical coverage as the free schemes.

Figure 10.6. Access to health coverage is almost universal but unequal



Note: SIS is the non-contributory health system, EsSalud is the contributory system and EPS are private institutions.
Source: INEI-Encuesta Nacional de Hogares.

Despite high insurance coverage, actual access to care remains unequal. In regions like Puno, the share of individuals reporting unmet medical needs is nearly twice as high as in Lima (40% versus 23%). Women report more unmet needs (33%) than men (29%), and also face longer waiting times (OECD, 2025^[23]). These inequalities reflect both geographic and socio-demographic disparities in service provision, as well as the fragmentation of infrastructure and human resources.

Public healthcare in Peru is also underfunded and resources are fragmented over the different subsystems, creating inequalities for access. While public health expenditures rose to 4.2% of GDP in 2024, spending has not kept pace with the expansion of the coverage, and is well below the OECD average of 9% of GDP. Per capita spending in EsSalud is 40% higher than per capita spending in SIS (World Bank, 2021^[27]), reflecting unequal financing across scheme. While technical inefficiencies, including low capacities, may partially explain low public expenditure, underfunding remains a clear issue that leads to high out-of-pocket spending. At 30% of total health expenditure, out-of-pocket spending in healthcare is among the highest in the OECD. Out-of-pocket spending is primarily borne by the wealthiest households, but only because they can afford such expenses, meaning that poorer households lack access to certain services.

10.4.1. Achieving universal high-quality health care services is possible

To achieve universal access to high-quality healthcare services and reduce inequities and incentives for informality, increasing public healthcare spending is necessary. According to the World Bank, an additional 1.2% of GDP is required to achieve universalisation and increase the quality of health services (World Bank, 2021^[27]). Since health financing through labour charges creates disincentives for formal job creation, increasing the financing from general taxation is key. To boost formalisation incentives, health contributions for low-income workers could be lower, particularly around the minimum wage where formality incentives matter the most. A gradual schedule of health contributions could be based on workers' income, shifting more of the burden into higher income ranges, away from the vicinity of the minimum wage, by starting at zero for poor workers and increasing for higher-income groups (World Bank, 2021^[27]).

To address inefficiencies and inequities in Peru's health system, it is crucial to strengthen coordination among public insurers (SIS and EsSalud) (OECD, 2025^[23]). This could be achieved through service-exchange agreements, standardising care providers, and establishing minimum quality standards (OECD, 2023^[6]). Harmonising the minimum benefit packages across both systems would reduce inequalities in coverage and facilitate a more unified delivery model. Developing a unified national health data system and adopting a national quality assurance framework to improve accountability and transparency. Strengthening primary care, especially through the PROFAM programme and expanded telemedicine, is vital to serve rural populations and reduce pressure on hospitals (OECD, 2025^[23]). Moreover, achieving universal health coverage cannot be accomplished without significant improvements in the quality of healthcare provision, which requires further reforms across the system.

10.5. The pension system has low coverage

The Peruvian pension system consists of two parallel contributory schemes and a small non-contributory scheme called Pension 65. In 2019, less than half of the elderly population in Peru received pensions, with 26.1% receiving contributory pensions and 21.1% non-contributory pensions. The contributory pension system is, mandatory for all formal workers, and is composed of the public National Pension System (SNP, according to its Spanish acronym) a public pay-as-you-go system, and a Private Pension System (SPP, according to its acronym in Spanish), an individual capitalisation system. Special regimes also exist for the armed forces, police, and public servants, but many of these have been closed to new entrants. The two parallel contributory schemes, one public and one private, have different rules leading to different pensions even with the same contributions and lack coordination and integration among the overseeing institutions (Table 10.2). Formal workers are free to choose to which system they contribute, but very few workers do. In 2021, 18% of workers contributed to the private scheme and 8% contributed to the public one, mostly upper-income workers (Figure 10.7). Although contributions are not mandatory for self-employed workers, they can voluntarily choose to contribute to either system. Workers affiliated with the private system may also make additional voluntary contributions to their pension accounts.

The low coverage of pensions in Peru is largely due to high informality and low frequency of contributions. Approximately 50% of working-age men in Peru have never contributed to the pension system, and for women, this number is even higher at around 75%. Those who contribute do not do so systematically because of frequent job rotation into the informal sector (Jaramillo and Campos, 2021^[28]). Indeed, on average workers contribute during 36% of their active lives, while those in the lowest income quintile only 28% in the private pension system (Bernal, 2020^[29]).

The pandemic has worsened the situation. Seven extraordinary withdrawals from private pension funds between 2020 and 2024, equivalent to 12% of GDP, have significantly reduced accumulated savings. As a result, 85% of affiliates (2.4 million workers) had fully depleted their individual accounts by the sixth withdrawal. While withdrawals early in the pandemic could be justified because of the sharp slowdown in economic activity, later withdrawals continued to deplete the private pension scheme, where assets have declined from 22% of GDP in 2020 to around 10% in 2024. This continued to worsen with an eighth extraordinary withdrawal of pension funds in 2025.

Not all workers who contribute to the public system are able to get a pension. The system requires at least 20 years of contributions and only one in five workers meet these criteria, usually those belonging to the highest income quintile (Ñopo, 2021^[5]). A reform in 2021 facilitated access for those with at least 10 years of contributions, but very few contributors meet this minimum requirement. Those who do not meet the requirements do not receive any benefits or refunds, implying a redistribution from low to high income workers.

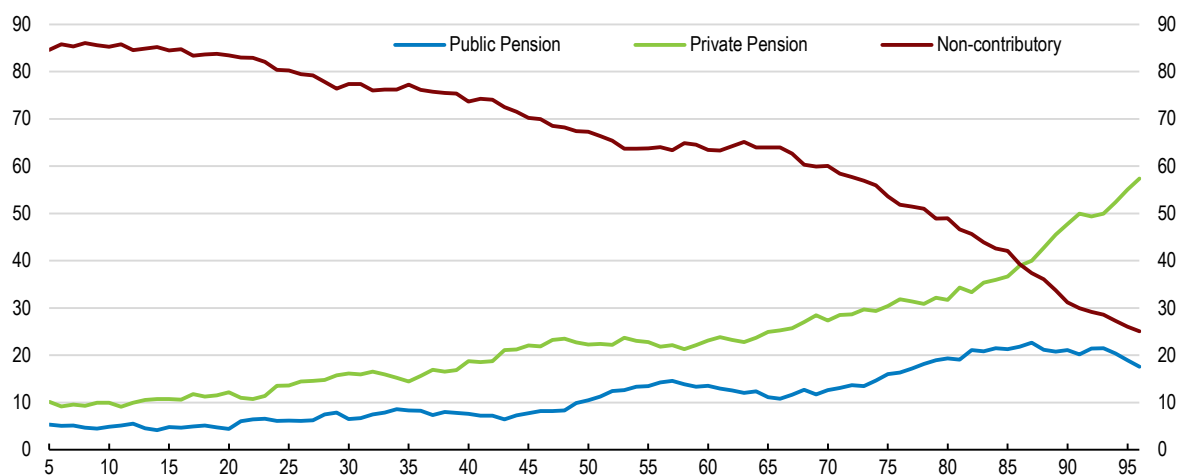
Table 10.2. The parallel contributory pension systems in Peru

	Public Pension System (SNP)	Private Pension System (SPP)
Ownership of contributions	Common fund.	The contributor is the sole owner of the funds through his/her individual accounts.
Pension calculation	The benefits are determined based on the average of the last 60 monthly wages. The specific replacement rate varies depending on the individual's age.	The pension will result from accumulated savings, which will grow according to the value of the contributions and the return obtained on them.
Maximum pension	Limited. Up to 100% of the reference remuneration and up to a maximum amount of 893 PEN or USD 236 (subject to at least 20 years of contributions).	
Minimum pension	Starting at age 65 and only if you have contributed for at least 20 years, it is 500 PEN per month, equivalent to 50% of the minimum wage or 20% higher than the poverty line.	Those born before December 1945 are entitled to a complement to achieve the same minimum pension as the SNP. In 2023, a minimum pension was created that allows the affiliate to voluntarily set a pension savings goal to achieve a minimum pension, and its amount cannot be less than the basic consumption basket. If the affiliate accumulates enough funds to cover the target minimum pension at retirement, any excess can be withdrawn.
Minimum time of contributions for retirement	20 years to get a full pension. Proportional pensions available for those with at least 10 years (PEN 250) 15 years (PEN 350).	There is no minimum time of contributions to receive a retirement pension.
Obligatory contributions	13% of the monthly remuneration.	10% of the monthly remuneration, plus the insurance Premium (1.74%) and the AFP's Commission paid as percentage of wages or of assets under management (between 1.47 and 1.69 depending on the AFP).
Pension modalities and withdrawals	Single pre-established.	Workers can choose the pension mode that best suits their needs: programmed withdrawal, family life annuity, temporary annuity with deferred life annuity. Since 2016, there is the possibility of withdrawing up to 95.5% of the accumulated fund at the time of retirement, which is usually the preferred option. Withdrawals of up to 25% are allowed prior to retirement for mortgage down payments and to pay down mortgage debt.
Administrative or overseeing institution	ONP – decentralised public institution of the Ministry of Economy and Finance.	SBS – Superintendency of Banks, Insurance and AFPs.

Source: Adapted from [Profuturo \(undated\)](#).

Figure 10.7. Low-income workers rarely contribute, while high-income workers drive private pension affiliation

Percentile of per capita household income, %, 2020



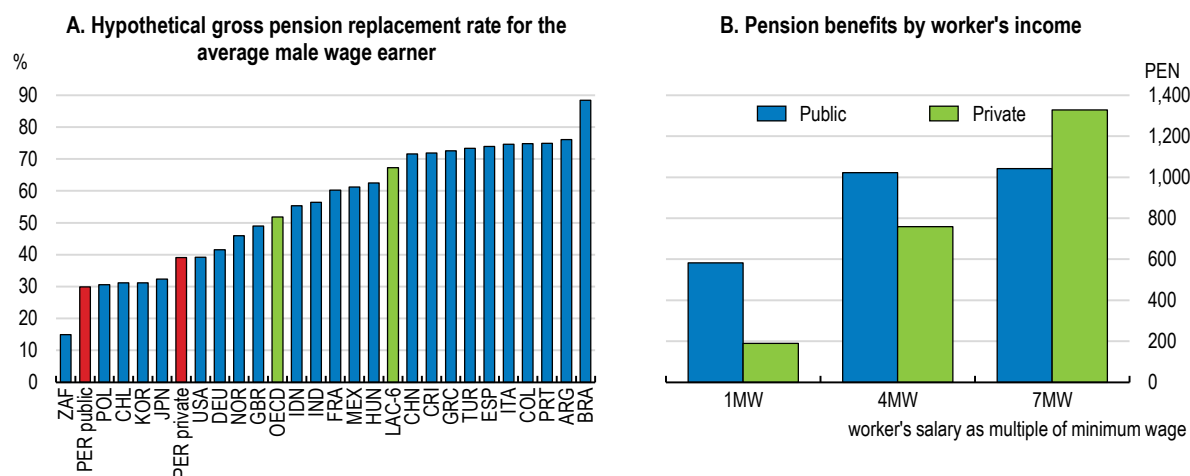
Note: INEI - Households survey (2020).

Source: Percentage moving averages are shown (9 percentiles per data point). Public pension is the pension from the National Pension System. Private pension is the pension of the Private Pension System.

Both public and private contributory systems in Peru give low benefits (Figure 10.8, Panel A). Moreover, workers with similar career paths can receive different pensions under the two schemes (Figure 10.8, Panel B). In the public system, the minimum and maximum pensions have been updated only once in 2019, resulting in large losses of purchasing power and extremely low replacement rates. In the private system, low replacement rates of less than 30% (Freudenberg and Toscani, 2019^[30]) are driven by low mandatory contributions compared to international standards (OECD average of 18.2% against 13% in Peru), low labour incomes and low frequency of contributions due to informality. Because pensions are capped in the public system, high-income workers tend to affiliate in the private system. While low-income workers would prefer to stay in the public system to get access to the minimum pension, stringent requirements access dissuade them. Early withdrawals from the private system are possible under numerous situations (OECD, 2019^[31]). Most people (95%) withdraw most of their accumulated savings (up to 95.5%) when they reach the retirement age (Ñopo, 2021^[5]), as this is allowed. As a result, the private system has become a way to save up to the retirement age, undermining one of the main purposes of a pension system which is to insure people in old age beyond retirement.

The non-contributory pension programme, *Pension 65*, mainly covers the poorest workers, leaving many vulnerable workers without any pension benefits. Although successful in alleviating extreme poverty in old age, benefits and coverage remain low (monthly PEN 125 or USD 32, 36% of the poverty line or 13% of the minimum wage in 2021). While coverage has increased since the programme's inception in 2011, it only reached 24% of the elderly (627 924 beneficiaries) by the end of 2022. Benefits remain the same since the programme inception, even though the monthly cost of the food basket per person at the extreme poverty line has increased by over 38%. Despite increasing resources, spending remains low, with a budget of 0.1% of GDP (0.45% of the public budget) in 2021.

Figure 10.8. The pension system's generosity is low



Note: Panel A: Year 2019. It shows the hypothetical gross replacement rates based on current pension system characteristics and rules. They are calculated for someone entering the labour market at age 20 and working a full career until the normal retirement age. Price inflation is assumed to be 2.5%, real earnings growth is 2% and the real rate of return is 3.5%. Panel B, is a calculated example of a workers that affiliated to the system between 1994 and 2019 with 20 years of contributions and contribution density of 77%. It compares the benefits the workers would receive in the public pension system or the private pension system with a profitability from AFP Integra (annuity interest=3%). LAC-6 is the unweighted average of ARG, BRA, CHL, COL, CRI, and MEX.

Source: OECD Pension models and (Ñopo, 2021^[5]).

10.5.1. Reforming the pension system to provide universal protection and better benefits

A comprehensive reform of the pension system is necessary to improve coverage, increase benefits and address informality. This includes a deep reform to the contributory schemes, ensuring that public and private components complement each other, operate efficiently, and support the fiscal long-term sustainability.

A recent pension reform aligns with several past OECD recommendations (OECD, 2019^[31]; OECD, 2023^[6]), including efforts to expand coverage, and limit pension fund withdrawals. In late 2024, Congress approved the Law for the Modernisation of the Pension System, establishing a four-pillar framework—non-contributory, semi-contributory, contributory, and voluntary—to improve coverage and adequacy. Implementation is pending, and the regulatory decrees were published in September 2025. Under the contributory pillar, enrolment is now mandatory in either the public or private scheme, with default enrolment in the public pay-as-you-go scheme, which will transition to a notional defined contribution model by 2030. Although the reform required self-employed workers, who had previously been exempt, to gradually start contributing, a law passed in September reversed this measure, approved an eighth withdrawal of pension funds, and reinstated the possibility of withdrawing 95.5% of accumulated funds upon retirement. Employees continue contributing 13% in the public scheme and 10% plus fees and insurance in the private scheme. The retirement age remains at 65 but will be revised every five years maximum. The semi-contributory pillar introduces a harmonised minimum pension of PEN 600 (53% of the minimum wage) for those with over 20 years of contributions, with proportional benefits for those with 10–19 years. This minimum benefit is guaranteed by the state across both public and private schemes, provided eligibility conditions are met. The non-contributory pillar will gradually expand Pension 65 coverage to all elderly in poverty, with benefits capped at 25% of the minimum pension, subject to fiscal space. The voluntary pillar introduces a 1% tax on electronic purchases (with caps per transaction and annually) that channels contributions to individual accounts. A matching state contribution is foreseen for low-income affiliates, subject to budget availability.

This reform is consistent with OECD recommendations on mandatory enrolment, expanded non-contributory pensions, and minimum benefit guarantees. However, it does not fully resolve persistent gaps in coverage, driven

by informality and intermittent contributions. Non-contributory pensions also remain inadequate. Addressing these issues would require policies to reduce informality as claimed in chapter 1 of this book. This could be done by delivering a universal non-contributory minimum pension to all residents aged 65 and above. For example, providing a universal minimum pension equivalent to the poverty line to all Peruvians residents aged 65 and over – around 3 million people –, which would cost 1.6% of GDP (1.5% of GDP net of current expenditure in Pension 65), raising to 1.8% of GDP by 2050. Such benefit would provide a replacement rate of 40% to minimum wage earners. There would be a need also to indexing the benefit with at least basic consumption basket, or inflation at least ensure that the elderly maintain their purchasing power (OECD, 2019^[31]).

To encourage formal job creation, this minimum pension would be financed from general taxation, which would require mobilising additional tax revenues. Options for raising more revenues are discussed in the recent OECD Economic Surveys of Peru (2023^[6]; OECD, 2025^[7]). One important advantage of implementing such a universal minimum pension scheme is that it allows to reduce contribution rates within the contributory system for low-income workers, thereby promoting formal employment.

To top up the non-contributory pension workers would contribute to the pension system, for which enrolment would become automatic and mandatory for all workers. To preserve incentives for formalisation, mandatory contributory rates could be made progressive, with lower contributions for wage earners below the minimum wage, where incentives for informality matter the most, and increasing gradually for higher wages. The contribution rates could be calibrated to achieve replacement rates of around 60% of pre-retirement earnings, close to the average OECD replacement rate for men, to ensure adequate pensions and fiscal sustainability. This could imply very low contributions for the lowest-income workers, and higher than current contributions for the higher-income workers.

An alternative to address informality and reduce labour costs instead of progressive contribution rates is subsidising the social security contributions of low- and middle-income workers (OECD, 2019^[31]), with the subsidy decreasing with income. Evidence from Chile shows that subsidising social contributions has increased formal employment for vulnerable groups (OECD, 2022^[32]). The risk is creating an incentive to remain informal or to under declare income, so it must be designed very carefully. Other reforms to the contributory pension system are needed, including granting proportional benefits for those with fewer than 10 years of contributions in the public scheme, and improved coordination between public and private schemes.

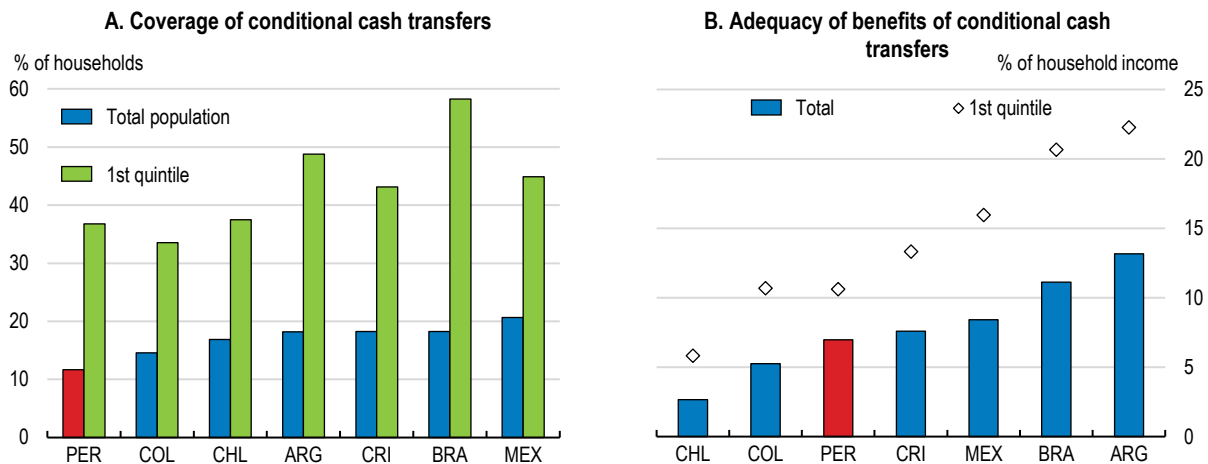
10.6. Cash transfer programmes do not reach all in need

Since the 1990s Peru has increased social spending to fight poverty, expanded coverage of social services and developed targeted social programmes. However, cash transfer programmes continue to provide low coverage and limited generosity, leaving many households without any support. *Juntos*, the main anti-poverty programme, is a conditional cash transfer programme introduced in 2005 for Peruvian families living in extreme poverty in rural areas. It aims to generate human capital and break the cycle of poverty by providing monetary incentives to households with at least one programme target member, such as pregnant women or children/adolescents, provided the household falls within the socioeconomic classification of poverty or extreme poverty and resides in a district with a poverty incidence higher than 40%. Evidence shows that *Juntos* increased demand for health checks for children, increased household consumption, and reduced poverty levels (Perova and Vakis, 2012^[33]). It also had positive impacts on nutritional, cognitive and educational outcomes (Sánchez, Meléndez and Behrman, 2020^[34]; Sánchez and Jaramillo, 2012^[35]; Gaentzsch, 2020^[36]).

Despite its positive effects, a low share of Peruvian families benefited from *Juntos* (Figure 10.9), and spending was low (0.1% of GDP in 2022). Limited budget mean that there is a 36.7% gap between the number of beneficiaries and the total number of possible beneficiaries. Benefit levels are also low, limiting their impact on families and poverty. *Juntos* provides PEN 100 (USD 26) per household monthly, equivalent to 30% of the poverty line in 2021, one of the lowest in emerging markets (ILO, 2017^[37]), where on average amounts to USD 78 (Gentilini et al., 2021^[38]). In 2023, the *Juntos* programme introduced a PEN 80 (USD 22) monthly top-up for households with children in the final three grades of secondary school, provided they met specific conditions, and the cash transfer represented 44.6%

of the poverty line in 2023. The benefit does not consider household characteristics and has not been updated since 2005, resulting in a loss of purchasing power.

Figure 10.9. Cash transfers programmes leave many poor households without any support



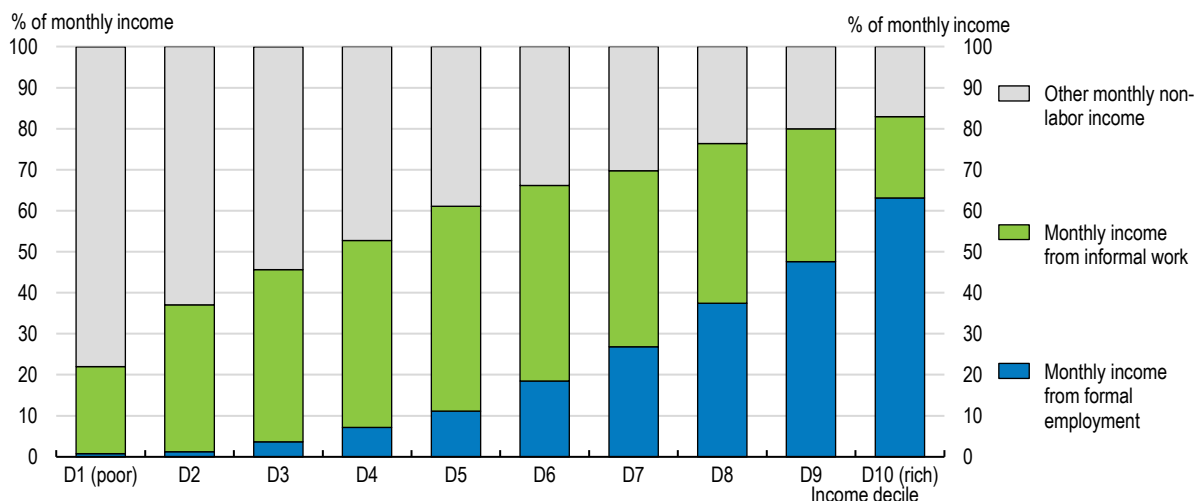
Note: Data refer to 2019.

Source: World Bank, Atlas of social protection: Indicators of resilience and equity (ASPIRE).

Juntos has been redesigned in 2021 to improve coverage and impact. The programme now targets extremely poor households regardless of their geographical location and gives benefit top ups to incentivise further human capital development and health. An early childhood transfer of an additional PEN 50 is conditioned on access to basic health services, and a pilot programme offers an additional transfer of PEN 80 for households with children in secondary school in areas with higher school dropout rates.

The pandemic exposed the need for broader measures to protect vulnerable populations, as emergency cash transfers, such as "*Bono Yo me quedo en Casa*" and "*Bono Familiar Universal*" (300-700 PEN), only temporarily mitigated poverty and income losses (World Bank, 2023^[39]). In 2020, households in the lowest income brackets relied more on these transfers than informal labour (Figure 10.10), reflecting the severe impact of 4.8 million job losses in the informal sector compared to 600,000 in the formal sector (Lavado, 2021). Permanent solutions are necessary to address poverty and income stability during crises.

Figure 10.10. Cash transfers exceeded informal labour income for the most vulnerable due to large job losses during the Covid-19 pandemic, 2020



Note: Only monetary and regular household income is considered. The income from work is from the main and secondary activity.

Source: INEI, Households survey (2020).

10.6.1. Setting up a “Minimum income guarantee”:

To better support the poorest, it is crucial to expand the reach and benefits of cash transfer programmes. One option is to extend the coverage of *Juntos* to include all individuals living in poverty and provide them a benefit equivalent to the extreme poverty line. This would cost around 2.4% of GDP in 2021. Another option to better consider the household characteristics and to contain fiscal costs is to transform *Juntos* into a guaranteed-minimum-income scheme for the population below 65. This would involve a periodic cash transfer to supplement household incomes. This programme could build on *Juntos* and be financed from general tax revenues. By setting the guaranteed minimum income to the poverty line, an illustrative calculation using household surveys, indicates that such programme would cost 1.1% of GDP in 2021 or 1% net of the expenditure in *Juntos*. The benefit of choosing the national poverty line calculated by the National Statistics Institute, is that the minimum income would adjust automatically to changes in prices in the basic food basket. When children are part of the household, the cash transfer could be conditional on human capital accumulation and desired health behaviours, as in *Juntos*, to generate incentives for investing in education and health. The size of the benefit can also consider children’s age and educational level. Finally, it could eventually also be adapted to the costs of living of the different territories in Peru.

To maintain incentives for formal work and avoid that beneficiaries are reluctant to take up formal work for fear of losing their benefit, a graduation phase, in which the value of the transfer forgone is smaller than any additional income made should also be considered. For those already working, more hours worked, or better jobs could be encouraged, by reducing by a smaller amount the benefit for the extra income they earn. Ex-ante and ex-post impact assessments should be systematically conducted to evaluate the effects on formal labour force participation and adjust the design if necessary. Cash transfers could be also ideally tied to individual behaviour that promotes future employment outcomes such as school completion, training, and participation in public employment services to help families overcome poverty.

An alternative to the proposed guaranteed-minimum-income scheme is a negative income tax or earned income tax credit, which has shown positive effects on labour force participation, poverty reduction and reduction of informality in United States and some developing countries (Hoynes and Patel, 2017^[40]; Gunter, 2013^[41]). The main difference between the proposed scheme and the negative income tax is that the latter is financed directly through

a progressive income tax that could offset social security contributions incentivising labour formality (Acosta, Pienknagura and Pizzinelli, 2022^[42]). The advantage of the conditional cash transfer programmes is that it provides more flexibility to condition the transfer on positive educational and health behaviours.

10.7. Boosting protection against job loss

Peru does not have an unemployment insurance system and only very few workers have some income protection against job loss. The main protection mechanisms are the end-of-service severance pay and the individual unemployment savings accounts (*Compensación por Tiempo de Servicios*) are financed by the employer and are compulsory for medium and large firms, but not for micro and small firms. As a result these instruments are typically only available to permanent workers, who constitute 5% of the total workforce and belong mainly to the highest deciles of the income distribution (de la Cruz, Manzano and Loterszpil, 2020^[43]). During 2021, only 40% of private salaried workers was covered by this mechanism. This leaves a significant proportion of the population vulnerable to job loss. Moreover, the ability to withdraw funds from the individual accounts for non-unemployment-related purposes suggests that this mechanism does not effectively function as a protection against job loss. Instead, it operates more like a mandatory savings system. Several rounds of extraordinary withdrawals during and after the pandemic have further depleted CTS balances, reducing their ability to provide any meaningful income support.

Implementing cash transfer programmes, such as the guaranteed-minimum income discussed above, could provide protection to workers during unemployment. For example, for workers earning the minimum wage, a cash benefit equivalent to the poverty line would imply a non-negligible 40% replacement rate. This would cost an additional 0.1% of GDP if all unemployed workers were to be covered for three months (the average duration of unemployment). For workers above the minimum wage, a contributory pillar could supplement the guaranteed-minimum-income and provide top-up benefits to achieve a replacement rate more in line with other OECD countries (60% on average). This contributory pillar could be primarily based on the existing individual unemployment accounts, or be mixed, as in Chile, where individual savings are supplemented by a solidarity fund financed by employer's contributions and general taxation. The advantage of individual unemployment savings accounts is that they limit the risk of moral hazard and incentivise workers to prevent job loss and return to work quickly (ILO, 2019^[44]; OECD, 2018^[45]). However, individual unemployment accounts do not provide risk sharing. Individuals with lower contributory capacity are at higher risk of unemployment and have weaker protection, which is why the cash transfer programmes such as the guaranteed minimum income could serve as a minimum protection floor. Another option proposed by the ILO is to introduce an unemployment benefit system based on individual contributions of 1.16% of wages of all salaried workers with permanent or temporary contracts to a common unemployment fund (ILO, 2022^[9]).

Strengthening protection via non-contributory cash transfers would ensure basic support to all workers against unemployment, including the self-employed who usually do not contribute to unemployment insurance schemes. It would also have the added benefit of reducing labour costs for employers and encourage the creation of formal jobs. Currently, employers are mandated to contribute around 9.8% of wages to the individual unemployment savings accounts, which is high compared to a median of 2.8% for advanced countries or 1.5% for emerging economies (ILO, 2019^[44]). For example, in Chile workers' and employer's contributions amount to a maximum 3% of wages in a very similar setup. Additionally, restricting withdrawals from the individual savings accounts to job dismissals and crediting any surplus contributions as pension entitlements upon retirement would help achieve the system's original objective of protection during unemployment. Contributions can also be limited to a maximum number of years to accumulate sufficient resources to cover unemployment eventualities, such as 11 years in Chile.

All unemployed workers, with previous informal or formal jobs, should register with the labour market intermediation services (*Centros de Empleo*) to support their employment and training search. Registration is voluntary under current law, and individuals may also use private employment services. Strengthening labour orientation and intermediation services, including training, to help the unemployed enrol in cash transfer or

unemployment benefits programmes while receiving support in their job search. Currently, the Public Employment Services (PES) in Peru do not manage cash transfers or unemployment benefit programmes. Rather, PES focuses on delivering active labour market policies such as job intermediation, vocational guidance, and labour certification. Services remain small in scale, including *Jóvenes Productivos*, which offers training and job placement for vulnerable youth, and *Capacita-T*, a free online platform to boost employability; both need to expand, and their certifications must be valued by employers to improve impact. The Public Employment Services are understaffed and there is a need to strengthen recruitment and training programmes for caseworkers (OECD, 2019^[46]) to provide effective support.

10.8. Financing the reforms

The proposed reforms in this chapter would have an estimated cost of 3.8% of GDP. These costs are an illustrative as the costs of this reforms depends on the exact details of implementation. The implementation of such reforms should be gradual and be accompanied by a comprehensive fiscal reform to achieve higher spending efficiency and tax collection and redistribution. The higher employment formalisation and growth driven by these reforms would also increase tax collection. Furthermore, boosting the potential with structural reforms, as discussed in the (2023^[6]; 2025^[7]) OECD Economic Surveys of Peru, would result in higher employment and higher incomes for individuals and, in that way, increase tax collection.

10.8.1. Improving the efficiency of public spending

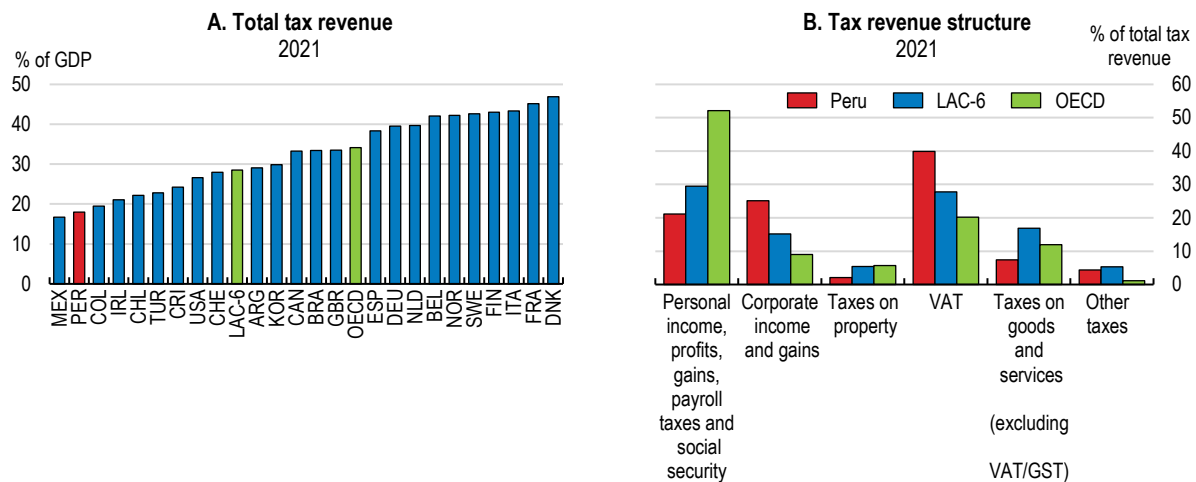
A key financing strategy for Peru is to improve the efficiency of public spending, which remains low due to weak governance, corruption, and incomplete fiscal decentralisation. The World Bank (2021) identifies several spending areas where efficiency gains could enhance service delivery without compromising equity. For example, improving efficiency in the health sector could generate fiscal savings that can be reallocated to priority areas, while also advancing Peru's progress toward building a modern health system. Technical inefficiencies in public procurement and civil service could also be addressed. Estimates of these inefficiencies account for between 1.2% of GDP (BCRP, 2023^[47]) and 2.5% of GDP (Izquierdo, Pessino and Vuletin, 2018^[48]). Peru's decentralisation system suffers from unclear delineation of spending responsibilities across national, regional, and municipal levels and a distortionary financing structure, exacerbating regional inequalities in economic development, poverty, and access to services (OECD, 2023^[6]), Peru needs to spend wisely to address its human capital, social protection and infrastructure gaps and enhance its growth potential.

Reducing corruption is critical to improving spending efficiency in Peru. Corruption remains pervasive (Fernandez, 2021^[49]): for example, despite a government budget of PRN 972.7 million for 29 hospital infrastructure projects, none has exceeded 60% completion. Illicit financial flows, including money laundering, bribery, tax evasion, and trade mispricing, drain approximately PEN 10 billion annually, equivalent to 4.5% of GDP (Bejarano, 2022^[50]). This amount surpasses 118% of education spending, 183% of health spending, and 512% of social protection spending. Eliminating these financial crimes would free resources for priority areas, enhancing service delivery and addressing critical development needs.

10.8.2. Increasing tax revenues

The tax system in Peru is characterised by a relatively low tax burden and a narrow tax base. The tax-to-GDP ratio is at 17% well below the OECD average of 34% and the Latin American average of 30% (Figure 10.11), and insufficient to meet rising social needs and bolster necessary public investment in infrastructure, education, and health. As in other Latin American countries, the country relies heavily on indirect taxes such as the value-added tax, while higher-income OECD countries depend more on revenues from personal income taxes and social security contributions. While the reliance on indirect taxes is beneficial from an economic-growth perspective, it leads to a low progressivity of the tax system (OECD et al., 2023^[51]).

Figure 10.11. Tax revenues are low and the composition is tilted to indirect taxes



Note: The tax-to-GDP ratio measures tax revenues (including social security contributions paid to the general government) as a proportion of gross domestic product (GDP). Year 2020 for OECD panel B LAC6 is the simple average of ARG, BRA, CHL, COL, CRI, MEX.

Source: OECD, Global tax revenue database and OECD Revenue Statistics in Latin America and the Caribbean.

There are several measures available to increase tax revenues as discussed in the 2023 and 2025 OECD Economic Surveys of Peru. One of the main problems is Peru's narrow tax base, exacerbated by high tax evasion and poorly designed tax regimes. VAT non-compliance alone costs 2.6% of GDP, while exemptions and reduced rates account for an additional 1% of GDP. Corporate tax evasion, at 33.1% of potential revenue, further limits collection. The complexity of multiple small business tax regimes fosters evasion and informality, contributing little to revenue while discouraging growth. To address these issues, Peru should modernise its tax administration by improving human capital, leveraging advanced technologies, and expanding electronic invoicing. Simplifying tax regimes, phasing out ineffective tax expenditures, and targeting exemptions and reduced rates while compensating vulnerable groups through transfers could significantly enhance tax collection and equity.

Peru's low tax revenues can also be attributed to the country's very low revenues from personal income taxes compared to OECD countries, a common issue across Latin American countries. Personal income tax revenues in Peru are over four times lower than the OECD average, limiting redistribution (Barreix, Bés and Roca, 2012^[52]; Jaramillo, 2013^[11]; Lustig, 2016^[53]). There is significant potential to bring more people into the personal income tax system without affecting the bottom half of the income distribution. Only 20% of formal workers or 8% of the total workforce pay personal income tax (Acosta Ormaechea, Pienknagura and Pizzinelli, 2022^[54]; World Bank, 2023^[39]), due to a high labour income threshold below which no personal income tax needs to be paid, as discussed in the 2023 and 2025 OECD Economic Surveys of Peru. A complementary two step reform would increase the tax base and make the system more progressive. The first step would involve gradually lowering the basic personal income tax threshold while simultaneously reducing the entry tax rate. In a second step, to reduce informality, social security contribution rates for low-income workers should be reduced, as discussed above. The combined effect of these changes would be progressive because those newly subject to the personal income tax would have higher incomes than those benefiting from reduced social security contributions, ensuring the overall progressivity of the reform. By reducing informality, this reform would also boost productivity and growth. Introducing an earned income tax credit would enhance progressivity further and promote stronger formal labour market participation among low-skilled workers (Pessino et al., 2021^[55]). A compulsory and universal income tax declaration could be established in tandem to create a culture of declaring and paying taxes.

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Expanding Social Protection and Addressing Informality in Latin America

Informality is one of Latin America's most persistent challenges, shaping the lives of millions of workers and their families. Nearly half of the region's labour force works outside formal arrangements, without secure contracts, stable incomes, or access to social protection. The COVID-19 pandemic exposed the vulnerabilities of these workers with stark clarity: while formal employees often retained coverage and income support, informal workers were left among the hardest hit by job losses, poverty, and exclusion.

This book takes stock of the evolution of informality in Latin America, tracing long-term trends and exploring the many faces of informality — from self-employed street vendors and domestic workers to employees in small enterprises. It places particular emphasis on the fragmentation of current employment-based social protection systems, which not only leave large gaps in coverage but also perpetuate inequality of opportunities and limit productivity.

Bringing together new evidence and in-depth country studies from across the region, the book makes a compelling case for reform. It explores policy options to expand social protection in fiscally sustainable ways, increase incentives for formalisation, and strengthen resilience against future shocks.

For policymakers, researchers, and practitioners alike, this volume offers timely guidance to deliver better social protection for more workers in Latin America.



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